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Global Economics

Crosscurrents

Policymakers will welcome the lower oil prices, which have curbed some of the risks to growth and inflation...

...but there are other powerful forces at play, the effects of which will be uneven around the world...

...with AI playing a key role, as well as El Niño effects on food, and risks around securing a final US-Iran deal



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Executive summary

Ceasefire extended, lower oil, but what about a final deal?

The signing by the US and Iran of a Memorandum of Understanding (MoU) to extend the ceasefire and lay a framework for future nuclear negotiations leaves many important questions unanswered. Material risks persist. Even assuming the US-Iran talks on the nuclear programme and other sticking points proceed as planned, it is far from clear what the new normal in the Strait of Hormuz will look like. Already Iran has indicated there will be no return to the pre-war status quo.

Energy prices have fallen

Nonetheless, the rapid drop in the Brent oil price to around USD80/b in response to the 60-day ceasefire extension and the commitment to re-open the Strait – assuming it is sustainable – would limit the downside risks to growth and limit some of the upside risks to inflation and be in line with our central case scenario for the global economy. We have been assuming that Hormuz traffic and Gulf output would gradually restart in June, and a return to near-normal system-level production and flows would occur by end-Q3 2026.

Crosscurrents

The pace at which the Strait re-opens will not be the sole influence on the global economy in 2026-27, even if it is the single biggest one. There are also other powerful forces moving in different directions at the very same time, which could have very uneven effects: in particular the AI-related export and investment boom which we discuss on pages 24-32 and the risks to agricultural output and prices from severe El Niño weather conditions which we examine on pages 33-39. Fiscal policy will also have varying impacts on the growth trajectory in 2026-27.

Consumer spending to soften...

Headline inflation has picked up...

In terms of the economic implications of the supply shock from the Middle East so far, the clearest impact has been an auto-fuel-driven rise in headline inflation and higher input costs, whether from crude, diesel, jet fuel and various gas derivatives for which prices, while off their highs, are still 30% or so higher than pre-conflict levels.

...squeezing real incomes

This has all hit confidence and squeezed margins and disposable incomes, though the impact on the limited available consumer data for Q2 suggests no sharp downturn. In the major economies we are so far seeing a familiar pattern of sluggish spending by households in China, weighed down by the ongoing property sector headwinds and limited employment prospects, and ongoing resilience in the US, where the income squeeze has been offset by higher tax rebates and ongoing wealth effects from the surge in tech prices.

Globally, consumer spending appears set to soften further over the next couple of quarters given the squeeze on real wages and, for those reliant on credit, tighter financial conditions even as some areas of investment – particularly AI, but also increasingly energy infrastructure spending – hold up well.

...and, El Niño means food prices are still a big risk

Falling pump prices have mostly stabilised consumer and business confidence at a low level, but the risks surrounding **food price inflation** persist. Diesel costs have already hindered agricultural output in parts of Asia and future harvests in some economies will be affected by lower yields as the planting season was hit by the sharp rise in fertiliser and diesel prices in March and April.

There will still be some lagged effects, but now the potential food inflation story stems from the severe El Niño weather phenomenon, which has the potential to push up inflation materially in H2 2026 and into 2027 in many emerging economies, including the likes of India and Brazil. Even less-exposed advanced economies could be affected by the higher imported food prices as well as higher packaging costs given plastic prices.

AI surge is potentially huge but uneven...

AI is having a big impact on growth...

More positively from a growth perspective, if the energy price shock now fades, as the markets seem to be assuming, the **AI boom** is set to continue. The relative impacts of the capex, industrial production, export, profits and wealth effects between economies will vary enormously, though there might be scope for usage growth to become more widespread in the coming years.

GDP in Taiwan and the US is set to continue to be lifted the most from the AI boom, but other exporters will too. The enormous investment in the whole AI ecosystem that has continued to drive world trade growth even against a backdrop of tariffs, bilateral trade frictions, and an enormous supply shock. Our forecasts show slower, but still positive, growth in exports for most countries and a clear electronics-driven divide between Asia and the rest of the world. The impact of AI on consumer spending is set to be uneven, though, with big variations across age and income cohorts too.

...and poses other cost shocks in the coming year

Currently, the inflation risks of AI stem more from the enormous investment in the whole AI ecosystem that has continued to drive world trade growth even against a backdrop of tariffs, bilateral trade frictions, and an enormous supply shock.

...even if it's uneven and brings inflation risks

Some of the inflation risks stemming from the AI boom could be more widespread. The sheer scale of AI construction and capex underway means many policymakers perceive that the demand-side effects on inflation might be more immediate than the supply-side effects on productivity and labour markets. The cost of construction from copper wiring to memory chip prices barely paused for breath at even the height of the disruption in April. Apple CEO Tim Cook stated in mid-June that soaring component costs have made price increases “unavoidable¹”.

Even assuming a full re-opening of the Strait by the end of Q3, not all inflation risks will fade as swiftly as the oil price fell in mid-June.

Pressure on central banks, and maybe governments, could ease

Under our central scenario, the gradual re-opening of the Strait and the fall in crude oil prices should ease some of the demands on **fiscal policy** in the coming months.

Some policies to protect against higher energy prices may be less costly

In some economies, domestic demand should still be supported by the pre-war fiscal stimulus that had already been announced or delivered, notably in the US. But in many places, there has been a clear effort to contain gasoline price increases through either price controls or a temporary downside adjustment to fuel taxes, both to reduce the income squeeze from higher energy prices on consumers, and to limit the scope for inflation and interest rates to rise.

Assuming the drop in oil prices is sustained or extends further, the cost of such subsidies should ease somewhat. As every region of the world starts from a position where budget deficits and debts are larger and structural spending demands on defence, age-related spending and the energy transition are set to rise more sharply, any relief governments may get from lower inflation-linked spending and borrowing costs would certainly be welcome.

The USD strong strengthen

¹ Wall St Journal, 18 June 2026

The different forces discussed in this report will also have an impact on **FX**. Since global oil and gas supplies started to be disrupted at end-February, the US energy surplus and safe-haven status have supported USD vis-à-vis all energy importers, excluding China. Our FX team forecasts that US growth exceptionalism, and a greater likelihood of a Fed rate rise than a cut this year, means USD should firm further vs most currencies ([A new sheriff in town](#) 18 June 2026).

So, whereas the implications of the fall in oil prices for inflation means we now think the ECB will not raise rates again and the BoE will not hike at all. Unlike the market, we think they could both cut in 2027, but we still believe several Asian economies will likely be under pressure to raise rates further in the second half of this year. In Latin America, we forecast an extended pause in Mexico and Brazil.

Forecasts: the good and the ugly

Growth looks set to be varied by economy and sector

Pulling all of these forces together, this year's global growth forecast of 2.5% – the weakest pace since the pandemic – is unchanged, as is our 2027 forecast of 2.7%, although that masks sizeable revisions to some economies.

As explained in [Running out of gas?](#), March 2026, there is no winner from the big supply shock that was inflicted on the world by the conflict, but there are always *relative* winners and *relative* losers. As with 2026, the most notable upgrade to our 2027 forecast is to the US while the biggest downgrades are to the likes of India and Brazil, reflecting a weaker carryover from H2 2026 when both lagged effects of the energy shock and an anticipated impact from El Niño are set to weigh on the growth outlook.

Even with the drop in the oil price and our assumption that it will average USD75/b by H2 2027, the revisions to our inflation forecasts are upwards for both 2026 and 2027, driven almost entirely by the emerging world, notably across Asia.

If we get only a partial reopening, inflation will be higher and growth weaker

In our 'uglier' scenario, based on a partial re-opening, whereby less than half of the pre-conflict crude oil passes through the Strait, the oil market would remain in deficit, reserves would continue to run down and prices edge higher over the next six months, potentially to USD140-150/b. Inevitably, the growth numbers would be much lower, particularly in the energy importers, although we would expect investment in alternative energy sources and bypass pipelines to be stepped up and the global AI investment story would not be derailed.

Inflation forecasts would be higher given the enormous array of products that would be affected, and we would expect monetary policy to be tightened more aggressively, pushing some economies into outright recession.

Key forecasts

% Year	GDP						Inflation					
	2025		2026f		2027f		2025		2026f		2027f	
World	2.8	(2.8)	2.5	(2.5)	2.7	(2.7)	3.1	(3.1)	3.8	(3.5)	3.1	(2.8)
Advanced	1.9	(1.9)	1.6	(1.6)	1.7	(1.6)	2.5	(2.5)	2.9	(2.9)	2.5	(2.3)
Emerging	4.5	(4.4)	4.0	(4.1)	4.3	(4.3)	3.6	(3.7)	4.4	(4.0)	3.5	(3.1)
US	2.1	(2.1)	2.3	(2.1)	2.3	(2.0)	2.7	(2.7)	3.3	(3.2)	2.7	(2.6)
US (Q4/Q4)	2.0	(2.0)	2.3	(1.9)	2.4	(2.0)	2.7	(2.7)	3.3	(3.1)	2.7	(2.7)
Mainland China	5.0	(5.0)	4.6	(4.6)	4.7	(4.7)	0.0	(0.0)	0.9	(0.9)	1.0	(0.8)
Japan	1.1	(1.2)	0.7	(0.7)	1.0	(1.0)	3.2	(3.2)	2.5	(2.2)	2.3	(1.7)
India*	7.5	(7.5)	6.8	(6.3)	6.4	(6.8)	2.0	(2.0)	5.1	(4.5)	4.6	(4.3)
ASEAN-6	5.0	(5.0)	4.2	(4.2)	4.3	(4.5)	1.6	(1.6)	3.7	(3.0)	3.0	(2.7)
Eurozone	1.5	(1.5)	0.3	(0.7)	0.9	(1.1)	2.1	(2.1)	2.9	(2.9)	2.2	(2.1)
UK	1.4	(1.3)	1.1	(0.8)	1.0	(1.2)	3.4	(3.4)	3.1	(2.9)	2.9	(2.6)
Brazil	2.3	(2.3)	2.0	(2.0)	1.7	(2.2)	5.1	(5.1)	4.8	(4.0)	4.7	(4.1)
Mexico	0.6	(0.6)	1.0	(1.5)	2.0	(2.0)	3.8	(3.8)	4.2	(4.3)	4.2	(4.4)

Source: HSBC Economics, Bloomberg. Note: *India data is calendar year forecast here for comparability. GDP aggregates use chain nominal GDP (USD) weights and inflation aggregates calculated using GDP PPP (USD) weights. Parenthesis show forecasts from the Global Economics Quarterly Q2 2026. We have adjusted the mix of economies in our advanced and emerging economy aggregates in alignment with IMF definitions

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Key forecasts

Key forecasts under base and 'ugly' scenarios

% Year	Central forecast (best case scenario)						'Ugly' scenario					
	GDP		Inflation		Policy rate*		GDP		Inflation		Policy rate*	
	2026	2027	2026	2027	2026	2027	2026	2027	2026	2027	2026	2027
World (nominal weights)	2.5	2.7	3.8	3.1	-	-	2.1	2.1	4.5	4.4	-	-
Advanced	1.6	1.7	2.9	2.5	-	-	1.4	1.1	3.4	3.5	-	-
Emerging	4.0	4.3	4.4	3.5	-	-	3.4	3.7	5.3	5.1	-	-
North America	2.2	2.2	3.2	2.7	-	-	2.1	2.0	3.6	3.5	-	-
US	2.3	2.3	3.3	2.7	3.625	3.625	2.2	2.1	3.6	3.5	3.875	3.875
Canada	0.9	1.4	2.5	2.4	2.25	2.25	0.5	0.9	3.5	2.9	2.50	2.75
Asia-Pacific	4.2	4.1	2.5	2.2	-	-	3.5	3.4	3.4	3.7	-	-
Asia ex-Japan	4.7	4.5	2.5	2.2	-	-	3.9	3.8	3.4	3.8	-	-
Asia Big Three	4.4	4.4	2.2	2.1	-	-	3.6	3.8	3.1	3.8	-	-
Mainland China	4.6	4.7	0.9	1.0	1.40	1.40	4.0	4.2	1.6	2.6	1.40	1.40
Japan	0.7	1.0	2.5	2.3	1.25	1.25	0.2	0.4	3.0	2.9	1.25	1.50
India**	6.3	6.6	5.1	4.6	5.75	5.75	5.4	5.4	6.6	6.7	5.75	6.25
Asia ex Big Three	3.9	3.2	3.4	2.7	-	-	3.0	2.3	4.3	3.6	-	-
Australia	1.5	1.0	4.3	2.5	4.35	3.85	1.1	0.6	5.2	2.7	4.60	3.35
South Korea	2.8	2.0	2.8	2.3	3.00	3.00	2.2	1.1	3.3	2.5	3.25	3.00
Indonesia	4.7	4.9	3.5	3.0	6.00	5.50	4.1	4.1	4.6	4.6	6.25	6.00
Taiwan	10.2	5.3	2.0	2.0	2.125	2.125	7.8	3.5	2.1	2.0	2.250	2.250
Thailand	2.2	1.7	2.7	2.1	1.00	1.00	1.0	-0.1	4.9	4.3	1.00	1.50
Malaysia	4.5	4.7	2.5	2.7	2.75	2.75	4.0	4.2	2.8	2.7	3.00	3.00
Singapore	3.3	2.5	2.2	2.2	1.50	1.50	1.9	1.4	3.0	3.2	2.00	2.00
Hong Kong	3.8	3.0	2.0	1.9	4.00	4.00	3.4	2.8	2.3	2.4	4.25	4.25
Philippines	3.4	4.8	6.2	4.3	5.50	5.00	2.5	3.4	7.2	5.2	6.00	6.00
Vietnam	6.5	6.5	5.2	3.6	5.50	5.50	5.5	5.8	6.0	4.7	6.50	6.50
New Zealand	1.6	1.8	3.8	2.7	2.75	3.50	0.8	0.7	4.5	2.4	2.75	2.25
Western Europe	0.6	1.0	2.8	2.3	-	-	0.2	-0.2	3.3	4.2	-	-
Eurozone	0.3	0.9	2.9	2.2	2.25	2.00	0.0	-0.4	3.5	4.2	3.00	3.50
Germany	0.2	0.7	2.9	2.4	-	-	-	-	-	-	-	-
France	0.5	0.8	2.2	1.8	-	-	-	-	-	-	-	-
Italy	0.5	0.5	2.6	1.8	-	-	-	-	-	-	-	-
Spain	2.4	1.8	3.4	2.3	-	-	-	-	-	-	-	-
Other Western Europe	1.3	1.2	2.5	2.5	-	-	0.9	0.3	2.8	4.0	-	-
UK	1.1	1.0	3.1	2.9	3.75	3.50	0.8	-0.2	3.5	4.9	4.00	4.50
Switzerland	1.2	1.4	0.5	0.7	0.00	0.00	0.8	0.6	0.9	1.6	0.25	0.50
Sweden	2.3	2.3	0.5	2.1	1.75	2.25	1.9	2.0	0.7	2.3	2.25	2.50
Norway***	1.4	1.7	3.2	2.6	4.25	4.00	1.0	1.4	3.5	3.1	4.75	4.50
CEEMEA	1.9	2.9	10.2	6.8	-	-	1.6	2.3	10.9	7.8	-	-
Poland	3.6	2.8	3.1	3.5	4.00	3.75	2.3	0.9	5.1	6.1	4.75	5.00
Russia	0.9	1.3	5.4	3.9	13.25	10.25	1.0	1.5	5.4	3.9	12.00	10.00
Türkiye	2.2	3.7	30.6	18.3	34.00	20.00	2.0	3.0	32.0	20.6	37.00	25.00
Saudi Arabia	2.0	5.6	1.9	2.1	3.75	3.75	1.7	4.5	2.1	2.2	4.00	4.00
South Africa	1.1	1.7	4.3	3.9	7.00	6.25	0.7	1.2	5.0	4.5	8.00	7.00
Latin America	1.9	2.2	8.0	6.9	-	-	1.7	1.9	8.9	8.2	-	-
Brazil	2.0	1.7	4.8	4.7	14.25	12.25	1.8	1.4	6.0	6.2	15.00	12.25
Mexico	1.0	2.0	4.2	4.2	6.50	6.50	0.9	1.9	4.4	4.5	6.50	6.50
Argentina	3.5	3.7	31.1	22.3	21.50	21.50	3.3	3.5	33.0	26.0	25.00	25.00
Colombia	2.4	1.7	5.7	5.7	12.00	11.25	2.4	1.8	6.1	6.4	13.00	13.00
Chile	1.4	2.9	3.4	3.6	4.50	4.50	1.1	1.8	4.1	4.3	5.00	5.50

Source: HSBC forecasts. Note: *end-period. **India's GDP forecasts for fiscal year. ***Mainland. Base case assumes oil price peaking around USD120 and then a gradual decline, whereas 'ugly' scenario assumes a more protracted period of higher energy prices and more second round effects. Aggregates calculated using nominal GDP weights (GDP) and PPP-weights (inflation)

Crosscurrents

- ◆ Lower oil prices may have eased some of the pressure on policymakers...
- ◆ ...and curbed some of the risks to growth and inflation, which, with various powerful forces at play, are set to be very uneven globally...
- ◆ ...with AI playing a key role, as well as El Niño effects on food, and risks around securing a final US-Iran deal

Deal or no deal?

Progress towards a deal has pulled down oil prices

After more than 100 days, the US-Iran conflict has dragged on longer than most initially anticipated, but the recent signing of a deal sparked optimism in markets and crude oil prices, which had already been trending steadily down since mid-May after earlier spikes of up to USD120/b in April. Prices are around USD80/b as we publish.

The 14-point memorandum of understanding (MoU) signed includes:

- ◆ The lifting of the US naval blockade on Iranian ports
- ◆ The flow of oil through the Strait of Hormuz without payment of tolls to Iran
- ◆ A waiver for Iran to sell oil for the duration of the 60-day ceasefire extension
- ◆ Iran to reaffirm that it would not procure or develop nuclear weapons

Still lots of uncertainty

The MoU leaves many important questions unanswered and material risks persist, not least because the major political players in this conflict are not all on the same page. Since the MoU was signed, there have been reports of Strait of Hormuz closures² but also of up to 55 ships transiting in a single day³. Importantly, talks between the US and Iran are ongoing.

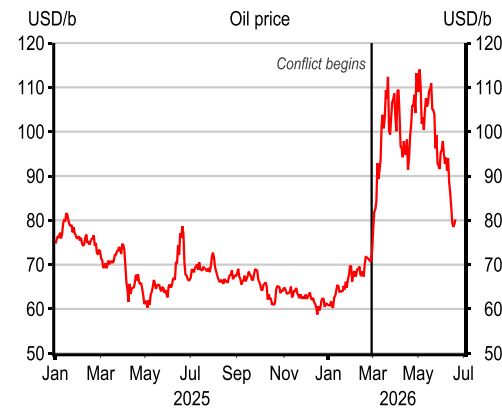
Even assuming the US and Iran make progress towards a final settlement, the outcome is far from certain. Iran has already indicated there will be no return to the pre-war status quo through the Strait.

So, while the central scenario on which our forecasts are based is unchanged, we also present an alternative more adverse scenario, whereby the Strait does not fully re-open and the oil price grinds higher, peaking around USD150/bl. That seems very unlikely currently, given Brent is trading at around USD80/bl, but we explain later how it could happen. Also, in a historical context, it would not be high in real terms compared with spikes in the 1970s (chart 2).

² Iran closes Strait of Hormuz as fighting flares again in Lebanon, Wall St Journal, 20 June 2026

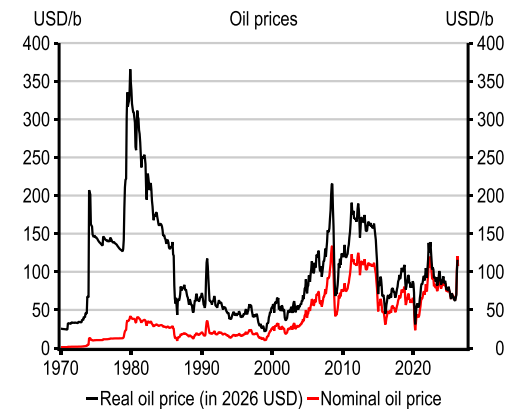
³ US Military Command, quoted in Financial Times, 21 June 2026.

1. Oil prices surged when the conflict started, and have dropped back...



Source: Macrobond

2. ...and, even at April peak, were not that high in real terms



Source: Macrobond, HSBC. Note: Real oil price is deflated by OECD CPI

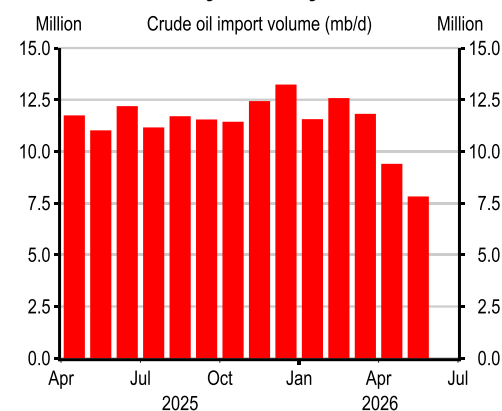
Our central case of a sustainable re-opening of the Strait

It may still take time for Gulf oil production and shipments in the Strait to revive

Even assuming the Strait is gradually re-opened on a sustainable basis, things are not going to go back to normal overnight. Not only do we need to see evidence that the terms of the MoU hold, but also mines also need to be cleared, insurance reinstated, ships repositioned, Gulf storage capacity emptied, idled production fields restarted as well as downstream infrastructure across several Gulf producers, and global energy reserves rebuilt. That will take time, as will the negotiations on the nuclear programme, residual sanctions and much more, before any kind of final settlement can be reached (see [US-Iran: A deal, still waiting for Hormuz re-opening](#), 15 June 2026).

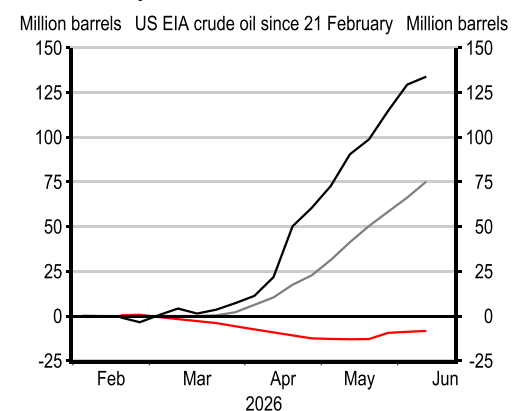
Company commentary suggests that re-establishing normal flows from oil fields to markets could take anywhere from a week to three months, varying by area and operator. This supports a normalisation of flows by end-Q3, assuming the deal properly holds beyond the 60 days.

3. China's crude imports fell 4.5mbd between February and May



Source: China GAC, HSBC calculations. Latest data for China May 2026

4. Extra US oil exports have not come from increased production...



Source: Macrobond, EIA *Refers to difference in production/exports since start of conflict compared to period of same duration before conflict

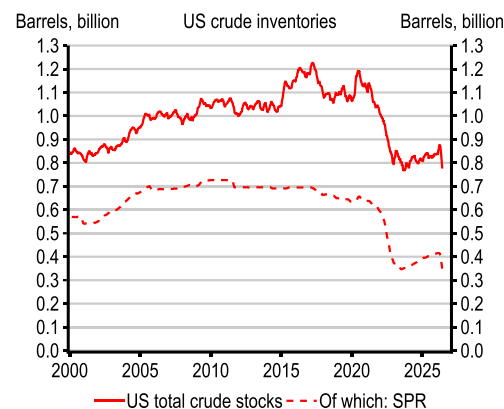
Nonetheless, even if supply normalises (relatively) speedily, demand will remain affected. First, China, with typical imports of 11.5mb/d (alone equal to around 80-90% of the net flows disrupted by the Strait closure) has significantly reduced its oil purchases in recent months (imports in May were 4.5mb/d lower than normal levels) and instead has been drawing down on inventories. This demand must return to global markets at some point.

Second, global inventories have stopped markets from feeling the full force of the disruption. For example, many refiners turned to the US for oil as a replacement for lost Middle East crude. Consequently, as of the week commencing 9 June (latest available EIA data), the US had exported roughly 134m extra barrels (over and above pre-conflict levels) since March. With US crude production essentially stable over that period, almost all of the uplift has come from the Strategic Petroleum Reserve (SPR) release, and from commercial inventories. This has left US crude inventories at very low levels relative to previous decades.

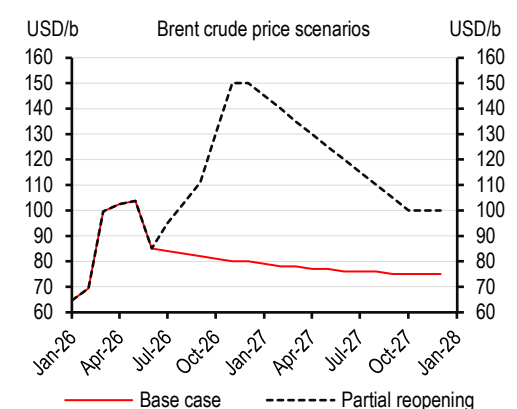
Depleted inventories need to be rebuilt

Significant rebuilds will need to occur both in the US and globally, pushing medium-term demand up. And in the US, at least, this rebuild will be to above pre-conflict inventory levels. This is because the US SPR release does not involve selling barrels of oil, but rather 'loaning' them. Under the terms of the agreement, companies have to return the volume of oil 'borrowed' *as well as interest* (in the form of additional barrels) to the SPR at a later date (reportedly anytime between late 2026 and 2029, depending on specific contract terms⁴).

5. ...but from inventories



6. If SoH only partly re-opens, prices would grind higher in H2 2026



In our base case, we take our oil assumptions from the mid-June futures curve. Given it is unclear whether the MoU will ultimately lead to a full, unconditional reopening of the Strait, we also once again include an alternative scenario where the oil price grinds higher from here to as high as USD150/b, which would have a more adverse impact on the global economy.

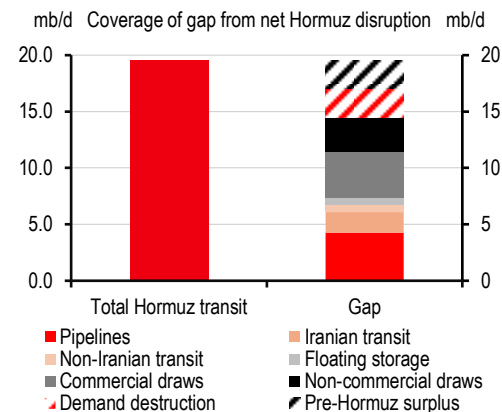
⁴ The Economist, 11 June 2026.

A partial reopening?

In a partial reopening, oil prices would stay higher for longer

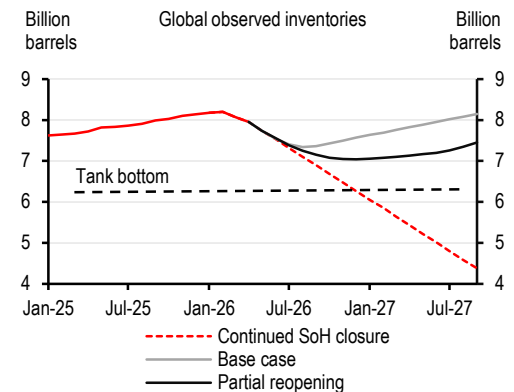
In a partial reopening scenario, the oil market would stay in deficit for longer. With oil supply structurally lower, inventories unable to indefinitely cushion the impact, and the prospect of higher demand in global markets as China steps up purchases given an eventual need to rebuild inventories, we could see much higher oil prices than in the base case. The degree of market tightness would depend on the specifics of any new arrangements for passage through the Strait of Hormuz.

7. Floating storage and other stocks have filled the gap left by loss of Gulf supplies



Source: HSBC estimates, IEA, Bloomberg, Kpler, Vortex Note: Based on March-April flows only

8. Global crude inventories have been depleted and will need to be rebuilt



Source: IEA, HSBC estimates. Note: Includes OECD and non-OECD stocks, commercial and strategic, onshore and on-the-water average. "Tank bottom" refers to the operational minimum volume of oil required in the global supply chain, below which logistics systems fail.

Oil prices may stay higher than pre-conflict...

Daily traffic in May was about 10-20% of the level seen pre-conflict. If it were to rise to about 50%, this would still leave about 5.5mbd (million barrels per day) of oil missing from markets in the short term (assuming existing pipelines are fully utilised), falling to c3.7mbd once the UAE's new Fujairah pipeline is completed (targeted by 2027). Compared with typical global daily oil consumption of roughly 103mbd, this is not huge – but can still have a significant impact at the margin given the need to rebuild inventories.

...but operational minimum inventory levels may be avoided

Despite some headlines to the contrary, our oil analysts do not subscribe to the idea that inventory 'tank bottoms' are 'just weeks away' – Q4 seems a more reasonable estimate of when levels would have started to hit operational minimums and it would be later even in a partial reopening scenario. However, if the prospect of a partial reopening of the Strait becomes the most likely scenario, then policymakers and industry may have to start looking at lower supply as the longer-term 'new normal'.

Bypass pipelines?

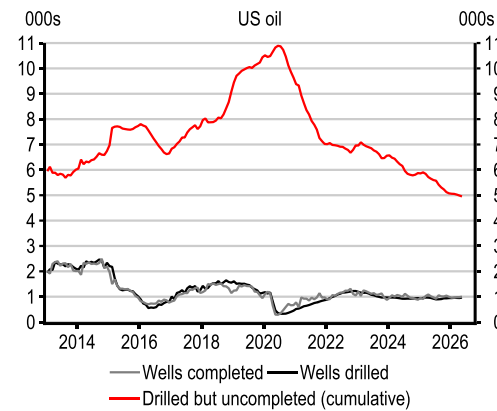
Over the medium term, more bypass pipelines could help. Saudi Arabia's East-West pipeline is already filling 3-4mbd of the c19mbd supply that would usually flow through the Strait, while the UAE's ADNOC pipeline has been adding an incremental 0.5mbd of flows – but both are essentially at capacity.

In the medium to long term, further capacity should be able to flow through its additional pipeline to Fujairah (on the UAE's south coast, bypassing the Strait), which due to be completed by 2027. Other potential future projects by the UAE as well as cross-border pipelines in the region are also under discussion.

Or higher non-Middle East production?

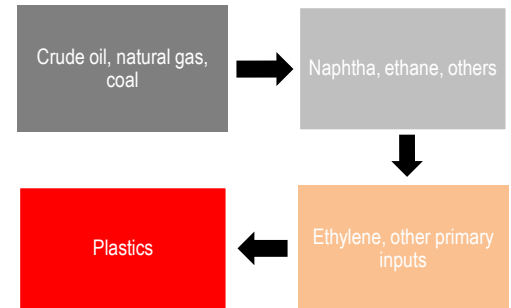
The prospect of higher production outside of the Middle East seems limited in the medium term. Even the proposed new US-Canada pipeline is not set for completion until 2029 and the dynamism with which US shale oil producers can increase crude output is lower than it used to be. Uncertainty over long-term oil prices has made both US and Canadian oil producers more hesitant about investing in new rigs.

9. US crude production can't respond to price increases as rapidly as it used to



Source: Macrobond

10. If SoH only partially re-opens, refined product prices would grind higher too



Source: HSBC Note: Not representative of production of all plastics

Oil prices could grind back up to USD140-150/b if the Strait only partly re-opens

Not just the crude oil price that would grind higher

With supply limited under a partial reopening scenario and crude prices grinding higher, to perhaps to USD140-USD150/b, there would likely be a higher degree of demand destruction in many economies. However, as already mentioned, the big reduction in demand for crude in recent months has been the short drop in China's imports of around 4.5mbd compared to pre-conflict levels. Under an extended partial reopening scenario, Chinese buyers would eventually have to return to the market. Coal has been a vital substitute in some areas, but after a significant drawdown inventory rebuilds would, over time, become a necessity even for China.

And of course, under the partial reopening story, it would not just be the crude price that would be affected. We have already seen how the price of refined products such as jet fuel, diesel, naphtha (for petrochemicals), gasoline, marine fuel oil, LPG, and many more are affected by Strait of Hormuz disruption.

The economic outlook

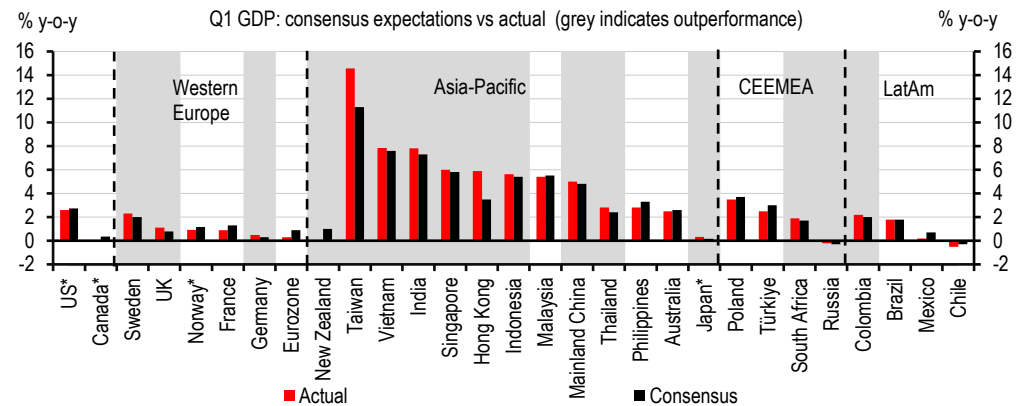
The central case, given lower oil

The conflict continued for longer than we had initially assumed in our last forecasting round, but the rapid drop in the oil price to around USD80/b in response to the 60-day ceasefire extension and the commitment to re-open the Strait (even if has yet to happen) means we now have a higher degree of confidence in our central case scenario than we had just a few weeks ago (see [A stitch in time...](#), 19 May 2026): we have been assuming that Hormuz traffic and Gulf output would gradually restart from mid-June, and a return to near-normal system-level production and flows would occur by end-Q3 2026.

So even though we expect the impact of the disruption to continue to weigh on growth in Q2 and Q3, our global GDP forecasts are unchanged from three months ago. At USD80/b, the oil price has already fallen back in June by more than we expected and Q1 GDP growth was not bad (though admittedly it included only one month of the conflict).

More confidence in our base case

11. Few significant negative surprises in Q1 GDP growth rates



Source: Bloomberg, Macrobond, HSBC Note: * % y-o-y consensus figure imputed from % q-o-q Bloomberg survey

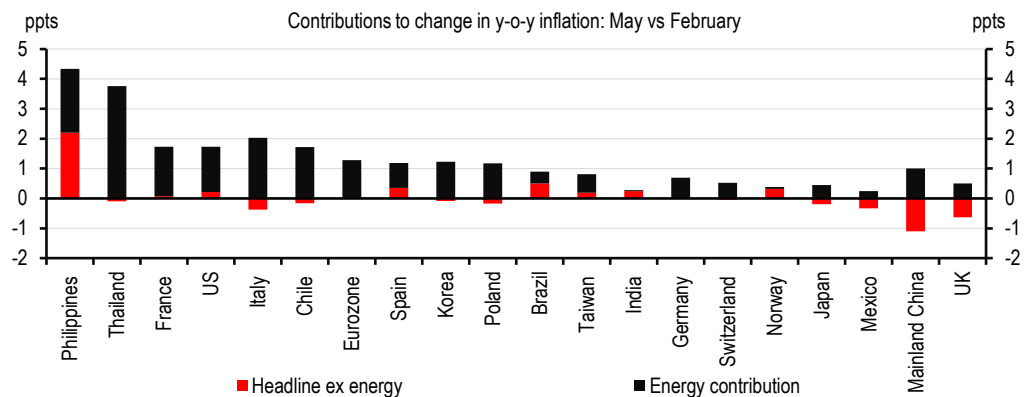
The rise in fuel costs has squeezed real incomes...

Higher headline inflation...

In terms of the economic implications of the conflict so far, the clearest impact on countries outside the Middle East region has been an auto fuel-driven rise in headline inflation and higher input costs for companies, whether from crude, diesel, jet fuel and various gas derivatives for which prices, while off their highs, are still 30% or so higher than pre-conflict levels.

By May, energy added an additional 3.8ppts to headline inflation in Thailand and an extra 2.1ppt to inflation in the Philippines compared with the February release. Over the same two months it added 1ppt point or more in the US and each of the big 3 eurozone economies.

12. Energy has accounted for nearly all of the jump in inflation over the past three months



Source: Macrobond, National sources, HSBC calculations

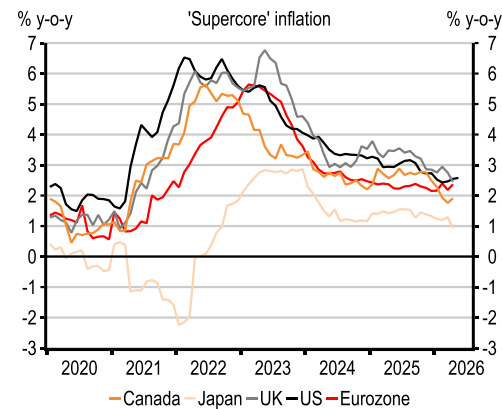
...and higher energy costs will continue to feed through in CPI

On the inflation side, while the rise in energy prices is feeding through to headline inflation prints and squeezing real incomes, it is too early to expect any evidence of a more widespread impact on core prices.

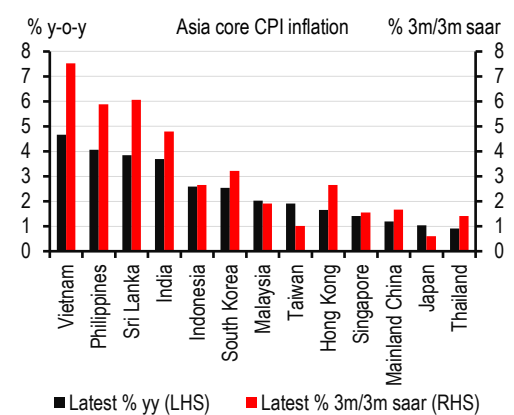
...but not much in core, for now

Core inflation rates have risen, but so far they have mainly been pushed up by services directly related to fuel costs – so airfares, broader transportation costs and food away from home. These trends have further to go and in Europe there will be increases in household energy utility bills coming through from July/August. There are other idiosyncratic country stories where domestic factors have played a role too. Core inflation momentum has picked up in parts of Asia, with the 3m/3m rate higher than the annual rate (chart 14).

13. Underlying inflationary pressures remain reasonably contained



14. ...though there is some space for concern in Asian core inflation



Food prices pose an upside inflation risk

Now that the oil price has dropped, the acceleration in inflation should slow from here, peaking in many countries any time between June and the turn of the year, but it may be some time before central banks can be confident that the risk of a broadening of inflation has abated. Food prices tend to lag behind energy prices by 6-9 months and, as we discuss on pages 33-39, agricultural output faces additional risks from severe weather patterns. Food inflation could keep the 'hump' in inflation higher for longer and increase the risks of second-round effects, especially if more companies start to pass through the cost increases they are facing.

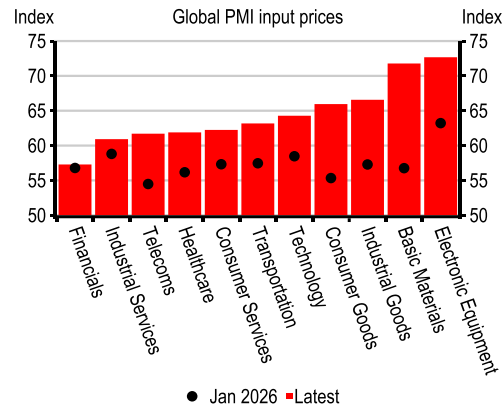
How many cost pressures are still in supply chains?

Will companies pass on the cost increases?

It appears that for now, there are many price pressures building in supply chains. In the global PMIs we can see how all sectors have seen a wide breadth of cost pressures. Almost all companies are feeling the squeeze from higher energy prices, but still relatively few appear to be needing or able to pass it on. PMI data often show higher readings for the share of companies seeing input price rises than they do for the share of companies reporting that they are raising output prices. Nonetheless, the *change* in the number of companies experiencing higher input prices compared to the January level is much more noteworthy, both in magnitude and in breadth across sectors, than for output prices (charts 15-16).

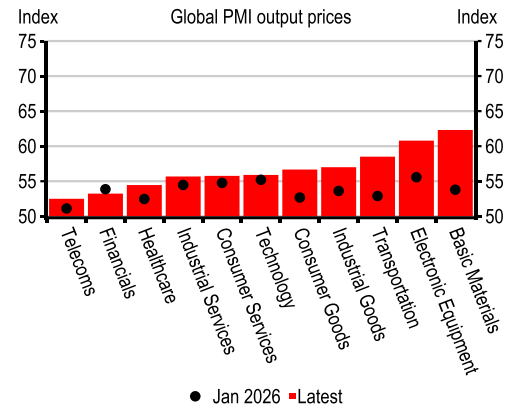
Output prices for basic materials (where the cost pressures are more acute) and electronics (where there is huge pricing power given surging demand) and transportation are seeing more companies reporting that they are lifting output prices, but in other sectors the share has moved a lot less.

15. Input costs are surging across sectors...



Source: Macrobond, S&P Global

16. ...but the rise in output prices has been much smaller outside of basic materials

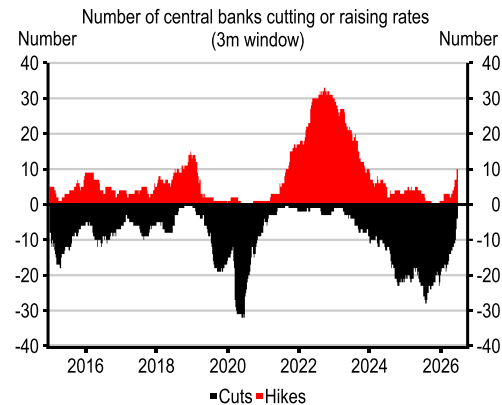


Source: Macrobond, S&P Global

A re-run of 2022 inflation seems unlikely

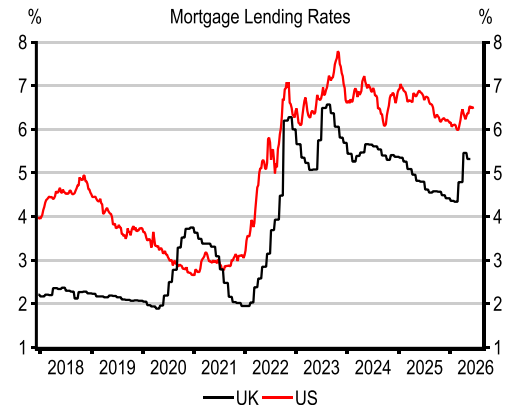
Particularly in Europe, we still think the risk of a re-run of the 2022 inflation surge after Russia's invasion of Ukraine is very unlikely. Inflation was already rising when the supply shock hit then (and the rise in gas prices was much larger), labour markets were much tighter than today, there was a large stock of unplanned savings post-pandemic that consumers could draw on to sustain their spending, and policy rates in all major economies were at very low levels.

17. A growing number of central banks are lifting policy rates again...



Source: Macrobond. Note: Uses a rolling 3m window to capture the irregularity of different central bank meeting schedules.

18. ...but higher market rates had already tightened financial conditions for many



Source: Macrobond.

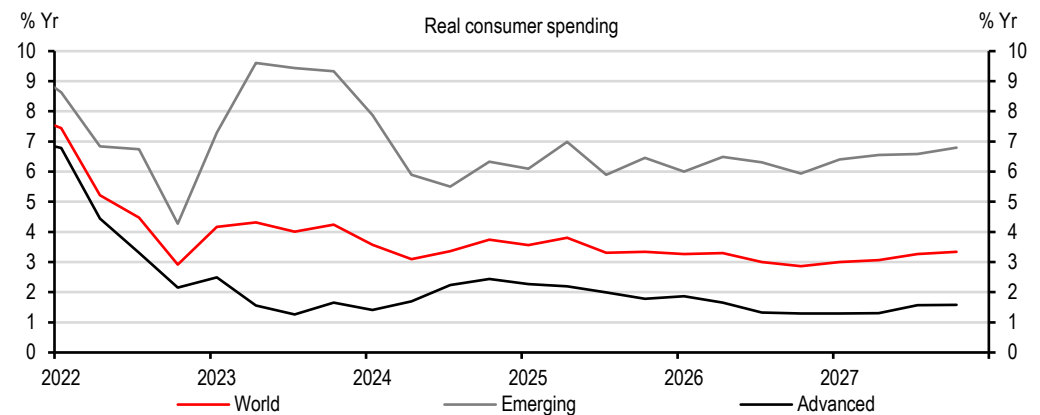
Consumer spending to soften from here

Consumer spending to soften...

Today, monetary policy in most economies starts from a neutral or slightly restrictive position and even in countries where central banks have not – as yet – raised policy rates, the rise in market rates has already affected the cost of borrowing for households and some companies.

So, globally, consumer spending appears set to soften further over the next couple of quarters as real incomes continue to be squeezed, at a time when waning confidence in job security makes it less likely that workers will be able to negotiate for higher pay.

19. Squeeze in real incomes from higher inflation will weigh on consumer spending



Source: HSBC forecasts

...but global trade is set to keep expanding...

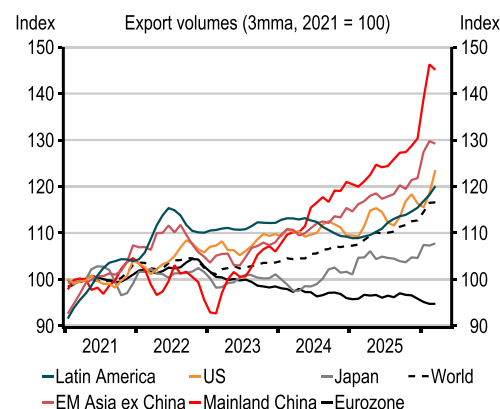
Despite the various trade-related uncertainties through 2025 and early 2026, global trade continues to push ahead, with exports from all regions (besides the eurozone) growing robustly (chart 20). Much of this is due to AI-related exports, which we discuss in much more detail on pages 24-32. Based on the PMIs and industrial data, once the disruption in the Strait started, there was a surge in demand for certain products as companies brought forward purchases in anticipation of even bigger supply and price challenges ahead.

Global trade is supported by AI...

...and getting ahead of tariff changes

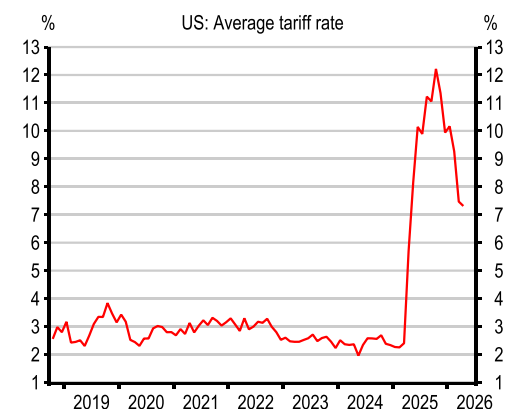
Some of the trade strength is also the result of renewed frontloading after US tariffs were sharply lowered on imports from some economies with the IEEPA tariffs being deemed unlawful. We now have some clarity on Section 301 (partner) tariffs, with 10-12.5% tariffs aimed at a host of trading partners (see: [US tariff announcement: First tranche of investigations completed](#), 3 June 2026), but there are still a lot of questions about how the overall tariff picture will evolve in 2026 (see: [State of US tariffs: What's in effect and what's to come?](#), 13 May 2026) and, in turn what the impact will be on the nature of global trade flows through the rest of the year, but we still see world trade growth expanding by nearly 5% in 2026.

20. Global trade continues to perform well, except in Europe...



Source: Macrobond, CPB

21. ...despite the tariff rollercoaster



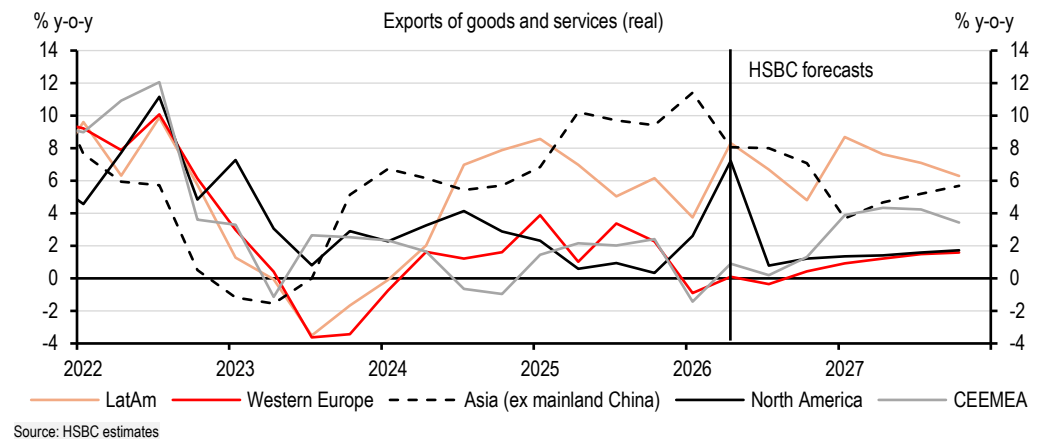
Source: Macrobond

...with Asia continuing to lead the way

Despite a robust start to the year, we also expect slower, but still positive, growth in exports for most countries in 2026 after the unexpectedly strong 2025. Looking across the major regions of the global economy, our forecasts show a clear electronics-driven divide between Asia and the

rest of the world; we expect Asian exports to post 8%-plus growth rates for the remainder of this year, with risks probably to the upside. In Europe, exports will struggle to increase at all, and for North America we expect sub-2% growth, though that is distorted by falling out of the 2025 tariff-related base effects.

22. Export growth is likely to stay a lot stronger in Asia than in Europe and North America



Our central case scenario for global growth is unchanged

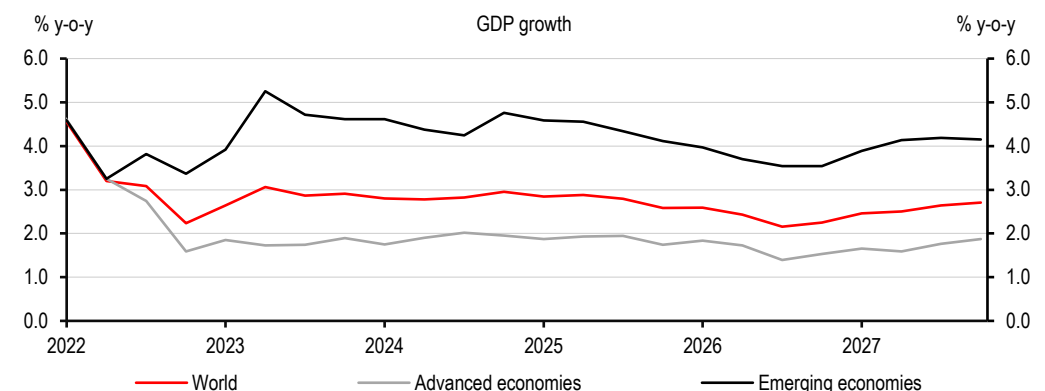
Overall growth little changed...

Pulling all of these forces together, the overall impact on our global growth forecasts are little changed. We expect growth in much of the world to cool in Q2 and Q3 of this year (and we may even see a recession in Germany), given the real wage squeeze and crimped non-AI investment given higher rates.

...but still at a subdued pace

Our forecast of global growth this year at 2.5% is the weakest pace since the pandemic, but unchanged from three months ago, as is our 2027 forecast of 2.7%. However, we have made some sizeable revisions to some economies. The most notable upgrade to our 2027 forecast is to the US, while the biggest downgrades are to the likes of India and Brazil, reflecting a weaker carryover from H2 2026 when both lagged effects of the energy shock and an anticipated impact from El Niño are set to weigh on the growth outlook.

23. Q2 and Q3 look set to be the softer point for global growth



If the Strait only partly re-opens, growth would be hit more severely

In our 'uglier' scenario of a partial re-opening, the growth numbers are much lower, particularly in the energy importers, although we would expect investment in alternative energy sources and

bypass pipelines to be stepped up. Inflation forecasts would be higher given the enormous array of products that would be affected, and we would expect policy to be tightened more aggressively, pushing some economies into outright recession.

Thailand is notably vulnerable

Across EM, Thailand would be one of the hardest hit, potentially falling into recession as expansionary fiscal policy in 2026 leaves little space for further support in 2027. Most economies would see additional tightening. Though expectations for a recession are limited, as AI-driven export growth should continue to be a fillip for much of EM Asia, our economists there would expect growth to be 0.5-1pts weaker in most economies, skewed toward 2027. LatAm, driven by oil exporters Brazil and Mexico would be less hard hit, but the impacts would be nonetheless generally net negative. Globally, only Colombia and Russia might see higher growth in such a scenario compared to our base case.

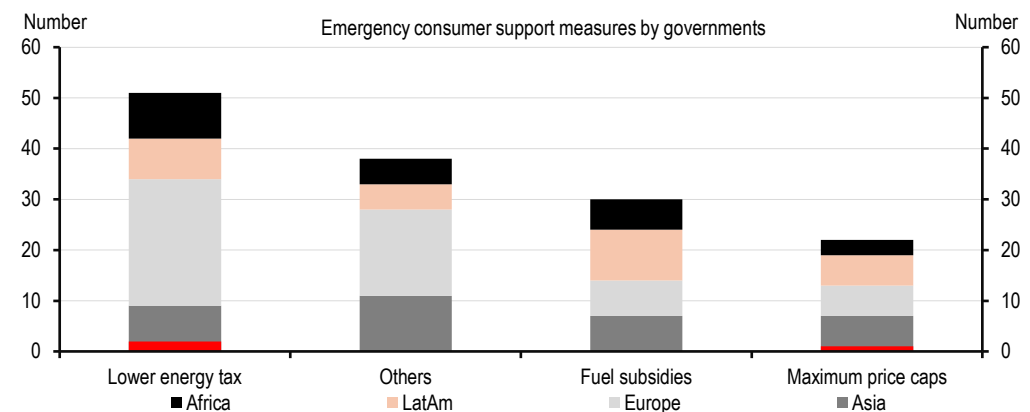
Fiscal policy could be set to tighten in 2027

Many governments have been swift to soften the hit to consumers from higher fuel costs.

Energy support measures have tried to limit the impact on consumers

In some economies, domestic demand should still be supported by the pre-war fiscal stimulus that had already been announced or delivered, notably in the US. But in many places, there has been a clear effort to contain gasoline price increases through either price controls or a temporary downside adjustment to fuel taxes, both to reduce the income squeeze from higher energy prices on consumers, and to limit the scope for inflation and interest rates to rise.

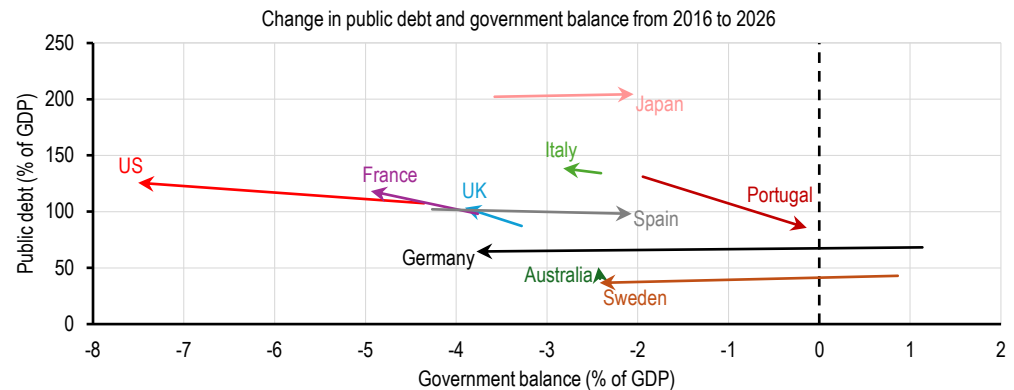
24. The mix of energy support measures varied from region to region



Source: IEA

Assuming the drop in oil prices is sustained or extends further, the cost of such subsidies should ease somewhat. At a time when every region of the world started the year from a position where budget deficits and deficits are larger than pre-pandemic and structural spending demands on defence, age-related spending and the energy transition are set to rise more sharply, any relief governments may get from lower inflation-linked spending and borrowing costs would certainly be welcome.

25. Most governments' deficits and debts are bigger than a decade ago and now they face ever higher spending demands



Source: IMF, European Commission

Could 2027 really be a year of fiscal tightening?

Going into 2027, fiscal factors could play a sizeable role, but in the other direction. The highly expansionary fiscal policies implemented by many countries this year, in many cases to soften the energy price shock, mean many will need to tighten their belts in 2027, even relative to 2025 deficit levels.

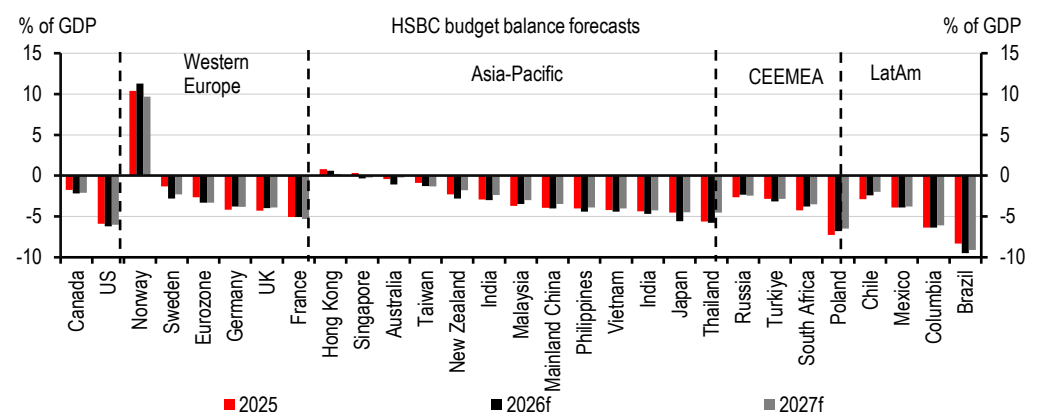
Fiscal tightening could be a theme of 2027 in some economies

Take Thailand, for instance – the Thai cabinet announced a THB400bn (2.1% of GDP) loan decree, half of which will be used to finance consumer subsidies (and the other half to finance Thailand's energy transition). This has been a large factor in the upgrade to our 2026 growth (2.2%, previously 1.6%), and the downgrade to our 2027 forecast (1.7%, previously 2.6%). Malaysia saw its fuel subsidy bill skyrocket from MYR700m per month to MYR7bn (0.3% of GDP) per month – though some of this can be covered by oil revenue-linked additional funding (see: [Malaysia in Focus: Decoding the subsidy maths](#), 22 May 2026).

In the eurozone, meanwhile, we estimate the fiscal stimulus of 0.5% of GDP in 2026, with the biggest contribution in Germany. However, the end of the EU Recovery and Resilience Facility (RRF), in combination with the expected unwinding of fuel tax cuts, should mean a neutral to slightly restrictive fiscal stance in 2027.

Our budget balance forecasts suggest that (of the economies covered in this report), more than three-quarters will tighten fiscal policy in 2027, and nearly 60% will narrow their deficits below those of 2025, barring any new global shock.

26. We expect most economies to tighten fiscal policy next year



Source: HSBC forecasts

A mixed picture for monetary policy

Under our central-case scenario, we project a divergent picture for policy rate changes in G10.

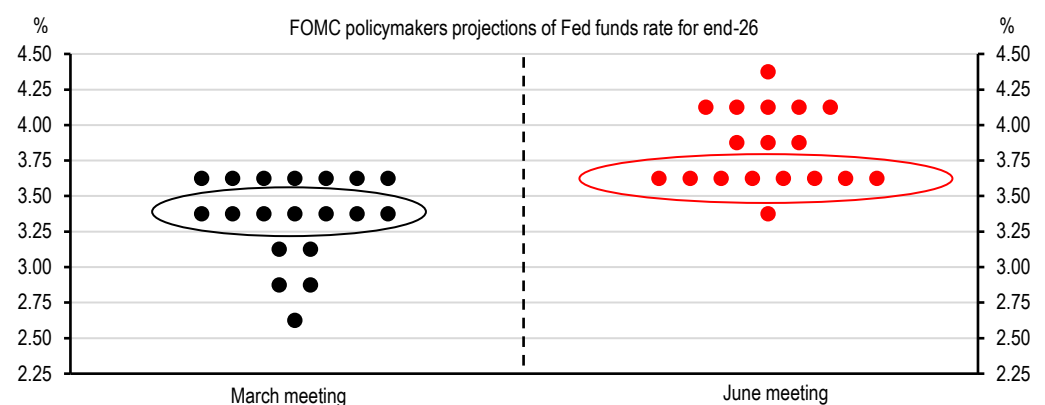
Bank of Japan to raise rates again

Apart from the Bank of Japan, which we expect to raise rates again later this year, we also expect New Zealand's central bank to start to gradually raise its policy rate from Q3 2026 and Sweden's from early 2027. But the economy where we see the biggest risk to our central forecast of an extended period of rates on hold is the US.

Institutional changes coming at the Federal Reserve...

At the June meeting, the FOMC voted unanimously (12 to 0 voting policymakers) to keep the federal funds target range unchanged at 3.50-3.75%. Perhaps the most noteworthy revelation to come from the meeting, the first under new Fed Chair Kevin Warsh, is that the Committee is having an active discussion about the potential need for rate hikes later this year – a big change from earlier this year when the discussion centred on potential rate cuts. As Mr Warsh described during the press conference, “half” of his colleagues (nine out of 18) thought the policy rate should be higher by year-end while the other “half” thought it should be unchanged or lower (see [Changes pitched, guidance ditched](#), 17 June 2026).

27. A hawkish tilt by the FOMC at the June meeting



Source: Federal Reserve

The new chair's reluctance to provide his own 'Dot' or provide any kind of forward guidance was not a surprise.

His key messages were, first, to be crystal clear that the FOMC has the capability and commitment to deliver on its price stability objective, adding that “inflation is a choice”.

Task forces at the Fed

Second, he made clear his determination to deliver institutional reform. Early in the press conference, Chair Warsh described the intention to set up five task forces, relating to:

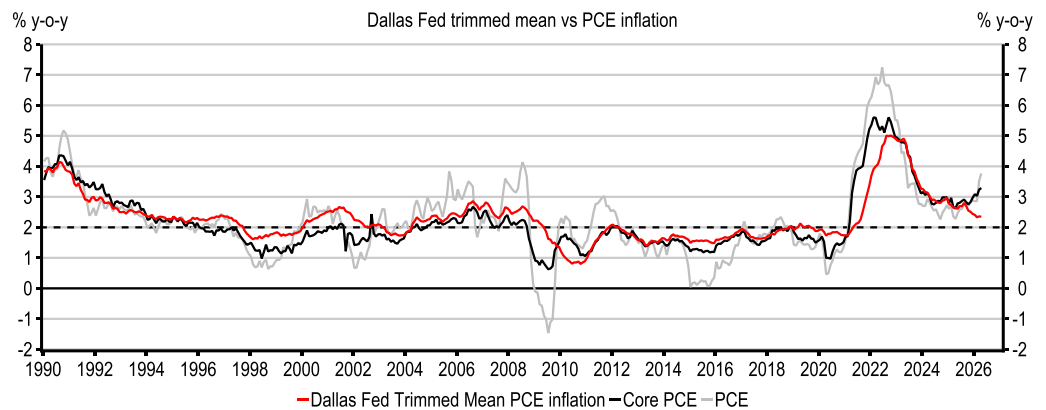
1. Fed communications;
2. the Fed's balance sheet;
3. the FOMC's usage of existing economic data sources;
4. productivity and jobs; and
5. the Fed's framework for managing inflation.

On the timeline, he explained that the process has just begun in terms of task force composition, and soliciting outside expert views, for each of these task forces and that most, if not all, of the task forces might reach some conclusions by year-end.

How to best measure inflation will be a point of discussion
...but no change to the inflation framework yet

This timeline for discussion implies that overarching reforms to the Fed's inflation framework are unlikely to arrive before 2027 at the earliest. In the past, Mr Warsh has stated that trimmed mean measures might be good guides of underlying inflation – perhaps a better indicator (or at least a useful counterpart) than the core PCE metric. The Fed has historically framed core PCE as a good predictor of future headline PCE, and both are currently part of the FOMC's official SEP projections.

But even as one of the planned task forces will be charged with reviewing “old fashioned survey methods” and making recommendations about how to modernise the use of economic data, the new chair did not specifically mention the slowing trimmed mean PCE at the press conference, even though it is currently diverging from the accelerating core PCE (chart 28).

28. New Fed Chair Warsh has previously indicated his preference for measures such as the trimmed mean PCE


Source: Macrobond, Federal Reserve, BEA

Likewise, Chair Warsh's comment in the press conference that he tends to focus “on the left of the decimal point. Well, the two is the left of the decimal point. For now, zero is to the right” grabbed some headlines suggesting he might be open to a higher range for the inflation goal in the future. What was critical was his subsequent comment that he saw no reason to revisit that until the FOMC has “reestablished our commitment and ability to deliver on the 2% inflation objective”, again burnishing his inflation credentials.

“ I tend to focus on the left of the decimal point... for now, zero is to the right. I see no reason until we have reestablished our commitment and ability to deliver on the 2% inflation objective to revisit that

Chair Warsh talking about 2% inflation objective, 17 June press conference

US labour market is still healthy
US labour market moving in a good direction

Even when asked, in the final question whether he saw the labour market as stable and potentially a source of inflation, it was more about what the new chair didn't say than what he did. His response was that the 3-to-6 month trend was more important than any one data point, and that the jobs data has been moving in a good direction. He could have added that the wage growth data had continued to soften to less than 3.5% y-o-y (chart 29), which, given the current rate of productivity growth, was unlikely to be a driver of inflation.

AI is supporting the labour market and hurting it at the same time

Balancing the risks to the Fed's dual mandate

No forward guidance: it is all about the data

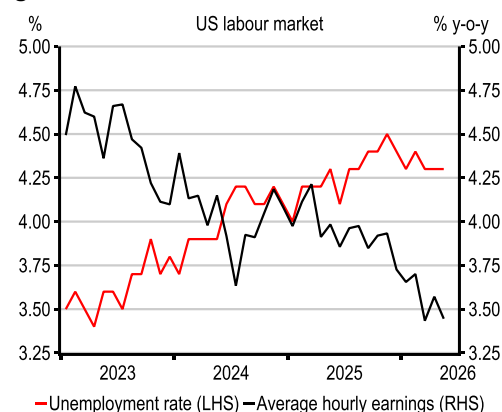
So that leaves the FOMC, as always, watching the data. The US labour market has certainly been more resilient than feared in the past few months, with payrolls surpassing forecasts, but it is in a very different position to the inflation surge of 2022, when there were many more vacancies than job seekers and workers were able to demand higher wages to offset the energy cost shock and broad acceleration in inflation.

Currently jobs growth in the US is running at the same pace as labour force growth and, as we argue in our AI chapter on pages 24-32, while the enormous AI capex plans are adding to demand for various construction-related jobs from electricians to engineers, in some parts of the economy, AI is seemingly already weighing on employment prospects.

Labour market slack is key to any rate move

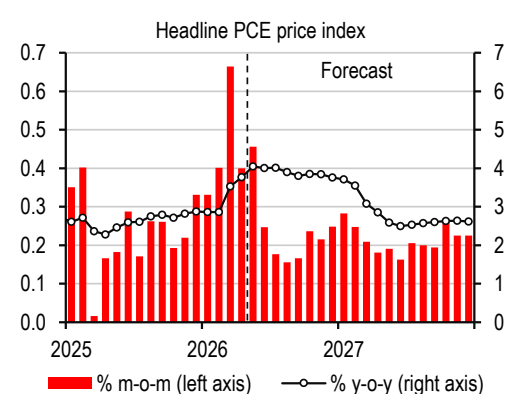
Overall, for FOMC meetings in the remainder of this year, it is about watching the labour market and inflation. Recall that we did not expect rate rises in 2026, even before the Middle East war began, given our view of a robust US economy, stable labour market and our forecast of above-target inflation. The US is the only major economy for which we have revised up our global growth forecasts for 2026-27 and we see both headline and core PCE above 3% until Q2 2027. So ultimately, it will come down to inflation expectations and labour market slack. If the unemployment rate is heading down to 4% with that kind of inflation picture, a Fed rate rise would be likely.

29. US unemployment is stable and wage growth has moderated further



Source: Macrobond

30. PCE is set to stay well above 3% until Q2 2027



Source: Macrobond, HSBC

Major central banks on hold in Europe

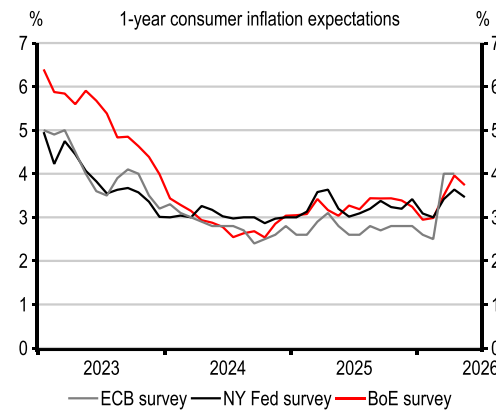
ECB and BoE: More talk than action from here

As for the ECB and BoE, we are no longer forecasting rate rises in H2 2026 assuming energy prices follow futures curves, but it could be some time before policymakers adjust their communication.

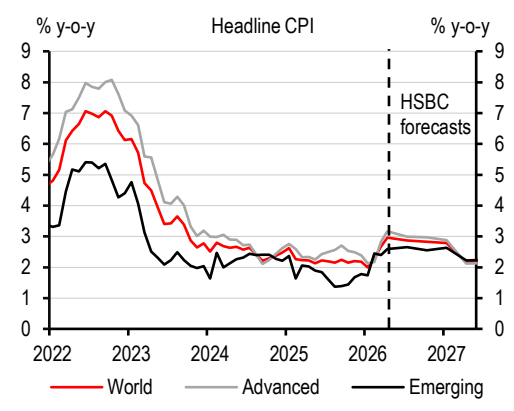
Risks relating to the Strait of Hormuz, energy prices, food prices and also second-round effects on inflation, have not gone away. In a scenario where risks to all of these crystallise, including oil prices rising to USD150/b, UK inflation could peak at 5-6% y-o-y (see [UK inflation briefing: Lower forecasts but don't write off the risks](#), 17 Jun 2026).

Given those lingering upside risks, and the fact that even in our central forecasts we do not expect to see inflation soften until Q2 2027, we suspect central banks will communicate cautiously for at least the next few meetings. They need to keep inflation expectations contained. But if the dovish news flow – lower energy prices, limited broader price pressures – continues, our European economists would not expect the ECB to raise rates again following the June rate rise to 2.25% (see [ECB \(June\): Hike delivered, more to come?](#), 11 June 2026). The BoE might just be able to get away entirely without raising Bank rate – which currently sits at a more restrictive level than in the eurozone – at all. Our UK economists forecast the next move is down, albeit not until Q4 2027.

31. As oil price has dropped, household inflation expectations have fallen a touch



32. Our central forecasts assume that the inflation hump abates, but there are risks



Weaker demand may limit inflation in some economies, such as Australia

Can central banks count on weakening demand to slow inflation?

Turning to those central banks that were already grappling with above-target inflation before the conflict and, in the case of Australia, were already raising policy rates, the next move in rates is also forecast to be down. Our economists long believed a downturn in the Australian economy would be needed to get inflation to head back to the RBA's target ([Downturn is needed to dis-inflate](#), 16 March 2026) and they now think the downturn has already arrived, so the RBA is most likely on hold in coming quarters (see [Another hike delivered](#), 5 May 2026) though that view hinges on some further softening in the labour market. Likewise, the May rate rise looks set to have been the last increase in Norway (see [Scandi divergence](#), 13 May 2026). Like the ECB, we anticipate a reversal in H2 2027.

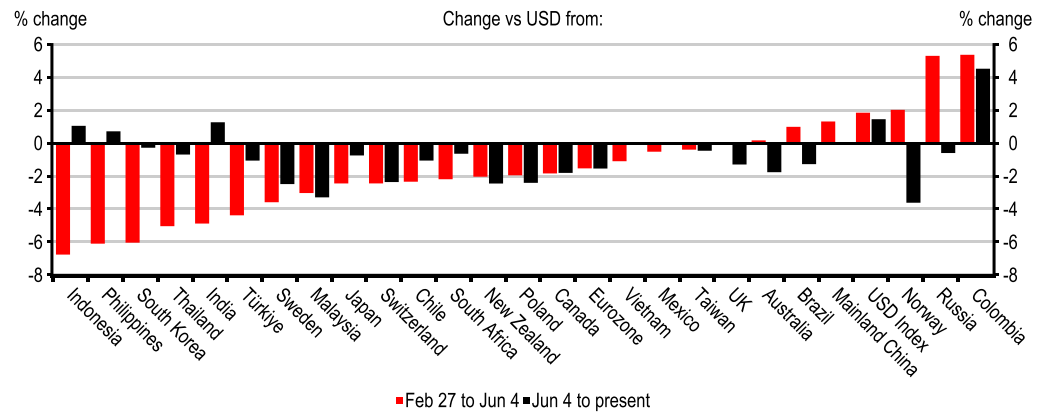
FX moves are still important for EM central bank policy

For emerging markets in particular, FX moves could still tip the balance between staying on hold and continuing to tighten. Since disruptions to the Strait of Hormuz started to restrict global oil and gas supplies at the end of February, the US energy surplus and safe-haven status have supported USD vis-à-vis all energy importers, excluding China. As the disruption abates this may not reverse.

We forecast more USD strength now

Whereas several energy exporters have seen their currencies weaken since the 'deal' was announced, USD has not (chart 33). Our FX strategists expect US growth exceptionalism and the greater likelihood of a Fed rate rise than a rate cut this year, meaning USD will likely strengthen further against most of G10 (see [FX forecast update: A new sheriff in town](#), 18 June 2026) and many emerging economies, some of which will also be feeling the impact of higher food inflation. Only in the event of a much more synchronised global recovery in late 2026 and into 2027 would our FX strategists anticipate a softer USD.

33. USD appreciated at the start of the hostilities and on announcement of a US-Iran deal



So the implications of the fall in oil prices for inflation means we now think the ECB will not raise rates again and the Bank of England won't need to at all. We still believe several Asian economies – from Japan to India to the Philippines – will likely be under pressure to raise rates further in the second half of this year. In Latin America, we forecast an extended pause in Mexico and Brazil, but still forecasts cuts in the latter in 2027.

AI: Just the beginning

- ◆ Capex and trade impacts of the AI surge on GDP growth are set to remain enormous in some places...
- ◆ ...while very low AI usage among firms across most of the world means there is huge scope for it to rise...
- ◆ ...which means the impact on labour markets could accelerate too

The surge continues...

The AI boom has carried on despite the conflict...

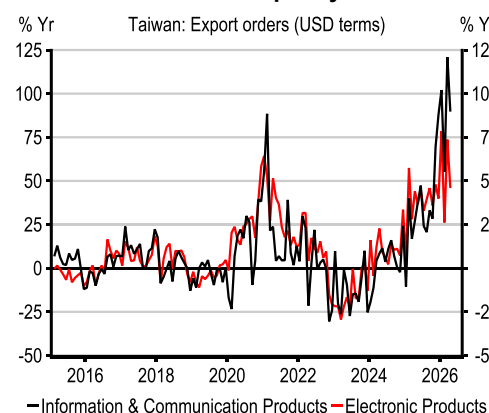
The main engine of global growth, which has so far been seemingly unscathed by the effective closure of the Strait of Hormuz, is the continued surge in investment in the entire AI ecosystem. The growth impact has by no means been evenly spread around the world, but the rollout of AI is having some very material impacts, particularly in investment and exports, in a handful of economies and some lesser effects elsewhere. But that surge in demand is having more widespread implications for costs and prices, from memory chips to key metals, such as copper.

...in key countries' exports

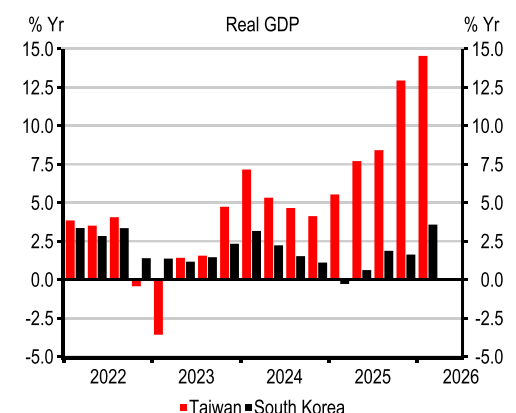
...having a big impact on some economies

It is not just the massive outperformance of tech stocks: the physical buildout of computing power and AI software tools have led to a surge in Taiwan's production and exports, lifting annual GDP growth into double digits in recent quarters. Korea, too, has seen a similar impact, with exports surging. The enormous impact from two single companies – TSMC and Samsung – in these economies is clear.

34. Taiwan's electronics export orders have doubled over the past year...

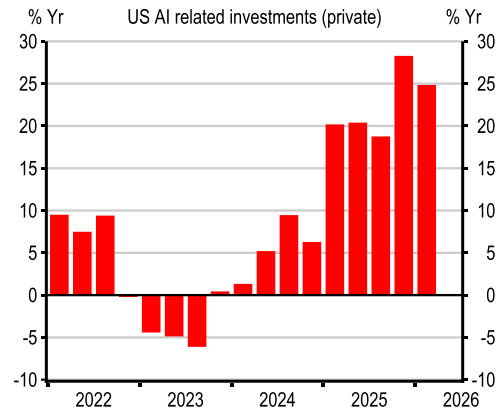


35. ...driving y-o-y GDP growth to 14% in Q1



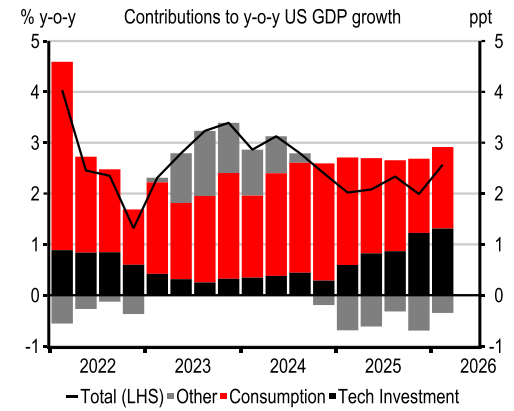
US demand is the single biggest driver of the surge in demand for their exports – with investment in data centres, software and IT equipment growing by north of 20% per year since Q1 2025. The investment in the space has lifted US GDP growth by nearly 1ppt over recent quarters with overall investment growth running above 3% y-o-y as a result (chart 37).

36. US tech investment is soaring...



Source: Note: Refers to private investment in information processing equipment.

37. ...and making a material impact on growth



Source: Macrobond

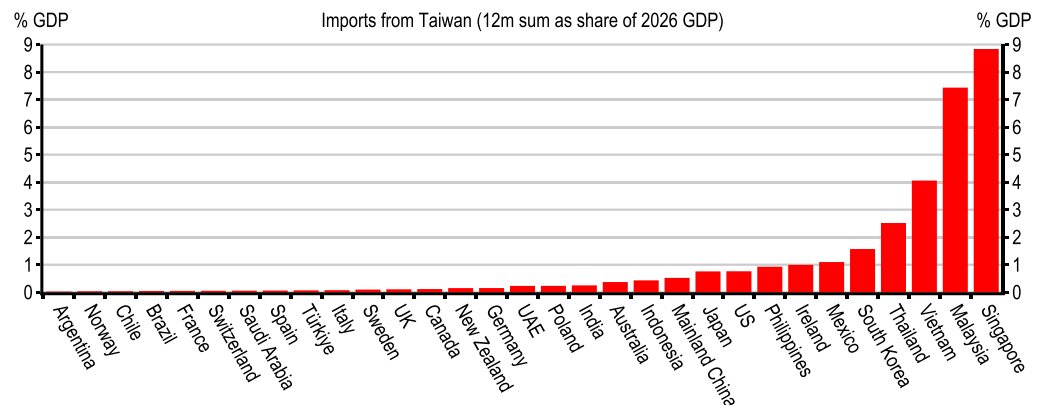
...but the growth impacts are very concentrated

So far, the big winners of the AI boom have been a select few. While Taiwan, Korea and the US have seen huge impacts on GDP growth, the same cannot be said in much of the rest of the world, even if there have been some positive impacts elsewhere, not least in commodity producers, which we discuss below.

Only a handful of economies are feeling the AI boom in the economic data

We can see the concentration of the growth impact in two ways: in terms of both the investment in AI hardware and the usage of AI software. For the former, we can use imports from Taiwan as a (timely and comparable) proxy for AI investment or exposure to the supply chain. Many Asian economies that are embedded within the electronics supply chain are, unsurprisingly, at the top, but among the non-Asian nations it is striking quite how far the US, Ireland and Mexico are ahead. Those three economies are all seeing Taiwanese imports equal to 0.7-1.1% of GDP, considerably above the 0.1% in the UK or Germany. The impact of the AI buildout on growth outside of a handful of economies is very small.

38. Asian economies and a handful of others are seeing the impact of the AI build-out



Source: Macrobond, HSBC. Note: The large sums for many Asian economies are related to supply chains.

To put some numbers on this difference in terms of investment in USD terms, Stanford University's 2026 AI Index Report cites data from Quid that US private investment in 2025 was USD285bn (c1% of GDP) compared to roughly USD21bn in Europe and USD12bn in mainland China, both around 0.1% of GDP.

A huge pipeline of construction to come

No sign of hyperscaler ambition waning

Despite some continued concerns about an 'AI bubble' in markets – in terms of on-the-ground demand for continued capex from the hyperscalers, we still have a very long runway. HSBC's Global Technology analysts expect the major six cloud providers (Alphabet, Amazon, Meta, Microsoft, Oracle and CoreWeave) to grow aggregate capex budgets by 73% in FY2026 and another 43% in FY2027, as the pace of growth may cool a touch. In terms of data centre build-outs, JLL's 2026 Global Data Center Market Outlook points to 17% annual growth through to 2030 in the Americas, compared to 12% in APAC and 10% in EMEA.

Energy may limit the pace

Energy demand growth is relentless

One of the reasons for that cooling is power availability. Demand for gas turbines has soared to decade highs, and with a long lead time of four years or more for heavy-duty gas turbines, suppliers are ramping up capacity as much as possible. This is less of an issue in China, while in the US we are seeing a new era for power growth (see: Powering AI – US: A new era of electricity load growth, 13 March 2026).

“ Today, overall in the industry, maybe the bottleneck is power. I think at some point, it may move to chips, but we are bringing in quite a bit of capacity.

Andy Jassy (Amazon CEO), Q3 2025 results call, 30 October 2025

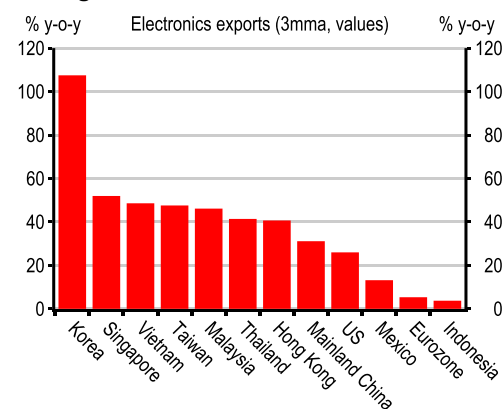
Other limitations to the growth could be on the cooling front, with new liquid-based cooling technologies starting to dominate over air and hybrid cooling systems, while the memory bottleneck remains a constraint today – as seen in the continued surge in prices.

Some economies will see a consistent export lift

What does it mean for trade?

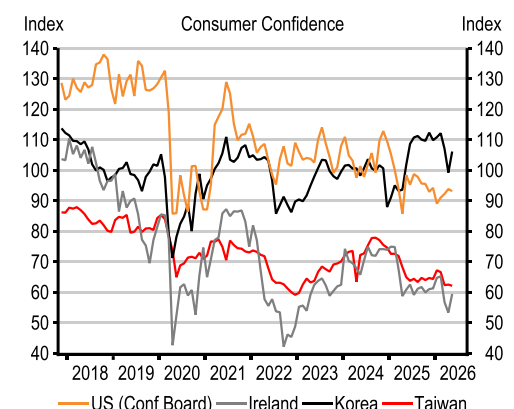
On the trade side, we can see the impact very clearly in the Asian export data – with exports booming from both Taiwan and Korea, but also many of the economies exposed to the AI supply chain. Meanwhile, eurozone exports continue to fall and exports of goods from the UK are hardly growing. Chinese exports to the US are recovering after the tariff-induced drop in 2025, while worldwide semiconductor exports in April 2026 were more than double the April 2025 level.

39. Exporters, particularly in Asia, are feeling the benefits...



Source: Macrobond. Latest data: April/May 2026. Note: Refers to exports under HS 85 except for: Vietnam (refers to computers, electrical products, spare-parts & components thereof), Singapore and Hong Kong (refers to SITC categories 75-77)

40. ...but consumers much less so



Source: Macrobond

Mainland China's overall exports have not picked up as much as total exports from other economies where AI-related products are a bigger share of their export mix, but relative to its sluggish domestic demand picture recently, exports remain easily the most resilient part of China's growth story (see: [China trade: Resilience holds](#), 9 June 2026), and in volumes terms export growth has been even stronger than chip exporters benefitting from price *and* volume rises.

Given the slower outlook for global growth in 2026, we also expect slower, but still positive, growth in exports for most countries' exports after the unexpectedly strong 2025 and as shown above on page 16, our forecasts show a clear electronics-driven divide with Asia's export growth continuing to massively outpace the rest of the world.

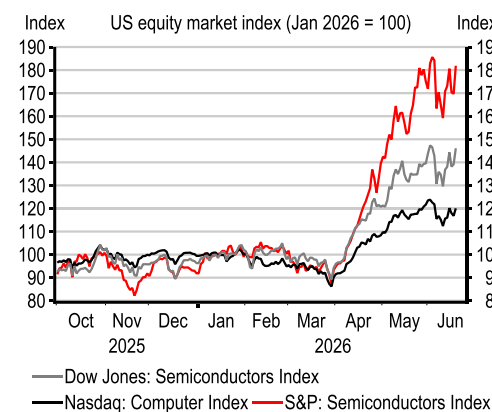
Exports and GDP do not paint the full picture...

Export growth and even the headline GDP impact of AI do not paint the full picture of the growth in living standards and implications for consumer spending in the economy, though, because of the concentration of the effects.

The huge run-up in equity prices in Korea and Taiwan has done very little to revive subdued consumer confidence data, while households in the US and Ireland (which are also seeing AI-related booms) aren't feeling any more optimistic.

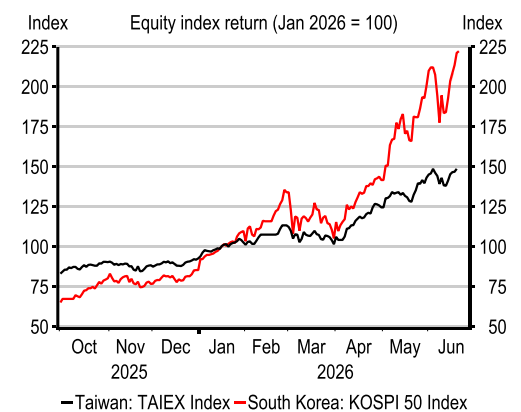
**Booming exports don't
always ripple across the
whole economy**

41. US tech stocks continue to soar...



Source: Macrobond

42. ...but not as much as in Korea



Source: Macrobond

**Only a few workers will feel
higher incomes...**

This makes sense, with the beneficiaries of the AI boom being a small subset of the population. Even in Korea, where employees at Samsung's memory chip division are set to receive bonuses of roughly 8x their salaries, this affects only 78k people, or roughly 0.3% of Korea's workforce. SK Hynix, which is expected to pay even more generous bonuses, employs another 0.2% of the workforce – that means that roughly one in every 200 workers is reaping the benefits of Korea's chip story in a major way. These firms account for a big share of government tax revenue though and the improved public finance position in Korea and Taiwan meant they were fast out of the blocks in terms of a fiscal response to the energy shock ([Korea & Taiwan Economic Comment: Fiscal responses to take the first jab](#), 10 March 2026). The boom in revenues in Korea looks set to fund large infrastructure projects⁵.

...and the wealth effects are not widely shared

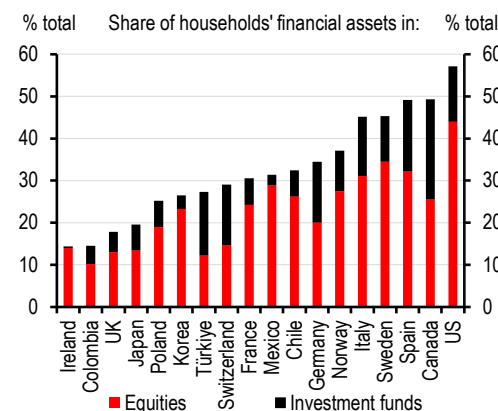
The surge in equity prices has continued in the tech space in the US, and in Korea and Taiwan, which will make some people feel richer, but outside of the US, that's a very small share of the population. OECD data suggests that for many economies, including Korea, the share of financial assets in equities, either directly or indirectly, is less than 30%, compared to nearly

**...and not everyone owns the
stock market to the same
degree**

⁵ South Korea flags new big investment project as tax revenue swells on AI boom, Reuters, 8 June 2026

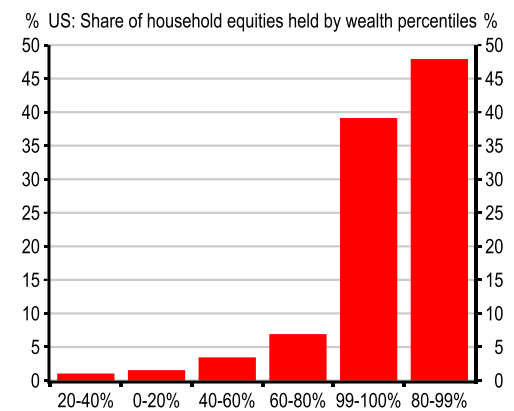
60% in the US. Even in the US, 85% of the equity wealth is held by those in the top 20% of households by wealth, and nearly 80% held by over-55s (based on the Federal Reserve quarterly distributional financial accounts data), meaning that the recent run-up in prices has not been equally split across the population. That same age group and income level has demonstrated the greatest willingness to spend in recent years, so consumer spending in the US would likely be hit if the tech share price boom were to unwind.

43. Equities may rise, but will many people notice?



Source: OECD

44. Particularly if assets are not evenly distributed



Source: Macrobond, Federal Reserve Distributional Accounts

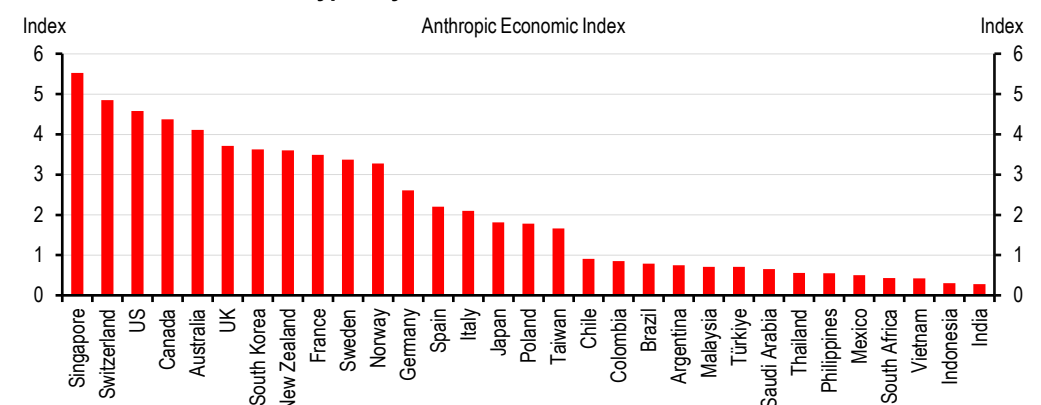
Building it, but need to use it

While the huge pace of change in this transformative technology is set to continue driving capex, it is still far from clear whether usage will increase at a similar rate, resulting in a bigger impact on the broad economy. In our recent Gamechangers report, we looked in more detail at the medium- to long-term risk case of a much faster and more forceful impact of AI on the global economy (see: [Gamechangers: The macro impact of AI adoption going exponential](#), 20 April 2026).

For now, AI usage remains low...

Usage certainly seems to be broadening out, even in countries where the capex and exports components have had a much smaller impact. There are no timely measures to track whole-economy AI usage, but the Anthropic (the company behind Claude) economic index tracks usage of its software in different economies around the world – with advanced economies seeing a much greater usage of AI relative to others. The mainly advanced economies with the highest usage (chart 45) are where we would ultimately expect to see bigger supply side effects from AI – be that via employment or productivity as existing and new firms are quicker to harness the potential benefits.

45. Advanced economies typically use AI more



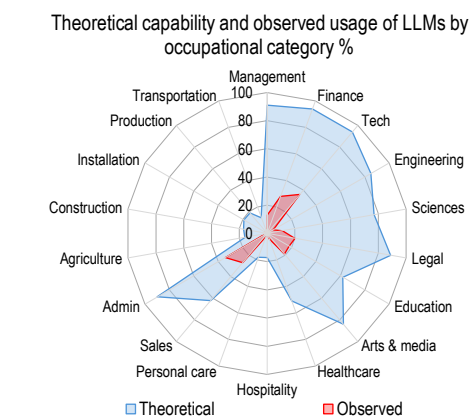
Source: Anthropic. Note: Index shows how much an economy uses Claude AI tools relative to what would be expected on a global basis. An index reading >1 implies elevated use of AI. Some economies not included because Claude not available.

...and firms have a long way to go

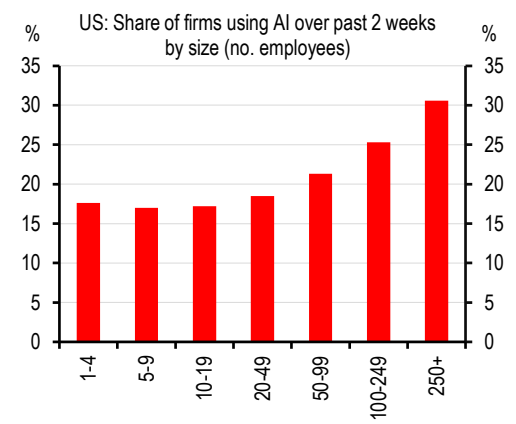
Usage is still very low...

No matter whether you're an AI bull or bear, the fact is AI usage today, while more widespread in advanced economies than in the emerging world, is still very low. A YouGov survey of British workers in March 2026 found that just 32% of workers use AI tools in their jobs on day-to-day basis⁶. And in the US, an April 2026 Gallup survey found that only 28% of workers are using it regularly (with another 22% using it infrequently⁷). This fits with Anthropic's observed usage of AI, which shows most sectors are still some way from the frontier in terms of use cases (even if the methodology will overweight how many tasks in each job role could potentially use AI). Looking at it from a corporate survey perspective, smaller firms are currently only using AI in 15-20% of cases, but larger firms are using it more – closer to 30%. Of course, uses of AI by workers without employer knowledge may mean those shares are actually larger.

46. Anthropic suggests most firms could use AI much more



47. Bigger firms use AI more than smaller ones



Given that this data comes from the US – one of the standouts for AI usage, it seems likely that adoption process is still at a relatively early stage in the workplace, even if a reportedly 57% of Americans use AI tools personally (Brookings, November 2025).

...but workers fear the labour market impact

So, there's a long way to go. But that doesn't mean that workers aren't already feeling nervous. A recent May 2026 study from Kings College London⁸ found that 69% of workers are worried about the economic impact of AI job losses with 57% thinking that AI will lead to widespread unemployment. Given that only 17% believe it will create as many or more jobs, it's no surprise that workers across the world are feeling less optimistic about the labour market – as seen in the US with both the quits rate and confidence surveys returning to levels seen in 2016-17 in recent years. None of this is helped by growing stories of AI-related job losses and a growing share of AI involvement in jobs being advertised.

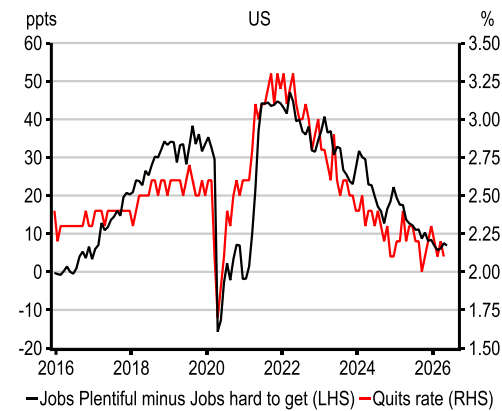
The impact on the labour market is potentially appearing around the edges

⁶ How are Britons using AI at work?, YouGov, 10 March 2026

⁷ Rising AI Adoption Spurs Workforce Changes, Gallup, 13 April 2026

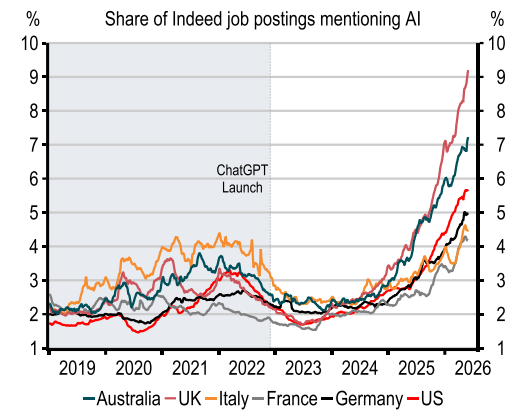
⁸ Public have more fear than hope on AI and future of work, study finds, Kings College London, 19 May 2026

48. Confidence in the labour market has declined...



Source: Macrobond

49. ...as AI starts to appear in more job adverts



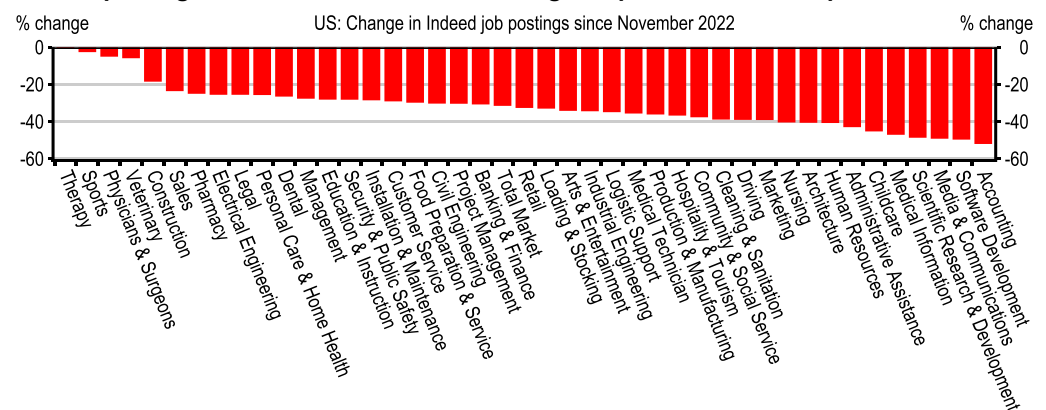
Source: Macrobond, Indeed

Layoffs haven't picked up, but hiring has fallen, particularly for graduates

For now, however, layoffs as a result of AI remain muted. Data from Challenger suggests that as of May 2026, 12% of announced layoffs in the US were as a result of AI or digitisation, up from around 2% in the middle of 2025. Of course, some of that 'blame' may be as a result of other factors, but the labour market has become more challenging for workers in the more-affected sectors. The impact has also been much clearer on the hiring side – where job openings have fallen more quickly for accounting and media than other sectors, while more physical workers have been much less affected.

This drop in hiring activity has been felt much more acutely by new graduates, with the spread between the unemployment rate for recent graduates and all graduates in the US rising from c2ppts to c3ppts in the past three years⁹, and Adzuna data in the UK suggesting that graduate vacancies had fallen by almost 35% in the year to March 2026¹⁰.

50. Job postings have fallen most where we might expect from an AI impact



Source: Macrobond, Indeed

This impact looks set to grow for two reasons:

- ◆ First, the cost of AI tokens continues to fall sharply¹¹ and will mean that more small companies can utilise the technology more widely. For many firms, AI spend is rising in aggregate as usage is rising more quickly than prices are falling (due to agents), but for firms yet to try a wide a selection of tools, the competition in the space will continue to push down prices for a given level of AI-related output.

⁹ The Labor Market for Recent College Graduates, Federal Reserve Bank of New York

¹⁰ UK Job Market Report, Adzuna, 30 April 2026

¹¹ Trends in Artificial Intelligence, Epoch AI

- ◆ Second, larger firms will work out how to use the tools more effectively – rather than burning through expensive tokens at a seemingly huge cost¹². While the exact speed and timing of the growth of AI's impact on the labour market remains unclear, it seems more likely to damp hiring activity by many firms in the coming years even if, as with the internet, it could ultimately lead to some new nimble firms and jobs being created (so-called Jevons paradox) as AI significantly lowers barriers to entry for some new businesses.

How does this play out under our two scenarios?

Higher costs may crimp some of the build out...

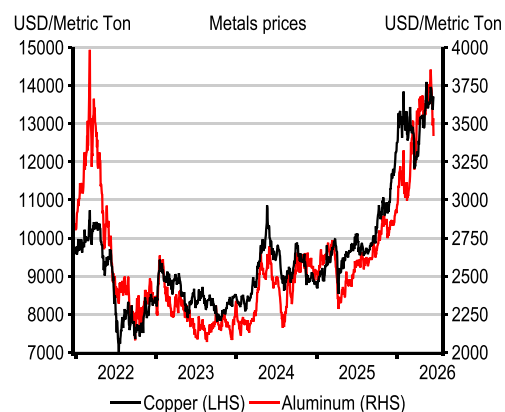
When thinking about how this could play out in the coming few quarters, what happens with energy prices and interest rates could have a big role to play in the speed that we see both the investment in AI infrastructure and the spillovers into employment and productivity. The availability of reliable low-cost electricity is set to play a key role in the countries that lead in AI, with the IEA estimating that data centre electricity consumption will rise 15% per year 2024-30 (an increase more than four times the increase of all other sectors).

First, a longer closure of the Strait of Hormuz increases the risk of shortages of helium, which plays an important role in cooling, purging, and plasma control processes within semiconductor fabrication. Given that this is only 2% of costs and firms will be happy to pay higher prices, this could lead to some availability or more extreme pricing challenges within the sector, slowing the AI build out.

...if key components become harder to source in a partial reopening

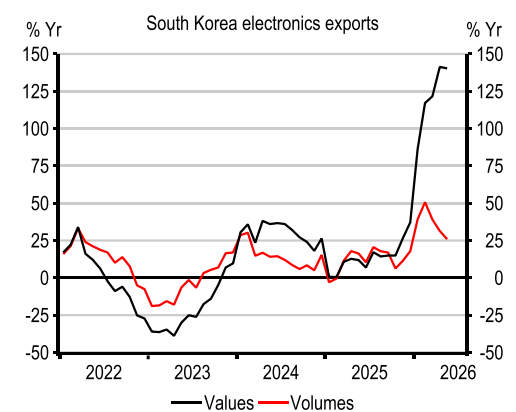
Second, a broader increase in commodity prices, such as copper or aluminium, due to supply issues through the Strait of Hormuz may lift the overall cost of data centre construction, which theoretically could cool some demand. However, looking at export data from South Korea (chart 52), the surge in prices of electronics components has done little to dampen volume demand so far: it has softened a touch since February but export volumes in May were still up 25% y-o-y.

51. Metals prices are surging...



Source: Macrobond

52. ...but costs don't seem to be affecting electronics demand much



Source: Macrobond

In addition to the direct cost of materials, rising interest rates could cause broader corporate investment to cool. AI-related investment in the past couple of years has significantly outpaced non-AI investment and appears set to continue to do so in the coming year under our base case. However, if a more negative inflation scenario than our central case prompted a material increase in interest rates and, in turn, a sharp reversal in equity prices, investment appetite from firms would undoubtedly wane. Those with very lofty ambitions in the AI space would likely be the most affected.

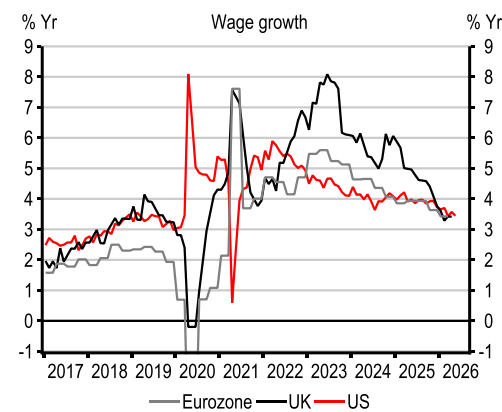
¹² Microsoft reports are exposing AI's real cost problem: Using the tech is more expensive than paying human employees, Fortune, 22 May 2026

Wage growth looks likely to remain under pressure for many workers

The enormous AI capex plans are adding to demand for various construction-related jobs from electricians to engineers. And while the jury is still out on the timing and magnitude of the ultimate productivity improvements that might arise, in some parts of the economy the impact on the labour market is seemingly already becoming a little more apparent. Wage growth in many economies continues to cool, and it may be harder to pick up, even in a more inflationary environment.

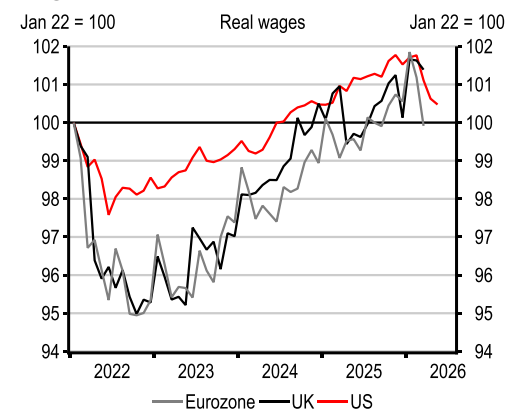
We've seen wage growth in both the official data (chart 53) and the advertised job data continue to cool, and now with inflation picking up, households are facing a real income squeeze that could worsen in the coming months. AI is not responsible for the recent acceleration in consumer inflation but a squeeze on corporate profit margins and growing usage of AI could weaken wage bargaining power, putting further pressure on real wages.

53. Nominal wage growth has normalised to pre-pandemic rates...



Source: Indeed, Macrobond

54. ...with inflation likely to squeeze real wages in 2026



Source: Macrobond, HSBC

A big split between economies and sectors in terms of growth

Another uneven growth impact between and within economies

Overall, in our base case we would expect the global AI buildout to mean still resilient global investment and trade growth even as real wage growth and consumer demand is weaker over the next few quarters. A big regional divide is set to continue. Asian export and US investment growth may look strong. Mexico's exports and Latin American commodity exporters may benefit too. The support to European growth will be more limited. Relative to most other areas of investment, AI-related investment in Europe is robust, but we would be more optimistic on the ability for usage to pick up, even if we have to wait beyond our forecast horizon to see a material impact on productivity (see [AI and the European Economy](#), 12 January 2026).

In a more adverse scenario of more inflation and higher interest rates, especially if equity markets correct, that investment and trade resilience might cool, and consumers would feel a much tighter squeeze on their purse strings.

Food: Two shocks at once

- ◆ While the upside risks to food inflation from the Strait of Hormuz disruption have moderated...
- ◆ ...price pressures in diesel and fertilisers will have already affected planting and future harvests...
- ◆ ...and now a super El Niño looks set to materially raise food inflation, especially in emerging markets

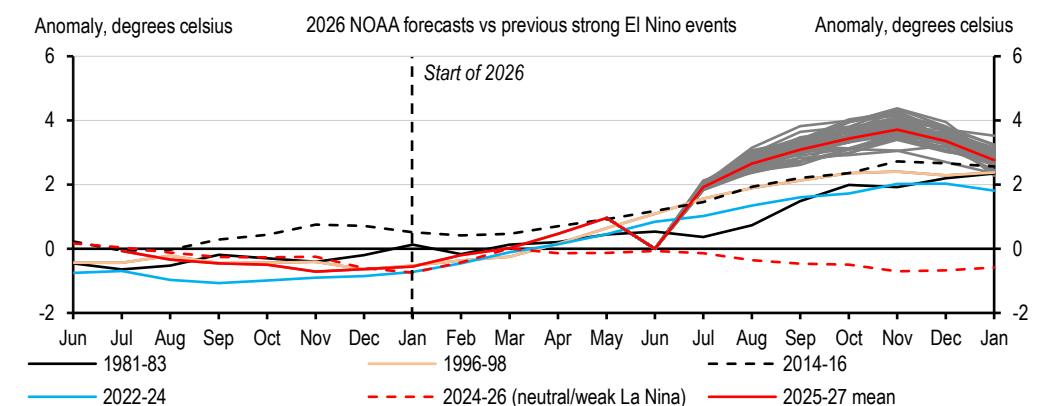
Looming El Niño impact

Even in the event of a near-term re-opening of the Strait of Hormuz, the closure of which had limited supplies of fertilisers and diesel, upside risks to food prices are still rising given the growing prospect of a severe El Niño¹³ weather event.

We could see a 'super El Niño'

According to the US National Oceanic and Atmospheric Administration (NOAA) El Niño conditions are now underway in the tropical Pacific, with sea surface temps having risen sharply in recent months, and NOAA estimates point to a north of 60% likelihood of a "very strong" event, known as a 'super El Niño', with a possibility that this is the strongest ever recorded.

55. We could see a 'super El Niño' in the coming months



Lower income, agriculture-dependent economies will be most affected

While El Niño is a natural phenomenon, climate change has the effect of amplifying El Niño/La Niña cycles. Previously, El Niño events in 1981-82, 1996-97, 2015-16 and 2023-24 have been some of the strongest on record – but US weather service projections suggest that the 2026

¹³ El Niño has formed when temperatures in the equatorial Pacific are 0.5°C above average for several consecutive months

cycle could be even more severe, creating risks for food production and prices and hitting growth in lower-income, more agriculture-dependent economies.

Based on projections from the EU's Copernicus Programme, those most affected by higher temperatures are likely to be:

- ◆ Central and South America, particularly the West coast (Chile, Peru, Colombia – though Brazil will also be affected)
- ◆ Africa, more so sub-Saharan
- ◆ South Asia, particularly India
- ◆ Southeast Asia, particularly Indonesia

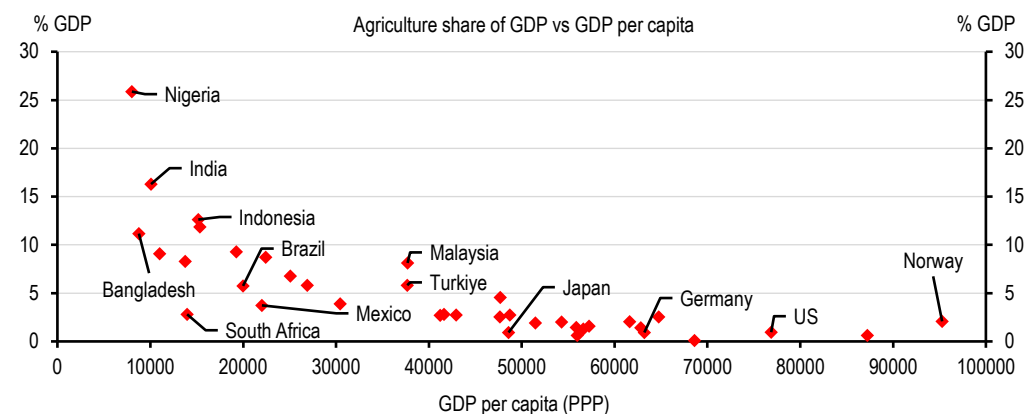
Temperature and rainfall impacts will be important

Precipitation is also affected by El Niño, but the impact is more mixed with Central America and Southeast Asia (Indonesia in particular), as well as India, all expected to see less rain than usual this summer. South America, in contrast, along with northern Vietnam and the Philippines, are expected to see greater rainfall.

Europe, meanwhile, should see little direct impact from El Niño, even if weather forecasters are still pointing to a very hot European summer due to climate change.

Overall, India, Indonesia, Bangladesh, and Nigeria look particularly vulnerable. The expected El Niño event has already driven our India economics team to revise down growth forecasts (see [India: Forget the rains](#), 11 May 2026) despite stronger than expected GDP growth in Q1.

56. Poorer countries with a high reliance on agriculture will feel the biggest growth hit in a severe El Niño



Source: IMF, Our World in Data

Possible upside for European and US farmers

Some studies¹⁴ have suggested that in more temperate regions (Europe, North America), El Niño can actually have a positive impact as agricultural producers there see less impact on their output and can claim some of the demand (and potentially benefit from higher prices) that would typically be filled by El Niño-affected regions. Some crops, such as soybeans (for which the US is the world's second biggest producer after Brazil), could see improved yields in El Niño years. Of course, given the smaller share of agriculture in these economies, this generally has a very marginal effect (especially relative to much bigger economic losses in more affected regions).

¹⁴ Borrallo et al 2024

We would expect very different impacts by crop or economy

Food inflation impact could vary too

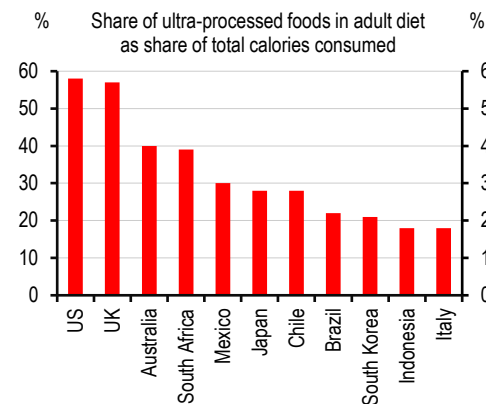
Since the probability of an El Niño event started increasing, there has been a rise in commentary around prospective global food inflation. And while most academic research suggests that an El Niño event will lift global food prices, we need to be wary of some of the nuance.

First, most estimates are based on long time series of historical data, but globalisation, shifting consumption patterns, and advances in agriculture have shifted significantly over time:

- ◆ More widespread use of irrigation methods has meant that temperature is now the more important El Niño impact when it comes to India's food inflation than rainfall. In response, India has imposed a ban on the export of sugar until 30 September.
- ◆ Globally, increased use of fertilisers, pesticides, and agricultural technology mean that a weaker El Niño event in the 1980s could have greater impacts on food prices than a stronger El Niño event in 2026.

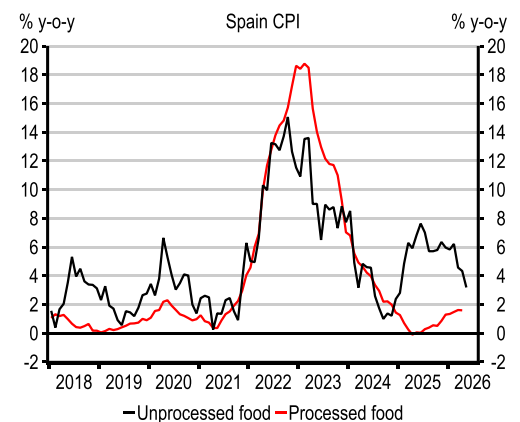
Second, the impact of El Niño on prices varies enormously across and within regions. In India, there is a clear impact on food prices and, given the high share of food in household expenditure, and therefore headline inflation. There are clear impacts in Indonesia, Malaysia, Brazil and others too. However, academic studies¹⁵ suggest that the inflationary impact of El Niño in the US and Europe is now marginal, if not non-existent.

57. Packaging means processed foods have lower correlation with commodity prices...



Source: BBC, BMJ, National Center for Biotechnology Information. Note: Selected economies only

58. ...so processed food inflation can diverge from unprocessed



Source: Macrobond

Some economies could see much higher food inflation

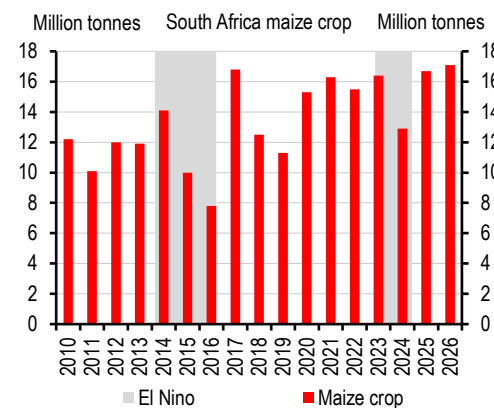
Therefore, when thinking about the impact on food prices, this will vary country-by-country depending on:

- i. Local factors, such as any changes in the recent planting season due to the high input costs at the height of the disruption, recent harvests and stockpiles, price controls
- ii. Openness to global trade: reliance on imports and composition of exports
- iii. The balance of commodities and processed/unprocessed foods within the consumer basket
- iv. Exposure of the country's agricultural sector to El Niño (based on geography and crop types)

¹⁵ Cashin et al 2017, and Borrallo et al 2024

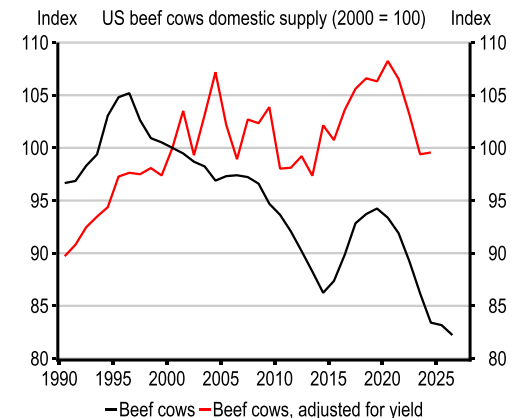
For example, South Africa is expected to be affected by El Niño, but the impact is set to be mitigated by local factors, such as the strong 2026 maize harvest (chart 59). So, despite El Niño exposure, our South Africa food inflation forecasts are slightly more subdued than they may otherwise have been. However, for the US, our food inflation forecasts are still higher than in the 2010-19 period – but rather than being driven by El Niño, this reflects local supply-demand factors. During the Biden administration, we saw this with egg prices, and currently higher food prices are driven by pre-existing tightness in domestic meat supplies.

59. A strong 2026 maize crop should mitigate the impact in South Africa...



Source: Crop Estimates Committee

60. ...while in the US, still-high food inflation is driven by local supply-factors



Source: USDA

Overall, the impact looks set to vary greatly across the world over the course of the next few quarters – but in aggregate we should see a lift to global food prices.

A war impact on top...

The conflict has raised a number of costs in the food supply chain

While not many food commodities flow directly from countries around the Strait of Hormuz (only certain spices, melons, nuts, dates and tea come at a substantial share of global trade), the US-Iran conflict has already had, and will continue to have, indirect impacts on food prices globally.

Even in the event of a sustainable re-opening of the Strait, the impact of the H1 disruption will mean that, relative to pre-war levels we will most likely see:

- ◆ Higher prices for refined oil products (diesel for farm machinery and transport to market)
- ◆ Higher fertiliser cost
- ◆ Higher shipping costs
- ◆ Higher packaging costs

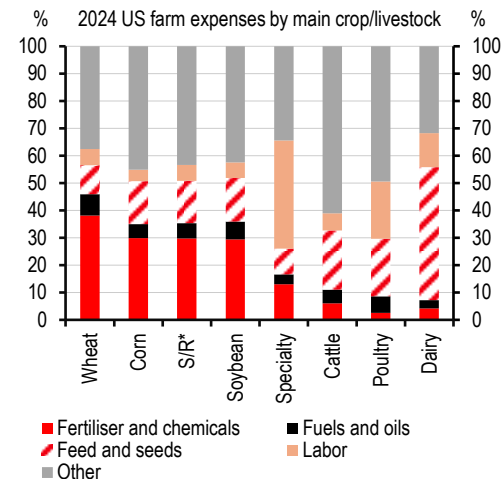
1. Refined oil prices (primarily diesel)

Most agricultural equipment, especially in more advanced markets, run on diesel. For US farms, depending on production type, diesel/fuel tends to comprise 5-8% of expenses, with a greater share for wheat and soybean farmers.

However, this will generally be much higher in emerging economies due to a combination of higher diesel prices, and variable costs making up a larger share of total expenses. In addition, for many emerging economies, the cost of irrigation is strongly linked to diesel costs, as diesel pumps are used to extract water – this adds an additional layer of input price pass-through. In

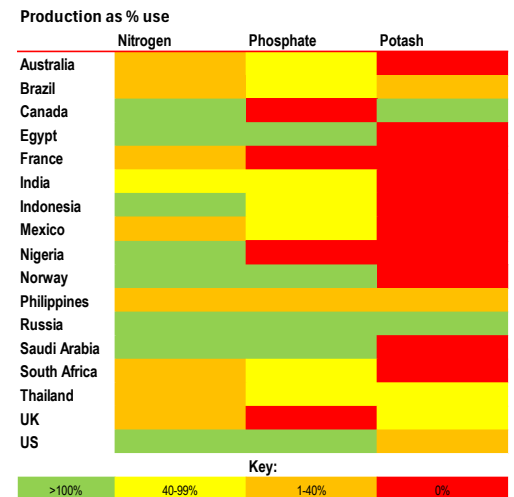
India, estimates have suggested diesel could account for as much as 20-30% of cultivation costs for some crops¹⁶.

61. For some US crops, fertilisers and other chemicals account for 30% of costs



Source: USDA, HSBC calculations Note: *Refers to rice and sorghum

62. Different economies have different fertiliser production



Source: FAO, HSBC calculations

2. Fertilisers

Fertiliser disruption could hurt crop yields...

About 12% of the world's globally traded fertilisers come from the Middle East, but that share is higher among phosphate and nitrogen fertilisers, and lower among potassium fertilisers. Most farms and economies use *all three* types.

This complicates vulnerabilities across countries (see chart 62) – for example, Canada is import-dependent for phosphate fertilisers, while Norway lacks potash production. India, Bangladesh, Thailand, and Sri Lanka all typically source more than 30% of their fertiliser imports from the Middle East. Australia, Türkiye, and South Africa are also high on the list.

But again, another nuance is the timing of planting seasons. In India, fertiliser imports are heavily concentrated in Q3 and Q4, which means supplies for 2026 should have been largely secured ahead of the disruption. For Thailand, though, fertiliser imports are often concentrated in Q2, exposing importers to higher prices.

...with some farmers switching the focus for growing

The rising costs meant that some farmers were better off selling their stockpiled fertilisers rather than using them as part of the growing process¹⁷, which could lower yields into 2027. Some farmers are also shifting to more favourable crops; in Australia, higher fertiliser prices have led some farmers to move away from nitrogen-intensive crops, such as wheat, toward less fertiliser-intensive grains, such as barley. In France, it is estimated that maize, a fertiliser-intensive crop, could see the planted area shrink by 10-15% in 2026¹⁸.

3. Shipping costs

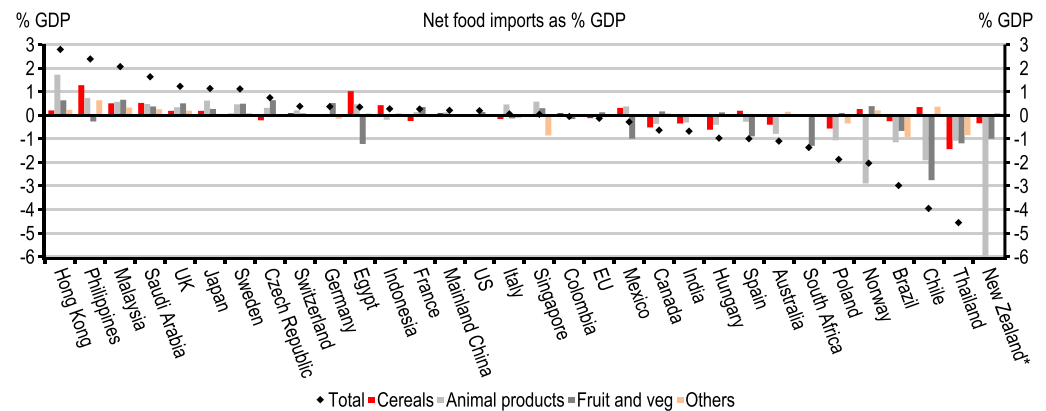
For economies that are more reliant on food imports – such as the Philippines, Malaysia, the UK and most middle-eastern economies – rising freight costs will add to food bills. This will be much less of a challenge for net exporters of food in Latin America, while New Zealand may be a net exporter but is so concentrated in meat and dairy that there will likely be a cost pressure from other agricultural product imports.

¹⁶ Ranganathan et al., 2016 and Grover et al., 2016

¹⁷ 'Fertiliser costs mean I'm better off not planting', BBC, 30 March 2026

¹⁸ Fertiliser costs weigh on maize as EU farmers plant spring crops, Reuters, 24 April 2026

63. Some economies are big food importers and will feel the pinch more



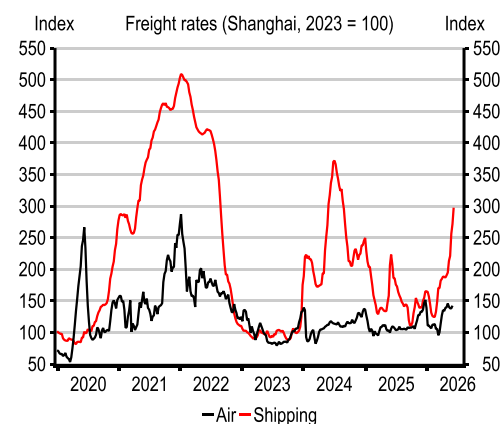
Source: Macrobond, HSBC. Note: *New Zealand total food net imports is -8.7% of GDP.

Higher shipping costs will hurt food importers more

But how much of a shock? Shipping costs, though seeing nowhere near as steep increases as in 2021, have risen markedly (chart 64). Sea freight rates are up about 80% since the start of the year, while air freight rates are up roughly 30%, due to a combination of:

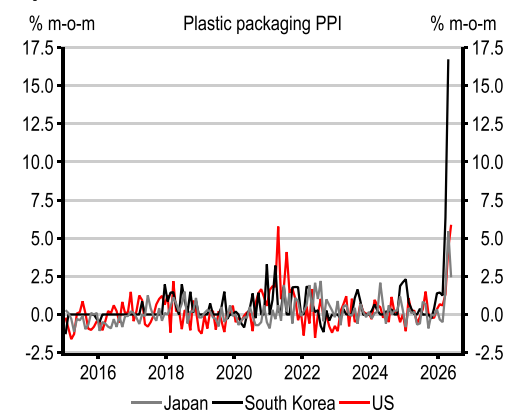
- ◆ Frontloading (energy shock related) – importers bring forward purchases to get ahead of supply-chain issues and price increases
- ◆ Frontloading (tariff, rather than SoH related) – as we saw in 2025, importers bring forward purchases to get ahead of increases later in the year – less relevant for food and perishables
- ◆ Fuel price increases – while less impactful than supply-demand factors, this is still probably playing a small role in sea freight, and a larger role in air freight

64. Freight costs rising will add to food bills...



Source: Macrobond

65. ...while packaging costs have picked up in recent months



Source: Datastream, Freightos

4. Packaging costs

Packaging prices are up sharply

The cost of packaging, particularly plastic packaging, has also surged. In South Korea, PPI data for plastic films and sheets show a 24% cost increase since February. With packaging making up around 10% of a product's costs on average – though this will vary massively across products – this should also put upward pressure on food prices even if there is some squeeze on margins.

Some degree of price pressures coming – but how much?

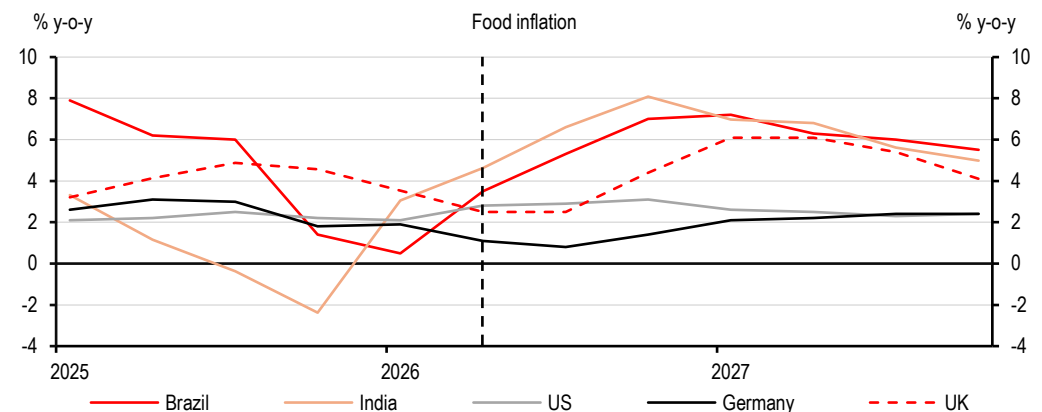
In either of our scenarios for the opening of the Strait of Hormuz – sustainable re-opening imminently or only a partial one for the rest of this year – most of the input costs for agricultural output to have already surged and are set to mechanically lift food prices and/or hit profitability.

Food inflation looks set to pick up materially...

In a more adverse scenario of only a partial reopening we would expect to see many of these cost pressures become much more acute – stressing the food supply chains and lifting global food prices. These cost increases are likely to be evident across the spectrum of food, as we outlined in [A lot on the plate: Could food inflation be the next cost shock?](#), 28 April 2026 and [A stitch in time...: Why more central banks are set to raise rates](#), 19 May 2026.

Within our base case inflation forecasts, we are expecting a material lift in terms of food CPI in many economies over the next year, not wholly from El Niño or even fertilisers and diesel. In the UK, we expect food inflation to rise above 6% y-o-y in the middle of 2027, but this is more down to delayed pass through from high labour costs. The eurozone, meanwhile, should see more limited impact from El Niño – in line with recent El Nino cycles.

66. Brazil and India will be among those seeing the greatest El Niño effects on food prices

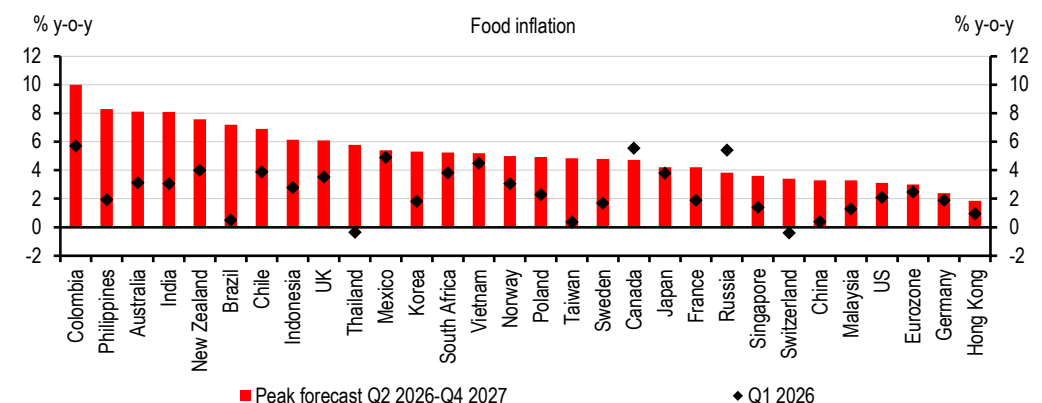


Source: HSBC forecasts

...but more so in the southern hemisphere and EM

However, the southern hemisphere and EM should see a more direct impact. Our forecasts show Australia and the Philippines with food inflation in excess of 8%, and similarly in India. In mainland China we look for overall food CPI to rise above 3% in mid-2027, having been negative through 2025.

67. EM countries will generally see higher El Niño-driven food inflation



Source: HSBC forecasts Note: Red bar refers to the peak quarterly rate of inflation forecast between Q2 2026 and Q4 2027

Global economic forecasts

GDP

Annual

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World (Nominal GDP weights)	2.8	3.5	3.4	2.7	-2.8	6.6	3.3	2.9	2.9	2.8	2.5	2.7
World (PPP Weights)	3.2	3.9	3.8	3.0	-2.8	6.9	3.6	3.3	3.5	3.4	3.1	3.2
Advanced	1.8	2.6	2.3	1.9	-3.9	6.0	3.0	1.8	1.9	1.9	1.6	1.7
Emerging	4.6	5.3	5.2	4.3	-1.0	7.8	3.9	4.6	4.6	4.5	4.0	4.3
North America	1.8	2.5	2.9	2.5	-2.3	6.1	2.7	2.9	2.7	2.1	2.2	2.2
US	1.8	2.5	3.0	2.6	-2.1	6.2	2.5	2.9	2.8	2.1	2.3	2.3
Canada	1.0	3.0	2.7	1.9	-5.0	6.0	4.7	2.0	2.0	1.9	0.9	1.4
Asia-Pacific	5.0	5.1	5.0	4.1	-0.6	7.0	3.5	4.3	4.2	4.5	4.2	4.1
Asia ex-Japan	6.0	5.9	5.9	5.0	0.2	7.6	3.8	4.8	4.8	5.0	4.7	4.5
Asia Big Three	5.5	5.4	5.4	4.4	-0.2	7.6	3.2	4.8	4.5	4.8	4.4	4.4
Mainland China	6.8	6.9	6.8	6.1	2.3	8.6	3.1	5.4	5.0	5.0	4.6	4.7
Japan	0.7	1.6	0.8	-0.3	-4.3	3.6	1.3	0.7	-0.2	1.1	0.7	1.0
India	9.0	6.1	7.3	4.6	-5.9	9.4	7.0	6.8	7.2	7.5	6.8	6.4
Asia ex Big Three	3.7	4.0	3.8	3.0	-2.1	5.0	4.1	2.8	3.4	3.8	3.9	3.2
Australia	2.7	2.4	2.8	2.0	-2.0	5.4	4.2	2.1	1.0	2.0	1.5	1.0
South Korea	3.2	3.4	3.2	2.3	-0.7	4.7	2.9	1.5	2.2	1.1	2.8	2.0
Indonesia	5.0	5.1	5.2	5.0	-2.1	3.7	5.3	5.0	5.0	5.1	4.7	4.9
Taiwan	2.2	3.7	2.9	3.1	3.4	6.7	2.7	1.1	5.3	8.8	10.2	5.3
Thailand	3.4	4.2	4.2	2.1	-6.1	1.6	2.6	2.2	2.9	2.4	2.2	1.7
Malaysia	4.4	5.8	4.8	4.4	-5.5	3.3	9.0	3.6	5.2	5.2	4.5	4.7
Singapore	3.9	4.3	3.2	1.2	-3.6	10.1	4.0	1.5	5.3	5.0	3.3	2.5
Hong Kong	2.2	3.8	2.8	-1.7	-6.5	6.5	-3.7	3.2	2.6	3.6	3.8	3.0
Philippines	7.1	6.9	6.3	6.1	-9.5	5.7	7.6	5.5	5.7	4.4	3.4	4.8
Vietnam	6.7	6.9	7.5	7.4	2.9	2.6	8.5	5.0	7.0	8.0	6.5	6.5
New Zealand	4.0	3.3	3.3	3.0	-1.3	5.5	2.6	2.2	-0.3	0.2	1.6	1.8
Western Europe	1.8	2.7	1.8	1.6	-6.4	6.6	3.9	0.6	1.0	1.5	0.6	1.0
Eurozone	1.8	2.8	1.8	1.6	-6.2	6.4	3.7	0.6	0.9	1.5	0.3	0.9
Germany	2.1	3.1	1.1	1.0	-4.5	3.9	1.9	-0.7	-0.5	0.3	0.2	0.7
France	0.7	2.3	1.6	2.1	-7.6	6.8	2.8	1.9	1.4	0.9	0.5	0.8
Italy	1.3	1.7	0.7	0.4	-9.0	8.8	5.0	1.0	0.6	0.7	0.5	0.5
Spain	2.9	2.9	2.4	2.0	-10.9	6.7	6.4	2.5	3.5	2.8	2.4	1.8
Other Western Europe	2.0	2.6	2.0	1.5	-7.3	7.4	4.4	0.5	1.2	1.5	1.3	1.2
UK	2.2	3.0	1.6	1.3	-10.0	8.5	5.1	0.3	1.0	1.4	1.1	1.0
Switzerland	1.9	1.4	3.4	1.1	-2.4	6.2	3.6	0.9	1.4	1.4	1.2	1.4
Sweden	1.9	2.2	1.9	2.6	-2.1	5.0	1.3	0.0	1.9	1.7	2.3	2.3
Norway**	0.8	2.8	2.4	2.7	-3.3	4.7	5.2	1.3	0.7	1.7	1.4	1.7
CEEMEA	1.6	3.5	3.4	2.1	-2.3	7.2	3.6	2.8	3.6	2.6	1.9	2.9
Poland	3.0	5.2	6.2	4.6	-2.0	6.9	5.3	0.2	3.2	3.6	3.5	2.8
Russia	0.2	1.8	2.8	2.2	-2.7	5.9	-1.4	4.1	4.9	1.0	0.9	1.3
Türkiye	3.3	7.8	3.5	1.3	1.8	11.8	5.4	5.0	3.3	3.6	2.2	3.7
Saudi Arabia	1.7	1.2	3.2	1.7	-3.8	6.5	12.0	0.5	2.6	4.5	2.0	5.6
South Africa	0.7	1.2	1.6	0.3	-6.2	4.9	2.1	0.8	0.5	1.1	1.1	1.7
Latin America	-1.0	1.7	1.4	0.5	-6.0	7.0	3.9	2.2	2.0	2.0	1.9	2.2
Brazil	-3.3	1.3	1.8	1.2	-3.3	4.8	3.0	3.2	3.4	2.3	2.0	1.7
Mexico	1.8	1.9	2.0	-0.4	-8.3	6.8	3.7	3.3	1.5	0.6	1.0	2.0
Argentina	-2.1	2.8	-2.6	-2.0	-9.9	10.4	6.0	-1.9	-1.3	4.4	3.5	3.7
Colombia	2.1	1.4	2.6	3.2	-7.2	10.8	7.3	0.8	1.5	2.6	2.4	1.7
Chile	1.8	1.4	4.0	0.6	-6.1	11.4	2.1	0.7	2.8	2.5	1.4	2.9

Source: HSBC estimates. Notes: Real GDP. *Mainland. India's calendar year number is shown here. Fiscal year is on country page. We calculate the weighting system using chain nominal GDP (USD) weights.

Quarterly

		Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
North America													
US*	% Quarter	3.3	1.9	-0.6	3.8	4.4	0.5	1.6	3.1	2.1	2.2	2.3	2.1
	% Year	2.8	2.4	2.0	2.1	2.3	2.0	2.6	2.4	1.8	2.3	2.4	2.2
Canada*	% Quarter	3.3	2.8	2.1	-0.9	2.4	-0.6	-0.1	2.8	2.8	0.9	1.2	0.9
	% Year	2.4	3.1	3.1	2.0	1.7	0.7	-0.1	0.9	1.1	1.4	1.9	1.5
Asia-Pacific													
Mainland China	% Year	4.6	5.4	5.4	5.2	4.8	4.5	5.0	4.6	4.4	4.5	4.5	4.7
Japan	% Quarter	0.7	0.3	0.5	0.3	-0.6	0.2	0.5	0.5	-0.2	0.1	0.3	0.4
	% Year	0.9	0.6	1.5	1.9	0.5	0.3	0.4	0.5	0.9	0.9	0.7	0.6
India	% Year	6.6	7.4	7.0	6.8	8.3	8.0	7.8	7.6	6.2	5.7	5.9	6.3
Australia	% Quarter	0.3	0.4	0.3	1.0	0.4	0.9	0.3	-0.1	0.3	0.3	0.2	0.3
	% Year	0.8	1.2	1.3	2.0	2.1	2.5	2.5	1.5	1.4	0.8	0.7	1.1
South Korea	% Year	1.6	1.1	0.2	0.7	2.1	1.6	3.8	3.2	2.0	2.4	1.3	1.8
Indonesia	% Year	4.9	5.0	4.9	5.1	5.0	5.4	5.6	4.7	4.3	4.3	4.6	4.9
Taiwan	% Year	4.7	4.1	5.5	7.7	8.4	13.0	14.5	11.1	10.7	5.3	4.9	5.4
Thailand	% Year	3.3	3.7	3.1	2.8	1.2	2.5	2.8	2.2	2.3	1.6	1.1	1.0
Malaysia	% Year	5.5	5.0	4.4	4.6	5.3	6.2	5.4	4.6	4.4	3.8	4.4	4.7
Singapore	% Year	7.0	5.3	4.5	5.4	4.5	5.7	6.0	4.0	2.2	1.0	0.6	1.5
Hong Kong	% Year	2.1	2.5	3.2	3.3	3.8	4.0	5.9	3.3	3.2	3.0	0.7	3.5
Philippines	% Year	5.3	5.3	5.4	5.4	4.0	3.0	2.8	2.7	4.0	3.9	5.1	5.2
Vietnam	% Year	7.4	7.5	7.0	8.2	8.3	8.5	7.8	5.6	6.2	6.6	5.8	6.7
New Zealand	% Year	-1.2	-1.6	-0.8	-0.9	1.1	1.5	1.5	2.3	1.5	1.3	1.2	1.7
Western Europe													
Eurozone	% Quarter	0.4	0.4	0.7	0.1	0.3	0.2	-0.2	0.3	0.0	0.1	0.2	0.3
	% Year	1.1	1.4	1.7	1.6	1.4	1.2	0.3	0.5	0.2	0.2	0.7	0.7
Germany	% Quarter	0.0	0.2	0.4	-0.2	0.0	0.2	0.3	-0.2	-0.2	0.1	0.3	0.2
	% Year	-0.6	-0.2	0.3	0.4	0.3	0.4	0.3	0.3	0.2	0.1	0.1	0.5
France	% Quarter	0.4	0.0	0.1	0.3	0.4	0.2	-0.1	0.1	0.0	0.1	0.2	0.3
	% Year	1.4	0.8	0.8	0.8	0.8	1.1	0.9	0.6	0.2	0.1	0.4	0.6
Italy	% Quarter	0.0	0.1	0.3	0.0	0.2	0.3	0.3	-0.1	-0.1	0.3	0.2	0.2
	% Year	0.6	0.4	0.7	0.5	0.7	0.9	0.8	0.7	0.4	0.8	0.2	0.5
Spain	% Quarter	0.8	0.8	0.5	0.7	0.6	0.8	0.6	0.6	0.4	0.4	0.5	0.5
	% Year	3.6	3.7	3.1	2.9	2.7	2.6	2.7	2.5	2.3	1.9	1.8	1.7
Other Western Europe													
UK	% Quarter	0.2	0.4	0.6	0.1	0.2	0.2	0.6	0.2	0.1	0.1	0.3	0.3
	% Year	1.2	2.0	1.8	1.4	1.3	1.0	1.1	1.2	1.1	1.0	0.7	0.8
Switzerland	% Year	2.0	1.5	2.6	1.4	0.7	1.0	0.5	0.9	1.5	1.6	1.4	1.2
Sweden	% Year	0.8	3.7	0.2	2.7	2.3	1.9	2.2	2.1	2.6	2.4	3.0	2.3
Norway**	% Year	1.2	0.9	1.8	2.1	1.4	1.7	0.9	0.9	1.6	2.0	2.1	1.9
CEEMEA													
Poland	% Year	3.0	3.7	3.2	3.3	3.8	4.1	3.5	3.2	3.8	3.9	3.1	2.8
Russia	% Year	0.0	0.0	1.3	1.0	0.8	1.0	0.0	1.4	1.5	0.8	3.9	1.6
Türkiye	% Year	2.8	3.2	2.5	4.7	3.8	3.4	2.5	3.0	1.7	1.6	3.2	4.5
South Africa	% Year	1.2	1.4	0.4	1.0	1.6	1.5	2.0	1.0	0.8	0.8	0.7	1.5
Latin America													
Brazil	% Quarter	0.8	1.4	1.1	1.0	0.4	0.7	0.3	0.2	0.8	0.6	0.7	0.4
	% Year	4.1	3.6	3.2	2.4	1.8	1.8	1.8	2.3	2.7	0.9	1.1	1.3
Mexico	% Quarter	1.2	-1.0	0.6	0.3	-0.1	0.7	-0.6	0.7	0.7	0.1	0.5	0.3
	% Year	1.4	0.3	0.6	-0.1	-0.2	1.7	0.2	1.0	1.5	1.2	2.0	2.3
Argentina	% Quarter	3.9	1.6	1.0	-0.1	0.6	0.6	1.0	0.7	1.0	1.5	2.0	1.0
	% Year	-1.9	2.6	5.8	6.4	3.3	2.1	2.2	2.3	3.8	5.9	3.3	3.3
Colombia	% Quarter	-0.3	1.7	0.4	0.0	1.5	0.0	0.6	0.8	0.6	0.6	0.7	0.8
	% Year	1.6	2.6	2.5	1.9	3.8	2.1	2.2	2.5	2.4	2.3	2.2	1.2
Chile	% Quarter	1.6	0.4	0.7	0.6	0.0	0.9	-0.4	-0.4	0.8	0.9	0.9	0.9
	% Year	2.4	4.1	2.9	3.7	1.7	1.6	-0.5	0.5	2.0	3.2	4.5	2.9

Source: HSBC estimates. Notes: *Quarterly annualised rate; **Mainland

Consumer prices

Annual

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World	2.6	2.6	3.0	3.0	2.5	3.9	8.2	5.9	5.9	3.1	3.8	3.1
Advanced	0.8	1.7	2.0	1.4	0.6	3.2	7.3	4.5	2.6	2.5	2.9	2.5
Emerging	4.5	3.5	4.0	4.5	4.2	4.5	8.9	7.2	8.7	3.6	4.4	3.5
North America	1.3	2.1	2.4	1.8	1.2	4.6	7.9	4.1	2.9	2.6	3.2	2.7
US	1.3	2.1	2.4	1.8	1.2	4.7	8.0	4.1	2.9	2.7	3.3	2.7
Canada	1.4	1.6	2.3	1.9	0.7	3.4	6.8	3.9	2.4	2.1	2.5	2.4
Asia-Pacific	2.1	2.0	2.3	2.7	2.5	1.9	3.6	2.3	1.8	1.1	2.5	2.2
Asia ex-Japan	2.4	2.2	2.4	2.9	2.8	2.2	3.7	2.2	1.7	0.9	2.5	2.2
Asia Big Three	2.2	1.9	2.2	3.0	3.1	1.8	3.2	1.9	1.6	0.9	2.2	2.1
Mainland China	2.0	1.6	2.1	2.9	2.5	0.9	2.0	0.2	0.2	0.0	0.9	1.0
Japan	-0.1	0.5	1.0	0.5	0.0	-0.2	2.5	3.2	2.7	3.2	2.5	2.3
India*	4.5	3.6	3.4	4.8	6.2	5.5	6.6	5.4	4.6	2.0	5.1	4.6
Asia ex Big Three	1.7	2.3	2.3	1.6	0.9	2.2	4.7	3.6	2.3	1.8	3.4	2.7
Australia	1.3	1.9	1.9	1.6	0.9	2.9	6.6	5.6	3.2	2.8	4.3	2.5
South Korea	1.0	1.9	1.5	0.4	0.5	2.5	5.1	3.6	2.3	2.1	2.7	2.4
Indonesia	3.5	3.8	3.3	2.8	2.0	1.6	4.2	3.7	2.3	1.9	3.5	3.0
Taiwan	1.4	0.6	1.4	0.6	-0.2	2.0	2.9	2.5	2.2	1.7	2.0	2.0
Thailand	0.2	0.7	1.1	0.7	-0.8	1.2	6.1	1.2	0.4	-0.1	2.7	2.1
Malaysia	2.1	3.8	1.0	0.7	-1.1	2.5	3.3	2.5	1.8	1.4	2.5	2.7
Singapore	-0.5	0.6	0.4	0.6	-0.2	2.3	6.1	4.8	2.4	0.9	2.2	2.2
Hong Kong	2.4	1.5	2.4	2.9	0.3	1.6	1.9	2.1	1.7	1.4	2.0	1.9
Philippines	1.3	2.9	5.2	2.4	2.4	3.9	5.8	6.0	3.2	1.7	6.2	4.3
Vietnam	2.7	3.5	3.5	2.8	3.2	1.8	3.2	3.3	3.6	3.3	5.2	3.6
New Zealand	0.6	1.9	1.6	1.6	1.7	3.9	7.2	5.7	2.9	2.8	3.8	2.7
Western Europe	0.5	1.6	1.9	1.3	0.2	2.8	8.6	5.3	2.3	2.2	2.8	2.3
Eurozone	0.4	1.4	1.8	1.2	0.1	2.9	8.9	4.9	2.3	2.1	2.9	2.2
Germany	0.3	1.7	1.9	1.4	0.4	3.2	8.7	6.0	2.5	2.3	2.9	2.4
France	0.3	1.2	2.1	1.3	0.5	2.1	5.9	5.7	2.3	0.9	2.2	1.8
Italy	-0.1	1.3	1.2	0.7	-0.2	2.0	8.7	5.9	1.1	1.6	2.6	1.9
Spain	-0.3	2.0	1.7	0.8	-0.3	3.0	8.3	3.4	2.9	2.7	3.3	2.4
Other Western Europe	0.8	2.2	2.2	1.6	0.6	2.3	7.8	6.7	2.4	2.6	2.5	2.5
UK	0.7	2.7	2.5	1.8	0.9	2.6	9.0	7.4	2.5	3.4	3.1	2.9
Switzerland	-0.4	0.5	0.9	0.4	-0.7	0.6	2.8	2.1	1.1	0.2	0.5	0.7
Sweden	1.0	1.8	2.0	1.8	0.5	2.2	8.4	8.5	2.8	0.7	0.5	2.1
Norway	3.5	1.9	2.7	2.2	1.3	3.5	5.8	5.5	3.2	3.0	3.2	2.6
CEEMEA	5.4	4.5	6.0	5.5	5.2	8.8	24.3	16.6	18.2	12.8	10.2	6.8
Poland	-0.6	2.0	1.7	2.3	3.4	5.1	14.3	11.6	3.7	3.6	3.1	3.2
Russia	7.1	3.7	2.9	4.5	3.3	6.7	13.8	5.9	8.4	8.7	5.4	3.9
Türkiye	7.8	11.1	16.3	15.2	12.3	19.6	72.3	53.4	60.0	35.2	30.6	18.3
Saudi Arabia	2.1	-0.8	2.5	-2.0	3.2	3.2	2.5	2.5	1.5	2.0	1.9	2.1
South Africa	6.3	5.3	4.7	4.1	3.3	4.5	6.9	6.0	4.4	3.2	4.3	3.9
Latin America	10.9	7.6	8.5	9.5	8.1	11.8	17.4	22.8	35.5	7.8	8.0	6.9
Brazil	8.7	3.4	3.7	3.7	3.2	8.3	9.3	4.6	4.4	5.1	4.8	4.7
Mexico	2.8	6.0	4.9	3.6	3.4	5.7	7.9	5.6	4.7	3.8	4.2	4.2
Argentina	41.6	28.2	37.1	47.6	42.0	48.4	72.4	133.5	246.7	30.6	31.1	22.3
Colombia	7.5	4.3	3.2	3.5	2.5	3.5	10.2	11.5	6.6	5.1	5.7	5.7
Chile	3.8	2.2	2.4	2.6	3.0	4.5	11.6	7.6	4.3	4.2	3.4	3.6

Source: HSBC estimates. Note: *Average of private estimates compiled by Congresspersons used from 2012 to 2016. We calculate the weighting system using GDP PPP (USD) weights

Quarterly

% Year	Q3 24	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
North America												
US	2.6	2.7	2.7	2.4	2.9	2.7	2.7	3.9	3.3	3.3	3.2	2.2
Canada	2.0	1.9	2.3	1.8	2.0	2.2	2.2	2.6	2.4	2.7	2.9	2.3
Asia-Pacific												
Mainland China	0.5	0.2	-0.1	0.0	-0.2	0.6	0.8	1.2	0.9	0.8	1.2	0.9
Japan	2.8	2.9	3.8	3.4	2.9	2.7	1.4	2.8	3.3	2.4	2.5	2.4
India	4.3	5.7	3.7	2.9	1.7	0.6	3.1	3.9	5.0	5.9	5.7	5.5
Australia	2.9	2.4	2.4	2.1	3.2	3.6	4.1	5.0	4.1	3.9	3.1	2.2
South Korea	2.1	1.6	2.1	2.1	2.0	2.4	2.1	3.0	2.9	2.8	2.8	2.2
Indonesia	2.0	1.6	0.6	1.8	2.4	2.8	3.9	2.9	3.4	3.7	3.4	3.5
Taiwan	2.2	2.0	2.2	1.6	1.5	1.3	1.2	2.2	2.4	2.3	2.3	2.2
Thailand	0.6	1.0	1.1	-0.3	-0.7	-0.5	-0.5	2.9	4.0	4.3	4.4	1.7
Malaysia	1.9	1.8	1.5	1.3	1.3	1.4	1.6	2.3	2.9	3.3	3.5	2.8
Singapore	2.2	1.4	1.0	0.8	0.6	1.2	1.5	2.0	2.7	2.7	2.8	2.3
Hong Kong	2.4	1.4	1.6	1.8	1.1	1.3	1.6	2.1	2.0	2.2	1.9	2.1
Philippines	3.2	2.6	2.2	1.4	1.4	1.7	2.8	7.0	7.3	7.5	6.7	3.7
Vietnam	3.5	2.9	3.2	3.3	3.3	3.4	3.5	5.6	6.0	5.8	4.7	3.0
New Zealand	2.2	2.2	2.5	2.7	3.0	3.1	3.1	4.2	4.0	3.9	3.6	2.6
Western Europe												
Eurozone	1.7	2.4	2.2	2.0	2.1	2.1	2.0	3.1	3.0	3.3	3.0	2.1
Germany	2.1	2.6	2.6	2.1	2.1	2.3	2.3	2.7	3.1	3.2	3.0	2.6
France	2.1	1.7	1.2	0.8	0.9	0.8	1.1	2.5	2.5	2.7	2.8	1.6
Italy	1.2	1.3	1.8	1.8	1.7	1.2	3.4	3.0	2.6	3.4	2.6	1.6
Spain	2.3	2.3	2.7	2.2	2.8	3.1	2.8	3.6	3.3	3.4	2.8	2.4
Other Western Europe												
UK	6.4	5.3	2.8	3.5	3.8	3.4	3.1	2.8	3.0	3.4	3.5	3.0
Switzerland	1.1	0.7	0.4	0.0	0.2	0.1	0.2	0.6	0.5	0.6	0.7	0.8
Sweden	2.0	1.3	0.9	0.4	0.9	0.5	0.5	0.4	0.1	0.9	1.3	2.0
Norway	2.8	2.4	2.8	2.9	3.4	3.1	3.3	3.2	3.1	3.2	2.8	2.6
CEEMEA												
Poland	4.5	4.8	4.9	4.2	3.0	2.7	2.5	3.1	3.0	3.8	3.9	3.5
Russia	8.9	9.0	10.1	9.8	8.3	6.6	5.9	5.5	5.2	4.9	3.9	4.0
Türkiye	54.4	46.7	39.8	36.1	33.3	31.6	31.0	32.5	30.6	28.1	23.7	17.5
South Africa	4.3	3.3	4.0	4.0	3.4	3.7	3.2	4.4	4.5	4.9	5.2	3.7
Latin America												
Brazil	4.3	4.4	4.6	4.9	5.2	5.1	4.9	4.7	4.6	4.8	5.1	5.0
Mexico	5.0	4.5	3.7	4.2	3.6	3.7	4.1	4.1	4.1	4.3	4.3	4.0
Argentina	293.5	166.9	68.0	31.8	13.7	23.9	31.0	31.3	31.8	30.4	25.7	22.0
Colombia	6.5	5.5	5.1	5.0	5.0	5.1	5.3	5.7	5.9	6.0	6.0	5.8
Chile	4.5	4.5	4.8	4.4	4.2	3.4	2.7	3.3	3.7	3.9	3.9	3.8

Source: HSBC estimates

Policy rates

End period (%)	2025				2026				2027			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f
North America												
US*	4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
Canada	2.75	2.75	2.50	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25
Asia-Pacific												
Mainland China**	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40
Japan	0.50	0.50	0.50	0.75	0.75	1.00	1.00	1.25	1.25	1.25	1.25	1.25
India	6.25	5.50	5.50	5.25	5.25	5.25	5.25	5.75	5.75	5.75	5.75	5.75
Australia	4.10	3.85	3.60	3.60	4.10	4.35	4.35	4.35	4.35	4.35	4.10	3.85
South Korea	2.75	2.50	2.50	2.50	2.50	2.50	2.75	3.00	3.00	3.00	3.00	3.00
Indonesia	5.75	5.50	4.75	4.75	4.75	5.75	6.00	6.00	6.00	6.00	5.50	5.50
Taiwan	2.000	2.000	2.000	2.000	2.000	2.000	2.000	2.125	2.125	2.125	2.125	2.125
Thailand	2.00	1.75	1.50	1.25	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00
Malaysia	3.00	3.00	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
Hong Kong	4.75	4.75	4.50	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00
Philippines	5.75	5.25	5.00	4.50	4.25	4.75	5.00	5.50	5.50	5.50	5.25	5.00
Vietnam	4.50	4.50	4.50	4.50	4.50	4.50	5.00	5.50	5.50	5.50	5.50	5.50
New Zealand	3.75	3.25	3.00	2.25	2.25	2.25	2.50	2.75	3.00	3.25	3.50	3.50
Western Europe												
Eurozone (Refi)	2.65	2.15	2.15	2.15	2.15	2.40	2.40	2.40	2.40	2.40	2.15	2.15
Eurozone (Deposit)	3.00	2.50	2.00	2.00	2.00	2.25	2.25	2.25	2.25	2.25	2.00	2.00
UK	4.50	4.25	4.00	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.50
Switzerland	0.25	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Sweden	2.25	2.00	1.75	1.75	1.75	1.75	1.75	1.75	2.00	2.00	2.25	2.25
Norway	4.50	4.25	4.00	4.00	4.00	4.25	4.25	4.25	4.25	4.25	4.00	4.00
CEEMEA												
Poland	5.75	5.25	4.75	4.00	3.75	3.75	3.75	4.00	4.00	4.00	4.00	3.75
Russia	21.00	20.00	17.00	16.00	15.00	14.25	13.75	13.25	12.25	11.25	10.25	10.25
Türkiye ***	42.50	46.00	40.50	38.00	37.00	37.00	36.00	34.00	30.00	26.00	22.00	20.00
South Africa	7.50	7.25	7.00	6.75	6.75	7.00	7.00	7.00	7.00	7.00	7.00	6.75
Latin America												
Brazil	14.25	15.00	15.00	15.00	14.75	14.25	14.25	14.25	13.75	12.75	12.25	12.25
Mexico	9.00	8.00	7.50	7.00	6.75	6.50	6.50	6.50	6.50	6.50	6.50	6.50
Argentina	29.00	33.56	40.25	27.06	25.37	21.50	21.50	21.50	21.50	21.50	21.50	21.50
Colombia	9.50	9.25	9.25	9.25	11.25	11.25	12.00	12.00	12.00	11.50	11.25	11.25
Chile	5.00	5.00	4.75	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50

Source: HSBC estimates. Note: *midpoint of Federal Funds target range. **1-year Loan Prime Rate (LPR). ***Türkiye rate given is the one week repo rate.

Exchange rates vs USD

End period	2024		2025				2026			2027		
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2e	Q3f	Q4f	Q1f	Q2f
Americas												
Canada (CAD)	1.35	1.44	1.44	1.36	1.39	1.37	1.39	1.41	1.42	1.43	1.44	1.44
Mexico (MXN)	19.63	20.86	20.43	18.76	18.31	18.01	17.99	17.50	17.60	17.75	17.75	17.75
Brazil (BRL)	5.45	6.18	5.71	5.43	5.32	5.49	5.24	5.10	5.10	5.00	5.00	5.00
Argentina (ARS)	969	1031	1073	1204	1379	1451	1368	1450	1650	1700	1725	1750
Colombia (COP)	4207	4406	4183	4102	3921	3774	3683	3400	3400	3350	3350	3350
Chile (CLP)	899	995	951	932	962	901	929	895	880	870	860	850
Asia/Pacific												
Japan (JPY)	143	157	150	144	148	157	159	160	161	162	163	164
Australia (AUD)*	0.69	0.62	0.62	0.66	0.66	0.67	0.69	0.70	0.70	0.71	0.72	0.72
New Zealand (NZD)*	0.64	0.56	0.57	0.61	0.58	0.58	0.57	0.58	0.58	0.59	0.60	0.60
Mainland China (RMB)	7.02	7.30	7.26	7.16	7.12	6.99	6.89	6.78	6.75	6.72	6.70	6.68
Hong Kong (HKD)	7.77	7.77	7.78	7.85	7.78	7.78	7.84	7.83	7.83	7.83	7.83	7.83
India (INR)	83.8	85.6	85.5	85.8	88.8	89.9	94.8	94.5	95.0	95.5	96.0	96.5
Indonesia (IDR)	15140	16102	16560	16238	16665	16690	16995	17800	17900	18000	18100	18200
Malaysia (MYR)	4.12	4.47	4.44	4.21	4.21	4.06	4.05	4.10	4.12	4.15	4.18	4.20
Philippines (PHP)	56.0	57.8	57.2	56.3	58.2	58.8	60.7	60.8	61.0	61.2	61.4	61.6
Singapore (SGD)	1.28	1.37	1.34	1.27	1.29	1.29	1.29	1.29	1.29	1.30	1.30	1.31
South Korea (KRW)	1315	1472	1473	1354	1404	1440	1519	1520	1530	1540	1550	1550
Taiwan (TWD)	31.7	32.8	33.2	29.6	30.5	31.4	32.0	31.6	31.7	31.8	31.9	32.0
Thailand (THB)	32.2	34.1	33.9	32.5	32.4	31.5	33.0	33.0	33.2	33.4	33.6	33.8
Vietnam (VND)	24568	25485	25577	26118	26424	26298	26340	26400	26500	26600	26700	26800
Western Europe												
Eurozone (EUR)*	1.11	1.03	1.08	1.18	1.17	1.17	1.16	1.14	1.13	1.12	1.11	1.10
UK (GBP)*	1.34	1.25	1.29	1.35	1.34	1.35	1.32	1.32	1.30	1.29	1.28	1.27
Sweden (SEK)	10.13	11.07	10.05	9.48	9.42	9.21	9.47	9.56	9.60	9.64	9.73	9.82
Norway (NOK)	10.53	11.38	10.52	10.09	9.99	10.08	9.70	9.74	9.82	10.00	10.09	10.18
Switzerland (CHF)	0.84	0.91	0.88	0.79	0.80	0.79	0.80	0.80	0.81	0.81	0.82	0.83
CEEMEA												
Poland (PLN)	3.85	4.13	3.87	3.61	3.64	3.59	3.71	3.73	3.76	3.75	3.74	3.73
Russia (RUB)	93.0	113.5	83.2	78.3	82.9	78.8	81.3	75.0	80.0	85.0	90.0	90.0
Türkiye (TRY)	34.20	35.37	37.96	39.83	41.59	42.96	44.46	46.50	48.00	50.00	51.00	52.00
South Africa (ZAR)	17.22	18.90	18.37	17.72	17.27	16.56	16.94	16.80	17.20	17.30	16.80	16.50

Source: HSBC estimates, Bloomberg. Note: *Denoted XXX-USD.

Exchange rate vs EUR & GBP

End period	2024		2025				2026				2027	
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2e	Q3f	Q4f	Q1f	Q2f
vs EUR												
Americas												
US (USD)	1.11	1.03	1.08	1.18	1.17	1.17	1.16	1.14	1.13	1.12	1.11	1.10
Canada (CAD)	1.51	1.49	1.55	1.60	1.63	1.61	1.61	1.61	1.60	1.60	1.60	1.58
Asia/Pacific												
Japan (JPY)	160	163	162	169	174	184	183	182	182	181	181	180
Australia (AUD)	1.61	1.67	1.73	1.79	1.77	1.76	1.67	1.63	1.61	1.58	1.54	1.53
New Zealand (NZD)	1.75	1.85	1.90	1.93	2.03	2.04	2.01	1.97	1.95	1.90	1.85	1.83
Europe												
UK (GBP)	0.83	0.83	0.84	0.87	0.87	0.87	0.87	0.86	0.87	0.87	0.87	0.87
Sweden (SEK)	11.30	11.46	10.87	11.15	11.05	10.82	10.94	10.90	10.85	10.80	10.80	10.80
Switzerland (CHF)	0.94	0.94	0.96	0.93	0.93	0.93	0.92	0.91	0.91	0.91	0.91	0.91
Norway (NOK)	11.73	11.78	11.37	11.87	11.72	11.84	11.20	11.10	11.10	11.20	11.20	11.20
Poland (PLN)	4.28	4.28	4.19	4.25	4.27	4.22	4.29	4.25	4.25	4.20	4.15	4.10
Russia (RUB)	103.7	117.50	89.90	92.10	97.20	92.5	94.0	85.5	90.4	95.2	99.9	99.0
Africa												
South Africa (ZAR)	19.19	19.56	19.86	20.85	20.27	19.45	19.57	19.15	19.44	19.38	18.65	18.15
vs GBP												
Americas												
US (USD)	1.34	1.25	1.29	1.35	1.34	1.35	1.32	1.32	1.30	1.29	1.28	1.27
Canada (CAD)	1.81	1.80	1.85	1.84	1.87	1.85	1.84	1.86	1.85	1.84	1.84	1.83
Asia/Pacific												
Japan (JPY)	192	197	193	194	199	211	210	211	209	209	209	208
Australia (AUD)	1.93	2.02	2.06	2.05	2.03	2.02	1.92	1.89	1.86	1.82	1.78	1.76
New Zealand (NZD)	2.10	2.24	2.27	2.21	2.32	2.34	2.30	2.28	2.24	2.19	2.13	2.12
Europe												
Eurozone (EUR)	1.2	1.21	1.19	1.15	1.15	1.15	1.14	1.16	1.15	1.15	1.15	1.15
Sweden (SEK)	13.58	13.86	12.97	12.80	12.66	12.41	12.52	12.62	12.48	12.44	12.45	12.47
Norway (NOK)	14.11	14.25	13.57	13.63	13.43	13.58	12.83	12.85	12.77	12.9	12.92	12.93
Switzerland (CHF)	1.13	1.14	1.14	1.07	1.07	1.07	1.06	1.05	1.05	1.05	1.05	1.05
Africa												
South Africa (ZAR)	23.07	23.66	23.69	23.93	23.22	22.32	22.41	22.18	22.36	22.32	21.5	20.96

Source: HSBC estimates, Bloomberg.

Consumer spending

Consumer spending

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World	2.9	3.2	3.1	2.5	-4.6	7.5	4.1	3.3	2.9	3.0	2.4	2.6
Advanced	2.1	2.3	2.2	1.6	-5.0	6.5	4.0	1.8	2.0	2.1	1.6	1.5
Emerging	4.8	5.2	5.1	4.4	-3.8	9.7	4.1	6.3	4.8	4.8	4.1	4.6
North America	2.4	2.7	2.7	2.1	-2.8	8.6	3.2	2.5	2.9	2.6	2.0	1.9
US	2.5	2.6	2.7	2.1	-2.5	8.8	3.0	2.6	2.9	2.6	2.0	1.9
Canada	1.9	3.8	2.6	1.5	-6.4	5.9	6.8	2.2	2.2	2.4	1.4	1.0
Asia-Pacific	5.3	4.6	5.0	3.8	-3.7	7.9	3.7	5.8	3.9	4.5	4.0	4.4
Asia Big Three	6.0	4.7	5.2	4.0	-3.3	9.3	2.9	6.5	4.2	5.2	4.4	5.1
Mainland China	9.0	6.6	7.4	6.1	-1.9	12.1	1.6	8.8	5.3	5.5	4.9	5.6
Japan	-0.4	0.9	0.2	-0.8	-5.0	1.9	2.3	0.1	-0.6	1.3	0.3	0.7
India*	8.1	6.2	7.1	5.2	-5.3	11.7	8.4	5.8	5.8	7.7	6.2	7.1
Asia ex-Big Three	3.7	4.0	4.2	3.3	-4.6	3.4	5.8	4.2	2.9	3.1	3.3	3.0
Australia	2.7	2.5	2.6	1.0	-6.2	5.0	7.4	2.7	0.6	2.1	1.4	0.7
South Korea	2.8	2.9	3.3	2.4	-4.6	3.7	4.2	2.1	1.3	1.5	2.1	2.1
Indonesia	5.0	4.9	5.1	5.0	-2.6	2.0	4.9	4.8	4.9	5.0	4.8	4.8
Taiwan	2.6	3.0	2.3	2.5	-2.4	-0.1	4.0	7.9	3.2	1.4	4.4	2.5
Thailand	2.9	3.1	4.6	4.0	-0.8	0.6	6.3	6.7	4.4	2.7	3.2	1.4
Malaysia	5.9	6.9	8.0	7.7	-3.9	1.8	11.4	4.6	4.8	5.3	4.7	4.3
Singapore	3.2	3.3	4.4	3.6	-13.7	7.7	10.2	3.7	5.8	3.9	3.4	2.9
Hong Kong	2.0	5.5	5.3	-0.8	-10.6	5.6	-2.2	6.8	-0.2	1.7	4.2	4.5
Philippines	7.1	6.0	5.8	5.9	-8.0	4.2	8.3	5.5	4.9	4.5	3.4	4.3
Vietnam	6.5	7.2	6.9	7.0	0.4	2.2	7.9	3.1	6.7	7.3	5.4	6.6
New Zealand	5.7	5.5	4.5	3.2	-1.6	7.6	3.9	1.1	-0.2	1.4	0.6	2.2
Western Europe	2.1	2.0	1.5	1.3	-8.5	5.0	5.7	0.4	1.1	1.5	0.9	0.7
Eurozone	1.8	1.9	1.5	1.4	-7.9	4.6	5.3	0.6	1.3	1.5	0.8	0.7
Germany	2.0	1.8	1.4	1.7	-7.0	1.9	6.5	-0.5	0.5	1.5	0.2	0.5
France	1.5	1.6	1.1	1.7	-6.5	5.3	3.3	1.0	0.8	0.5	0.2	0.8
Italy	0.8	1.2	0.5	0.0	-10.6	5.8	5.3	0.5	1.2	1.1	0.7	0.2
Spain	2.7	3.1	1.7	1.1	-12.1	7.1	4.9	1.8	3.1	3.4	2.7	1.9
Other Western Europe	3.0	2.1	1.8	1.2	-10.1	6.2	6.7	-0.3	0.4	1.3	1.0	1.0
UK	3.6	2.1	2.1	1.1	-12.9	7.3	7.6	-0.4	-0.2	1.0	0.8	0.5
Switzerland	1.3	1.5	0.1	1.4	-3.8	2.2	4.9	1.4	2.4	1.5	1.1	1.5
Sweden	2.1	2.5	1.9	0.8	-3.1	5.5	2.8	-1.5	1.4	2.0	2.8	2.4
Norway	1.8	3.5	2.7	2.1	-4.7	5.8	7.1	-0.7	1.6	2.7	1.3	2.2
CEEMEA	1.2	4.8	3.0	3.4	-3.7	9.2	4.6	5.6	4.6	3.7	2.6	2.7
Poland	3.7	6.1	4.6	3.3	-3.4	6.2	5.0	-0.3	2.9	3.7	3.2	2.9
Russia	-2.6	3.7	4.3	3.8	-5.9	9.8	-2.0	8.7	6.8	3.6	1.8	1.3
Türkiye	3.7	5.9	0.6	1.5	3.2	15.4	19.0	4.4	4.3	4.1	4.4	4.2
Saudi Arabia	4.2	6.0	1.3	6.4	-4.9	6.3	5.8	7.6	3.8	3.5	1.9	3.5
South Africa	0.7	1.7	3.2	1.3	-6.1	6.0	2.6	0.2	1.0	3.6	1.5	1.6
Latin America	-0.9	2.3	1.6	1.0	-7.2	7.6	5.4	2.6	2.9	2.3	1.9	2.2
Brazil	-3.8	2.0	2.4	2.6	-4.6	3.0	4.1	3.2	5.1	1.3	1.8	1.5
Mexico	1.9	1.7	1.5	0.9	-9.8	8.4	4.8	4.2	3.0	1.1	1.4	2.0
Argentina	-0.8	4.2	-2.2	-6.1	-12.2	9.5	9.5	1.0	-2.9	7.9	3.0	4.1
Colombia	1.6	2.1	3.2	4.1	-5.0	14.7	10.8	0.5	1.6	3.5	3.1	2.2
Chile	2.7	3.4	3.8	1.0	-7.4	20.8	1.6	-4.7	1.1	2.7	2.6	4.0

Source: HSBC estimates. Note: *India data in fiscal year (2012= April 2012 to March 2013). Calendar year number used for aggregates. We calculate the weighting system using chain nominal GDP (USD) weights

Investment spending

Investment spending

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World	3.6	4.7	4.4	4.1	-2.5	5.2	3.3	3.6	1.4	2.4	2.4	3.2
Advanced	3.0	4.2	3.2	4.4	-4.0	5.3	2.2	2.5	0.0	2.7	2.3	2.7
Emerging	4.8	5.6	6.5	3.7	0.0	5.0	4.8	5.3	3.4	2.1	2.5	4.0
North America	2.3	4.4	4.9	2.6	-2.1	7.5	2.3	3.1	2.8	2.6	3.8	4.1
US	2.9	4.5	5.1	2.7	-1.9	7.3	2.5	3.4	3.0	2.7	4.0	4.2
Canada	-4.6	3.4	2.4	0.8	-3.8	9.3	0.0	-1.0	0.7	1.6	0.9	2.5
Asia-Pacific	4.2	6.1	2.7	1.3	-2.5	7.2	3.1	2.0	3.2	3.4	4.6	3.1
Asia Big Three	6.2	5.5	6.8	4.5	1.4	3.7	3.9	4.5	2.6	1.8	2.5	4.0
Mainland China	7.2	6.2	7.4	5.5	3.6	2.5	3.5	4.5	2.5	0.9	2.0	3.8
Japan	0.7	1.6	1.3	1.7	-3.5	1.0	0.5	1.9	-0.6	0.9	0.8	1.3
India*	8.5	7.8	11.2	1.1	-7.1	17.5	11.5	7.3	6.4	8.2	6.9	7.1
Asia ex-Big Three	4.2	6.1	2.7	1.3	-2.5	7.2	3.1	2.0	3.2	3.4	4.6	3.1
Australia	-2.3	3.4	3.1	-1.8	-3.1	8.8	3.0	6.0	1.5	2.3	4.8	1.6
South Korea	6.8	9.9	-2.0	-2.1	2.8	4.3	-0.2	-0.2	-0.1	-3.4	1.7	2.2
Indonesia	4.5	6.2	6.7	4.5	-5.0	3.8	3.9	3.8	4.6	5.1	5.0	4.8
Taiwan	3.4	0.2	3.0	10.8	6.3	14.4	7.9	-7.6	7.1	10.8	7.7	1.3
Thailand	2.9	1.8	3.9	2.0	-4.7	3.1	2.3	1.2	-0.3	4.9	5.5	1.4
Malaysia	2.6	6.1	1.4	-2.1	-14.4	-0.7	6.8	5.4	12.1	9.6	5.9	4.1
Singapore	0.7	5.1	-4.9	2.2	-13.5	23.4	2.2	-0.8	6.2	6.2	4.9	4.5
Hong Kong	-0.1	3.1	1.7	-14.9	-11.1	8.3	-7.4	11.4	1.9	4.8	12.1	7.5
Philippines	20.9	10.6	12.9	3.9	-27.3	9.8	9.8	8.2	6.3	0.8	0.8	4.5
Vietnam	10.0	10.5	8.2	7.7	4.1	2.8	5.9	4.7	7.1	8.6	7.0	6.1
New Zealand	2.4	5.2	7.2	4.3	-4.1	10.7	5.4	0.4	-3.9	-0.7	1.6	0.5
Western Europe	3.8	4.2	2.9	6.5	-5.9	4.0	2.5	2.5	-2.1	3.1	1.1	1.9
Eurozone	3.5	4.2	3.2	7.2	-6.0	3.6	2.2	2.9	-2.5	3.2	1.1	1.7
Germany	3.6	3.3	3.7	2.1	-3.8	0.6	0.0	-1.6	-3.2	0.0	0.6	2.5
France	2.6	4.1	3.3	4.3	-6.2	9.6	-0.2	1.6	-1.1	0.7	0.2	1.4
Italy	4.1	3.5	3.0	1.5	-7.3	21.5	7.7	10.3	-3.5	3.8	3.0	1.5
Spain	1.0	5.4	8.3	2.6	-11.9	10.5	5.4	-1.4	4.7	5.8	3.7	2.1
Other Western Europe	5.8	4.3	0.5	2.0	-5.7	6.8	4.0	0.1	0.8	2.5	1.1	2.7
UK	6.1	3.9	-0.2	1.8	-9.9	9.3	6.8	0.5	1.7	4.3	0.6	2.8
Switzerland	3.0	4.1	1.4	0.8	-0.7	3.6	1.0	2.2	0.4	-0.7	0.4	2.0
Sweden	4.8	4.5	1.3	-0.2	1.8	6.6	0.3	0.4	-0.7	2.0	3.6	3.1
Norway**	9.7	6.5	1.4	7.4	-2.7	2.6	1.0	-5.1	-1.7	-0.1	2.0	3.2
CEEMEA	-2.5	4.0	1.8	-1.1	-2.1	6.3	8.1	9.6	6.0	1.7	0.4	2.5
Poland	-7.4	1.8	13.7	7.5	-3.0	1.5	1.7	12.7	0.4	4.4	6.3	4.3
Russia	1.3	4.7	0.6	1.0	-4.0	9.3	6.7	11.0	8.6	-0.4	-1.0	1.0
Türkiye	3.1	7.5	0.8	-12.1	6.9	7.2	4.4	7.3	2.7	7.0	0.3	3.9
Saudi Arabia	-12.4	1.2	0.1	4.1	-3.1	3.6	19.7	9.4	10.1	-1.7	0.1	2.0
South Africa	-1.9	-2.0	-1.2	-1.7	-14.8	-0.3	5.9	3.0	-3.9	-2.2	0.1	2.8
Latin America	-5.4	0.5	1.8	-1.3	-11.1	14.5	5.3	3.6	1.8	0.5	1.6	3.1
Brazil	-12.1	-2.6	5.2	4.0	-1.7	12.9	1.1	-3.0	6.9	2.9	1.8	1.9
Mexico	0.6	-0.5	0.6	-4.4	-17.2	10.5	7.5	16.6	4.1	-6.4	-0.5	1.5
Argentina	-5.8	13.4	-5.7	-16.0	-13.1	34.0	10.5	-2.0	-17.2	16.4	6.8	9.8
Colombia	-2.9	1.9	1.0	2.2	-23.6	16.7	11.5	-12.8	0.7	1.4	1.9	3.4
Chile	-1.3	-3.1	5.1	4.4	-10.8	16.0	4.6	0.3	-1.6	7.0	3.7	6.8

Source: HSBC estimates. Note: *India data in fiscal year (2012= April 2012 to March 2013). GDP data from 2012 onwards is as per the new series (2011-12 prices); ** Eurozone investment heavily distorted by Ireland in 2019. ***Mainland. We calculate the weighting system using chain nominal GDP (USD) weights

Exports

Export volume growth (GDP basis)

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World	1.0	5.6	4.7	1.3	-7.2	13.0	6.3	-0.5	3.2	4.2	4.9	2.7
Advanced	2.3	5.1	3.6	1.8	-9.0	9.8	6.2	0.8	2.4	3.4	3.1	2.2
Emerging	-2.2	6.9	7.3	0.2	-3.2	20.2	6.5	-2.9	4.7	5.7	8.6	3.7
North America	0.7	3.7	3.0	0.8	-11.9	6.0	7.0	3.5	3.1	1.0	4.3	1.7
US	0.5	4.1	2.9	0.5	-12.6	6.5	7.6	2.8	3.6	1.6	5.3	1.9
Canada	1.5	1.5	3.6	2.3	-8.9	3.7	4.6	6.3	0.9	-1.4	-0.2	0.4
Asia-Pacific	-1.2	6.5	6.8	-0.8	-3.6	19.0	5.0	-1.0	5.6	7.1	10.2	3.1
Asia Big Three	-4.2	7.2	8.7	-0.4	-1.1	25.1	6.8	-2.6	5.4	5.1	10.4	1.6
Mainland China	-7.7	7.9	9.9	0.5	3.6	28.0	6.9	-4.7	5.8	5.4	13.8	0.5
Japan	1.6	6.6	3.8	-1.4	-11.7	11.8	5.3	3.1	2.2	2.5	1.9	2.0
India*	5.0	4.6	11.9	-3.4	-7.0	29.6	8.4	0.7	6.6	6.3	3.8	6.6
Asia ex-Big Three	2.0	5.6	4.6	-1.1	-6.4	11.3	2.7	0.9	6.0	9.6	10.1	4.9
Australia	6.8	3.4	5.2	3.1	-9.6	-2.3	2.6	6.8	1.3	2.7	3.4	2.3
South Korea	2.5	2.5	3.8	-0.2	-1.7	11.8	4.0	3.5	7.6	4.3	7.8	3.1
Indonesia	-1.7	8.9	6.5	-0.5	-8.4	18.0	16.2	1.7	6.9	7.0	2.5	5.5
Taiwan	-0.9	3.0	-0.2	0.0	-0.5	15.1	2.8	-4.1	8.7	32.1	22.9	12.2
Thailand	2.7	5.2	3.4	-3.0	-20.0	11.1	6.4	2.7	7.5	9.3	9.3	2.6
Malaysia	1.3	8.7	1.9	-1.0	-8.6	18.5	14.5	-7.9	8.6	4.9	4.7	5.0
Singapore	0.0	7.4	8.2	0.2	-0.6	8.4	5.3	4.4	5.7	10.8	11.3	6.3
Hong Kong	0.6	5.8	3.7	-6.2	-6.8	17.0	-12.6	-6.7	5.1	11.2	14.5	2.8
Philippines	9.2	17.4	11.8	2.6	-16.1	8.0	11.0	1.3	3.2	8.2	8.1	6.6
Vietnam	9.0	21.8	13.3	8.4	7.0	18.9	10.6	-4.6	14.4	17.0	15.3	9.0
New Zealand	2.7	2.6	3.1	2.5	-13.5	-2.3	-0.4	11.1	4.7	2.9	5.3	2.4
Western Europe	3.1	5.6	3.5	3.3	-9.1	10.6	8.3	-0.7	1.2	2.3	-0.2	1.3
Eurozone	3.1	5.9	3.3	3.3	-9.1	11.4	7.6	-1.0	0.6	2.2	-0.4	1.2
Germany	1.8	4.5	2.7	2.1	-10.3	10.0	4.0	-0.9	-1.9	-0.7	0.4	0.9
France	1.9	4.8	3.6	2.3	-16.9	11.0	9.3	3.0	2.9	2.4	-1.3	1.4
Italy	2.4	5.9	1.5	1.5	-14.4	14.2	10.6	0.1	-1.1	1.4	0.7	1.7
Spain	5.4	5.6	1.7	2.3	-20.1	13.4	14.2	2.2	3.2	3.6	1.0	3.2
Other Western Europe	3.2	4.5	4.2	3.1	-9.4	7.4	10.8	0.1	3.4	2.4	0.5	1.6
UK	3.7	6.4	3.8	1.9	-12.0	2.9	15.2	-2.3	1.3	2.1	0.9	0.9
Switzerland	5.3	2.9	5.4	2.1	-6.6	13.5	6.6	0.4	6.0	1.3	-1.9	2.1
Sweden	2.7	3.7	4.5	7.1	-5.8	11.2	6.1	2.9	2.9	4.2	4.0	2.9
Norway**	-4.9	-0.1	1.6	6.2	-9.1	6.5	10.3	4.3	6.7	4.2	0.8	1.9
CEEMEA	0.0	3.7	3.1	-0.2	-7.2	8.3	-1.4	-0.9	-0.1	0.9	-0.2	4.5
Poland	9.0	9.1	6.8	5.3	-1.1	12.3	7.4	3.7	1.9	5.5	4.7	3.8
Russia	3.2	5.0	5.6	0.7	-4.2	3.2	-13.1	-1.1	2.2	1.8	1.9	2.2
Türkiye	-2.2	12.5	9.5	4.7	-16.4	25.1	10.5	-2.3	0.1	-0.3	-7.9	3.1
Saudi Arabia	-13.5	-12.5	-11.5	-10.5	-9.5	-8.5	-7.5	-6.5	-5.5	-4.5	-3.0	12.0
South Africa	0.4	-0.3	2.7	-3.3	-12.0	9.7	7.8	5.1	-2.8	-2.5	0.6	2.9
Latin America	0.6	4.5	4.7	0.7	-7.4	11.5	9.8	-3.9	2.5	7.3	7.7	7.9
Brazil	0.9	4.9	4.1	-2.6	-2.3	4.4	5.7	8.9	2.8	6.2	4.5	3.3
Mexico	3.1	3.2	6.5	1.2	-7.0	7.1	9.5	-7.2	0.6	7.2	9.6	10.0
Argentina	-3.6	-5.0	-11.1	24.1	-32.3	36.3	15.4	-24.0	16.1	16.4	10.1	11.5
Colombia***	-11.7	16.8	8.1	-5.4	-20.5	32.3	39.2	-11.5	-3.3	1.1	5.2	3.3
Chile	-2.2	13.4	8.6	-8.1	7.6	27.8	4.1	-5.6	6.7	7.7	6.0	9.4

Source: HSBC Estimates. Note: Real Exports of Goods & Services. * India data in fiscal year (2025= April 2025 to March 2026). GDP data from 2012 onwards is as per the new series (2011-12 prices); **Mainland, ***Colombian exports are in nominal USD, as provided by The Statistics Institute (DANE). We calculate the weighting system using chain nominal GDP (USD) weights.

Industrial production

Industrial production

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World	1.7	3.5	3.4	0.9	-4.2	8.4	2.5	1.1	1.7	3.0	2.6	2.6
Advanced	-0.3	2.4	2.3	-0.6	-6.2	6.6	1.2	-1.0	-0.8	1.8	1.4	1.4
Emerging	3.8	4.7	4.4	2.2	-2.5	10.1	3.7	3.0	3.8	4.0	3.5	3.6
North America	-2.0	1.4	3.2	-0.7	-7.1	4.5	1.8	-0.1	-0.6	1.1	1.3	1.2
US	-2.2	1.2	3.2	-0.8	-7.1	4.4	1.7	-0.2	-0.7	1.1	1.4	1.2
Canada	0.1	3.7	3.5	0.1	-7.5	5.4	2.9	0.6	0.6	1.0	-0.2	0.6
Asia-Pacific	4.6	5.1	4.6	2.7	-2.0	9.0	3.5	2.6	4.3	4.7	4.2	3.8
Asia Big Three	4.7	5.5	4.8	2.9	-1.8	9.5	3.6	4.2	4.4	4.8	4.1	3.9
Mainland China	6.0	6.6	6.2	5.7	2.8	9.6	3.6	4.6	5.8	5.9	4.8	4.7
Japan	0.0	3.1	0.6	-2.7	-10.4	5.4	-0.2	-1.3	-2.6	-0.3	2.3	0.0
India*	4.6	4.4	3.8	-0.8	-8.5	11.4	5.3	5.9	4.1	4.1	3.1	3.3
Asia ex-Big Three	4.4	4.0	4.1	1.9	-3.1	7.6	3.5	-2.5	3.9	4.6	4.8	3.5
Australia	2.5	1.3	4.2	2.4	-0.8	-0.2	-0.9	0.5	0.2	0.1	2.1	2.2
South Korea	2.2	2.5	1.5	0.3	-0.3	8.5	1.0	-2.5	4.1	2.9	3.4	1.0
Indonesia	4.0	4.3	4.5	4.0	-10.1	7.5	4.0	2.4	2.6	2.1	3.9	3.4
Taiwan	2.8	5.0	3.4	1.0	8.8	14.7	-1.8	-12.3	11.6	18.4	17.0	8.2
Thailand	1.8	1.7	3.0	-4.4	-8.7	7.7	2.6	-3.6	-0.5	-0.4	1.0	1.3
Malaysia	4.1	4.4	3.2	2.4	-4.1	7.4	6.9	0.7	3.9	3.4	3.8	4.4
Singapore	3.7	10.4	7.1	-1.5	7.5	13.2	2.7	-4.3	3.8	8.8	3.3	3.2
Hong Kong	-0.4	0.4	1.3	0.4	-5.9	5.5	0.2	3.8	0.8	3.3	3.6	2.5
Philippines	6.8	8.0	5.1	3.8	-9.8	8.9	4.9	1.4	3.7	2.5	1.9	2.4
Vietnam	22.3	7.3	12.2	7.8	2.5	3.6	19.3	-14.2	10.2	9.9	6.2	6.5
New Zealand	1.6	1.4	0.9	0.9	-4.4	4.9	-4.7	-3.3	-2.0	-0.6	3.2	1.9
Western Europe	0.3	3.4	1.4	-0.8	-5.6	8.7	1.0	-1.2	-2.1	1.8	-0.2	1.4
Eurozone	0.5	3.7	0.6	-1.6	-6.7	8.8	1.4	-1.9	-2.8	2.2	-0.5	1.2
Germany	1.5	3.2	0.9	-2.3	-7.7	3.6	-0.6	-1.8	-4.3	-0.8	-0.6	0.9
France	0.3	2.4	0.5	0.5	-10.8	5.3	0.8	0.5	0.3	0.7	1.0	0.9
Italy	2.1	3.7	0.9	-1.2	-11.0	11.8	0.4	-2.1	-4.0	-0.3	1.3	1.3
Spain	1.8	2.9	0.6	0.6	-9.2	7.3	2.4	-1.6	0.4	1.3	1.0	1.9
Other Western Europe	-0.2	2.5	4.5	2.1	-1.8	8.2	-0.6	1.1	0.2	0.6	0.6	1.9
UK**	-1.1	1.8	4.8	1.3	-0.9	6.4	-2.6	1.9	0.0	-0.9	0.2	1.4
Switzerland	4.6	5.2	5.4	5.1	-3.4	21.5	6.1	-1.7	0.9	0.5	0.4	2.0
Sweden	2.6	4.7	3.4	2.2	-4.8	6.8	2.5	1.2	-1.0	6.5	2.2	3.5
Norway**	-4.8	0.4	1.6	3.4	-3.1	3.2	-0.3	-0.3	1.8	3.9	1.7	2.8
CEEMEA	2.6	3.5	3.8	0.0	-2.4	14.4	1.9	1.2	1.6	1.8	2.3	2.4
Poland	3.3	7.0	5.7	4.0	-1.8	15.7	9.4	-1.1	0.7	2.3	2.8	4.1
Russia	2.2	2.1	5.7	-0.4	-2.2	14.8	-4.9	3.2	4.4	1.3	1.6	1.2
Türkiye	3.6	8.9	1.8	-0.6	1.7	19.7	4.5	1.9	0.5	2.7	3.1	3.4
Saudi Arabia	2.5	-1.4	2.6	-1.0	-5.4	4.7	16.2	-3.5	-4.0	3.0	4.0	3.5
South Africa	0.7	0.8	0.1	-1.1	-10.8	11.2	-2.8	-0.3	0.4	-1.0	-0.9	1.5
Latin America	-2.6	1.5	0.2	-1.7	-6.6	7.0	2.2	0.6	0.0	1.0	1.0	1.7
Brazil	-6.7	2.8	0.8	-1.1	-4.5	3.9	-0.7	0.1	3.1	1.4	1.7	1.3
Mexico	0.3	0.6	0.2	-1.7	-8.8	7.5	4.8	3.4	0.2	-1.3	0.7	2.0
Argentina***	0.0	2.7	-5.1	-6.3	-7.8	16.1	4.3	-1.8	-10.1	5.1	1.6	0.7
Colombia	0.0	-1.0	3.1	1.3	-10.0	10.4	7.5	-2.0	-2.3	1.0	-1.1	3.4
Chile**	-0.8	-1.1	3.6	-0.4	-0.9	2.3	-2.9	-0.3	3.2	0.7	0.5	1.7

Source: HSBC estimates. Note: *Based on Indian fiscal year (April – March). We calculate the weighting system using GDP PPP (USD) weights. **Manufacturing production. ***Argentina did not publish industrial production data in part of 2015 and 2016.

Wage growth

Wage growth

% Year	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
World	5.3	4.9	5.7	5.5	3.5	6.4	8.7	9.4	8.9	5.6	5.3	4.8
Advanced	1.8	2.0	2.5	2.4	1.3	3.3	4.4	4.5	4.0	3.5	3.1	2.9
Emerging	10.1	8.6	9.9	9.5	6.1	10.2	13.6	15.1	14.4	7.9	7.6	6.6
North America	2.2	2.4	2.8	2.7	2.9	3.2	4.9	4.5	4.0	3.5	3.2	3.3
US	2.2	2.4	2.8	2.7	2.7	3.3	4.9	4.5	3.9	3.5	3.3	3.3
Canada	2.1	1.6	2.8	2.7	6.2	2.1	4.2	5.0	4.9	3.4	2.9	2.9
Asia-Pacific	7.2	6.6	7.4	6.7	3.9	5.9	6.2	4.6	2.9	3.7	4.2	4.3
Asia Big Three	7.1	8.0	9.0	7.9	6.0	8.1	6.0	5.1	2.8	4.0	4.7	4.8
Mainland China	8.9	10.0	10.9	9.8	7.6	9.7	6.7	5.8	2.8	4.3	5.1	5.2
Japan	0.6	0.5	1.3	-0.3	-1.2	0.3	2.0	1.2	2.7	2.3	2.2	1.7
Asia ex-Big Three	7.5	3.8	4.0	4.0	-0.5	1.0	6.9	3.5	3.2	2.9	3.2	3.4
Australia	2.0	2.0	2.2	2.3	1.7	1.9	2.9	3.9	3.7	3.4	3.2	3.1
South Korea	3.4	3.6	4.6	4.1	2.2	3.4	4.3	3.8	3.2	2.7	2.7	2.6
Indonesia	22.9	6.9	4.3	3.4	-6.9	-0.4	13.5	4.1	2.6	1.4	3.3	4.0
Taiwan	1.3	1.8	2.5	1.8	1.4	1.8	2.7	2.2	2.8	3.1	2.6	2.7
Thailand	1.3	0.2	2.2	3.1	2.7	0.3	5.7	0.3	0.0	1.3	1.7	1.5
Malaysia	3.1	4.2	4.4	2.4	-0.5	1.2	3.4	1.6	1.2	1.6	1.7	1.9
Singapore	3.7	3.1	3.5	2.6	1.4	3.7	6.8	5.4	4.1	4.5	3.7	3.0
Hong Kong	3.7	3.7	4.0	3.5	1.4	1.3	2.2	3.6	3.7	3.4	3.4	3.4
Philippines	2.4	1.6	4.4	3.7	0.0	0.0	4.6	5.0	6.4	6.7	4.9	4.0
Vietnam	8.8	7.6	8.4	15.4	0.3	-2.6	12.2	4.7	6.6	5.5	5.3	6.9
New Zealand	1.6	1.7	1.9	2.3	2.0	2.2	4.0	4.3	3.9	2.3	2.1	2.7
Western Europe	1.5	1.9	2.3	2.4	0.1	4.4	4.7	5.5	4.5	4.0	3.2	2.9
Eurozone	1.3	1.9	2.2	2.3	-0.4	4.4	4.6	5.4	4.5	3.9	3.1	2.8
Germany	2.2	2.3	3.0	3.0	2.3	1.5	2.6	4.1	6.2	2.3	2.9	2.9
France	1.2	1.3	1.5	1.7	1.5	1.5	3.3	4.3	2.9	2.0	1.7	2.1
Italy	0.6	0.5	1.5	1.1	0.5	0.7	1.0	2.9	3.0	3.1	2.4	2.0
Spain	-0.1	0.7	1.7	3.4	0.7	4.8	4.7	5.0	4.6	4.3	3.8	3.0
Other Western Europe	2.1	2.0	2.5	3.0	1.8	4.6	4.9	5.9	4.7	4.3	3.5	3.2
UK	2.4	2.3	2.9	3.5	1.8	6.0	6.2	7.1	5.3	4.8	3.7	3.4
Switzerland	0.6	0.3	0.7	0.6	0.5	-0.1	1.5	1.8	1.2	2.1	1.4	1.1
Sweden	2.3	2.0	2.5	2.5	2.0	2.8	2.9	4.0	4.2	3.5	3.4	3.3
Norway	1.8	2.2	2.7	3.5	3.3	3.3	3.7	5.4	5.4	5.2	4.5	4.2
CEEMEA	10.5	8.3	11.3	9.9	5.6	17.3	30.1	38.8	36.3	19.4	18.1	12.8
Poland	3.8	5.3	7.2	7.2	5.3	8.8	12.1	12.7	13.7	8.7	6.3	5.6
Russia	7.9	6.7	11.1	7.3	5.8	9.6	12.5	13.9	18.0	13.5	13.9	9.9
Türkiye	20.7	13.4	15.8	18.2	6.9	40.3	86.6	114.2	93.9	41.5	36.6	24.5
South Africa	5.8	6.4	5.0	4.0	0.7	7.5	4.0	4.5	5.2	3.8	4.6	4.6
Latin America	10.5	7.2	8.5	10.2	9.2	10.5	18.2	25.8	35.3	11.9	8.4	8.1
Brazil	9.2	5.2	5.0	4.3	3.2	3.2	9.8	9.8	9.3	9.1	8.6	8.3
Mexico	4.5	4.9	5.7	6.7	7.3	7.2	10.8	10.8	8.1	7.6	7.5	7.3
Argentina	35.0	26.6	32.5	43.5	39.8	45.5	72.1	126.0	216.5	39.6	11.8	12.4
Colombia	5.3	-1.7	1.7	3.5	3.6	8.8	9.0	14.2	10.1	6.5	7.4	6.4
Chile	2.7	2.3	2.6	2.3	4.0	6.8	10.8	8.0	7.8	6.1	5.2	4.0

Source: HSBC estimates. Note: *Wage data is minimum daily wage rate. Global and regional aggregates are calculated using GDP PPP (USD) weights

Budget balance

Budget balance

% GDP	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
North America	-2.9	-3.1	-3.5	-4.2	-14.4	-11.3	-4.9	-5.7	-6.0	-5.6	-5.9	-5.7
US	-3.1	-3.4	-3.8	-4.6	-14.7	-12.0	-5.4	-6.2	-6.3	-5.9	-6.2	-6.0
Canada	-0.5	-0.1	0.4	0.0	-10.9	-3.1	0.6	-0.2	-2.1	-1.8	-2.2	-2.1
Asia-Pacific	-2.9	-2.7	-2.5	-3.1	-5.8	-4.5	-3.8	-3.8	-3.3	-3.8	-4.0	-3.7
Asia Big Three	-3.3	-3.1	-2.9	-3.4	-6.1	-4.5	-3.9	-4.2	-3.5	-4.1	-4.4	-4.0
Mainland China	-2.9	-2.8	-2.5	-2.7	-3.6	-3.0	-2.7	-3.8	-3.0	-4.0	-4.0	-4.0
Japan	-4.6	-3.7	-3.2	-3.8	-10.4	-6.6	-4.5	-2.9	-2.7	-4.0	-5.6	-2.4
India	-3.5	-3.5	-3.4	-5.0	-9.8	-7.2	-6.7	-5.7	-4.9	-4.4	-4.7	-4.5
Asia ex-Big Three	-1.9	-1.8	-1.7	-2.3	-5.2	-4.4	-3.6	-2.9	-2.7	-3.0	-3.1	-2.8
Australia	-2.4	-1.9	-0.5	0.0	-4.3	-6.4	-1.4	0.9	0.6	-0.4	-1.1	-1.3
South Korea	-1.2	-1.0	-0.5	-2.7	-5.4	-4.1	-5.0	-3.6	-4.1	-3.9	-3.1	-2.9
Indonesia	-2.5	-2.5	-1.8	-2.2	-6.1	-4.6	-2.4	-1.6	-2.3	-2.9	-3.0	-3.0
Taiwan	-0.3	-0.1	0.1	0.1	-1.4	-0.7	0.3	-0.9	0.4	-0.9	-1.3	-0.2
Thailand	-2.6	-3.1	-2.4	-2.8	-4.6	-4.5	-3.8	-4.0	-3.3	-4.5	-5.8	-4.5
Malaysia	-3.1	-2.9	-3.7	-3.4	-6.2	-6.4	-5.5	-5.0	-4.1	-3.7	-3.5	-3.5
Singapore	-0.5	0.5	-0.8	-0.2	-3.9	-2.0	-2.0	-0.3	0.4	0.8	-0.3	-0.2
Hong Kong	4.5	5.6	2.4	-0.4	-8.7	1.0	-4.4	-3.4	-2.5	0.3	0.6	0.2
Philippines	-2.3	-2.1	-3.1	-3.4	-7.6	-8.6	-7.3	-6.2	-5.7	-5.6	-4.4	-3.9
Vietnam	-4.2	-3.4	-3.3	-3.2	-2.8	-4.0	-4.4	-4.0	-3.5	-4.2	-4.4	-4.3
New Zealand	0.8	1.7	2.0	2.7	-6.6	-0.7	-2.4	-1.8	-2.1	-2.3	-2.8	-1.8
Western Europe	-1.5	-1.1	-0.5	-0.7	-7.8	-4.6	-2.8	-3.1	-2.9	-2.7	-3.0	-3.0
Eurozone	-1.5	-1.0	-0.4	-0.5	-7.0	-5.1	-3.4	-3.5	-3.0	-2.9	-3.4	-3.3
Germany	1.1	1.3	1.9	1.3	-4.4	-3.6	-1.9	-2.5	-2.5	-2.7	-3.8	-3.9
France	-3.8	-3.4	-2.3	-2.4	-8.9	-6.6	-4.7	-5.4	-5.8	-5.1	-5.1	-5.3
Italy	-2.4	-2.5	-2.2	-1.5	-9.4	-8.9	-8.1	-7.1	-3.4	-3.1	-3.2	-3.3
Spain	-4.3	-3.1	-2.6	-3.1	-10.1	-6.7	-4.7	-3.6	-3.2	-2.5	-2.2	-2.2
Other Western Europe	-1.5	-1.3	-0.6	-1.1	-10.8	-2.8	-0.9	-1.9	-2.5	-2.0	-2.0	-2.0
UK	-2.8	-2.8	-2.0	-2.6	-14.7	-5.0	-4.8	-4.9	-5.2	-4.2	-4.0	-3.8
Switzerland	0.3	0.6	0.7	0.7	-2.1	-1.5	-0.3	-0.1	0.0	0.0	-0.1	-0.1
Sweden	1.0	1.4	0.8	0.5	-3.2	-0.2	1.0	-0.9	-1.5	-1.3	-2.8	-2.3
Norway	3.9	4.8	7.5	6.3	-2.6	10.0	24.6	15.9	12.7	10.4	11.3	9.7
CEEMEA	-5.0	-2.9	-0.6	-1.0	-5.6	-1.3	-1.5	-3.2	-3.3	-3.7	-3.5	-3.2
Poland	-2.4	-1.5	-0.2	-0.7	-6.9	-1.7	-3.4	-5.2	-6.4	-7.3	-6.8	-6.5
Russia	-3.5	-1.4	2.6	1.8	-3.8	0.4	-2.1	-1.8	-1.7	-2.6	-2.3	-2.4
Türkiye	-1.1	-1.5	-1.9	-2.9	-3.4	-2.7	-0.9	-5.2	-4.7	-2.9	-3.1	-2.9
Saudi Arabia	-16.1	-8.6	-5.2	-4.0	-10.2	-2.0	2.2	-1.8	-2.5	-5.4	-4.8	-2.8
South Africa	-3.5	-4.1	-3.6	-5.0	-9.9	-4.6	-3.6	-4.4	-4.5	-4.2	-3.8	-3.5
Latin America	-5.7	-4.6	-4.4	-3.7	-8.5	-4.0	-3.3	-5.7	-5.9	-5.5	-5.9	-5.7
Brazil	-9.0	-7.8	-7.0	-5.8	-13.3	-4.3	-4.6	-8.8	-8.5	-8.3	-9.5	-9.1
Mexico	-2.5	-1.1	-2.1	-1.6	-2.7	-2.9	-3.0	-3.4	-5.0	-3.9	-3.9	-3.8
Colombia	-3.8	-3.3	-3.1	-2.2	-8.1	-4.4	-1.5	-3.2	-6.7	-6.4	-6.4	-6.1
Chile	-2.7	-2.8	-1.7	-2.9	-7.3	-7.7	1.1	-2.4	-2.8	-2.9	-2.4	-2.0

Source: HSBC estimates. Note: Global and regional aggregates are calculated using GDP PPP (USD) weights

Current account

Current account

% GDP	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
North America	-2.2	-2.0	-2.1	-2.0	-2.7	-3.3	-3.5	-3.1	-3.7	-3.4	-2.6	-3.1
US	-2.1	-1.9	-2.1	-2.1	-2.8	-3.6	-3.8	-3.3	-4.0	-3.6	-2.8	-3.3
Canada	-3.1	-2.8	-2.4	-2.0	-2.0	0.0	-0.5	-0.7	-0.5	-0.9	-1.0	-0.8
Asia-Pacific	2.1	1.7	0.7	1.2	2.3	1.8	1.5	1.6	2.3	3.2	3.2	3.1
Asia Big Three	1.5	1.1	0.1	0.6	1.6	1.2	1.1	1.1	1.9	2.7	2.2	2.1
Mainland China	1.7	1.5	0.2	0.6	1.5	1.6	2.2	1.4	2.4	3.7	3.4	3.2
Japan	3.8	4.2	3.5	3.4	2.9	3.9	1.9	3.9	4.8	5.1	5.9	5.7
India	-0.7	-2.0	-2.3	-0.9	1.0	-1.3	-2.1	-0.7	-0.6	-0.7	-1.7	-1.5
Asia ex-Big Three	3.7	3.4	2.3	2.9	4.3	3.4	2.5	3.0	3.5	4.4	5.9	6.1
Australia	-3.5	-2.9	-2.6	-0.1	1.6	2.3	0.3	-0.4	-2.2	-2.7	-2.9	-1.9
South Korea	6.2	4.4	4.2	3.4	4.4	4.3	1.3	1.8	5.3	6.5	17.0	14.1
Indonesia	-1.8	-1.6	-2.9	-2.7	-0.4	0.3	1.0	-0.1	-0.6	-0.1	-1.1	-0.8
Taiwan	13.1	14.0	11.6	10.7	14.4	15.0	13.3	14.0	14.1	19.6	25.0	26.1
Thailand	10.5	9.6	5.6	7.0	4.1	-2.1	-3.4	1.6	2.2	2.8	0.5	2.0
Malaysia	2.4	2.8	2.2	3.5	4.2	3.9	3.2	1.1	1.4	1.6	2.1	2.3
Singapore	18.0	18.5	15.7	15.5	17.7	19.3	18.9	16.4	17.2	16.7	19.1	20.2
Hong Kong	4.0	4.6	3.7	5.9	7.0	11.8	10.2	8.4	13.1	12.3	7.0	4.8
Philippines	-0.4	-0.7	-2.6	-0.8	3.2	-1.5	-4.5	-2.8	-4.0	-3.3	-3.3	-2.7
Vietnam	0.2	-0.6	1.9	3.7	4.4	-2.2	0.3	6.0	6.6	6.7	2.2	3.1
New Zealand	-2.1	-2.9	-4.3	-2.9	-1.2	-5.6	-8.8	-6.3	-4.7	-3.6	-3.8	-2.4
Western Europe	2.1	1.9	2.1	1.6	1.2	2.3	0.6	1.9	2.7	1.9	1.2	1.2
Eurozone	3.1	3.2	2.9	2.4	1.8	2.7	-0.3	1.9	3.1	2.0	1.4	1.4
Germany	8.9	8.1	8.4	7.9	6.3	6.9	4.1	5.5	5.8	4.5	4.2	4.2
France	-0.6	-0.5	-0.7	0.6	-2.1	0.3	-1.4	-1.1	0.1	-0.3	-0.3	-0.1
Italy	2.5	2.4	2.5	3.2	3.8	2.0	-1.8	0.2	1.1	1.1	0.6	0.6
Spain	3.1	2.8	1.9	2.2	0.8	0.8	0.4	2.7	3.2	2.9	3.1	2.1
Other Western Europe	-1.7	-2.2	-0.6	-1.1	-0.8	1.0	3.7	1.8	1.4	1.4	0.7	0.4
UK	-4.8	-5.2	-3.4	-3.7	-2.5	-2.7	-0.8	-1.9	-3.0	-2.4	-3.6	-3.4
Switzerland	7.1	5.2	6.0	4.0	0.6	7.5	9.0	5.8	8.9	7.1	6.8	6.1
Sweden	2.1	2.2	2.1	5.2	5.7	6.2	4.0	6.2	7.4	6.7	5.4	4.8
Norway	5.3	5.4	8.5	3.6	1.8	14.6	27.8	17.1	15.0	14.2	17.5	14.5
CEEMEA	-0.9	-0.2	3.2	2.4	-0.2	3.4	5.1	0.6	1.1	-0.2	0.3	0.0
Poland	-1.1	-1.2	-2.0	-0.3	2.4	-1.3	-2.2	1.5	0.3	-0.9	-1.6	-1.4
Russia	1.8	2.1	7.1	3.7	2.5	6.7	10.9	2.5	3.4	1.5	2.9	1.8
Türkiye	-3.0	-4.2	-2.0	2.0	-4.5	-1.1	-5.7	-4.3	-0.8	-1.9	-2.9	-2.8
Saudi Arabia	-3.9	1.2	7.9	3.6	-4.5	4.6	11.7	2.1	-1.3	-2.4	-1.7	0.2
South Africa	-2.7	-2.4	-2.9	-2.6	2.0	3.7	-0.3	-1.1	-0.7	-0.5	1.1	0.1
Latin America	-2.3	-2.2	-3.1	-2.3	-0.3	-1.9	-2.4	-1.5	-1.5	-1.9	-1.2	-1.2
Brazil	-1.6	-1.2	-2.8	-3.5	-1.7	-2.4	-2.2	-1.3	-2.7	-3.0	-1.7	-2.0
Mexico	-2.3	-1.8	-2.1	-0.3	2.4	-0.3	-1.0	-0.6	-1.0	-0.5	-0.5	-0.2
Argentina	-2.7	-4.8	-5.0	-0.9	0.7	1.4	-0.6	-3.2	0.9	-1.1	0.1	0.5
Colombia	-4.4	-3.2	-4.2	-4.6	-3.4	-5.6	-6.0	-2.2	-1.7	-2.5	-2.1	-2.1
Chile	-2.6	-2.8	-4.5	-5.2	-1.9	-7.3	-8.8	-3.1	-1.1	-1.2	-1.5	-2.0

Source: HSBC estimates. Note: Global and regional aggregates are calculated using GDP PPP (USD) weights

Current Account

USDbn	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
North America	-444.0	-414.5	-479.3	-476.2	-626.4	-859.0	-1002.4	-943.2	-1196.3	-1138.4	-928.0	-1137.4
US	-396.2	-367.6	-439.0	-442.0	-593.5	-858.6	-993.1	-928.0	-1185.3	-1116.0	-903.4	-1116.9
Canada	-47.8	-46.9	-40.3	-34.2	-32.9	-0.4	-9.3	-15.2	-11.0	-22.4	-24.6	-20.5
Asia-Pacific	594.8	570.3	321.6	464.9	731.9	800.1	656.8	647.5	965.7	1360.4	1603.6	1619.5
Asia Big Three	369.5	345.3	144.1	238.0	396.2	453.7	422.3	392.2	632.1	924.3	909.7	922.3
Mainland China	191.3	188.7	24.1	90.3	223.7	297.4	404.1	257.0	462.3	735.0	732.3	741.1
Japan	192.6	205.3	177.2	172.3	148.6	195.1	85.2	161.3	192.9	214.7	244.3	237.5
India	-14.4	-48.7	-57.3	-24.7	23.9	-38.8	-67.1	-26.1	-23.1	-25.4	-71.4	-68.3
Asia ex-Big Three	225.3	225.0	177.5	226.9	335.7	346.4	234.6	255.3	333.6	436.1	693.9	697.2
Australia	-43.8	-39.7	-37.5	-2.0	21.4	38.1	5.3	-7.2	-40.6	-49.8	-60.9	-44.0
South Korea	97.9	75.2	77.5	59.7	76.3	83.9	23.2	32.5	100.0	123.1	346.2	279.6
Indonesia	-17.0	-16.2	-30.6	-30.3	-4.4	3.5	13.2	-2.0	-8.6	-1.5	-16.3	-12.1
Taiwan	71.3	83.1	70.9	65.7	97.6	116.9	101.4	105.8	112.7	179.8	265.6	286.7
Thailand	43.4	44.0	28.5	38.3	20.7	-10.8	-17.0	8.5	11.6	15.9	2.9	12.2
Malaysia	7.2	8.9	8.0	12.8	14.1	14.5	13.0	4.4	6.0	7.7	11.0	12.0
Singapore	58.0	63.8	59.2	58.3	62.1	84.7	97.1	83.7	99.0	101.0	123.0	134.3
Hong Kong	12.7	15.6	13.5	21.3	24.1	43.7	36.5	32.1	53.7	52.3	32.5	24.1
Philippines	-1.2	-2.1	-8.9	-3.0	11.6	-5.9	-18.3	-12.4	-18.6	-16.3	-16.9	-14.5
Vietnam	0.6	-1.6	5.9	12.2	15.1	-8.1	1.4	25.8	30.5	33.1	11.4	16.7
New Zealand	-3.9	-5.9	-8.9	-6.1	-2.7	-13.9	-21.4	-15.9	-12.1	-9.2	-10.0	-6.8
Western Europe	337.9	348.3	424.8	301.6	208.3	477.8	249.5	521.0	532.5	417.5	281.6	261.7
Eurozone	400.2	434.2	415.8	336.0	240.2	386.0	-41.8	272.1	429.1	315.7	214.4	219.8
Germany	315.0	308.0	339.8	311.4	251.2	296.1	170.5	252.2	270.2	234.9	214.5	224.1
France	-13.8	-14.2	-19.0	16.9	-54.1	8.2	-38.9	-32.7	3.0	-10.3	-11.8	-3.9
Italy	45.3	50.1	50.7	63.1	73.0	44.3	-38.5	5.8	26.2	29.3	16.6	15.3
Spain	37.3	39.3	26.0	30.0	10.9	10.9	6.2	45.2	52.7	58.0	62.6	41.9
Other Western Europe	-62.3	-85.9	9.0	-34.4	-31.9	91.7	291.2	248.9	103.5	101.8	67.1	41.9
UK	-143.9	-155.8	-87.2	-109.2	-74.3	-79.2	-66.8	-132.6	-115.6	-99.5	-154.3	-151.0
Switzerland	50.6	36.9	44.7	29.6	3.3	62.1	77.5	53.6	87.7	71.9	76.9	69.1
Sweden	10.7	11.0	12.3	29.5	32.0	38.0	26.2	43.1	43.0	48.6	38.7	35.9
Norway	20.4	22.1	39.2	15.7	7.1	70.8	254.3	284.9	88.4	80.7	105.8	87.9
CEEMEA	-38.4	-8.0	146.8	100.7	-8.6	165.4	319.9	44.6	35.9	-32.9	-6.9	-16.4
Poland	-5.0	-6.2	-11.7	-1.6	14.4	-9.2	-15.7	12.5	2.8	-8.9	-18.4	-18.6
Russia	24.4	33.3	114.9	65.0	36.0	120.3	237.8	50.2	62.0	40.8	81.0	49.0
Türkiye	-22.2	-35.1	-14.6	15.0	-31.0	-6.2	-46.3	-39.9	-10.0	-30.1	-51.5	-50.2
Saudi Arabia	-27.0	9.1	70.0	32.4	-34.7	44.9	145.3	25.9	-16.3	-32.7	-23.7	2.7
South Africa	-8.7	-9.0	-11.9	-10.1	6.7	15.7	-1.3	-4.1	-2.6	-2.0	5.6	0.7
Latin America	-90.0	-95.4	-134.1	-101.7	-9.6	-79.2	-108.6	-77.7	-80.0	-100.6	-69.9	-77.9
Brazil	-30.5	-25.3	-53.8	-65.0	-24.9	-40.4	-42.2	-27.9	-57.9	-69.0	-46.1	-59.3
Mexico	-25.3	-21.4	-25.9	-3.9	26.9	-4.5	-15.0	-10.3	-16.9	-8.8	-9.4	-4.0
Argentina	-15.1	-31.2	-27.1	-3.5	2.7	6.6	-4.0	-20.8	5.7	-7.6	0.6	3.7
Colombia	-12.6	-9.9	-14.0	-14.8	-9.3	-17.9	-20.9	-8.3	-7.1	-10.9	-9.4	-10.6
Chile	-6.5	-7.6	-13.3	-14.5	-5.0	-23.0	-26.7	-10.4	-3.8	-4.3	-5.6	-7.7

Source: HSBC estimates. Note: *Based on Indian fiscal year (April – March).

North America

US

Monetary policy debate

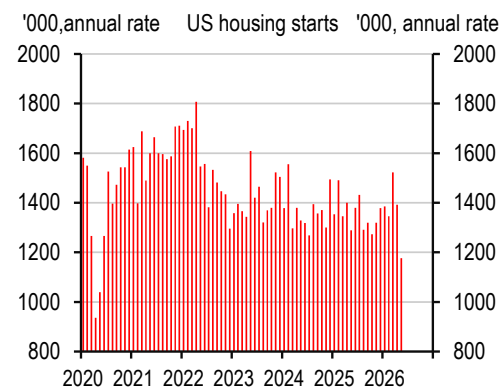
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At his first press conference as the new Fed Chair, Kevin Warsh was asked for a view on to what extent the current federal funds target range of 3.50-3.75% can be seen as restrictive for the economy. Chair Warsh replied that there was evidence of restrictiveness for the housing sector, but for most other parts of the economy, signs of restrictiveness were limited. Indeed, housing starts activity cooled notably following the 525bp in rate hikes delivered in 2022 and 2023. Over recent years, housing starts have trended sideways – even with the 175bp of rate cuts delivered in 2024 and 2025. For broader GDP, rapid growth in AI-related investments remains a significant fillip. We forecast GDP growth of 2.3% in 2026 and 2.3% in 2027; absent robust investment growth in areas such as information processing equipment and software, the trend for GDP growth would likely be below 2%. Chair Warsh has also expressed the view that AI investment could boost productivity and the supply side of the economy, though this might “take longer” than the immediate boost to demand.

So far in 2026, the unemployment rate has been steady at around 4.3%, quite close to FOMC policymaker estimates of the longer-run unemployment rate. This is a sign that the labour market is broadly in balance, with the June FOMC statement noting that job gains have kept pace with growth in the workforce. Wage growth has decelerated over the past few years, down to around 3.5% in recent data (such as the employment cost index and average hourly earnings).

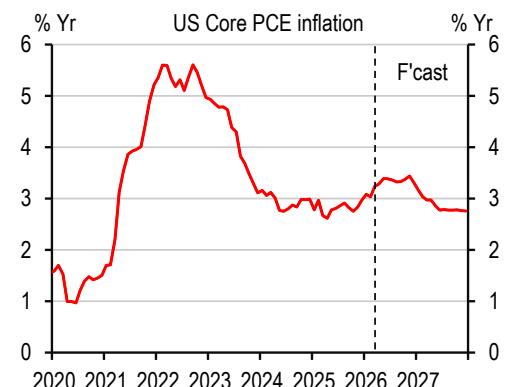
Inflation has exceeded the FOMC's 2% goal for the past five years. Headline CPI increased at an unusually rapid rate for the third month in a row in May, primarily due to energy prices. A pullback in June appears likely, and headline inflation should decline as long as energy markets begin to normalise in the months ahead. We expect CPI inflation to average 3.3% in 2026 and 2.7% in 2027. FOMC policymakers will likely continue to put some emphasis on the core PCE inflation metric, even as two of the five task forces announced by Chair Warsh in June related to economic data measurement and inflation frameworks. We see core PCE inflation rising close to 3.5% y-o-y over the next several months, extending a debate about whether FOMC rate hikes might be appropriate.

Some monetary policy “restrictiveness” for the housing market



Source: Census Bureau

Core PCE inflation may rise close to 3.5%



Source: Bureau of Economic Analysis, HSBC forecasts

Policy issues

The FOMC voted unanimously in June to keep the federal funds target range unchanged at 3.50-3.75%. Perhaps the most noteworthy revelation to come from the meeting, the first under new Fed Chair Kevin Warsh, is that the committee is having an active discussion about the potential need for rate hikes later this year – a big change from earlier this year when the discussion centred on potential rate cuts. Our own view is that the FOMC will hold the federal funds target range steady through 2026 and 2027.

During the June press conference, Chair Warsh described the intention to set up five task forces, relating to: 1) Fed communications, 2) the Fed's balance sheet, 3) the FOMC's usage of existing economic data sources, 4) productivity and jobs, and 5) the Fed's framework for managing inflation. According to Chair Warsh, the process has just begun in terms of forming the composition and soliciting outside expert views for each of these task forces. When asked what the timeline would be for each of the five areas, Chair Warsh said that it would "depend on the task force" but that he expected work to begin "in the next couple of weeks" and that most, if not all, of the task forces might reach some conclusions by year-end.

Risks

The US-Iran agreement has led to a drop in the oil price, and gasoline prices should fall below USD4 per gallon later this year if the agreement holds. Yet risks remain: if the deal were to see a setback, then the result could be a continued full (or partial) closure of the Strait of Hormuz. In such a scenario, inflation would be higher and GDP growth implications would be mixed (consumers would see a renewed hit to real disposable incomes even as the energy supply chain might benefit from higher prices). In this scenario, the FOMC might be more inclined to raise policy rates given the upside risks to inflation.

Key forecasts

% year	2025f	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP (% year)	2.1	2.3	2.3	2.6	2.4	1.8	2.3	2.4	2.2
GDP (% q-o-q ann.)	-	-	-	1.6	3.1	2.1	2.2	2.3	2.1
Consumer spending	2.6	2.0	1.9	1.4	2.1	1.7	2.0	2.1	1.9
Government consumption	1.1	0.8	1.7	4.4	1.4	1.5	1.6	1.7	1.8
Investment	2.7	4.0	4.2	6.4	4.9	4.7	4.5	4.3	4.0
Stockbuilding (% GDP)	-0.1	-0.1	0.1	0.1	0.6	0.1	0.1	0.0	0.0
Domestic demand	2.3	3.3	3.1	2.8	3.9	2.4	2.5	2.5	2.3
Exports	1.6	5.3	1.9	13.1	8.4	0.6	1.6	1.6	1.6
Imports	2.7	4.5	3.1	21.1	12.2	2.1	3.0	2.6	2.5
Industrial production (% year)	1.1	1.4	1.2	0.8	1.3	1.1	1.7	1.0	1.3
Unemployment (%)	4.2	4.3	4.3	4.3	4.3	4.3	4.3	4.2	4.2
Wage growth (% year)	3.5	3.3	3.3	3.4	3.3	3.2	3.2	3.3	3.3
Consumer prices (CPI, % year)	2.7	3.3	2.7	2.7	3.9	3.3	3.3	3.2	2.2
Consumer prices (core PCE, % year)	2.8	3.3	2.9	3.1	3.4	3.3	3.4	3.1	2.9
Current account (USDbn)	-1116.0	-903.4	-1116.9	-195.4	-218.4	-233.8	-255.8	-271.6	-276.8
Current account (% GDP)	-3.6	-2.8	-3.3	-2.5	-2.7	-2.9	-3.1	-3.2	-3.3
Budget balance (% GDP)	-5.9	-6.2	-6.0	-	-	-	-	-	-
Gross external debt (% GDP)	93.9	94.8	95.4	-	-	-	-	-	-
Gross government debt (% GDP)	106.1	107.5	108.3	-	-	-	-	-	-
Policy rate (%)*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625

Note: *Mid-point of federal funds target range, period end. **Period end
Source: HSBC estimates

North America

Canada

Technicalities

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The Canadian economy entered a technical recession according to Q1's GDP data. There is undoubtedly a lot of weakness in the economy – business investment, having contracted for five consecutive quarters, remains a real source of concern. Note that while our investment forecasts look strong, this primarily reflects heightened public investment.

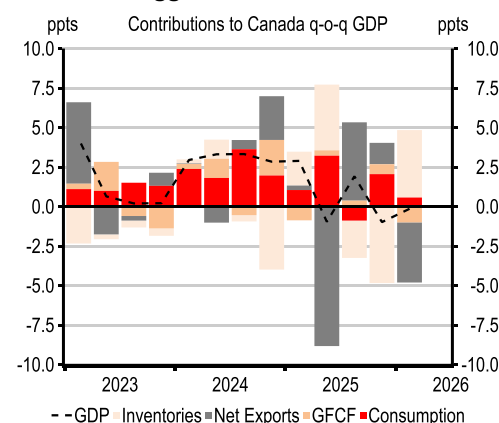
This being said, we do think the headline figures paint an unduly negative picture of the Canadian economy. Q4's negative GDP print was driven by volatility in inventories, while Q1's weak data stemmed in a large part from high imports, around half of which can be attributed to gold. Is the Canadian economy particularly strong? No. But is it in crisis? No. And consumption remained relatively steady in Q1, with Q2 likely to see a (admittedly small) boost from co-hosting this year's World Cup.

Government spending was the more surprising downward factor in Q1, falling 1% q-o-q (in annual terms). Government investment, meanwhile – a big contributor to growth in 2025, thanks to expanded capital spending plans – fell 10% in annual terms in Q1.

However, with the government's Spring Economic Update sticking to the course set out in the 2025 Budget (in addition to new support measures), we anticipate a bounce-back effect in Q2, and stronger government spending and investment growth in the rest of the year. Our GDP forecasts are lower than back in March, with 0.9% now pencilled in for 2026 (1.2% previously), partly on the weak Q1 news, but also on stronger imports expectations. We have also revised down our expectations for growth in 2027 – this stems in part from our view of Canada's lower potential growth rate (see [Canada's critical juncture](#), 21 April 2026).

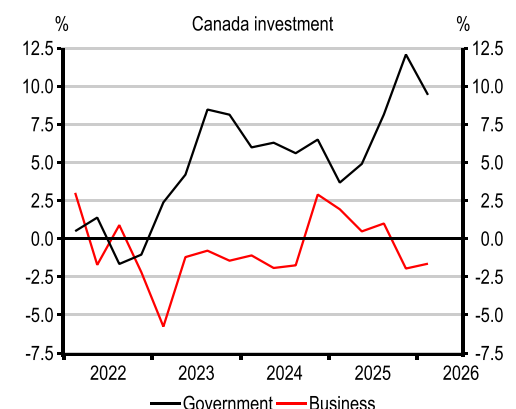
Meanwhile, on inflation, we have lowered our forecast for this year to 2.5% (previously 2.7%), largely down to our lower oil price profile. For 2027 we have revised up our inflation forecast to 2.4% (previously 2.1%), due to a smaller energy price drop-out, along with – in our view – the closing output gap.

Canada's growth is not as bad as the headlines suggest...



Source: Macrobond

...but there are some valid causes for concern nonetheless



Source: Macrobond

Policy issues

At Bank of Canada's June meeting, the Governing Council (GC) voted to remain on hold at 2.25%, as expected. There was little change to the forward messaging (see [Bank of Canada: little change to forward messaging](#), 10 June 2026), as the GC continued to say that it would 'look through the war's immediate impact on inflation', while not letting their effects 'become broad-based persistent inflation'. Given a) the recent progress on re-opening the Strait of Hormuz and subsequent fall in oil prices, and b) the lack of evidence so far that any broad-based inflation has started to appear, we can't see much reason for the Bank of Canada to hike. Consequently, we stick with our longstanding view that the Bank of Canada will keep policy rates on hold this year, and next year.

On the balance of risks, weak growth and moderate inflation (especially once oil-related base effects fall out next) suggest downside risks to the policy rate in 2027. However, one point that makes us cautious about adding rate cuts in is that the Governing Council has emphasised the limited ability of further easing to alleviate structural issues in Canada's growth trajectory – and we think the current level of 2.25% is about neutral.

Risks

The risks remain largely the same as a quarter ago. If the US-Iran deal were to fall through, then higher oil prices would push up Canadian inflation – though this wouldn't necessarily translate into monetary policy tightening unless evidence of broader inflation starts to appear.

The USMCA review remains an area of uncertainty, and currently looks set to miss the 1 July deadline (though that just would see talks extend into next year, not an end to the deal) – though the proposal of a 10% rate on the first tranche of Section 301 investigations suggest that US tariff volatility has calmed a little.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.9	0.9	1.4	-0.1	0.9	1.1	1.4	1.9	1.5
GDP (% quarter)	-	-	-	-0.1	2.8	2.8	0.9	1.2	0.9
Consumer spending	2.4	1.4	1.0	2.0	1.1	1.5	1.1	1.0	1.0
Government consumption	2.4	1.0	1.6	0.8	0.4	1.5	1.3	1.9	1.7
Investment	1.6	0.9	2.5	0.3	0.9	1.1	1.1	2.6	2.5
Stockbuilding (% GDP)	0.3	0.5	0.4	0.4	0.4	0.7	0.6	0.5	0.4
Domestic demand	2.2	1.2	1.5	1.3	0.9	1.4	1.1	1.5	1.5
Exports	-1.4	-0.2	0.4	-4.1	2.4	1.2	-0.5	-0.1	0.2
Imports	-0.3	1.4	0.5	0.7	0.1	2.6	2.3	-0.3	0.3
Industrial production	1.0	-0.2	0.6	-1.5	0.3	-0.4	0.7	1.1	0.7
Unemployment (%)*	6.9	6.7	6.6	6.7	6.6	6.7	6.7	6.7	6.6
Wage growth	3.4	2.9	2.9	4.0	3.7	2.6	1.5	1.2	2.5
Consumer prices	2.1	2.5	2.4	2.2	2.6	2.4	2.7	2.9	2.3
Current account (USDbn)	-22.4	-24.6	-20.5	-24.8	-24.0	-23.4	-22.8	-27.5	-26.1
Current account (% GDP)	-0.9	-1.0	-0.8	-1.5	-1.8	-1.5	-1.4	-1.5	-1.7
Budget balance (% GDP)	-1.8	-2.2	-2.1	-	-	-	-	-	-
Gross government debt (% GDP)	110.0	113.5	110.7	-	-	-	-	-	-
CAD/USD*	1.37	1.43	-	1.39	1.41	1.42	1.43	1.44	1.44
Policy rate (%)*	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25	2.25

Note: * Period end

Source: LSEG Datastream, HSBC estimates Note: We have adjusted the measures used for budget balance and gross government debt compared to our previous quarterly for greater consistency with other economies

Asia Pacific

Mainland China

Resilience, but domestic woes increasing

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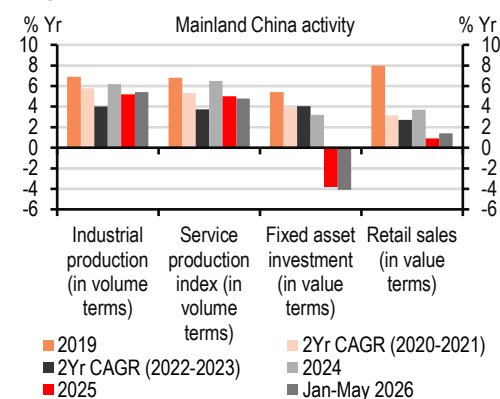
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The Middle East conflict has de-escalated at time of writing. For China, this means the price rises seen in upstream industries may see some relief, which could ease margin pressures faced by some midstream and downstream industries, as still weak consumption means they have been unable to pass on costs. Meanwhile, the [macro statistics](#) (16 June) have indicated persistent headwinds, particularly weaker consumption and investment. Policy action still leans on the structural side – such as the newly announced reforms to provide basic public services based on residence. If there is no sign of improvement, we expect Chinese authorities to launch fiscal pushes, including front-loading infrastructure investment to facilitate critical projects identified in the 15th FYP, urban renewal and [Urbanisation 2.0](#) (29 May). There is good news too – such as the strategic stability in China-US relations and the proposed reciprocal USD30bn in tariff reductions. We maintain our expectations of GDP growth at 4.6% for this year followed by 4.7% for 2027.

The global backdrop remains uncertain. Resolution in the Middle East conflict could lift global demand, helping China's exports and easing disruptions in petrol-chemical industries alongside easing the profit margin squeeze for downstream industries. Even if we were to see a re-escalation, China would be relatively resilient as it could offset the negative shock somewhat based on its [high oil reserves and coal-chemical production](#) (1 April). That said, China is not fully immune. Primary plastics, which are more dependent on crude oil for inputs, saw a 12% m-o-m production drop in April. Given China supplies around 1/3 of global primary plastics, this could ripple through global supply and pricing. There are also tailwinds, mainly stemming from improving [China-US relations](#) (15 May). Right now, the two countries are in discussions to lower tariffs on non-sensitive goods (cUSD30bn) and to establish a Board of Investment to pave the way for China FDI into the US for non-sensitive and non-strategic areas. The global AI-drive as well as more demand for energy transition products (e.g. EVs, solar, wind) may support China's exports. We revise up our export forecast to 14% (from 7%) and see a larger contribution from net exports to growth vs previously (0.6ppt vs 0ppt).

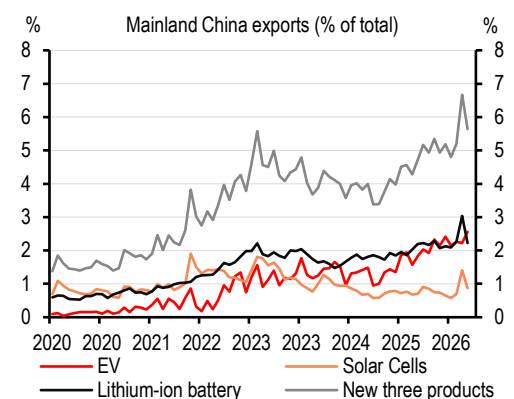
[China's cautious consumers](#) aren't ready to change their spending behaviour (22 May). In the medium term, reforms to improve social safety net coverage and settle migrant workers in urban areas are likely to boost both consumption and investment (*China's urbanisation 2.0*, 29 May). In the near term though, supply chain restructuring linked to the USD30bn tariff reduction – likely concentrated in consumer goods – is promising to create jobs and improve consumer confidence.

Domestic demand has softened in April and May



Source: Wind, HSBC. Note: Shaded columns represent HSBC forecasts

Trade may be helped by energy-transition demand as well as lower US tariffs



Source: Wind, HSBC

Policy issues

Fiscal policy took a breather in April and May, as special local government bond issuance slowed, standing in contrast to the accelerated pace in Q1. This partly explains the more muted FAI growth and credit lending during these months as well. Nonetheless, there are areas where fiscal spending has stayed elevated, especially those backing key national projects such as urbanisation, connectivity and technology development. In Q1, special local government bond issuance for municipal and industrial parks, transport infrastructure and affordable housing accounted for more than 60% of total issuance (stcn, 14 April).

Looking ahead, as domestic demand has been facing increased pressures, there will likely be a stronger policy push to provide countercyclical support. However, China is more likely to focus on front-loading fiscal spending rather than introducing new cyclical stimulus (broad-based fiscal deficit for 2026 is 9.5% of GDP).

On the monetary side, the PBoC is also adopting a wait-and-see stance, given signs of reflation in both CPI and PPI. It's also unclear whether easing, through rate cuts or liquidity injection, would translate effectively into real-economy stimulus, given already ample interbank liquidity. We expect the stance to stay "moderately loose" but no longer expect either further rate cuts or RRR cuts. Targeted structural tools may be preferred if needed.

There will also be increased emphasis on structural policies to implement China's growth transition. Policies to drive forward industrial modernisation, alongside a push for new urbanisation and improved social safety net coverage will help to lift both investment and consumption.

Risks

Risks to the outlook are broadly balanced. On the downside, a reescalation of conflict in the Middle East could weigh on global growth and drive-up inflation, while increased uncertainties with non-US trade partners such as the EU could also weigh on the external sector. Moreover, a sluggish property sector recovery, signs of increased labour market pressures or delays in policy implementation could also dampen growth.

On the upside, a more stable US-China relationship could support trade and investment, while China's narrowing tariff disadvantage – thanks to recent agreements and improved global engagement – may provide additional tailwinds.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	5.0	4.6	4.7	5.0	4.6	4.4	4.5	4.5	4.7
GDP (% quarter)	-	-	-	1.3	0.9	1.0	1.2	1.3	1.1
Primary industry	4.0	3.8	3.9	3.8	4.0	3.7	3.8	3.6	3.8
Secondary industry	4.5	4.2	4.5	4.9	3.7	4.0	4.3	3.9	4.7
Tertiary industry	5.4	5.0	4.9	5.2	5.2	4.8	4.7	4.9	4.8
Consumer spending	5.5	4.9	5.6	-	-	-	-	-	-
Government consumption	2.4	4.5	5.2	-	-	-	-	-	-
Investment	0.9	2.0	3.8	-	-	-	-	-	-
Exports	5.4	13.8	0.5	14.7	15.0	13.0	12.5	-3.4	-2.0
Imports	0.2	19.3	-0.2	23.0	24.0	16.0	15.0	-2.7	-3.8
Industrial production	5.9	4.8	4.7	6.1	4.0	4.4	4.6	4.1	5.3
Wage growth	4.3	5.1	5.2	-	-	-	-	-	-
Consumer prices	0.0	0.9	1.0	0.8	1.2	0.9	0.8	1.2	0.9
Current account (USDbn)	735.0	732.3	741.1	184.1	98.9	206.6	242.8	155.0	103.0
Current account (% GDP)	3.7	3.4	3.2	3.8	1.9	3.7	4.0	2.9	1.8
Budget balance (% GDP)	-4.0	-4.0	-4.0	-3.2	-3.9	-5.6	-8.1	-1.4	-4.3
Gross external debt (% GDP)	11.9	11.1	10.3	-	-	-	-	-	-
CNY/USD*	6.99	6.72	-	6.89	6.78	6.75	6.72	6.7	6.68
Policy rate*	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40	1.40

Note: *Period end. Annual budget balance refers to balance of general public budget after adding withdrawals from central fiscal stabilisation fund, central government managed fund, SoE fund, and use of carry-forward funds. Quarterly budget balance refers to balance of general public budget before the adjustment.
Source: CEIC, HSBC estimates

Asia Pacific

Japan

Weathering the storm

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Japan's resilience has held up amid the global energy crisis. Despite disruptions to Middle East energy flows since the US-Iran conflict escalated on 28 February, Japan has managed to remain on a stable footing over the past four months by securing Gulf shipments that bypass the Strait of Hormuz, increasing purchases of US energy, and drawing on its sizeable national reserves.

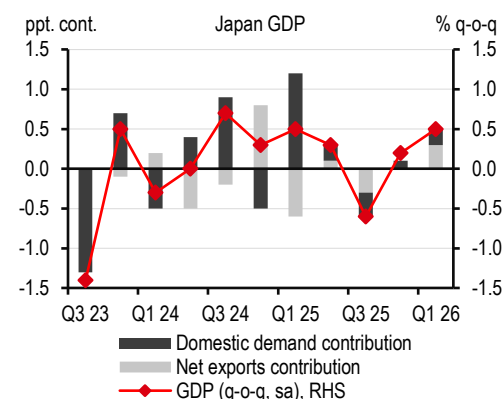
First quarter GDP this year outperformed market consensus, delivering a second consecutive quarter of positive growth. Exports have been a bright spot, underpinned by strong global demand for semiconductors, chip materials, chipmaking equipment, and other AI-related hardware. Yen weakness has also supported external demand by improving the price competitiveness of Japanese exporters. Meanwhile, private investment remains robust, reflecting positive business sentiment. The latest Tankan survey (26 February to 31 March) and the Finance Ministry's quarterly survey show cautious optimism, while corporate profits strengthened further, partly supported by the global AI capex upcycle.

Household confidence, however, is notably more fragile due to rising inflation. Even so, fiscal measures are cushioning household spending, including fuel subsidies introduced on 19 March that cap retail gasoline prices at JPY170/litre, planned summer electricity and gas subsidies of around JPY5,000 per household, and stimulus from the FY2025 supplementary budget, including a one-off cash handout of JPY20,000 per child starting in February 2026, all of which should help private consumption.

That said, downside risks to growth are becoming more visible. Export growth outside of AI-related categories is materially softer, and Japan's automakers, being slower to pivot to electric vehicles, are losing market share in Southeast Asia amid intensifying competition from Chinese brands. Inbound tourism has also softened, reflecting strained ties with China since last November. Private consumption is still positive but remains vulnerable given households' heightened sensitivity to inflation and the impact of Yen weakness on import costs. Although structural labour shortages are driving nominal wages, real wage growth could come under pressure if inflation rises further.

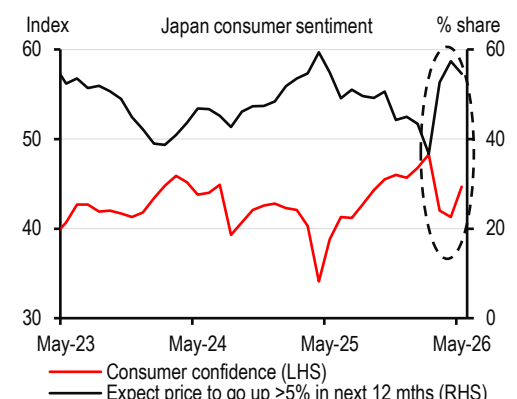
We keep our annual GDP forecasts unchanged from a quarter ago, with growth at 0.7% y-o-y this year and 1.0% in 2027. However, Japan's inflation trajectory has clearly shifted higher, as reflected in the Bank of Japan's (BoJ) latest quarterly Outlook Report. We therefore revise our inflation forecasts higher, with headline CPI raised from 2.2% to 2.5% for 2026 and from 1.7% to 2.3% for 2027.

Growth stayed resilient in 1Q26, but downside risks loom in 2H26



Source: Macrobond, HSBC

Consumer sentiment has deteriorated as inflation expectations increase



Source: Macrobond, HSBC

Policy issues

Since taking office last October, Prime Minister Sanae Takaichi has promoted “responsible and proactive” fiscal policy to support growth (Prime Minister’s Office, 20 February 2026). In December 2025, Japan passed a JPY21trn (2.7% of GDP) FY25 supplementary budget aimed at easing cost-of-living pressures and strengthening longer-term strategic investments. On 5 June 2026, Japan’s parliament enacted a JPY3trn (0.4% of GDP) FY26 supplementary budget to fund the emergency gasoline price cap and summer energy subsidies. Towards the end of this year, the government may need to prepare a second supplementary budget to fund more household relief measures.

The global energy price shock has shifted the BoJ’s emphasis towards containing upside inflation risks. Early in the Gulf conflict, it appeared that Governor Ueda might look through the supply shock and adopt a cautious wait-and-see approach. More recently, however, the BoJ has moved to get ahead of the inflation surge, seeking to avoid a repeat of the 2022 Ukraine war-driven inflation episode, as reflected by the rate rise at the 16 June Monetary Policy Meeting (MPM). With proactive fiscal policy supporting growth, we see scope for the BoJ to deliver another 25bp hike this year at the 18 December MPM, taking the policy rate to 1.25% by year-end.

Risks

PM Takaichi’s preference for fiscal expansion supports near-term growth, but it has also heightened investor concerns about fiscal slippage, as reflected in increased Japanese government bond market volatility. We think these concerns could intensify if a potential second FY26 supplementary budget towards year-end exceeds last year’s JPY18trn amount. In addition, if the Middle East conflict persists through the second half of this year, Japan would face not only sustained energy price pressure but also broader supply-chain disruptions for manufacturers reliant on helium, aluminium, naphtha, and other critical inputs that transit the Strait of Hormuz.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.1	0.7	1.0	0.4	0.5	0.9	0.9	0.7	0.6
GDP (% quarter)	-	-	-	0.5	0.5	-0.2	0.1	0.3	0.4
Consumer spending	1.3	0.3	0.7	1.2	0.7	-0.3	-0.4	-0.4	0.2
Government consumption	0.9	1.1	0.8	1.4	1.0	1.1	0.9	0.8	0.8
Investment	0.9	0.8	1.3	0.5	0.2	2.0	0.7	1.1	1.1
Stockbuilding (% GDP)	0.1	0.0	0.0	-0.3	0.0	0.0	0.0	0.0	0.0
Domestic demand	1.4	0.4	1.0	0.2	0.5	0.6	0.5	0.7	0.6
Exports	2.5	1.9	2.0	2.1	0.6	2.4	2.5	1.3	1.7
Imports	3.8	1.1	2.0	1.3	0.6	1.1	1.4	1.6	1.8
Industrial production	-0.3	2.3	0.0	1.2	2.0	3.0	2.9	0.3	-0.1
Unemployment (%)	2.5	2.6	2.5	2.7	2.6	2.5	2.5	2.5	2.5
Wage growth	2.3	2.2	1.7	3.0	2.1	2.1	2.0	1.8	1.6
Consumer prices	3.2	2.5	2.3	1.4	2.8	3.3	2.4	2.5	2.4
Current account (USDbn)	214.7	244.3	237.5	62.3	60.0	59.1	62.8	62.3	59.3
Current account (% GDP)	5.1	5.9	5.7	6.0	5.8	5.7	6.1	6.0	5.7
Budget balance (% GDP)**	-4.0	-5.6	-2.4	-	-	-	-	-	-
Gross external debt (% GDP)**	116.8	115.5	118.0	-	-	-	-	-	-
Gross government debt (% GDP)**	203.6	193.6	191.7	-	-	-	-	-	-
JPY/USD*	157.0	162.0	-	159.0	160.0	161.0	162.0	163.0	164.0
Policy rate (%)*	0.75	1.25	1.25	0.75	1.00	1.00	1.25	1.25	1.25

Source: CEIC, Cabinet Office, MoF, BoJ, HSBC
Note: *Period end **Data on fiscal year basis

Asia Pacific

India

One year, two shocks

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Despite being three months into an energy shock, growth is holding up. We believe the front-loading of manufacturing activity has had an important role to play. Manufacturers are stocking up, leading to a rise in jobs, output, and stocks of finished goods. This is also keeping demand for working capital elevated, showing up in the c18% y-o-y credit growth.

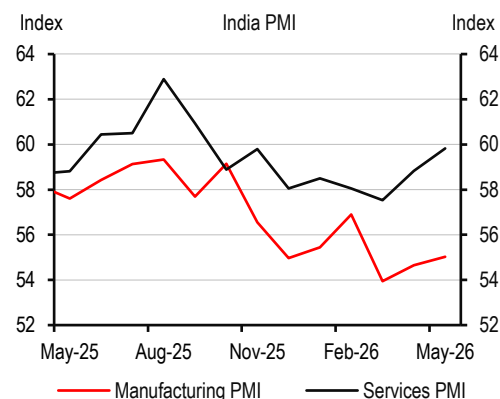
Some of this could reverse in Q3 26. As front-loading activity softens, the true lingering impact of the energy shock could show up - higher cost of inputs and weaker exports. To this, we also need to add the indirect shock to many corporates who are not getting access to industrial feeds like petrochemicals.

Even before the energy crisis is fully resolved, El Niño has set in. Our analysis shows that rising temperatures and heatwaves are far more disruptive for food production and inflation than insufficient rains. The spread of irrigation facilities has helped in the management of drought-like situations. But there is no magic wand for dealing with heatwaves. We find that the temperature spikes in El Niño years are rising with time, and are now crossing important thresholds, where they not just impact perishable crops such as fruits and vegetables, but also hardy ones like rice, wheat, pulses, edible oils, poultry, and dairy.

On the back of the energy shock and its spillover impact on industrial feeds as well as the disruption caused by a likely El Niño, we forecast GDP growth to average 6.3% in FY27, versus 7.7% in FY26. We assume that half of the El Niño shock will show up in FY27, and the other half in FY28.

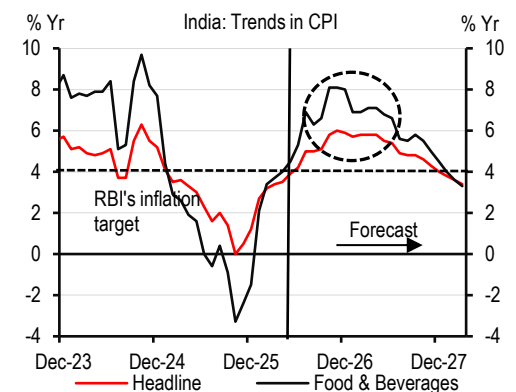
We also have an eye on India's medium term growth prospects. Here we believe that India's enhanced integration with world trade in an important development for growth. For a country which has dragged its foot on big trade deals, two big ones were finalised in quick succession with the EU and the US in early 2026. The former can have large economic benefits. After all, India and the EU make up 25% of global GDP, but their bilateral trade is only 0.6% of global trade. Enhanced integration can help both sides not just in trade, but also strategic partnerships in energy security, defence and financial services. And the trade deal with the US led to a cut in the tariffs on India (from 50% to 18%, and then to 10% when the IEEPA tariffs were struck down, though deliberations under Section 301 can lead to new tariffs). Alongside, more openness to FDI, and a lowering of non-tariff barriers, could help India grow its manufacturing and export sectors over time.

Growth remains strong, led by frontloading manufacturing activity



Source: CEIC, HSBC

Inflation is likely to spike, making way for (shallow) rate hikes



Source: CEIC, HSBC.

Policy issues

We think the RBI took a split approach in its June meeting, going “all in” on FX with a broad package of measures, while staying more restrained on rates by holding the repo rate at 5.25%.

On the INR, the RBI opened a subsidised window for NRI deposits under which it will bear the full hedging cost for fresh 3–5 year deposits raised by banks. It also introduced a cheaper FX swap to encourage PSUs to raise ECBs. Launching both measures together signals an “all-in” approach. To support FII investment in government bonds, authorities cut the 12.5% long-term capital gains tax and the 20% withholding tax on interest income. The fully accessible route (FAR) G-sec universe was also expanded to include 15-, 30- and 40-year G-secs. Even if near-term bond inflows are modest, these are positive, market-deepening steps, and could help pave the way for inclusion in new bond indices.

Ahead of these announcements, we were expecting a BoP deficit of USD65bn in FY27. Inflows from these schemes could cover that shortfall. That said, a large forward book, alongside still-sluggish FDI and foreign equity inflows, remains a concern. Higher INR liquidity from these inflows could also ease financial conditions, as funds are deployed across channels – into corporate and government bonds, or towards retiring high-cost deposits and supporting new lending.

In our view, the decision to keep rates unchanged reflected a desire to keep the focus on the FX package and avoid signalling that it is using a “rate defence” to support the INR. That said, the RBI raised its inflation forecast for the year to 5.1% (we also expect 5.1% inflation in FY27) from 4.6%, and flagged upside pressures, while revising up its core inflation projection. We think this guidance leaves the door open to rate hikes. Even if the recent decline in oil prices lower inflationary pressures, El Nino led disruption could raise it back up. We therefore forecast two 25bp rate hikes in Q4 26, taking the repo rate to 5.75%. However, we don’t expect a prolonged tightening cycle, as growth is also likely to soften, limiting how far the RBI can go.

Risks

The combination of the oil price shock lingering for longer and the coming of a super-El Niño could hurt all economic variables. US tariffs on Indian goods have been lowered, but could be pushed back up under Section 301 investigations. India has announced an impressive FX package, but needs to follow up with reforms which bring in FDI and foreign equity inflows.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP (calendar year)	7.5	6.8	6.4	7.8	7.6	6.2	5.7	5.9	6.3
GDP (% quarter)	-	-	-	1.5	1.8	0.9	1.4	1.6	2.2
GDP (fiscal year)**	7.7	6.3	6.6	7.8	7.6	6.2	5.7	5.9	6.3
Consumer spending**	7.7	6.2	7.1	7.1	7.5	6.0	5.5	6.0	6.5
Government consumption**	5.5	6.5	5.9	4.9	7.5	6.5	6.0	6.0	7.0
Investment**	8.2	6.9	7.1	10.8	9.5	6.5	5.7	6.0	7.0
Stockbuilding (% GDP)**	1.3	1.4	1.4	1.2	1.6	1.4	1.3	1.3	1.6
Domestic demand**	7.5	6.5	7.0	8.3	8.5	6.3	5.6	5.6	6.7
Exports**	6.3	3.8	6.6	3.7	4.0	3.5	3.5	4.0	6.0
Imports**	5.6	7.9	5.8	1.9	8.5	8.0	7.5	7.5	6.5
Industrial production**	4.1	3.1	3.3	4.8	4.1	3.0	2.5	2.9	2.8
Consumer prices**	2.0	5.1	4.6	3.1	3.9	5.0	5.9	5.7	5.5
Current account (USDbn)**	-25.4	-71.4	-68.3	7.0	-11.3	-27.7	-24.8	-7.5	-14.3
Current account (% GDP)**	-0.7	-1.7	-1.5	0.7	-1.2	-2.9	-2.3	-0.7	-1.4
Budget balance (% GDP)**	-4.4	-4.7	-4.5	-	-	-	-	-	-
Gross external debt (% GDP)**	19.6	19.8	19.9	-	-	-	-	-	-
Gross government debt (% GDP)**	83.2	81.0	80.3	-	-	-	-	-	-
INR/USD*	89.9	95.50	-	94.80	94.50	95.00	95.50	96.00	96.50
Policy rate (%)*	5.25	5.75	5.75	5.25	5.25	5.25	5.75	5.75	5.75

Note: *Period end ** Data on fiscal year basis, e.g. 2025 refers to fiscal year ending March 2026.
Source: Reserve Bank of India, CEIC, HSBC forecasts

Asia Pacific

Australia

Downswing underway

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To seek to get inflation down, after it was resurgent in the second half of 2025, the RBA has tightened monetary policy quickly – lifting its policy rate at three back-to-back meetings in H1 2026 by a total of 75bp to 4.35%.

The tightening has largely been in response to a domestic inflationary challenge, although the Middle East conflict shock is also expected to drive inflation higher yet.

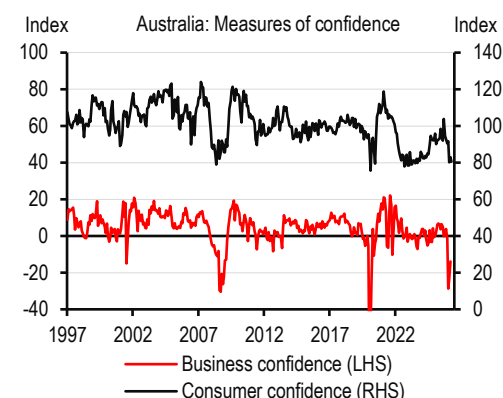
The combination of this monetary policy tightening and the Middle East conflict shock appears to have hit the economy reasonably hard. Business and consumer confidence indicators fell sharply in March and April, to low levels. Household spending fell in April, after solid growth in Q1 (even the Q1 figures showed a slowdown in discretionary consumer spending). The jobs market appears to have weakened, with the unemployment rate rising sharply in April, to a four-year high. The housing market has cooled, with auction clearance rates declining sharply and national housing prices falling in recent months.

A further shock to the economy arrived in the form of the Federal budget, on 12 May, which announced big shifts in tax policies. These included the removal of some of the incentives in the tax system that encourage investors to buy existing dwellings and an increase in capital gains tax for a range of asset classes, including existing dwellings. This has contributed to the cooling of the housing market. A temporary reduction in fuel excise has helped to lower headline inflation in the short run but is also likely to support demand and thus medium-term inflation.

A deeper challenge persists, with labour productivity growth at a sluggish 0.3% y-o-y in Q1, which is at its decade average and is very low in historical terms. On the positive side, there has been a ramp up in investment in datacentres over the past year. Over time, greater adoption of AI by businesses could help to lift productivity, although take-up of AI by firms has been slow.

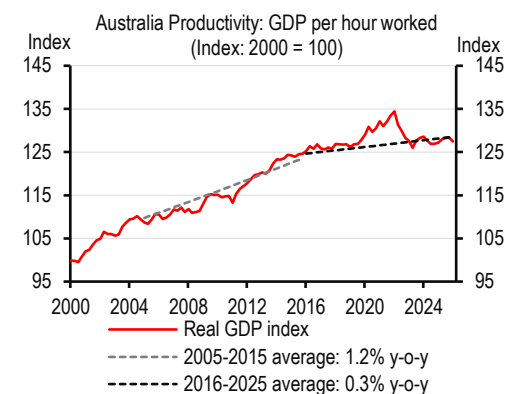
We revise down our growth forecasts to 1.5% for 2026 (previously 1.7%) and 1.0% for 2027 (previously 1.2%). We see headline inflation of 4.3% in 2026 (unchanged), falling to 2.5% in 2027 (previously 2.8%). Core inflation is still expected to peak at 3.6% in Q2 2026, before gradually trending lower, such that it averages 3.5% in 2026 (previously 3.4%) and 2.9% in 2027 (previously 3.0%).

Sentiment has weakened sharply recently



Source: ABS; HSBC

Productivity growth remains very weak



Source: ABS; HSBC

Policy issues

A key challenge for policymakers has been the resurgence in inflation that occurred through the second half of 2025 and into early 2026.

This has meant that core inflation (on the trimmed mean measure) has picked up from a recent low-point of 2.7% y-o-y in mid-2025 to be at 3.5% y-o-y in Q1. The trimmed mean has been above the 2.5% mid-point of the RBA's target band for over four years. The Middle East conflict shock means that headline inflation rose sharply in March and stayed high in April, although it fell back a bit due to excise cuts. We expect trimmed mean inflation to rise a bit further in Q2. In response to the pickup in inflation, which has mostly been due to local aggregate demand outpacing aggregate supply, the RBA has lifted interest rates to seek to get inflation to head back to target by weakening demand. There is some risk the RBA may choose to tighten a bit further yet, but our central case is that the tightening phase is done, given weakening growth.

The deeper challenge is that weak productivity has been weighing on aggregate supply, such that the economy's potential growth rate (its 'speed limit'), is at an historical low of around 1.8% y-o-y on our estimates.

The recent budget announced significant changes to the tax system. These changes mean higher tax revenues and redistribute the new burden towards wealth taxes. However, the changes did little to improve the efficiency of the tax system and thus support a pickup in productivity. Some incremental measures were announced to support productivity growth, but we expect the effect of these to be limited and lagged. Although Australia only has low reserves of diesel and petroleum onshore, policymakers have been shoring up supplies through bilateral arrangements with supplying nations, particular in Asia. The budget included measures to increase reserves in coming years.

Risks

A key risk to the economy is that it enters a more sustained downturn and potentially a recession. The recent sharp fall in sentiment and timely activity indicators suggest that the economy weakened in Q2, from already sluggish growth in Q1. A downturn could clearly be further exacerbated if the Middle East conflict continues and the Strait of Hormuz remains closed, which could weaken growth in Australia's major trading partners and deliver more local supply chain disruptions – particularly for diesel and fertilisers.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	2.0	1.5	1.0	2.5	1.5	1.4	0.8	0.7	1.1
GDP (% quarter)	-	-	-	0.3	-0.1	0.3	0.3	0.2	0.3
Consumer spending	2.1	1.4	0.7	2.5	1.4	1.0	0.8	0.5	0.7
Government consumption	3.4	2.2	1.7	2.8	2.4	2.0	1.5	2.0	1.7
Investment	2.3	4.8	1.6	6.5	5.8	3.3	3.5	0.4	2.2
Stockbuilding (% GDP)	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Domestic demand	2.3	2.4	1.1	3.5	2.4	2.1	1.5	0.8	1.3
Exports	2.7	3.4	2.3	3.7	4.1	3.5	2.2	3.8	1.9
Imports	3.8	6.9	2.9	7.8	8.0	6.5	5.6	4.2	2.7
Industrial production	0.1	2.1	2.2	2.6	1.7	2.6	1.4	2.6	2.2
Unemployment (%)	4.2	4.6	5.0	4.2	4.4	4.7	4.9	5.0	5.0
Wage growth	3.4	3.2	3.1	3.2	3.5	3.0	3.0	3.1	3.0
Consumer prices	2.8	4.3	2.5	4.1	5.0	4.1	3.9	3.1	2.2
Current account (USDbn)	-49.8	-60.9	-44.0	-18.5	-15.6	-14.5	-12.3	-10.1	-10.4
Current account (% GDP)	-2.7	-2.9	-1.9	-3.7	-2.9	-2.7	-2.2	-1.8	-1.8
Budget balance (% GDP)	-0.4	-1.1	-1.3	-	-	-	-	-	-
Net government debt (% GDP)	19.9	21.5	23.0	-	-	-	-	-	-
AUD/USD*	0.67	0.71	-	0.69	0.70	0.70	0.71	0.72	0.72
Policy rate (%)*	3.60	4.35	3.85	4.10	4.35	4.35	4.35	4.35	4.35

Source: HSBC estimates
Note: *Period end

Asia Pacific

South Korea

Anticipating stronger spillovers

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Korea's growth is gaining momentum. Following the stronger-than-expected rebound in Q1 26 (1.8% q-o-q sa vs. -0.1% in Q4 25), available growth proxies suggest that Korea's economy could eke out another expansion this quarter. While global AI capex demand is expected to buttress Korea's IT exports further, we are also baking in a stronger transmission of export gains to domestic demand from H2 26 and more visibly in 2027. As such, we upgrade 2026/2027 GDP forecasts to 2.8%/2.0%.

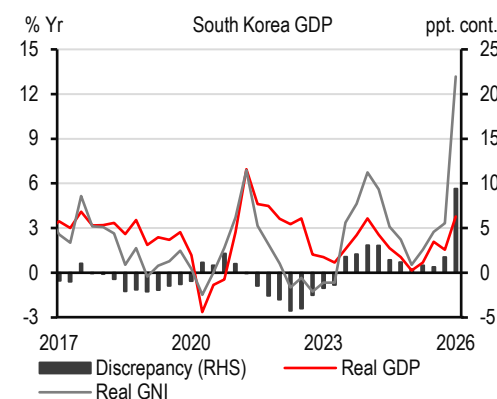
This is for two reasons. The first is signs of even stronger memory exports ahead. Available data from April-May show that, despite Q1 26's unusual strength (6.0% q-o-q sa; the fastest growth since the GFC excluding Covid), goods exports could pick up further in the second quarter. Robust capex guidance from major global tech firms and the continued rise in memory prices, reflecting soaring demand for Korea's high-end chips, suggest there is still more runway ahead. Domestically, while the strong momentum is broadening to other IT segments, the increasing capex by Samsung Electronics and SK Hynix will sustain overall recovery in facilities investment as well.

That said, the semiconductor strength is nothing new, while not all is good in Korea's exports. The non-IT export recovery is still showing sluggishness, while higher inflation and major central banks' hawkish turns could weigh on the non-IT sector further. Meanwhile, the semiconductor sector's capital-intensive nature has so far translated to rather limited spillover to domestic demand.

In this regard, the second reason comes from a rising likelihood of a broader spillover from the semiconductor sector's strong performance to the rest of the economy. The strong memory upcycle has lately led to a c150% y-o-y rise in memory export prices, more than outweighing higher energy import prices. As a result, Korea's terms-of-trade and hence purchasing power rose steeply, with real GNI outpacing GDP by a wide margin. The gains should increasingly accrue to workers and households as well, given recent developments in major semiconductor producers' compensation. In turn, we now expect private consumption to grow by c2% y-o-y in 2027 as well (vs. 1.7% previously).

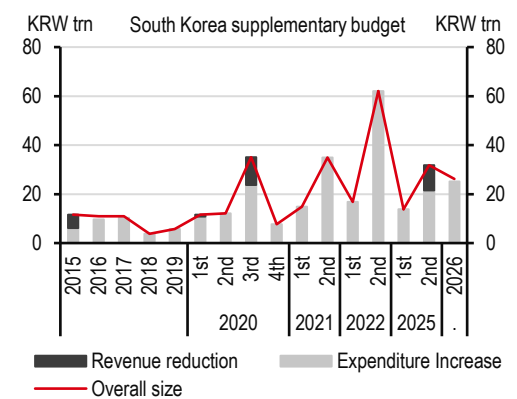
Admittedly, the semiconductor sector employs only a small fraction of the labour force and has a lower marginal propensity to consume. Even so, spillovers can still come via fiscal policy through higher tax revenues. Indeed, the KRW26.2trn-sized supplementary budget from April, inclusive of household consumption supports, was already largely funded by expected excess tax revenues. We also take into account a modest wealth effect from the AI-driven surge in domestic equities.

The steep rise in terms-of-trade has led to a significant increase in national income



Source: CEIC, HSBC

Korea's 2026 supplementary budget was funded by excessive tax revenues



Source: MoFE, HSBC

Policy issues

Korea's headline inflation picked up to 3.1% y-o-y in May. With global oil prices showing signs of stabilising, we expect inflation to start decelerating from Q3 26, even though the path could prove bumpy – including the likely one-off uptick in August due to low base effects.

Meanwhile, underlying core inflation could remain stickier and slower to decelerate. Core inflation rose to 2.5% y-o-y in May, but second-round effects from energy still look limited so far. Specifically, the upward momentum has mainly come from transport-related services including airfares, auto rental fees, and group tour prices.

However, with local manufacturers continuing to report elevated input costs, there are nascent signs of their pass-through into industrial goods prices. Taking into account our more positive view of the spillover from export income to domestic demand, we now project a somewhat more persistent momentum in core inflation.

In May, the Bank of Korea (BoK) under the new Governor Shin Hyun Song demonstrated a notably hawkish shift in its forward guidance. Even though the policy rate was kept unchanged at 2.5%, there were two dissenters calling for a 25bp hike, and its conditional six-month forward guidance was suggestive of one to two hikes. Perhaps more importantly, the BoK demonstrated its confidence in the export-to-income spillover. Also given financial stability concerns, especially on the FX front, we now expect the BoK to deliver a pre-emptive 25bp hike in July, followed by another 25bp hike in Q4 26. We think risks are high for an additional hike in H1 27, for which we will monitor incoming data and fiscal policy developments.

Risks

Externally, apart from the Middle East conflict and global oil price trajectory, strength and duration of the ongoing AI boom pose double-sided risks to Korea's growth. A deterioration in global tech companies' demand for Korea's high-end products will weigh on growth, while we watch out for its potential fallout for the AI-theme-driven domestic equity market and the implications for FX. Relatedly, we also monitor the degree of hawkishness by major central banks – especially the US Fed. Domestically, more proactive fiscal policy could provide upside risks to both growth and inflation.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.1	2.8	2.0	3.8	3.2	2.0	2.4	1.3	1.8
GDP sa (% q-o-q)	-	-	-	1.8	0.1	0.2	0.3	0.7	0.6
Consumer spending	1.5	2.1	2.1	2.7	2.4	1.7	1.7	1.7	2.0
Government consumption	2.7	2.3	2.2	3.1	3.0	1.9	1.2	2.3	1.8
Investment	-3.4	1.7	2.2	1.5	1.4	0.8	3.0	0.8	2.1
Stockbuilding (% of GDP)	0.0	0.2	0.2	-0.2	0.2	0.4	0.4	0.3	0.2
Domestic demand	-0.4	2.1	2.2	2.5	3.0	0.9	2.1	1.9	2.1
Exports	4.3	7.8	3.1	11.8	7.5	5.3	7.1	2.0	2.9
Imports	3.3	6.1	3.4	8.5	5.1	4.9	5.9	2.8	4.0
Industrial production	2.9	3.4	1.0	2.8	4.3	2.8	3.7	0.5	0.7
Unemployment (%)	2.8	2.8	2.9	2.9	2.9	2.8	2.8	3.0	3.0
Wage growth	2.7	2.7	2.6	2.2	2.5	2.9	3.0	2.4	2.7
Consumer prices	2.1	2.7	2.4	2.1	3.0	2.9	2.8	2.8	2.2
Current account (USD bn)	123.1	346.2	279.6	74.4	97.9	91.8	82.1	91.9	78.0
Current account (% of GDP)	6.5	17.0	14.1	14.6	19.6	17.9	15.9	18.6	15.9
Budget balance (% of GDP)	-3.9	-3.1	-2.9	-	-	-	-	-	-
Gross external debt (% of GDP)	40.8	40.4	44.4	-	-	-	-	-	-
Gross government debt (% of GDP)	48.7	45.7	48.7	-	-	-	-	-	-
KRW/USD*	1440	1540	-	1519	1520	1530	1540	1550	1550
Policy rate (%)*	2.50	3.00	3.00	2.50	2.50	2.75	3.00	3.00	3.00

Source: HSBC estimates
Note: * Period end

Asia Pacific

Indonesia

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Market strain, policy pivot

There is much attention on Indonesia these days. Across the major asset classes - equities, bonds and FX - Indonesia has underperformed the broad EM index. A cursory glance suggests that even though markets have not performed too well, the economy is chugging along fine. GDP rose 5.6% in the quarter ending March, higher than the 5.1% growth in 2025. And even though inflation has risen, it remains well within the 2.5-3.5% range.

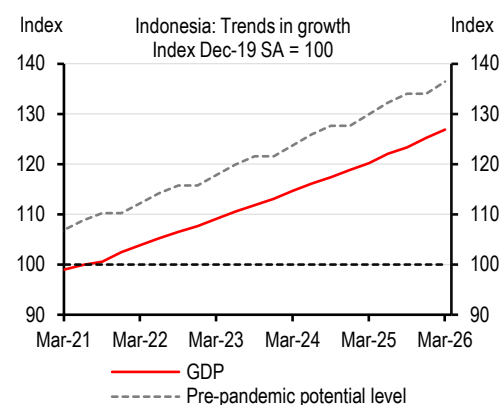
A deeper review, however, suggests that the economy has started to gradually reflect the impact of the energy shock, and markets may be partly reflecting that. On growth, the latest readings show a fall in retail spending, consumer sentiments and export orders. There has been a significant amount of frontloading in fiscal expenditure, and belts may have to be tightened in subsequent months if the 3% fiscal cap is to be met. We forecast GDP to grow 4.7% y-o-y in 2026 (versus 5.1% in 2025).

PMI input prices have risen quickly, and are gradually pushing up output prices. We forecast inflation to average 3.5% in 2026 (versus 1.9% in 2025). The latest trade data shows a fall in the monthly surplus, with export volumes falling even as import volumes shot up. Meanwhile capital inflows remain sluggish, weighing on the exchange rate. What steps should Indonesia take as the impact of the energy shock shows up more starkly?

Supply shocks such as rising energy costs and adverse weather are always tricky to deal with because they come with trade-off. Generally, inflation rises and growth falls during these shocks. Often, policymakers have to choose between the two. Should they run policies that prop up growth, or policies that cool prices? Eventually it all comes down to country-specific circumstances and objectives. So, what should Indonesia do?

To answer this, we need to narrow down the main issue that needs to be addressed in Indonesia. Some would argue that it's the currency, the IDR. The economic fundamentals behind the fall in the IDR seems to be the balance of payments, which is likely to post its second negative annual reading in 2026. It's tempting to say that Indonesia doesn't have a c/a deficit problem, as it is quite low (-0.1% of GDP in 2025). Rather, the economy has a capital inflows problem, which has been rather weak over the last year (-0.3% of GDP in 2025). The truth is that the two are interlinked. A low c/a deficit reflects weak investment. Indeed, we find that corporates are cash rich but are not investing. And weak investment and growth prospects hurt capital inflows.

Indonesia's persistent negative output gap



Source: CEIC, HSBC

Price pressures are rising



Source: S&P Global PMI, HSBC.

Policy issues

The 11% depreciation in the IDR versus the USD since early 2025 has not incentivised substantial 'expenditure switching' (i.e. more exports, lower imports), and cannot be relied on to close the BoP deficit on its own. Instead, 'expenditure compression', which slows excesses in growth, inflation and the twin deficits, may be the much-needed bitter pill.

In that vein, the recent policy pivot in early June towards orthodoxy, makes sense to us: (1) a clearer rate direction and higher yields across instruments via rate hikes (100bp so far) and reduced bond purchases by the authorities; (2) a greater reliance on temporary liquidity operations (such as repos) rather than permanent liquidity injections (via bond purchases); (3) incentives to reduce hedging costs for foreign investors; and (4) an emphasis on fiscal discipline to reinforce the 3% deficit cap.

Since the energy crisis started, BI has raised policy rates by 100bp. We expect further tightening to raise the IDR-USD rate differential, and forecast the next 25bp rate increase in 3Q2026, taking BI rate to 6%.

Most importantly, we think sustained domestic policy certainty at a time of global uncertainty, while the economy awaits an MSCI ruling and updates by ratings agencies, will be critical to reducing the risk premia and encouraging longer-term inflows.

Risks

Investors will be watching if the urgency to raise growth interferes with fiscal discipline. A lot of attention is also being paid to how Danantara's objectives, actions, finances, and corporate governance pans out. Markets are closely watching MSCI's verdict on equity markets, and comments/action by certain ratings agencies following a recent change in outlook to negative. If the USD continues to strengthen, and oil prices are high for long, pressure on the external accounts will likely mount.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	5.1	4.7	4.9	5.6	4.7	4.3	4.3	4.6	4.9
GDP (% quarter)	-	-	-	1.3	0.7	0.6	1.6	1.6	1.1
Consumer spending	5.0	4.8	4.8	5.5	4.5	4.7	4.5	4.5	4.5
Government consumption	2.5	9.8	4.8	21.8	12.0	5.0	5.0	4.5	4.8
Investment	5.1	5.0	4.8	6.0	4.5	5.0	4.5	4.5	4.8
Stockbuilding (% GDP)	1.6	1.9	1.8	3.0	2.9	1.6	0.1	2.9	2.8
Domestic demand	4.5	5.6	4.7	7.1	5.8	5.0	4.6	4.4	4.6
Exports	7.0	2.5	5.5	0.9	2.5	3.0	3.5	5.0	5.5
Imports	4.8	6.3	4.5	7.2	6.5	6.0	5.5	4.0	4.5
Industrial production	2.1	3.9	3.4	5.6	3.9	3.1	3.2	3.5	3.4
Unemployment (%)	4.9	5.0	4.9	-	-	-	-	-	-
Wage growth	1.4	3.3	4.0	-	-	-	-	-	-
Consumer prices	1.9	3.5	3.0	3.9	2.9	3.4	3.7	3.4	3.5
Current account (USDbn)	-1.5	-16.3	-12.1	-4.0	-6.9	-3.0	-2.3	-2.8	-3.8
Current account (% GDP)	-0.1	-1.1	-0.8	-1.1	-1.9	-0.8	-0.6	-0.8	-1.0
Budget balance (% GDP)	-2.9	-3.0	-3.0	-	-	-	-	-	-
Gross external debt (% GDP)	30.0	31.1	32.0	-	-	-	-	-	-
Gross government debt (% GDP)	40.5	40.7	40.8	-	-	-	-	-	-
IDR/USD*	16690	18000	-	16995	17800	17900	18000	18100	18200
Policy rate (%)*	4.75	6.00	5.50	4.75	5.75	6.00	6.00	6.00	6.00

Source: HSBC estimates Note: *Period end

Asia Pacific

Taiwan

AI boom powers growth upgrade

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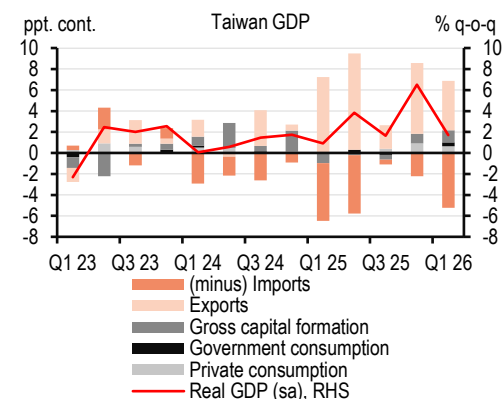
In our last outlook, we reiterated our positive view on Taiwan's economic expansion as robust global AI capex demand continues to support Taiwan's IT sectors. While this view is little changed, another strong quarter of growth in Q1 26 means that we further upgrade our GDP forecasts to 10.2% for 2026 and 5.3% for 2027 (from 7.0% and 3.8% previously).

We were anticipating a notable slowdown in Q1 26 (from the high Q4 25 base) despite the positive outlook. However, the extent of growth deceleration was rather limited (1.7% q-o-q sa vs. 6.5% in Q4 25). Specifically, exports continued to soar despite high base effects (6.1% q-o-q sa vs. 8.9%), with elevated monthly customs data from April-May suggesting that the AI boom is still well under way.

With global tech companies' guidance for future capex expected to rise further over 2027-28 and given HSBC global tech analysts' view that their funding conditions remain healthy (see *Global Tech: Cash me if you can: USD1.3trn and more to spend*, 26 March), we expect Taiwan's exports to remain in double-digit growth over 2026-27, albeit slowly moderating. This structural demand for Taiwan's AI-related electronics – linked to AI, high-performance computing, and cloud services – which account for c80% of overall exports, will likely prove relatively more resilient against the likely slowdown in global demand amid higher inflation and more hawkish central banks.

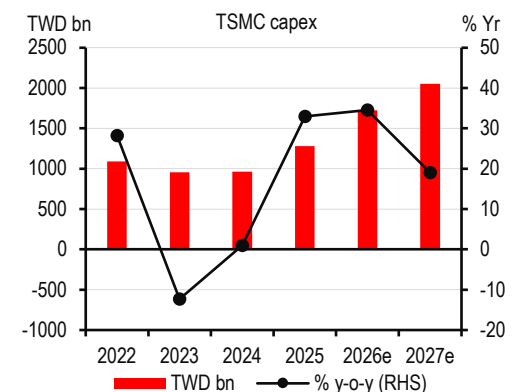
Export strength is now more clearly feeding through into domestic demand via capex and incomes. For instance, consensus expects capex by TSMC, which has accounted for c20% of total private investment in recent years, to increase by c35% this year (vs. 33.0% in 2025), buttressing overall momentum. Meanwhile, private consumption momentum also held up better than we previously thought (1.5% q-o-q sa in Q1 26 vs. 2.1% in Q4 25), with monthly proxies also pointing to a healthy momentum for Q2 26. This suggests the payback from the universal cash payout in November 2025 has been milder than we expected. With inflation unlikely to accelerate excessively and the buoyant stock market likely to gradually help sentiment recover and translate into modest wealth effect, we now expect private consumption recovery to be more robust than we previously thought.

Despite some moderation, Taiwan's GDP continued to expand strongly in Q1 26



Source: CEIC, HSBC estimates

TSMC's capex to buttress overall momentum



Source: Bloomberg, HSBC; Note: Bloomberg consensus as of 14 June

Policy issues

Taiwan's rise in inflation so far has remained largely manageable, coming in at 2.2% in May. In addition to the recent signs of stabilisation in global oil prices, the government's "dual price-mitigation mechanism" on retail fuel prices, along with the additional emergency mechanism and expansion of commodity tax cut on oil & gas from March, mean that the headline measure is likely to peak over the next few months, before gradually decelerating. Meanwhile, the pickup in non-oil inflation so far has also been limited in items and services directly related to higher transport costs.

However, stronger growth and a firmer core trend raise the likelihood that the Central Bank of the Republic of China (CBC) turns more hawkish over coming quarters, including a precautionary hike. As we noted in our last outlook, Taiwan's underlying core inflation was already rising gradually, while moves higher in fresh fruit and vegetable prices from the recent low levels, could also apply notable upward pressures to the headline measure. Inflationary pressures could also be broadening, suggesting that the uptrend in core inflation could prove more entrenched. As such, we expect the CBC to deliver a precautionary 12.5bp hike in December – as headline inflation could continue to hover above 2% in H2 26 and raise concerns that inflation expectations are being pushed higher (see [Taiwan central bank watch: Expecting a precautionary hike in December](#), 12 June).

On fiscal policy, the government's eight-year special defence budget (originally sized at TWD1.25trn) was passed at a size of TWD780bn (c2.7% of GDP). Meanwhile, in order to support the strengthened pricing mechanism by the state-owned CPC Corporation, the government also announced its plans to provide TWD350bn-sized capital injections over 2027-30. With tax revenues remaining healthy thanks to increased IT sector profits and domestic securities trading, we continue to expect Taiwan's fiscal stance to remain moderately loose, guided by the stringent Public Debt Act.

Risks

Externally, the strength of future AI demand poses a double-sided risk to Taiwan's growth. We also monitor the pace of normalisation in global energy flows and their prices, and their impact on global inflation and central bank responses – to the extent that they could still affect non-IT sectors. Domestically, the resilience of private consumption and strength of the second-round impact of higher energy prices will be important for both growth and the CBC reaction function.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	8.8	10.2	5.3	14.5	11.1	10.7	5.3	4.9	5.4
GDP sa (% q-o-q)	-	-	-	1.7	0.9	1.3	1.3	1.6	1.5
Consumer spending	1.4	4.4	2.5	4.7	5.1	4.7	3.1	2.3	2.4
Government consumption	1.2	4.1	3.4	4.1	2.2	4.5	5.3	3.1	3.4
Investment	10.8	7.7	1.3	6.2	8.2	9.2	7.2	3.2	0.9
Stockbuilding (% of GDP)	-0.6	-0.2	0.2	-0.3	0.1	-0.1	-0.7	0.1	0.8
Domestic demand	2.2	5.8	2.9	5.0	5.7	6.9	5.5	3.3	2.9
Exports	32.1	22.9	12.2	35.8	22.1	21.8	15.0	11.6	12.1
Imports	27.1	20.6	11.4	26.3	17.8	20.1	18.8	11.6	11.3
Industrial production	18.4	17.0	8.2	23.7	17.6	17.3	10.9	7.7	8.2
Unemployment (%)	3.3	3.3	3.2	3.3	3.4	3.4	3.4	3.3	3.2
Wage growth	3.1	2.6	2.7	2.7	2.6	2.6	2.6	2.6	2.6
Consumer prices	1.7	2.0	2.0	1.2	2.2	2.4	2.3	2.3	2.2
Current account (USD bn)	179.8	265.6	286.7	62.5	56.1	65.1	81.9	70.6	60.6
Current account (% of GDP)	19.6	25.0	26.1	24.9	22.3	24.1	28.6	26.2	23.0
Budget balance (% of GDP)*	-0.9	-1.3	-0.2	-	-	-	-	-	-
Gross external debt (% of GDP)*	26.6	23.8	24.0	-	-	-	-	-	-
Gross government debt (% of GDP)*	25.6	22.7	22.7	-	-	-	-	-	-
TWD/USD*	31.4	31.8	-	32.0	31.6	31.7	31.8	31.9	32.0
Policy rate (%)*	2.000	2.125	2.125	2.000	2.000	2.000	2.125	2.125	2.125

Source: HSBC estimates
Note: * Period end

Asia Pacific

Thailand

Policy clockwork

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Thailand was in a good position when the oil shock began. The economy had some degree of momentum before fuel prices spiked on 23 March 2026, the day the government lifted its price ceilings on fuel. Growth in Q1 2026 exceeded expectations, accelerating to 2.8% y-o-y despite the turmoil in the Middle East. Sectors and industries that are part of the data centre and AI supply chains were particularly buoyant. Goods exports from Thailand surged 15.5% y-o-y – the fastest since exports boomed during the COVID-19 lockdowns – with most of the outperformance seen in electronics. Thailand is a major producer of printed circuit boards and hard disk drives, two of the many types of hardware that make up the sophistication of a data centre.

Private investment, too, grew by double digits as some of the digital investments committed over the past two years (most AI-related) finally materialised. Business confidence, especially among large firms, was upbeat as Thailand garnered a renewed sense of political stability after the February 2026 general election. Private consumption also remained punchy, with consumers frontloading their automobile purchases ahead of the expiry of the EV 3.0 subsidy scheme.

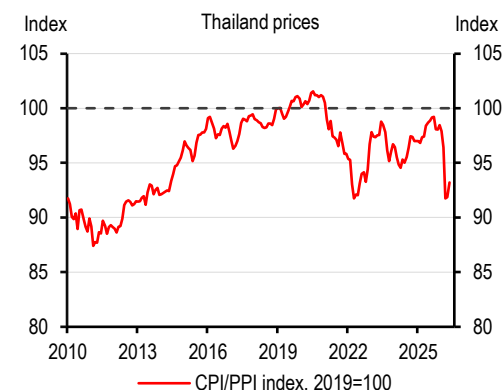
We expect the economy to ride this momentum through fiscal policy. The government has issued a THB400bn loan decree (2.1% of GDP), half of which will be used to finance consumer subsidies. The other half will be used to finance Thailand's energy transition. Given the size of the stimulus, we increase our 2026 growth forecast to 2.2% (prev. 1.6%).

Will the Thai economy defy the challenges brought by the Middle East conflict?

There are cracks that need to be monitored. For one, manufacturers that do not benefit from the ongoing AI boom still face intense competition from Chinese imports. Private consumption should also slow once the consumer subsidies are wound up, while households continue to face liquidity constraints. As a result, businesses have found it difficult to raise the prices of the goods and services they sell despite the jump in input costs. With profit margins squeezed, there will likely be less incentive to invest later this year and into the next.

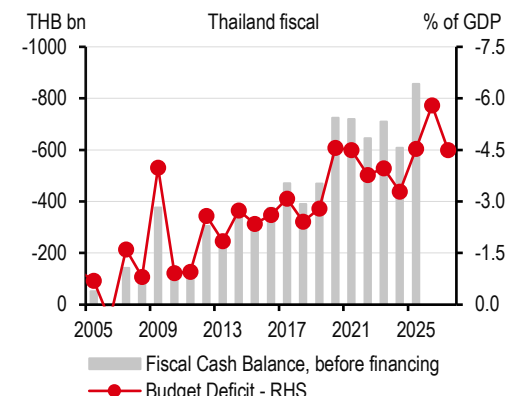
Overall, the growth outlook has likely improved in 2026, but 2027 will likely remain tough. We revise our 2027 growth forecast downwards to 1.7% (prev. 2.6%). And given the difficulty of passing higher costs on to consumers, we expect inflation to ease back to below 2% y-o-y as early as Q2 2027.

Firms have found it difficult to pass the higher cost of inputs to consumers



Source: Macrobond, HSBC

We expect fiscal policy to tighten in 2027 after a decade of widening deficits



Source: CEIC, HSBC. *2026-2027 are HSBC forecasts

Policy issues

Like the intricacy of clockwork that tells us time as accurately as possible, monetary and fiscal policy will need to move intricately together to keep growth this year and next smooth and sustainable. That requires reacting not just to what's happening today, but also to what may lie ahead as fiscal policy, for example, may soon take a much-needed break.

Despite the energy shock, we take a contrarian view and expect growth to be above 2% in 2026. This is because of Thailand's aggressive fiscal push and accommodative monetary policy. The administration's THB400bn fiscal stimulus will likely support consumption and investment. However, it will make use of most, if not all, of Thailand's remaining fiscal space; fiscal policymakers in Thailand have a voluntary public debt limit of 70% of GDP. With public debt-to-GDP at 66.6% as of April this year, policymakers will likely narrow Thailand's fiscal deficit in 2027 to comply with the limit they set.

Raising the voluntary public debt limit is another option. However, it has its trade-offs. Increasing bond supply would lead to higher interest rates and debt servicing costs – not the most ideal outcome for an economy that has seen subdued nominal GDP growth.

Hence, as the fiscal deficit has consistently widened over the past decade, we expect fiscal policy to take a step back in 2027 – a fiscally prudent move, but a move that would weigh on growth.

To make up for this, we expect monetary policy to do the heavy lifting. This would entail the Bank of Thailand (BoT) keeping monetary policy accommodative, despite the inflation risks looming over the economy. After all, businesses have found it difficult to pass on the cost of the energy shock to consumers. We expect the BoT to keep its benchmark policy rate unchanged at 1.00% until 2027 at the least. Keeping policy rates low would help soften the burden of tightening fiscal policy.

Risks

A credit rating downgrade remains a risk to the Thai economy. This is because a downgrade could lead to higher interest rates and debt-servicing costs. The average coupon rate that Thailand pays on its bonds is 2.8% (source: Bloomberg). Any increase in interest payments would make it difficult for Thailand to outgrow its debt, especially with nominal GDP growth averaging only 3.0% since 2023. A credit rating downgrade may, thus, require Thailand to tighten its fiscal policy even more.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	2.4	2.2	1.7	2.8	2.2	2.3	1.6	1.1	1.0
GDP (% quarter)	-	-	-	0.7	-0.1	-0.2	1.2	0.2	-0.2
Consumer spending	2.7	3.2	1.4	3.2	3.1	4.2	2.1	2.2	1.6
Government consumption	0.6	1.8	-1.5	3.4	1.7	3.6	-1.3	-2.3	-1.2
Investment	4.9	5.5	1.4	9.9	10.5	4.3	-1.6	-1.1	1.4
Stockbuilding (% GDP)	-2.5	-0.8	0.9	0.7	-2.1	-7.6	4.9	6.1	-1.7
Domestic demand	2.9	3.5	1.0	4.9	4.6	4.1	0.7	0.7	1.2
Exports	9.3	9.3	2.6	12.6	9.6	8.6	6.4	0.5	1.4
Imports	6.8	14.3	3.0	21.1	14.8	13.5	8.2	2.0	2.1
Industrial production	-0.4	1.0	1.3	0.9	1.0	1.0	1.0	1.3	1.3
Unemployment (%)	0.8	1.0	1.1	0.8	1.0	1.1	1.1	1.1	1.1
Wage growth	1.3	1.7	1.5	2.3	1.5	1.5	1.5	1.5	1.5
Consumer prices	-0.1	2.7	2.1	-0.5	2.9	4.0	4.3	4.4	1.7
Current account (USDbn)	15.9	2.9	12.2	3.2	-4.9	1.3	4.9	3.4	-1.5
Current account (% GDP)	2.8	0.5	2.0	2.1	-3.3	0.9	3.1	2.2	-1.0
Budget balance (% GDP)	-4.5	-5.8	-4.5	-	-	-	-	-	-
Gross external debt (% GDP)	36.2	35.0	35.6	-	-	-	-	-	-
Gross government debt (% GDP)	64.7	67.2	69.4	-	-	-	-	-	-
THB/USD*	31.5	33.4	-	33.0	33.0	33.2	33.4	33.6	33.8
Policy rate (%)*	1.25	1.00	1.00	1.00	1.00	1.00	1.00	1.00	1.00

*Period end. Source: HSBC estimates

Asia Pacific

Malaysia

Resilience is a virtue

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Until the Middle East conflict, the Malaysian economy was in a “Goldilocks” stage, with strong growth and stable inflation. But the conflict increases the possibility of downside risks to growth and upside risks to inflation, even if Malaysia has demonstrated more resilience than regional peers, as it is not only a net energy exporter, but also a key beneficiary of the sustained AI cycle. This is not to say that Malaysia will be insulated from the energy shock, but the impact should be smaller than for other economies, which are heavily dependent on energy imports from the Gulf.

Malaysia has started the Year of the Horse on a strong footing, growing 5.4% y-o-y. While construction cooled from double-digit to single-digit growth, the sustained strength in manufacturing and services has more than offset the former’s moderation. Exports remain strong, thanks to the ongoing AI-driven tech cycle. On a 3-month moving average basis, Malaysia’s electronics exports surged to 30% y-o-y.

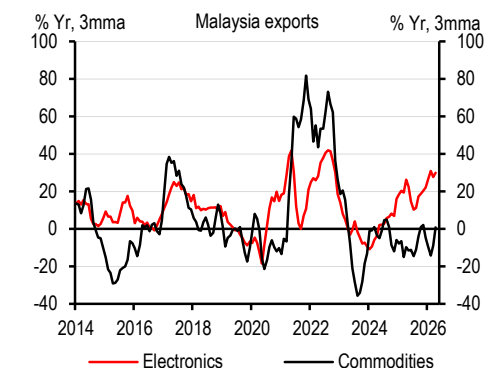
Elsewhere, inflation has been well behaved for a sustained period of time, averaging only 1.7% y-o-y in the first four months of 2026. This gives Malaysia one of the lowest inflation prints in ASEAN, significantly lower than peers such as the Philippines and Vietnam.

In the face of elevated energy prices, it is not hard to understand why: Malaysia has the region’s lowest petrol prices. Using the most common RON95 price as a gauge, Malaysia’s price remains at MYR1.99/l (USD0.5/l), 1/10 of that in Hong Kong, 1/5 of Singapore, 1/3 of Thailand and 1/2 of Vietnam. However, this is primarily due to heavy subsidies: RON95 at the market rate, or the unsubsidised rate, is twice that of the subsidised price.

However, this comes with significant fiscal costs. The monthly subsidy bill for energy has risen tenfold from MYR700m to MYR7bn due to the Middle East conflict. The hefty subsidies raise questions about what comes next for the RON95 policy, as it imposes a huge burden on Malaysia’s fiscal coffers. But the timing of any potential adjustments is also tricky, as the general election is approaching fast.

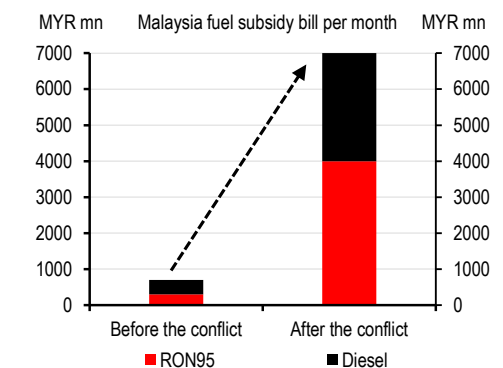
Overall, we maintain our GDP growth forecasts at 4.5% for 2026 and 4.7% for 2027. Bank Negara Malaysia (BNM) is one of the few Asian central banks to raise its 2026 growth forecast range, increasing it from 4-4.5% to 4-5%. We are revising our inflation forecasts upwards to 2.5% from 2.1% for 2026, and to 2.7% from 2.3% for 2027. However, we do not believe the price pressures are significant enough to prompt BNM to hike. We keep our long-held view that BNM will likely stay on hold in our forecast horizon throughout 2027.

Malaysia has been benefitting handsomely from the sustained AI-driven tech cycle



Source: CEIC, HSBC

Its petrol subsidy jumped tenfold to MYR7bn per month after the conflict



Source: Malaysia MoF, HSBC

Policy issues

On the monetary front, BNM remains in a comfortable position to keep its policy rate steady at 2.75%. As widely expected, BNM has been on hold since September 2025. Meanwhile, it has maintained its neutral tone in the latest statement in May. But there are two subtle changes that caught our eye (see: [BNM review](#), 7 May 2026).

One, BNM expects inflation to “edge higher”, rather than “to remain moderate” as stated in March. Still, BNM expects both core and headline inflation to “remain contained”, suggesting little concern about the inflation trajectory. Two, BNM views the monetary policy stance to be appropriate and “consistent” with the outlook, as opposed to “supportive” in earlier statements. The last time BNM swapped the two words was in May 2025, the meeting before its pre-emptive 25bp rate cut in July 2025. That said, we do not read too much into a word change or see it as a precursor to any potential moves. We see it as a way for BNM to express its flexibility when conditions change.

When monetary policy is steady, fiscal policy is in the spotlight. At the core of hefty subsidies lies the RON95 bill. According to the Ministry of Finance, subsidies for RON95 and diesel jumped tenfold to MYR7bn per month (0.3% of GDP) after the conflict. The total subsidy bill alone could balloon from the budgeted MYR15bn to MYR58.4bn in 2026. This raises the question of where additional funding will come from. While it remains unclear whether Petronas, Malaysia’s energy SOE giant, can contribute more dividends, a potential fiscal adjustment to the RON95 subsidy is likely to be required to keep the 2026 fiscal deficit at 3.5% of GDP (see: *Malaysia in Focus*, 22 May).

However, this poses a balancing act, as the RON95 subsidy has been a perennial sticking point in Malaysia’s public policy, with political implications. The timing of any potential adjustments is quite tricky as the clock is ticking ahead of the next general election, which needs to be called by December 2027. Both Johor and Negeri Sembilan state assemblies have been dissolved, raising questions about whether a snap election will take place this year.

Risks

The fate of the RON95 petrol price poses some upside risks to Malaysia’s benign inflation and downside risks to private consumption. It also puts the country’s fiscal consolidation plan into a slightly tricky situation. In addition, the election cycle is approaching, likely narrowing the window for any potential fiscal adjustments to RON95.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	5.2	4.5	4.7	5.4	4.6	4.4	3.8	4.4	4.7
GDP (% quarter)	-	-	-	0.0	0.9	1.1	1.0	1.2	1.2
Consumer spending	5.3	4.7	4.3	4.7	4.7	4.5	4.8	4.4	4.8
Government consumption	5.3	3.8	4.3	4.1	3.7	3.5	3.9	4.0	3.9
Investment	9.6	5.9	4.1	7.3	6.9	4.7	4.8	3.7	4.7
Stockbuilding (% GDP)	0.6	-0.1	0.3	-1.4	1.6	-1.3	0.7	-0.6	1.9
Domestic demand	6.0	4.1	4.6	5.0	5.1	3.7	2.6	5.1	4.9
Exports	4.9	4.7	5.0	5.2	4.8	4.5	4.3	4.9	4.8
Imports	6.3	4.0	4.9	4.6	5.5	3.5	2.6	6.0	5.2
Industrial production	3.4	3.8	4.4	4.0	4.1	2.8	4.1	4.9	4.2
Unemployment (%)	3.0	3.0	3.0	-	-	-	-	-	-
Wage growth	1.6	1.7	1.9	1.7	1.9	1.7	1.6	1.7	1.6
Consumer prices	1.4	2.5	2.7	1.6	2.3	2.9	3.3	3.5	2.8
Current account (USDbn)	7.7	11.0	12.0	3.8	1.4	2.0	3.9	3.9	2.0
Current account (% GDP)	1.6	2.1	2.3	3.0	1.1	1.5	2.9	3.0	1.5
Budget balance (% GDP)	-3.7	-3.5	-3.5	-	-	-	-	-	-
Gross external debt (% GDP)	68.9	69.2	69.7	-	-	-	-	-	-
Gross government debt ^A (% GDP)	82.6	84.3	85.2	-	-	-	-	-	-
MYR/USD*	4.06	4.15	-	4.05	4.10	4.12	4.15	4.18	4.20
Policy rate (%)*	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75

Source: HSBC estimates

Note: *Period end; ^AGovernment debt includes all debt and liabilities such as government guarantees

Asia Pacific

Singapore

Treading with prudence

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Singapore, a developed market (DM) growing like an emerging market (EM), has demonstrated impressive resilience in the face of the Middle East conflict. In fact, its Q1 26 GDP growth of 6% y-o-y placed Singapore as the second-fastest growing economy in ASEAN, just after Vietnam. But beyond the mere strong y-o-y print, Singapore's growth momentum was equally strong, reflecting the benefits of a diversified economy.

Although manufacturing momentum declined in Q1, it was more of a healthy pull-down from previous sustained manufacturing strength, supported by the AI-driven tech upcycle. In fact, based on high-frequency indicators, the electronics trade remains exceptionally strong. On a three-month moving average basis in April, electronics non-oil domestic exports (NODX) accelerated to over 60% y-o-y, pushing headline NODX close to 15% y-o-y.

But it's not only about AI. Singapore's resilience comes from its broad-based growth. For one, the construction sector saw growth of over 11% y-o-y in Q1, reflecting Singapore's push for large-scale public infrastructure. Meanwhile, the services sector also accelerated on a y-o-y basis, benefitting from robust wholesale and retail trade as well as the finance sector.

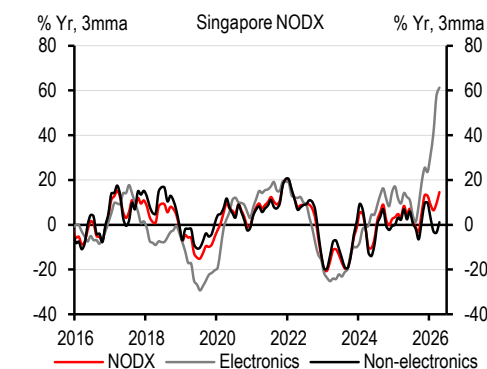
There is no time for complacency, as downside risks to growth linger, induced by the energy shock. However, Singapore is in a much better fiscal position than EM peers to provide much-needed relief. But it takes a cautious and measured attitude.

Overall, given the upside surprise in Q1 26 and the sustained AI cycle, we are increasing our growth forecast from 2.9% to 3.3% for 2026. This puts our forecast at the upper end of the government's growth forecast range of 2-4%. We maintain our 2027 growth forecast at 2.5%.

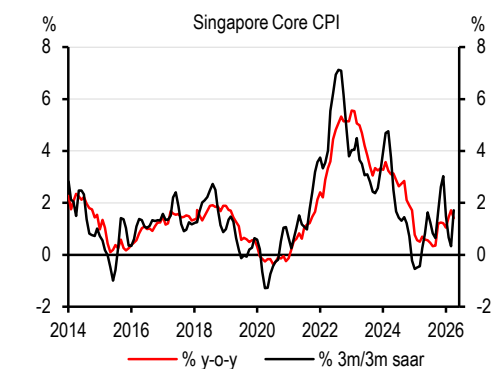
Outside of growth, inflation has been well-behaved, despite the energy shock. Core inflation, the MAS preferred inflation gauge, grew only 1.4% y-o-y on average in the first four months of 2026. However, the impact from higher oil prices is likely to be more evident from Q3 26, as there is usually a one-quarter lag from global energy prices to core inflation. Thus, the inflation impact is likely to be more evident in 2H26.

We are increasing our core inflation forecast to 2.0% (from 1.8%), but revising down our headline inflation forecast to 2.2% (from 2.4%) for 2026. Undoubtedly, inflation has re-emerged as a priority for the MAS. Given the current inflation trajectory, we think the MAS is more likely to take its time to assess the inflation impact, rather than resorting to a back-to-back tightening move in July.

Singapore's electronics non-oil domestic exports (NODX) have seen a jump in growth



Singapore's core inflation momentum has been volatile, but upside risks linger



Policy issues

After three pauses since July 2025, the MAS finally tightened its monetary settings in April 2026 via an increase in the SGDNEER slope (see: *MAS Review*, 14 April). The slope of the SGDNEER policy band was raised slightly, which we believe increased from 0.5% to 1.0%. There were no changes to the width and level at which the SGDNEER policy band is centred.

All the stars are aligned. First, inflation is a key factor behind the MAS's sustained hawkish tone. As we expected, the MAS upgraded both its core and headline inflation forecast ranges to "1.5-2.5%", marking the second time of such an upgrade since the release of the 2026 forecasts. In addition to the quantitative upgrade, the MAS used qualitative language to signal its inflation concern.

However, the MAS does not sound overly hawkish. The main reason is its more downbeat growth assessment. While the MAS adopts the Ministry of Trade and Industry's (MTI) 2-4% growth forecast range, the MAS has signalled its increased concern about growth challenges. The most evident example is that the MAS now expects the output gap to average around 0%. This was lowered from its assessment of a positive output gap, outlined in the January Monetary Policy Statement (MPS).

As the MAS is not overly hawkish, we do not think it will resort to aggressive tightening (i.e. a slope increase at the same time as policy band re-centring). We expect the MAS to take time to assess the tightening impact while waiting for more clarity on geopolitical developments. We maintain our forecast that the next tightening move is likely in October, not July, 2026.

On the fiscal front, Singapore has unveiled some targeted measures in response to the energy shock. For example, the SGD500 CDC vouchers have been brought forward from January 2027 to June 2026 and the cost-of-living special payments will be raised by SGD200 for eligible recipients. In addition, SGD200 cash relief for taxi drivers and some temporary assistance to co-fund cost rises for essential transport services were also introduced.

However, these measures reflect Singapore's continued prudence. Together, they cost only SGD1bn (0.1% of GDP). Recall that the FY2026 budget is expected to see an overall surplus of SGD8.5bn (1% of GDP). If more is needed, Singapore can tap its strategic reserves.

Risks

As a small, open economy heavily dependent on energy imports, high oil prices, if sustained for long, are the biggest risk to Singapore's economy. They serve as a downside risk to its petroleum-refinery sector and an upside risk to inflation.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	5.0	3.3	2.5	6.0	4.0	2.2	1.0	0.6	1.5
GDP (% quarter)	-	-	-	1.0	-0.2	0.1	0.1	0.6	0.7
Consumer spending	3.9	3.4	2.9	3.5	5.0	3.4	2.1	2.6	1.2
Government consumption	2.2	0.8	2.8	-0.5	1.5	0.9	1.0	9.3	1.0
Investment	6.2	4.9	4.5	9.5	5.8	3.2	1.2	0.6	3.7
Stockbuilding (% GDP)	0.4	0.5	0.8	0.9	1.5	-0.5	-0.1	0.1	0.5
Domestic demand	3.7	3.6	3.9	4.7	8.1	1.4	0.3	1.6	0.6
Exports	10.8	11.3	6.3	14.5	9.8	11.8	9.3	6.1	6.0
Imports	11.9	12.0	7.4	15.2	11.9	11.5	9.7	7.0	6.4
Industrial production	8.8	3.3	3.2	8.0	6.7	1.9	-2.9	0.6	1.1
Unemployment (%)	2.0	2.1	2.2	-	-	-	-	-	-
Wage growth	4.5	3.7	3.0	-	-	-	-	-	-
Consumer prices	0.9	2.2	2.2	1.5	2.0	2.7	2.7	2.8	2.3
Current account (USDbn)	101.0	123.0	134.3	31.9	28.0	29.8	33.2	29.2	34.1
Current account (% GDP)	16.7	19.1	20.2	20.3	17.7	18.6	19.8	18.1	21.0
Budget balance (% GDP)**	0.8	-0.3	-0.2	-6.2	3.1	1.7	-2.1	-6.2	3.1
Gross external debt (% GDP)	402.2	398.9	394.4	-	-	-	-	-	-
Gross government debt (% GDP)	166.1	163.0	158.8	-	-	-	-	-	-
SGD/USD*	1.29	1.30	-	1.29	1.29	1.29	1.30	1.30	1.31

*Period end. **Refers to primary balance, which excludes contributions from sovereign wealth
Source: HSBC estimates, Refinitiv Datastream

Asia Pacific

Hong Kong

Stronger foundations, but uncertainties ahead

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We previously revised up our GDP growth forecast following a strong Q1 print and signs of domestic momentum for Hong Kong's economy (see *Hong Kong GDP upgrade*, 7 May). We hold largely similar views and maintain our forecast of 3.8% in 2026 and 3.0% in 2027.

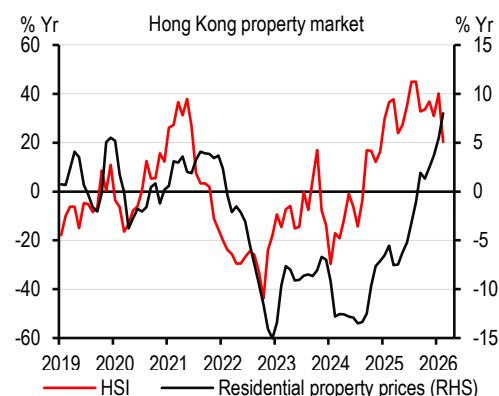
Hong Kong has been able to shake off most of the impact of the Middle East conflict, given it is more of a services-driven economy, while much of its energy input comes from mainland China. Some temporary government subsidies around fuel could further help to blunt the impact. While a prolonged conflict poses downside risks to global demand, the continued upswing in the AI-demand cycle has been enough to boost the trade sector and may continue to provide support for growth this year.

Consumption has been solidifying for over a year now, with signs of stronger growth in discretionary spending as durable goods and jewellery demand rose by 32% and 26% ytd y-o-y, respectively. To some extent, this has been helped by positive wealth effects from a recovering property sector and improved financial services activity. The IPO pipeline remains strong, while monetary conditions and talent inflows continue help keep residential property demand buoyant.

Nonetheless, there have been some concerns amid enhanced oversight around cross-border flows related to mainland Chinese investment accounts. It's still unclear how material the impact could be. In our view, this enhanced oversight does not go against mainland China's longer-term goals of opening-up and supporting Hong Kong in enhancing its international financial centre status. Rather, policymakers could consider whether a calibrated increase in quotas for channels such as QDII or Wealth Connect might help accommodate demand for offshore investment opportunities, while maintaining appropriate oversight. Financial firms with access to such channels could stand to benefit.

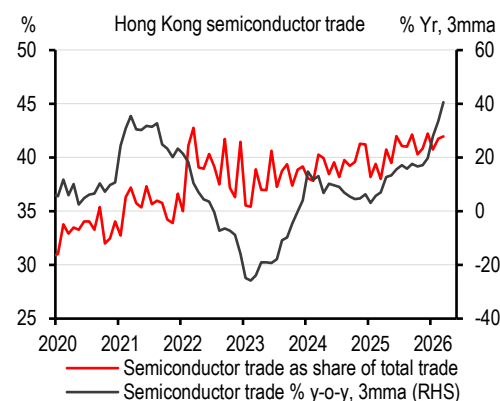
Notably, Hong Kong has overtaken Switzerland as the largest offshore wealth centre according to a recent BCG survey (27 May), supporting business and consumer confidence. The investment rebound is likely to continue to be supported by new initiatives in technology and innovation as well as accelerated construction of large infrastructure projects (Northern Metropolis). Supportive monetary conditions as well as some revival in overall domestic demand may drive capex spending.

Consumption support will likely depend on continued wealth effects



Source: CEIC, HSBC

The global AI-demand cycle has helped Hong Kong's trade sector



Source: CEIC, HSBC

Policy issues

Hong Kong's government has deployed some ad hoc support in light of higher energy costs due to the Middle East conflict, including subsidies for fuel (diesel, LPG) and reductions in tolls for commercial vehicles. The measures are temporary, lasting two months, with a relatively limited cost of 0.06% of GDP by our calculations. These can provide some buffers and, in our view, could be extended should the conflict persist, without imposing much added burden to government finances.

Meanwhile, policy focus will likely turn towards medium- and longer-term growth. Hong Kong is set to draft its own Five Year Plan, which we expect to focus on technology and innovation, increasing Hong Kong's competitive positioning as an international hub for trade and finance as well as increasing connectivity both in the Greater Bay Area and with the world. Hong Kong will continue to explore expansion of offshore RMB financing as well as help facilitate the trend of mainland Chinese firms looking to go global. While mainland China has recently issued new regulations around outbound investment, by nature it's similar to the US reverse-CFIUS scrutiny, essentially managing national security risks, and providing a tool to launch countermeasures to safeguard interests of mainland Chinese companies' ODI (see [China macro tracker](#), 4 June 2025).

Progress on the Northern Metropolis development will also be backed by government support. In May, HKD27.6bn of green and infrastructure bonds were issued, with a total of HKD160bn to be issued for the fiscal year. Meanwhile, HKD150bn was approved for transfer from the Exchange Fund for the Capital Works Reserve Fund to be used for infrastructure projects in the next two years (Info.gov.hk, 14 April).

Lastly, monetary conditions may continue to stay supportive in Hong Kong, helping asset markets including the property sector, though we do not expect further easing at this juncture.

Risks

Risks are balanced for Hong Kong. Geopolitical uncertainties present two-sided risks. Tailwinds could stem from accelerated trade flows on the back of increased AI-demand, improvement in US-mainland China relations, or an easing cycle from the US Fed. Headwinds may stem from labour market pressures, prolonged impact from the Middle East conflict weighing on global growth and trade or tightening of monetary conditions on the back of increased inflationary expectations.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	3.6	3.8	3.0	5.9	3.3	3.2	3.0	0.7	3.5
GDP (% quarter)	-	-	-	2.9	-1.7	0.8	0.8	0.7	1.0
Consumer spending	1.7	4.2	4.5	4.9	3.8	4.0	4.2	4.0	4.5
Government consumption	1.5	2.8	2.5	3.0	2.0	3.0	3.0	3.0	2.0
Investment	4.8	12.1	7.5	17.7	15.0	9.0	8.0	7.0	7.0
Stockbuilding (% GDP)	1.2	1.9	0.5	7.1	-0.3	0.5	0.4	0.9	-0.8
Domestic demand	4.0	6.2	3.3	16.0	5.1	4.1	0.7	-2.1	4.1
Exports	11.2	14.5	2.8	20.7	13.8	12.0	11.9	-0.2	3.2
Imports	11.5	15.8	2.9	26.5	14.8	12.7	10.8	-1.5	3.6
Industrial production	3.3	3.6	2.5	3.1	4.5	3.4	3.3	2.3	2.3
Unemployment (%)	3.6	3.7	3.6	-	-	-	-	-	-
Wage growth	3.4	3.4	3.4	-	-	-	-	-	-
Consumer prices	1.4	2.0	1.9	1.6	2.1	2.0	2.2	1.9	2.1
Current account (USDbn)	52.3	32.5	24.1	4.7	7.9	11.3	8.7	3.9	5.8
Current account (% GDP)	12.3	7.0	4.8	4.3	7.0	9.3	7.0	3.2	4.9
Budget balance (% GDP)*	0.3	0.6	0.2	-	-	-	-	-	-
Gross government debt (% GDP)*	11.2	12.9	13.0	-	-	-	-	-	-
HKD/USD**	7.78	7.83	-	7.84	7.83	7.83	7.83	7.83	7.83
Policy rate (%)** , ***	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00	4.00

Source: HSBC estimates

Note: *Fiscal year ending March, e.g. 2024 refers to fiscal year April 2024 – March 2025. **Period end. ***The policy rate is set at 50bp above the lower bound of the Federal Funds target range or the average of the 5-day moving averages of the overnight and one-month HIBORs, whichever is higher.

Asia Pacific

Philippines

Hanging in there

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Stagflation has taken shape, at least in the Philippines. For one, growth continues to sour. In Q1 2026, growth came in at 2.8% y-o-y, stumbling to its slowest pace since 2009, excluding the COVID-19 pandemic. The culprits of the slowdown remain the same: public capital disbursements continue to fall at a significant rate while the uncertainty around public spending has led to households and businesses pulling back on their expenditure. Savings are up, while investment is down.

Understandably so – like a freelance worker, households can weather tough times by putting aside a larger portion of their incomes during good times. The most recent good time was 2025, when wages grew 7% on average while inflation was only 1.7%. However, instead of enjoying the increase in purchasing power by spending more, households chose to save. The share of households reporting that they were able to save before the energy shock in March 2026 was even higher than pre-pandemic levels, with the more vulnerable, low-income households leading the increase.

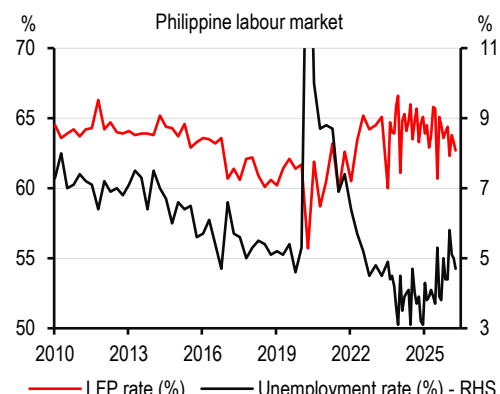
Unfortunately, this slowdown in demand has already spilled over to the labour market. The unemployment rate in the Philippines has risen above 5%. And soon, households and small businesses may need to dip into any savings they have recently accumulated.

This is because prices continue to rise amid slow growth. Currently at 6.8% y-o-y, headline inflation in the Philippines is the highest in the ASEAN region. The surge in energy prices has already spilled over into core CPI, with core inflation accelerating above the central bank's 2-4% target band. However, the outlook is set to become tougher, with price pressures on food – due to higher fertiliser prices and El Niño – likely to intensify in the coming months.

Hence, the economy is caught between a rock and a hard place. We expect growth to come in well below potential in 2026 and 2027, at 3.4% and 4.8%, respectively.

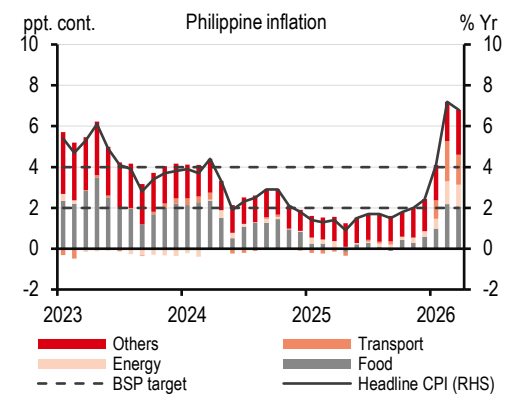
But the Philippines is hanging in there. Once the energy shock normalises, financial markets in the Philippines are likely to recover quickly. This is because the fiscal response has remained prudent, as officials opted for targeted welfare measures. In addition, a healthy degree of “demand destruction” should eventually come to the fore. Without controls, energy prices in the Philippines have reflected the true scarcity of commodities. Growth may be below potential, but once the dust settles, public debt and the current account will likely remain manageable and resilient.

With construction demand falling, the labour market has tightened...



Source: CEIC, HSBC

... all while inflation in the Philippines is rising across all major categories



Source: CEIC, HSBC

Policy issues

A funambulist's nightmare? Like an acrobat that balances on a tightrope, the Bangko Sentral ng Pilipinas (BSP) is performing a tough, but delicate, balancing act. Inflation is running hot while the economy's growth is well below its potential. Navigating monetary policy amid stagflation would require trade-offs and prioritisation.

This is where the principle of 'who can best deal with what' applies. Growth is slow because fiscal spending has stumbled. Hence, the best way to bring growth back up is to ensure that fiscal policy finds its footing soon. New project spending has been slow as the government undertakes an extensive corruption investigation. But public spending could easily resume if more manpower and resources are reallocated to projects that have already broken ground. The Marcos administration is currently mulling the possibility of passing a supplemental budget that would reallocate line items in the 2026 budget, but details have yet to be made public (Bloomberg, 3 June 2026).

Nonetheless, the BSP is in the best position to tamp down inflation expectations and the spillover effects of the energy shock on prices. After all, maintaining price stability is the BSP's primary mandate. We think having a relatively aggressive monetary stance will be important with inflation expected to rise further. The worst of the energy shock is hopefully behind us, but a food shock is yet to arrive. The Philippines remains vulnerable to a food shock given its dependence on imports.

After a 25bp rate hike in June, we expect the BSP to tighten its monetary stance even further, raising its policy rate to 5.50% by year-end. And when the dust hopefully settles in 2027, we expect the BSP to begin its easing cycle, cutting its policy rate to 5.00% by year-end.

Risks

Infrastructure spending has fallen off a cliff as the government undertakes an extensive corruption investigation. In the same vein, there is a risk of another policy standstill if another global shock hits the economy. Since the articles of impeachment for the Vice President were submitted to the Senate, the legislative process in the Senate has slowed on the back of several boycotts and walkouts (Inquirer.net, 2 June 2026). Without a clear majority in the Senate, the economy's policy response risks becoming slower, which would be detrimental if another economic shock were to occur.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	4.4	3.4	4.8	2.8	2.7	4.0	3.9	5.1	5.2
GDP (% quarter)	-	-	-	0.9	1.0	1.4	0.8	1.7	1.2
Consumer spending	4.5	3.4	4.3	3.0	3.1	3.5	3.7	4.1	4.3
Government consumption	8.4	8.1	5.5	4.8	7.7	9.8	10.8	6.2	5.6
Investment	0.8	0.8	4.5	-2.7	-2.7	1.6	7.6	5.2	5.1
Stockbuilding (% GDP)	-0.3	-0.3	-0.3	-0.1	-0.4	-0.2	-0.1	-0.1	-0.4
Domestic demand	3.7	3.5	4.5	2.0	2.4	4.0	5.4	4.6	4.7
Exports	8.2	8.1	6.6	7.8	11.2	9.4	4.0	6.5	6.7
Imports	5.0	8.3	5.2	6.1	8.9	8.4	9.9	4.5	4.7
Industrial production	2.5	1.9	2.4	0.5	2.5	2.5	2.4	2.9	2.5
Unemployment (%)	5.1	4.9	4.8	4.7	5.0	5.0	5.0	4.8	4.8
Wage growth	6.7	4.9	4.0	7.8	4.0	4.0	4.0	4.0	4.0
Consumer prices	1.7	6.2	4.3	2.8	7.0	7.3	7.5	6.7	3.7
Current account (USDbn)	-16.3	-16.9	-14.5	-4.4	-7.0	-3.9	-1.7	-3.6	-6.3
Current account (% GDP)	-3.3	-3.3	-2.7	-3.7	-5.6	-3.3	-1.1	-2.8	-4.7
Budget balance (% GDP)	-5.6	-4.4	-3.9	-5.1	-3.0	-4.0	-5.3	-5.5	-2.6
Gross external debt (% GDP)	30.3	30.2	28.5	-	-	-	-	-	-
Gross government debt (% GDP)	64.5	62.6	58.1	-	-	-	-	-	-
PHP/USD*	58.8	61.2	-	60.7	60.8	61.0	61.2	61.4	61.6
Policy rate (%)*	4.50	5.50	5.00	4.25	4.75	5.00	5.50	5.50	5.50

*Period end
Source: HSBC estimates

Asia Pacific

Vietnam

No room for complacency

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Vietnam entered 2026 on a resilient footing. Despite moderating from last year's 8%, Vietnam saw rather decent growth of 7.8% y-o-y in Q1 26. This easily enabled Vietnam to sustain its position as one of Asia's fast-growing economies. However, there is no time for complacency, as the Middle East conflict has pushed up energy prices to elevated levels.

Nevertheless, a detailed look at trade data shows Vietnam's trade resilience. Exports jumped almost 20% y-o-y YTD on average, thanks to booming electronics shipments. While Vietnam's exposure to chips is rather limited, it has captured more market share in consumer electronics; not to mention that it has the ambition to climb up the value chain, seeing vast potential from its young, knowledge-hungry and tech-savvy workforce.

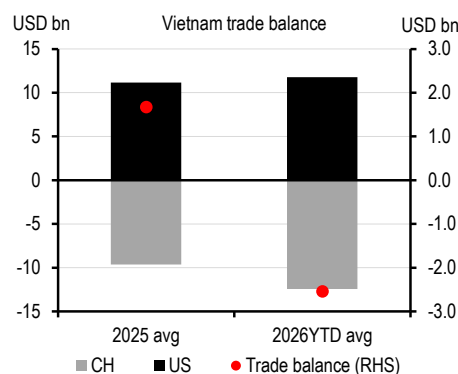
Despite booming exports, Vietnam's imports grew even more, rising 30% y-o-y YTD. This is understandable, to an extent, as Vietnam's manufacturing sector is rather import-intensive. However, it raises a question about its trade balance. Since December 2025, Vietnam has consistently run a trade deficit, which widened to a record level of USD5.2bn in May. We do not think Vietnam will enter a "twin deficit" situation, as tourism receipts and secondary income will help. However, we are revising down our current account surplus forecast to 2.2% of GDP, from 6% earlier, for 2026. This could put depreciation pressure on the Vietnamese dong, which has been holding up surprisingly well compared to other currencies since the start of 2026.

Overall, we maintain our GDP growth forecast at 6.5% for both 2026 and 2027. But the downside risks are intensifying, depending on how long the Middle East conflict drags on.

Nevertheless, the immediate concern for Vietnam is how to grapple with elevated oil prices. History reminds us of the acute impact of high oil prices in 2022, which pushed up Vietnam's inflation, breaching its 4% ceiling for a little less than six months.

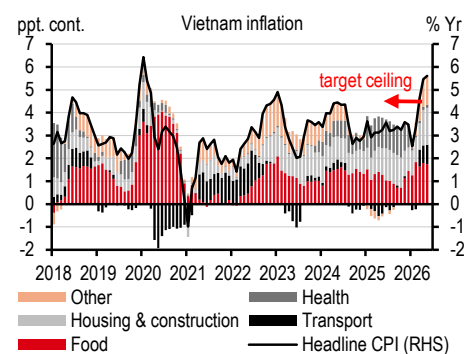
Fast forward to today, Vietnam's inflation rose sharply to 5.6% in May, breaching the SBV's 4.5% inflation ceiling for the third month running. While the significant jump in petrol prices was the main culprit, it is important not to ignore the recent hike in food prices. Although Vietnam is a rice exporter, its domestic rice prices are typically influenced by international prices. Overall, we have revised up our inflation forecast to 5.2% (from 4.6%) for 2026.

Vietnam has consistently seen a trade deficit since the start of 2026



Source: CEIC, HSBC

Vietnam's inflation has breached the central bank's 4.5% target since March



Source: CEIC, HSBC

Policy issues

As a market heavily dependent on energy imports, Vietnam is among the first economies in Asia to respond to rising global oil prices with fiscal measures. The government removed import tariffs on certain fuel products to ensure supply until the end of April (Xinhua, 9 March). Soon after, the trade ministry called on businesses to encourage their employees to work from home to reduce fuel consumption (The Star, 10 March). In addition, VND8trn has been advanced from the budget to fund the Petroleum Price Stabilisation Fund.

On the monetary front, the State Bank of Vietnam (SBV) has kept its policy rate steady at 4.5%. Like many central banks, the SBV is facing a delicate balance of supporting growth and taming inflation. For the former, Vietnam's ambitious goal to reach growth of at least 10% has not changed. For the latter, its inflation pressure has been intensifying, as elevated energy prices linger. Coupled with the likely depreciation pressure on the Vietnamese dong, this could worsen the inflation prospects even more.

Therefore, we are changing our call and now expect the SBV to hike by 50bp in Q3 26 and Q4 26 each, bringing its policy rate to 5.5% by end-2026 (unchanged previously). In the face of imminent inflation risks, we believe price stability is likely to be the priority for the SBV, especially given that growth indicators have not deteriorated.

Lastly, on politics. Vietnam's National Assembly in early April elected To Lam, the Party General Secretary, to serve as the state president. Tran Thanh Man has been re-elected as the National Assembly chairman, while Le Minh Hung, an ex-governor of the SBV, has been elected as the new prime minister.

Risks

Sustained, elevated energy prices are the biggest downside risk to Vietnam's growth and upside risk to its inflation. As a fast-growing emerging market hungry for energy imports, Vietnam is particularly sensitive to global oil price volatility. The longer high oil prices persist, the longer Vietnam's inflation is likely to remain above its central bank's 4.5% inflation ceiling. That scenario would also raise the possibility of the SBV hiking more than 50bp in one quarter.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	8.0	6.5	6.5	7.8	5.6	6.2	6.6	5.8	6.7
GDP (% quarter)	-	-	-	-9.6	5.3	0.9	11.0	-10.3	6.1
Consumer spending	7.3	5.4	6.6	-	-	-	-	-	-
Government consumption	11.9	7.5	6.5	-	-	-	-	-	-
Investment	8.6	7.0	6.1	-	-	-	-	-	-
Exports**	17.0	15.3	9.0	19.0	20.2	12.6	10.5	9.1	4.5
Imports**	19.4	22.3	8.8	26.7	34.5	20.0	9.8	4.8	-0.6
Industrial production	9.9	6.2	6.5	-	-	-	-	-	-
Unemployment (%)	2.2	2.2	2.2	-	-	-	-	-	-
Wage growth	5.5	5.3	6.9	-	-	-	-	-	-
Consumer prices	3.3	5.2	3.6	3.5	5.6	6.0	5.8	4.7	3.0
Current account (USDbn)	33.1	11.4	16.7	-	-	-	-	-	-
Current account (% GDP)	6.7	2.2	3.1	-	-	-	-	-	-
Budget balance (% GDP)	-4.2	-4.4	-4.3	-	-	-	-	-	-
Gross external debt (% GDP)	28.4	28.3	28.3	-	-	-	-	-	-
Gross government debt (% GDP)	37.9	40.4	42.7	-	-	-	-	-	-
VND/USD*	26298	26600	-	26340	26400	26500	26600	26700	26800
Policy rate (%)	4.50	5.50	5.50	4.50	4.50	5.00	5.50	5.50	5.50

Source: HSBC estimates

Note: *Period end; **Exports and imports are in nominal terms

Asia Pacific

New Zealand

Hikes are coming soon

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The Middle East conflict shock has taken some of the steam out of the upswing that was underway in the New Zealand economy, as expected. That being said, timely indicators are still consistent with continued, although only modest, growth.

Business surveys show that firms are still reporting that they expect better economic conditions than a year ago and have a positive outlook for activity, although these readings are well below the levels reported just prior to the beginning of the Middle East conflict. Although business confidence fell sharply in April, to low levels, it partly retraced higher in May. The growth upswing has been supported by strong agricultural conditions, with high dairy and meat prices driving income growth, particularly in the South Island. This recovery has begun to spread through the economy.

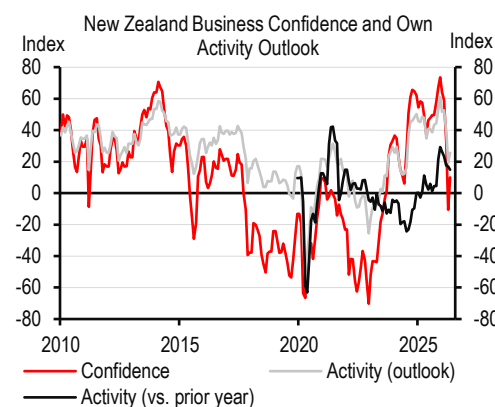
The upswing that was underway prior to the Middle East conflict has also been apparent in recent stronger jobs market figures – jobs figures tend to lag behind the economic cycle. Employment has risen in the past couple of quarters, after an extended period of declines, and the unemployment rate has ticked lower recently. However, wages growth remains sluggish, reflecting the extended period of weak conditions in the economy and jobs market more generally. More positive jobs market outcomes have aligned with a recent modest pickup in net inward migration.

Inflation is set to jump in Q2, due of the impact of the Middle East conflict, particularly on fuel costs. The rise in prices has already shown up in near-term readings of inflation expectations, which have risen sharply, although medium-term inflation expectations have remained well anchored.

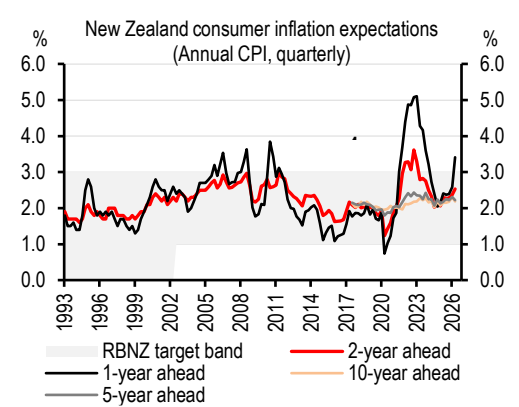
As we expected, the RBNZ held its cash rate steady in May. However, the hold decision was on the finest of margins, as the board vote was equally split between hiking and holding and the governor's vote decided the hold decision. Although the RBNZ has been keen not to curtail the economic recovery, particularly as it has lost some momentum recently, it has become increasingly concerned that higher inflation could start to become embedded in higher inflation expectations. To minimise this risk, we expect the RBNZ to start to lift its cash rate soon. We retain the view we have had since November 2025, that rate hikes will begin in Q3 2026.

We expect GDP growth of 1.6% in 2026 (unchanged) and 1.8% in 2027 (previously 2.0%). We see inflation of 3.8% in 2026 (previously 3.6%), falling to 2.7% in 2027 (previously 2.9%).

Growth upswing loses some steam



Inflation expectations are the focus



Policy issues

The key near-term policy challenge is dealing with the disruptive impact of the Middle East conflict on imported supplies, particularly of fuel and fertiliser, and the upward pressure this puts on costs and inflation.

To deal with the fuel issue, the New Zealand Government has established the National Fuel Response Plan and has placed the country in Phase 1, which is the 'watchful' status for monitoring fuel supplies and co-ordinating responses to shortages. New Zealand has comparatively low stocks of petrol, diesel and jet fuel and is highly reliant on imports. It is also highly reliant on imported fertiliser.

As discussed above, to help to deal with the inflation challenge, we expect the RBNZ to lift its cash rate in Q3 and Q4 2026 and further in 2027.

In light of the high inflation challenge and the risk that loosened fiscal policy could add to that inflation, the New Zealand government took a fairly cautious approach in its recent budget. The budget maintained its goal of returning the budget to surplus.

Over the coming months there is a risk that fiscal policy could be loosened, as we head towards an election, which is scheduled for 7 November.

Risks

A key risk to the New Zealand economy is that the Middle East conflict continues and leaves the Strait of Hormuz closed for a longer period, weakening growth in its major trading partners and causing further disruption to supply of key inputs, including fuel. This is a downside risk for the growth outlook and an upside risk for inflation. Another risk is that the forthcoming expected rate hikes by the RBNZ weaken the economy by more than expected, particularly the housing market, which has been weak for several years.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	0.2	1.6	1.8	1.5	2.3	1.5	1.3	1.2	1.7
GDP (% quarter)	-	-	-	0.8	0.1	0.1	0.3	0.7	0.6
Consumer spending	1.4	0.6	2.2	0.8	0.2	0.4	1.1	1.4	2.2
Government consumption	2.5	3.7	0.5	5.5	4.4	3.6	1.6	0.3	1.1
Investment	-0.7	1.6	0.5	1.6	2.2	0.1	2.4	0.1	0.9
Stockbuilding (% GDP)	0.5	0.8	0.3	0.3	0.3	0.3	0.3	0.3	0.3
Domestic demand	1.0	1.9	1.5	2.9	1.8	1.6	1.5	0.9	1.7
Exports	2.9	5.3	2.4	5.4	7.2	4.3	4.3	1.9	2.1
Imports	3.2	6.5	1.4	9.0	6.5	5.6	4.8	1.0	2.2
Industrial production	-0.6	3.2	1.9	1.3	4.7	3.2	3.5	1.9	2.0
Unemployment (%)	5.3	5.1	4.6	5.3	5.2	5.0	4.9	4.8	4.7
Wage growth	2.3	2.1	2.7	2.0	1.9	2.2	2.4	2.6	2.7
Consumer prices	2.8	3.8	2.7	3.1	4.2	4.0	3.9	3.6	2.6
Current account (USDbn)	-9.2	-10.0	-6.8	-2.7	-2.8	-2.4	-2.2	-1.8	-1.7
Current account (% GDP)	-3.6	-3.8	-2.4	-4.0	-4.3	-3.6	-3.2	-2.7	-2.5
Budget balance (% GDP)	-2.3	-2.8	-1.8	-	-	-	-	-	-
Net government debt (% GDP)	40.5	43.5	45.1	-	-	-	-	-	-
NZD/USD*	0.58	0.59	-	0.57	0.58	0.58	0.59	0.60	0.60
Policy rate (%)*	2.25	2.75	3.50	2.25	2.25	2.50	2.75	3.00	3.25

Source: HSBC estimates
Note: *Period end

Eurozone

Eurozone

Cyclical resilience, structural weakness

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The economic resilience evident in 2025 has continued into 2026. Although the large energy shock has hit consumer confidence hard, and leading indicators of business activity have fallen sharply, they have not plunged to deeply depressed or recessionary levels. So, given that the world economy has experienced one of the biggest disruptions to oil markets in history, the impact has not (so far) been as bad as it might have been. And while headline eurozone GDP growth contracted 0.2% q-o-q in Q1, this included a 0.4ppt drag from Ireland alone (with its volatile data showing a 12.1% q-o-q fall in Irish GDP in Q1). Stripping out Ireland, eurozone growth would have been +0.3% q-o-q.

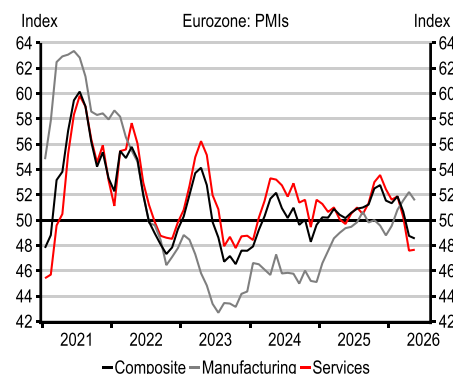
The robust Q1 meant the eurozone entered the energy shock from a better starting point. But higher inflation and uncertainty, as well as tighter financial conditions, means growth will slow. Surveys indicate underlying growth of about 0.1% q-o-q in Q2.

The recent US-Iran deal triggered sharp falls in global oil prices and futures curves. This suggests that financial markets see a high probability of a durable re-opening of the Strait of Hormuz over the coming months. Using these futures prices to inform our base case for oil prices, inflation should peak significantly lower than we assumed in our previous forecast update ([Eurozone forecast update](#), 12 May 2026). Specifically, our base case is now for inflation to average 2.9% this year and 2.2% in 2027 (below the 3.3% and 2.4% in our May update, but close to the base case we had three months ago).

Lower inflation should mean a smaller real-terms income squeeze on consumers, and potentially lower interest rates and uncertainty facing firms and households. Cyclical resilience is also underpinned by the labour market. The unemployment rate has been around a historically low 6.3% for 18 months, though surveys and anecdote suggest that firms are very much in a 'no hire, no fire' mode.

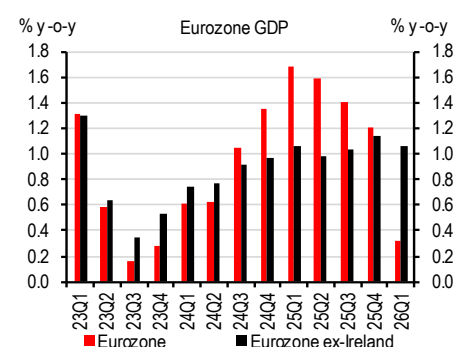
That said, even if inflation peaks at 'only' 3.4% around the turn of the year, consumers still face a real income squeeze. In 2027, fiscal policy may weigh slightly on growth. And export weakness – where Europe has missed out on a tech-driven trade upswing – is looking increasingly structural in nature. We forecast eurozone GDP growth of 0.3% this year and 0.9% in 2027 – though the 2026 number is distorted by the weak Q1 for Ireland.

Leading indicators of activity have fallen, but not too deeply depressed levels...



Source: Macrobond, S&P Global, HSBC

...and underlying growth in Q1 was better than expected



Source: Macrobond, Eurostat, HSBC

Policy issues

In June, the ECB raised its key deposit rate by 25bps to 2.25%, as widely expected. It said that it would continue to follow a data-dependent and meeting-by-meeting approach and offered no clear steer on the extent and timing of any future rate rises. After the announcement, President Lagarde stressed that the hike was robust across all scenarios, and therefore a straightforward decision. However, the peace deal means that future decisions are likely to be more complicated. Previously, we expected another rate rise in July, but the fall in energy prices now makes this unlikely. Indeed, if energy prices follow current futures curves, we think the ECB may not raise rates again in this cycle. So, in our base case, policy rates have already peaked and we see a reversal of June's hike in September 2027, by which time both headline and core inflation could be below target.

Of course, there is still high uncertainty about the durability of the deal and the extent to which the Strait of Hormuz re-opens. In a scenario of partial re-opening, where oil rises back to USD150/b, we think inflation would average 4.2% next year. In this case, we think the ECB would hike again in September and take rates to 3.50% by the end of Q1 2027. Owing to the real income squeeze and policy tightening, a recession would likely be unavoidable.

Fiscal policy should be expansionary through 2026, providing some welcome support to demand. But in 2027, the fiscal stance will be tighter, reflecting the end of NGEU disbursements and Germany's slow progress in meeting its spending plans.

Risks

Given high geopolitical uncertainty, including around how quickly the Strait of Hormuz opens and the extent to which traffic through it returns to pre-conflict levels, our base case may prove too optimistic. Even if the peace deal progresses, there is higher inflation in the pipeline that could result in second-round effects (i.e. more persistent inflation) and, in turn, tighter monetary policy. Other risks include a potential escalation in trade tensions between the US and EU, which could weigh further on Europe's already-poor recent trade performance. To the upside, application of AI offers hope for productivity improvements, but the growth risks still seem firmly skewed to the downside.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.5	0.3	0.9	0.3	0.5	0.2	0.2	0.7	0.7
GDP (% quarter)	-	-	-	-0.2	0.3	0.0	0.1	0.2	0.3
Consumer spending	1.5	0.8	0.7	1.1	0.9	0.8	0.4	0.3	0.5
Government consumption	1.4	1.9	1.1	2.3	2.3	1.8	1.4	1.1	1.0
Investment	3.2	1.1	1.7	0.3	2.2	1.1	0.7	1.5	1.5
Stockbuilding (% GDP)	0.4	0.5	0.5	0.5	0.6	0.6	0.5	0.5	0.5
Domestic demand	2.1	1.2	1.0	1.7	1.6	1.1	0.6	0.8	0.8
Exports	2.2	-0.4	1.2	-0.9	-0.1	-0.7	0.1	0.7	1.1
Imports	3.6	1.6	1.3	1.9	2.2	1.1	1.1	0.9	1.3
Industrial production	2.2	-0.5	1.2	-3.3	0.0	0.3	0.6	1.6	1.1
Unemployment (%)	6.3	6.4	6.6	6.3	6.4	6.4	6.5	6.5	6.6
Wage growth	3.9	3.1	2.8	3.5	2.9	2.9	2.8	2.8	2.8
Consumer prices	2.1	2.9	2.2	2.0	3.1	3.0	3.3	3.0	2.1
Current account (USDbn)	315.7	214.4	219.8	49.3	58.1	51.3	58.8	51.0	56.8
Current account (% GDP)	2.0	1.4	1.4	1.3	1.5	1.3	1.5	1.3	1.5
Budget balance (% GDP)	-2.9	-3.4	-3.3	-	-	-	-	-	-
Gross government debt (% GDP)	88.7	90.1	91.1	-	-	-	-	-	-
EUR-USD*	1.17	1.12	-	1.16	1.14	1.13	1.12	1.11	1.10
Policy rate - Refi (%)*	2.15	2.40	2.15	2.15	2.40	2.40	2.40	2.40	2.40
Policy rate - Deposit (%)*	2.00	2.25	2.00	2.00	2.25	2.25	2.25	2.25	2.25

Note: *Period end Source: Macrobond, HSBC estimates

Eurozone

Germany

Running out of road

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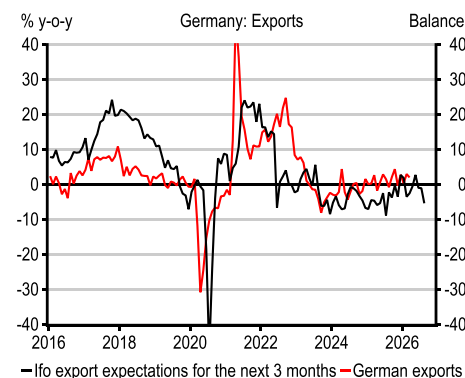
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The German economy had a solid start to 2026, growing by 0.3% q-o-q. Net exports did the heavy lifting, adding 1.3ppts to GDP amid a 3.3% q-o-q increase of exports. Part of this was driven by strong pharmaceuticals products and metals exports, potentially due to front-loading by firms concerned about shortages due to the closure of the Strait of Hormuz as Asian competitors were more quickly exposed. With ifo export expectations now the worst since April 2025 ('US liberation day'), increasing competition of mainland China in key industrial sectors, such as machinery & equipment, cars and chemicals, and new export orders in the manufacturing PMI back in contraction in May, we expect net exports to weigh on activity in Q2 and Q3. Business fixed investment, which already dropped by 1.2% q-o-q in Q1, is likely to continue to suffer. Low capacity utilisation rates (77.8% in Q2, more than 5ppts below the l/t average), a lack of visibility due to heightened geopolitical risks and tighter financial conditions could dampen capex spending, in line with a substantial deterioration of business expectations among capital goods producers. Meanwhile, the 2.5% q-o-q decline in construction was caused mainly by severe winter conditions and should prove temporary with residential building permits experiencing a gradual recovery and public infrastructure investments (albeit slowly) being rolled out.

One source of concern is private consumption, which was flat in Q1. A deteriorating labour market and a loss of purchasing power associated with slowing wage growth and rising consumer prices has already weighed on consumer confidence, with the May GfK willingness to buy component close to the lowest in two years. The May HCOB S&P Composite employment component recorded the worst print in nine months, hinting at an accelerated pace of job shedding. This leaves the public sector as one possible source of growth in the second quarter. Inventories, which knocked off 0.9ppts from GDP in Q1 could be the second, as past experience shows a rebound in the following quarters.

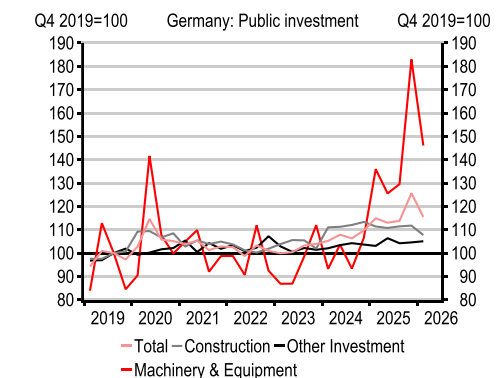
The substantial deterioration of corporate leading indicators, such as the PMI and ifo, has led us to expect two consecutive negative GDP prints in Q2 and Q3, fulfilling the definition of a technical recession. In 2026, we expected seasonally- and calendar-adjusted GDP to expand by just 0.2%, followed by a moderate pickup to +0.7% in 2027.

Export expectations now the worst since the 'US liberation day'



Source: Macrobond, HSBC

Little evidence of public infrastructure investment, defence is a different story



Source: Macrobond, HSBC

Policy issues

Germany's fiscal stimulus is materialising at a sluggish pace that should gather speed as the year progresses and into 2027. Since inception, borrowing for the off-budget fund has totalled EUR41.2bn. Through April, the government has disbursed EUR11bn of the EUR40bn earmarked for 2026 (following EUR14bn of a planned EUR19bn in 2025) according to the Finance Ministry's first monitoring report. The Finance Ministry has urged other ministries to speed up implementation and floated the idea of penalties for those not deploying quickly enough (FT, 1 June) which, in our view, increases the risk of higher inflation and potentially malinvestments. The combination of infrastructure spending coupled with rising spending by the Federal Employment Agency and likely lower tax revenues resulting from a weaker economy should push the federal deficit up. We see the deficit increasing from 2.7% of GDP in 2025 (EUR119bn) to 3.8% in 2026 (EUR175bn). The deficit could rise further to 3.9% (EUR185bn) in 2027 as defence spending increases, municipalities' budgetary difficulties remain unaddressed, and the deficit in the pension insurance is expected to widen again. Consequently, we expect the Maastricht debt ratio to move further away from the 60% reference value and could reach 67.8% by the end of 2027.

Tensions remain high within the federal governing coalition and weak results in state elections in the spring have deepened divisions. In September, the AfD looks set to make strong gains in elections in three Eastern German states, with a possibility of winning an absolute majority in one, based on current polling. These potential election losses may spur the federal government into action and compromise on the necessary supply-side reforms. However, given that the state governments appoint members to the Bundesrat, severe seat losses for the CDU and SPD resulting in a changed composition of these states' governments could weaken Merz's legislative room to push through reforms that require cross-chamber support.

Risks

A duration of the war in the Middle East beyond our base case with resultant supply bottlenecks and price increases for oil, gas, and their derivatives, increases the risk of a more persistent inflation shock, undermining household spending. Then, there is a risk that the governing coalition fails to agree on the necessary supply-side reforms resulting in a higher German debt ratio from the fiscal stimulus but little increased growth potential to show for it.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	0.3	0.2	0.7	0.3	0.3	0.2	0.1	0.1	0.5
GDP (% quarter)	-	-	-	0.3	-0.2	-0.2	0.1	0.3	0.2
Consumer spending	1.5	0.2	0.5	0.4	0.2	0.3	-0.2	-0.1	0.4
Government consumption	1.5	3.6	1.2	3.6	4.2	3.8	2.6	1.6	1.1
Investment	0.0	0.6	2.5	-0.9	1.4	1.4	0.7	3.0	2.0
Stockbuilding (% GDP)	-1.8	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Domestic demand	1.9	0.6	1.0	1.2	0.9	0.7	-0.3	1.0	0.9
Exports	-0.7	0.4	0.9	-0.5	-0.4	0.4	2.1	-0.7	0.8
Imports	3.2	1.4	1.7	1.5	1.1	1.8	1.1	1.4	1.6
Industrial production	-0.8	-0.6	0.9	-2.1	-0.8	0.3	0.1	0.8	0.9
Unemployment (%)	6.3	6.4	6.4	6.3	6.4	6.4	6.5	6.5	6.4
Wage growth	2.3	2.9	2.9	2.7	3.1	2.8	3.1	3.0	3.2
Consumer prices	2.3	2.9	2.4	2.3	2.7	3.1	3.2	3.0	2.6
Current account (USDbn)	234.9	214.5	224.1	74.7	42.8	46.1	60.5	57.8	46.2
Current account (% GDP)	4.5	4.2	4.2	5.4	3.3	3.5	4.6	4.4	3.5
Budget balance (% GDP)	-2.7	-3.8	-3.9	-	-	-	-	-	-
Gross government debt (% GDP)	63.5	65.5	67.8	-	-	-	-	-	-
EUR-USD*	1.17	1.12	-	1.16	1.14	1.13	1.12	1.11	1.10
Policy rate - Refi (%)*	2.15	2.40	2.15	2.15	2.40	2.40	2.40	2.40	2.40
Policy rate - Deposit (%)*	2.00	2.25	2.00	2.00	2.25	2.25	2.25	2.25	2.25

Note: *Period end Source: Macrobond, HSBC estimates

Eurozone

France

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Underperforming due to the lack of fiscal support

On paper, there are several reasons to consider the French economy as being relatively less exposed to the Middle East conflict, compared to the rest of Europe. First, France is largely reliant on nuclear power for electricity generation, which reduces its sensitivity to the evolution in oil and gas prices. Second, the French economy is heavily service-oriented and is therefore less energy-sensitive compared to more industrialised economies like Germany. In practice however, the latest economic data suggest that France has been more severely hit by the conflict than the other largest eurozone economies. It could reflect the fact that contrary to the situation seen in 2022-23, the government has stuck to a very prudent fiscal approach and announced only a few temporary and targeted support measures for households and firms.

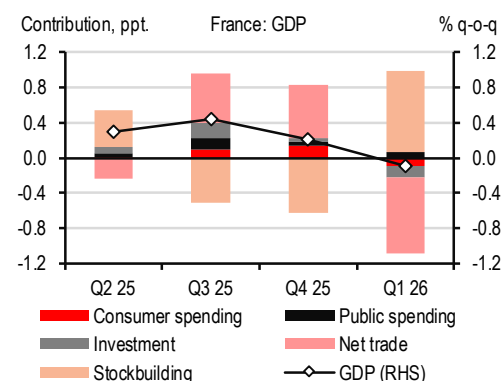
In detail, French GDP fell by 0.1% q-o-q in Q1 2026 while it rose by 0.3% for the eurozone excluding Ireland. This weakness was led by domestic demand, both for consumer spending (-0.2% q-o-q) and investment (-0.6% q-o-q). The decline in consumption was especially pronounced in energy (-2.4%). While it reflected in part the impact of unseasonably mild weather, the decline in spending on gasoil suggests that the surge in oil prices has also played a role.

Recent leading indicators have also confirmed the relative French economic underperformance. The French PMI composite has fallen to 44.9 in May (-5pts since February) versus 48.5 for the eurozone (-3.4pts since February). INSEE business confidence has held up a bit better (94 in May, 6pts below the long-term average of 100), but it has still sent worrying signals, especially for retail trade (89 in May) and services (93). The sharp deterioration in INSEE consumer confidence (82 in May versus 91 in February, the lowest level since March 2023) has sent another negative message on the consumption outlook. Lastly, hard data have not been more reassuring: consumer spending on goods fell by 0.5% m-o-m in April, dragged down by energy spending (-2.9% m-o-m).

In spite of this bleak picture, we refrain from downgrading too sharply our growth forecasts. Some of the weakness in Q1 was caused by transitory factors (mild weather, a drop in construction ahead of the municipal elections), which may lead to some payback in Q2. Besides, as usual in any economic downturn, France may benefit from automatic stabilisers. In particular, the rise in the minimum wage in June (2.4% due to inflation indexation rules) should limit the hit to consumption.

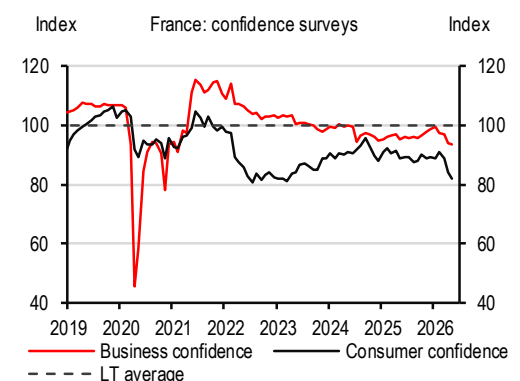
In the end, we trim down our annual growth forecast for this year to 0.5%, instead of 0.6% in the interim forecast update that we published in May (see *Eurozone forecast update*, 12 May). Our growth forecast for 2027 remains unchanged at 0.8%.

French GDP fell in Q1, reflecting weak domestic demand



Source: INSEE, HSBC

The conflict in the Middle East has significantly hurt economic confidence



Source: INSEE, HSBC

Policy issues

So far, the measures announced by the government to help households and firms cope with the surge in energy prices represent a total amount of EUR1.3bn. It pales in comparison with the fiscal support implemented after the start of the war in Ukraine (EUR39.5bn in 2022, EUR32.9bn in 2023). Beyond the magnitude, there are also key differences in terms of approaches. While the support measures in 2022-23 were generally broad-based (including in particular a tariff shield on electricity, gas and fuel prices), the government has stuck to a far more prudent approach this year, announcing time-limited measures targeted at specific sectors and specific categories (such as low-income workers with high mileage).

This new approach confirms that the government remains committed to reaching its public deficit target for 2026 (5.0% of GDP down from 5.1% in 2025). It is a bigger step than it seems, given the increase in the interest burden (especially on the inflation-linked bonds) and the rise in public spending on defence. The government announced EUR6bn of additional public savings to ensure that the target would be reached.

For 2027, pursuing the fiscal consolidation will be even more challenging given the upward pressure on public spending related to pensions and other public subsidies indexed to inflation. The presidential election (with the first round in April) will be another source of complication. The European Commission is expecting the fiscal deficit to rise to 5.7% of GDP in 2027 (from an expected 5.1% in 2026) but due to the unchanged policy assumption, it assumes that some temporary revenue measures (such as the special additional corporate tax on large companies, introduced in 2025 and renewed in 2026) will expire. In our view, a renewal of these measures for 2027 is a more likely route, given the fragmentation of the National Assembly.

All in all, we expect the French deficit to remain stable at 5.1% of GDP in 2026 (a modest slippage caused by more subdued growth prospects) and to increase to 5.3% in 2027.

Risks

Under an adverse scenario of partial reopening of the Strait of Hormuz, we see inflation rising to 3.0% in 2026 and 3.2% in 2027 (versus 2.2% and 1.8%, respectively, in our central scenario). It would reflect higher oil prices but also more pronounced second-round effects. As a result, growth prospects would be weaker: we would expect a technical recession in the second half of 2026, with annual growth ending at 0.2% in 2026 and at 0.1% in 2027.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	0.9	0.5	0.8	0.9	0.6	0.2	0.1	0.4	0.6
GDP (% quarter)	-	-	-	-0.1	0.1	0.0	0.1	0.2	0.3
Consumer spending	0.5	0.2	0.8	0.3	0.3	0.1	0.0	0.3	0.6
Government consumption	0.7	1.0	0.8	1.2	1.1	0.8	0.8	0.7	0.8
Investment	0.7	0.2	1.4	0.8	0.5	-0.3	-0.3	0.7	1.1
Stockbuilding (% GDP)	0.2	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Domestic demand	1.0	0.7	0.9	0.8	0.3	0.5	1.1	0.5	0.8
Exports	2.4	-1.3	1.4	0.4	0.0	-2.4	-3.0	0.9	1.2
Imports	2.9	-0.6	1.7	0.2	-1.0	-1.5	-0.2	1.2	1.6
Industrial production	0.7	1.0	0.9	0.9	2.0	0.5	0.5	1.1	0.6
Unemployment (%)	7.7	8.3	8.4	8.2	8.2	8.3	8.3	8.3	8.4
Wage growth	2.0	1.7	2.1	1.7	1.7	1.8	1.7	2.0	2.1
Consumer prices	0.9	2.2	1.8	1.1	2.5	2.5	2.7	2.8	1.6
Current account (USDbn)	-10.3	-11.8	-3.9	-2.0	-4.7	-2.9	-2.1	-1.5	-1.1
Current account (% GDP)	-0.3	-0.3	-0.1	-0.2	-0.5	-0.3	-0.2	-0.2	-0.1
Budget balance (% GDP)	-5.1	-5.1	-5.3	-	-	-	-	-	-
Gross external debt (% of GDP)	260.2	249.8	238.9	-	-	-	-	-	-
Gross government debt (% GDP)	115.6	118.3	119.0	-	-	-	-	-	-
EUR-USD*	1.17	1.12	-	1.16	1.14	1.13	1.12	1.11	1.10
Policy rate - Refi (%)*	2.15	2.40	2.15	2.15	2.40	2.40	2.40	2.40	2.40
Policy rate - Deposit (%)*	2.00	2.25	2.00	2.00	2.25	2.25	2.25	2.25	2.25

Note: *Period end Source: Macrobond, HSBC estimates

Eurozone

Italy

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Resilient start, but challenges lie ahead

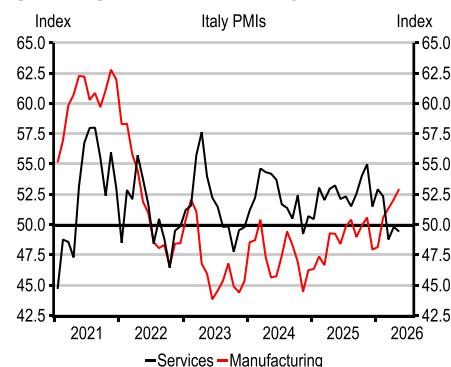
Italy's decent economic performance in H2 2025 continued into Q1 of this year. GDP grew 0.3% q-o-q in Q1 2026, driven by a 0.5% q-o-q rise in consumption and another robust (+0.7% q-o-q) rise in investment. That said, there was a one-time boost from the Winter Olympics that will unwind in the Q2 data.

The energy shock means Q2 is likely to be substantially weaker. Unsurprisingly, leading indicators have fallen significantly – although not to deeply depressed levels that would signal a material recession. Although this has been the case in many of Europe's large economies, this is particularly welcome in Italy, given both its energy mix and the energy intensity of its manufacturing sector. Italy's composite PMI was 50.4 in May, consistent with a broad stagnation in activity. Indeed, the manufacturing PMI has risen through 2026, and was comfortably above 50 in May (although some of this strength may reflect front-loading of activity ahead of anticipated price rises).

The recent US-Iran deal has lowered energy prices and reduced some of the upside risks to energy and inflation. If energy prices follow mid-June futures curves, the path of near-term inflation should not be too different from what we forecast three months ago. More specifically, we expect inflation to average 2.6% this year (unchanged from three months ago) and 1.9% in 2027 (up 0.1pp). This means that real wage growth turns negative in Q2 in our forecast and only returns to growth next year. This is a particularly unwelcome squeeze for Italian consumers, given that real wages are yet to return to their pre-COVID-19 levels. Further ahead, investment growth should slow through in 2027, as funds from the Next Generation EU (NGEU) scheme wane, compounded by the slowdown in residential construction.

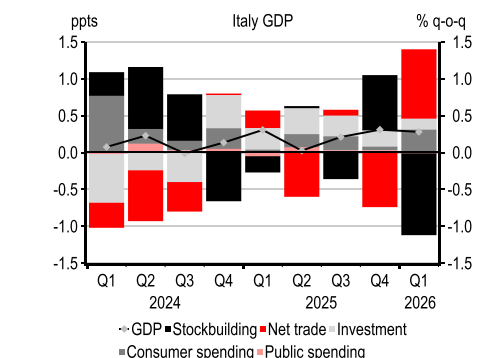
Fortunately, the labour market remains a bright spot. The unemployment rate fell to 5.1% in April, meaning it has halved in five years. Employment has risen sharply this year, and the participation rate has picked up again recently. However, given the income squeeze and investment slowdown, Q1 may mark the low point of the unemployment rate and we expect a modest rise over the next 18 months. All in all, conditioned on energy prices following futures curves, we see Italian GDP growth of 0.5% in both 2026 and 2027 (vs 0.4% and 0.6%, respectively, three months ago).

Service sector activity has stopped growing but is not deeply depressed



Source: S&P Global, HSBC

Q1 surprised to the upside meaning another decent 0.3% q-o-q rise in GDP



Source: EC, HSBC

Policy issues

Italy is due to hold a general election next year, with dissolution of parliament likely in September- October 2027 (the election must be held by 22 December). PM Giorgia Meloni's Brothers of Italy Party retains a healthy lead in opinion polls, although it has been eroded slightly this year (Source: Politico). Her government is now the second-longest serving in Italy since WWII. This backdrop perhaps reduces the incentive for large fiscal giveaways ahead of the election. Moreover, fiscal flexibility is limited by the fact that Italy was unable to exit the EC's Excessive Deficit Procedure (EDP) this spring – with its 2025 deficit narrowly above the threshold at 3.1% of GDP. As a result, PM Meloni is seeking an extension of the escape clause to include energy support as well as defence spending (Euractiv, 18 May). So far, the EU shows no signs of granting this. Political pressure for support in the face of a real income squeeze implies the risk of fiscal slippage ahead of next year's election.

Risks

The recent peace deal and fall in energy prices is particularly welcome to Italy. Despite the resilience displayed so far, out of the Big 4 eurozone economies, it is structurally the most exposed to energy prices, given the dependence on oil and gas imports, the EU electricity pricing system, and the specific exposure to Qatar gas. Italy's relative fragile fiscal position, with the second-highest debt-to-GDP ratio in the eurozone, also limits the ability of the government to provide fiscal support to households and firms without increasing investors' concerns about debt sustainability. Like Germany, its manufacturing base is exposed to intensifying Chinese competition and any possible increases in global trade tensions.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	0.7	0.5	0.5	0.8	0.7	0.4	0.8	0.2	0.5
GDP (% quarter)	-	-	-	0.3	-0.1	-0.1	0.3	0.2	0.2
Consumer spending	1.1	0.7	0.2	1.3	0.7	0.3	1.3	-0.1	0.2
Government consumption	0.6	0.4	0.7	0.6	0.4	0.3	0.6	0.5	0.6
Investment	3.8	3.0	1.5	4.6	3.3	2.3	4.6	1.6	1.6
Stockbuilding (% GDP)	-0.3	-0.8	0.0	-0.8	-0.7	-0.4	-0.8	0.0	-0.1
Domestic demand	1.6	1.1	0.6	1.9	1.2	0.8	1.9	0.4	0.6
Exports	1.4	0.7	1.7	1.6	1.3	-0.8	1.6	-0.6	2.1
Imports	3.9	0.3	2.0	2.7	1.0	-0.9	2.7	0.0	2.3
Industrial production	-0.3	1.3	1.3	1.6	1.5	1.8	1.6	2.0	1.1
Unemployment (%)	6.1	5.6	5.8	5.8	5.5	5.7	5.8	5.7	5.8
Wage growth	3.1	2.4	2.0	2.2	2.5	2.3	2.2	2.1	2.0
Consumer prices	1.6	2.6	1.9	3.4	3.0	2.6	3.4	2.6	1.6
Current account (USDbn)	29.3	16.6	15.3	3.5	2.5	6.4	3.5	2.9	2.4
Current account (% GDP)	1.1	0.6	0.6	0.6	0.4	1.0	0.6	0.5	0.4
Budget balance (% GDP)	-3.1	-3.2	-3.3	-	-	-	-	-	-
Gross government debt (% GDP)	137.1	139.1	140.0	-	-	-	-	-	-
EUR-USD*	1.17	1.12	-	1.16	1.14	1.13	1.12	1.11	1.10
Policy rate - Refi (%)*	2.15	2.40	2.15	2.15	2.40	2.40	2.40	2.40	2.40
Policy rate - Deposit (%)*	2.00	2.25	2.00	2.00	2.25	2.25	2.25	2.25	2.25

Note: *Period end Source: Macrobond, HSBC estimates

Eurozone

Spain

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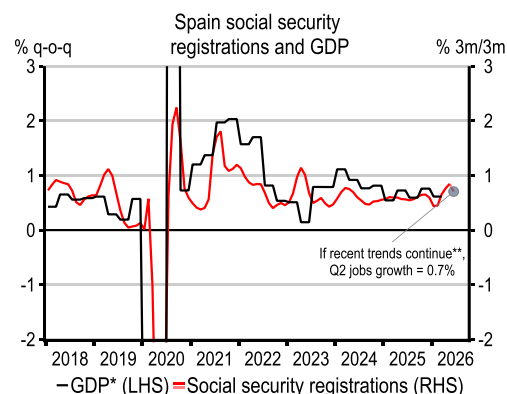
Ongoing resilience

The Spanish economy continues to grow strongly, so far appearing to shrug off the headwinds from the Middle East conflict. GDP grew by 0.6% q-o-q in Q1 – a slowdown from 0.8% q-o-q the previous quarter, but 0.1ppt higher than we had expected. Household spending was the main driver, also growing by 0.6% q-o-q. While this is largely looking in the rearview mirror, the indications for activity in Q2 look positive. While the consumer and business surveys have softened, the PMIs did return (just) to growth territory in May. What's more, following what we think was largely a weather-related slowdown at the start of the year, jobs growth as measured by social security registrations picked up in April and May. If recent monthly momentum continues, and the if fairly decent mapping with GDP holds, then growth could hold up at a similar pace in Q2 (left hand chart).

Although activity indicators are holding up, higher inflation is likely to act as a drag on growth. The CPI rate jumped above 3% in March and stood at 3.6% y-o-y in May, mostly on account of higher petrol prices. While recent energy price falls should lessen prospective inflation, pushing in the other direction is the expiry of a VAT cut on utility bills on 1 June and the prospective reversal of a petrol duty cut on 30 June. Against that backdrop, household real income growth is likely to slow. Beyond the squeeze on household incomes, there's a potential challenge for tourism due to pricier travel costs. And 31 August marks the EU deadline for RRF spending, so the recent growth boost from public investment is likely to gradually turn into a drag thereafter.

But there are reasons to think the economy can continue to stand up to these challenges. First, with energy prices well off their peak, and assuming limited second round effects, the inflation squeeze should be temporary. Second, there's perhaps reason to think that labour market strength can persist – much of the recent gains in employment have reflected high levels of immigration. Policy remains open to continued immigration, and a royal decree signed in April to offer temporary residence permits to undocumented migrants might regularise the work status of hundreds of thousands of workers (El País, 15 April). These supportive factors mean that while household income and spending growth is set to soften, the slowdown should be modest. Households may also have scope to 'smooth through' the income slowdown – the saving ratio stood at 12% at the end of last year, around double its pre-pandemic level.

Jobs data point, if anything, to a Q2 acceleration

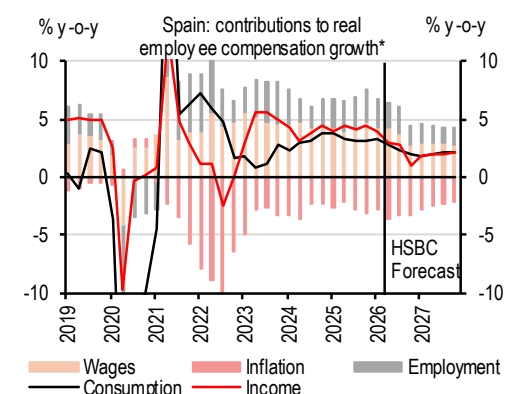


Source: INE, HSBC

*Quarterly growth rate applied across all three months in every quarter

**If average m-o-m jobs growth in 2026 so far continues in June, Q2 growth would be 0.7%

Real income growth is set to slow, but remain respectable



Source: INE, HSBC

*This is a simple measure of pre-tax income, including our forecasts for wages (compensation per employee), employment and inflation

Policy issues

If risks relating to the Strait of Hormuz were to crystallise, and energy prices to rise sharply again, the door could open to bigger and more open-ended energy support policies. But for now, the tax cuts to energy bills and petrol prices have proved temporary.

31 August marks the EU deadline by which invest Next Generation EU (NGEU) funds. Spain's total envelope (loans and grants) amounts to EUR103bn, some of which has been allocated to financial facilities, such as the España Crece fund, which should help ease the spending cliff-edge by allowing continued deployment of investment later this year and into next.

Perhaps the most immediate concerns for the government are political. Already beleaguered by a number of local election defeats and an escalating series of corruption crises, the offices of the leading socialist party (PSOE) were raided by police in late-May as part of investigations into the misuse of party funds (BBC, 27 May 2026). For now, the governing coalition stands and the next general election does not need to be held until August 2027. But PM Pedro Sánchez could come under pressure to move earlier (Politico, 28 May).

Risks

Despite the US-Iran peace deal, a potential re-escalation of the Middle East conflict would post a major risk. Spain is relatively well insulated from higher gas prices, given that its renewables share in electricity generation stands above 50%. But it's a different story for oil, with oil imports last year amounting to EUR30bn (2% of GDP). Due to lower petrol duties, the beta of fuel duties relative to the price of oil is higher than in other EU countries. So our scenario of a partial reopening of the Strait of Hormuz – with oil prices reaching USD150/b – would likely have an outsized impact on Spanish inflation.

Although there's a risk of political volatility ahead, markets remain unperturbed. Spain's 10-year sovereign bond spread over Bunds has generally traded below 50bps this year – lows not seen since 2009. If there is an early general election the most macro-relevant policy shifts might relate to immigration policy. Centre-right opposition Partido Popular (PP), which is leading in the polls, has vowed a material tightening in immigration rules. And if PP would need to rely on right-wing Vox to form a majority, rules changes could go further still, posing a downside risk to the immigration-related growth that Spain has experienced in recent years.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	2.8	2.4	1.8	2.7	2.5	2.3	1.9	1.8	1.7
GDP (% quarter)	-	-	-	0.6	0.6	0.4	0.4	0.5	0.5
Consumer spending	3.4	2.7	1.9	3.3	3.1	2.5	2.0	1.9	1.9
Government consumption	2.4	1.5	1.4	2.0	2.1	1.0	1.1	1.3	1.4
Investment	5.8	3.7	2.1	5.8	4.9	2.8	1.5	2.0	1.9
Stockbuilding (% GDP)	1.6	1.5	1.4	1.5	1.5	1.5	1.4	1.4	1.4
Domestic demand	3.6	2.6	1.8	3.4	3.1	2.2	1.7	1.8	1.8
Exports	3.6	1.0	3.2	0.9	0.2	1.5	1.6	2.9	3.1
Imports	6.2	1.8	3.3	3.1	2.0	1.3	0.9	3.0	3.2
Industrial production	1.3	1.0	1.9	0.4	1.4	1.3	1.0	2.4	1.5
Unemployment (%)	10.5	10.1	10.0	10.8	9.8	9.9	10.0	10.0	10.0
Wage growth	4.3	3.8	3.0	4.3	4.2	3.9	2.8	3.0	3.0
Consumer prices	2.7	3.3	2.4	2.8	3.6	3.3	3.4	2.8	2.4
Current account (USDbn)	58.0	62.6	41.9	13.2	18.2	17.1	15.0	7.6	12.7
Current account (% GDP)	2.9	3.1	2.1	2.6	3.6	3.4	2.9	1.5	2.5
Budget balance (% GDP)	-2.5	-2.2	-2.2	-	-	-	-	-	-
Gross government debt (% GDP)	100.7	99.3	98.7	-	-	-	-	-	-
EUR-USD*	1.17	1.12	-	1.16	1.14	1.13	1.12	1.11	1.10
Policy rate - Refi (%)*	2.15	2.40	2.15	2.15	2.40	2.40	2.40	2.40	2.40
Policy rate - Deposit (%)*	2.00	2.25	2.00	2.00	2.25	2.25	2.25	2.25	2.25

Note: *Period end Source: Macrobond, HSBC estimates

Other Western Europe

UK

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99 problems and Iran is only one

As has been the case with many shocks in recent years, the UK economy is learning to live with the repercussions of the Iran war. While the situation remains fluid as we go to press, it seems that some of the more pessimistic expectations at the early stages of the conflict, even those assuming a deal, look to have been overdone.

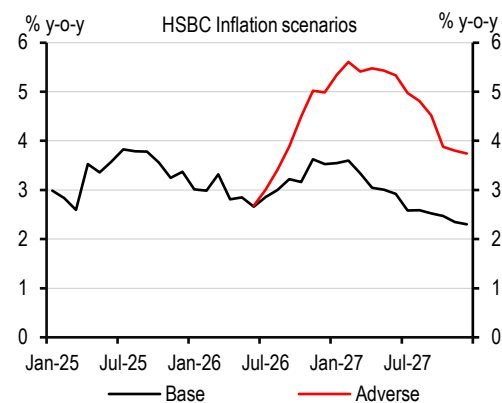
UK GDP grew by a healthy 0.3% m-o-m in March, the first full month of the conflict, allowing for a very respectable 0.6% q-o-q print for Q1. True, it fell back again in April, but that is not unusual, in view of seasonal patterns in recent years. Meanwhile, there are pockets of strength: the manufacturing sector has had a decent start to 2025 (with output up 0.6% 3m/3m in April) and mortgage approvals rose to a 14-month high in April, despite the higher interest rate environment. And the unemployment rate fell back to 4.9% in April.

All in all, considering the circumstances, UK business and households appear to be learning to live with yet another source of uncertainty. That's not to say things are rosy, however. The UK had its problems before the Iran war broke out. None of those have gone away and some have been exacerbated by the conflict: still elevated headline, core and services inflation, a weak labour market, restrictive monetary policy (in our view), strained public finances, a hefty and rising tax burden and domestic political instability all combine to make for a challenging backdrop, making the resilience thus far even more impressive.

Against this backdrop, we continue to see very slow but positive growth for the remainder of the year: we forecast 0.2% q-o-q expansion in Q2, followed by 0.1% in each of Q3 and Q4, for a full-year rate of 1.1%. We do then see a pickup in 2027, as inflation hopefully starts to come down and the market starts to price in interest rate cuts.

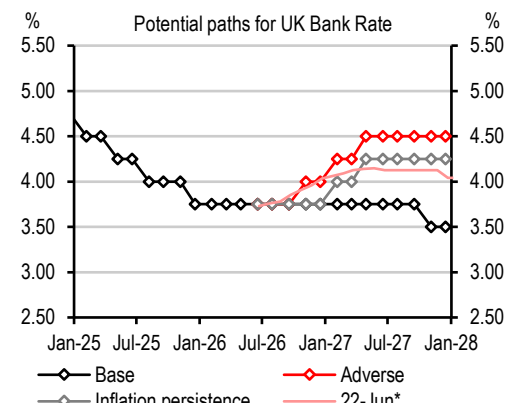
Indeed, as things stand, we expect CPI inflation to rise to 3.6% y-o-y in November 2026, stay around there until March and then start to come down quite quickly towards the BoE's target, ending 2027 at 2.3%. Against this backdrop, the Monetary Policy Committee (MPC) kept its options open at its June meeting, with only two members voting for an increase. We now think it will keep rates unchanged, before eventually resuming easing in November 2027 (see [On hold as Maradona effect prevails](#), 18 June 2026). Still, in our adverse oil price scenario, or if second round effects start to emerge, hikes might be unavoidable.

We expect CPI inflation to peak at around 3.6% y-o-y between November and March



Source: ONS, Bloomberg, HSBC forecast

Given this, and the Iran deal, we think the BoE may not need to hike at all



Source: Bloomberg, HSBC forwards. *Market implied rate

Policy issues

Last quarter we highlighted energy as a key policy area for the UK government, but actually it is defence that is proving a greater source of pressure. While the UK governing and opposition parties alike agree that more spending is needed, the difficulty is the funding: yet more tax rises would play very badly and risk slowing growth, while increases in borrowing could push yields higher and crowd out private sector borrowing. Even small-scale efforts to cut welfare spending – the winter fuel allowance and some disability benefits – have been unsuccessful. That leaves economic growth, which is proving elusive, and further cuts to departmental spending. And while outgoing PM Keir Starmer has been trying to find departmental savings to allow him to raise the defence Budget to 3% of GDP by 2030, there has been no official announcement yet, and in mid-June his defence secretary and armed forces minister both resigned.

Risks

As we go to press, PM Keir Starmer had just resigned. While technically this starts a leadership contest, the overwhelming favourite to replace him is former Manchester Mayor, Andy Burnham, who could be in the job by mid-July (or mid-August if it goes to a ballot). While Mr Burnham reassured the bond markets earlier this year that he would keep the current fiscal rules, there may be temptation to go back on that as time goes on. And even if he doesn't, if he wants to increase spending but stay within the rules, that points to yet more tax rises. If he doesn't want to be constrained by Labour's 2024 manifesto, which rules out rises in the three main sources of tax income, he might consider an early election. But that would likely require a large swing in the polls, and a lot of courage in what would be a hugely risky venture.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.4	1.1	1.0	1.1	1.2	1.1	1.0	0.7	0.8
GDP (% quarter)	-	-	-	0.6	0.2	0.1	0.1	0.3	0.3
Consumer spending	1.0	0.8	0.5	1.0	0.9	0.7	0.6	0.3	0.4
Government consumption	1.6	1.2	1.2	1.4	1.0	1.0	1.3	1.2	1.2
Investment	4.3	0.6	2.8	0.5	0.5	0.4	1.1	2.5	2.7
Stockbuilding (% GDP)	0.1	0.6	0.6	0.6	0.6	0.6	0.6	0.6	0.6
Domestic demand	2.0	1.4	1.1	1.5	1.2	1.6	1.4	0.9	1.0
Exports	2.1	0.9	0.9	0.5	2.0	0.3	0.8	0.9	0.8
Imports	4.2	1.8	1.2	1.8	1.9	1.9	1.8	1.4	1.4
Manufacturing output	-0.9	0.2	1.4	-0.6	-0.5	0.7	1.0	1.2	1.3
Unemployment (%)	4.8	5.2	5.5	5.0	5.2	5.3	5.4	5.5	5.5
Wage growth	4.8	3.7	3.4	4.1	3.9	3.5	3.5	3.3	3.5
Consumer prices	3.4	3.1	2.9	3.1	2.8	3.0	3.4	3.5	3.0
Current account (USDbn)	-99.5	-154.3	-151.0	-37.9	-38.5	-39.0	-39.4	-39.5	-38.3
Current account (% GDP)	-2.4	-3.6	-3.4	-3.5	-3.6	-3.6	-3.7	-3.6	-3.5
PSND (% GDP)**	94.3	94.9	95.6	-	-	-	-	-	-
PSNB (% GDP)**	4.2	4.0	3.8	-	-	-	-	-	-
USD/GBP*	1.35	1.29	-	1.32	1.32	1.3	1.29	1.28	1.27
GBP/EUR*	1.15	1.15	-	1.14	1.16	1.15	1.15	1.15	1.15
Policy rate (%)*	3.75	3.75	3.50	3.75	3.75	3.75	3.75	3.75	3.75

*Period end. Source: HSBC estimates

Other Western Europe

Switzerland

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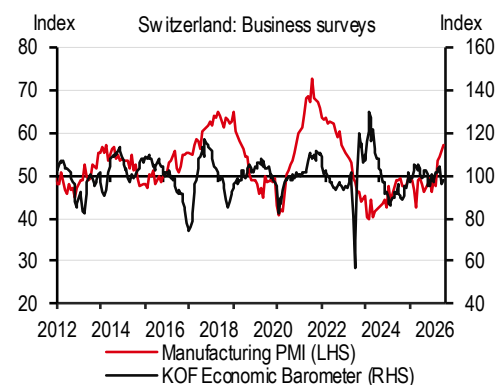
A still-benign inflation backdrop

So far, the conflict in the Middle East has had a relatively limited impact on Swiss inflation. It rose to 0.6% y-o-y in May from 0.1% in April, with the uptick being entirely led by prices of petroleum products. The small part of fuel prices in the Swiss CPI basket, the relatively high level of fixed fuel taxes and the cushion provided by the strong CHF have all contributed to limit the magnitude of the pickup in inflation. Against that subdued backdrop, we already revised down our inflation forecasts in an interim forecast update released in May (see *Swiss forecast update: Not so bad*, 13 May). Since then, Swiss inflation has again surprised to the downside in May (stable at 0.6% y-o-y) and futures on oil prices have declined markedly. As a result, we again trim our inflation forecasts, to 0.5% in 2026 and 0.7% in 2027, from 0.7% and 0.8% previously. Regarding the monthly profile, we expect Swiss inflation to reach a peak of 0.8% y-o-y in 2027, but to recede to 0.5% at the end of the year. Inflation would then remain in the low end of the range targeted by the SNB (below 2% over the medium term, while avoiding deflation).

We also revise up our growth forecast for 2026, to 1.2% from 1.0% previously (our forecast for 2027 remains unchanged at 1.4%). This upward revision reflects a more limited squeeze on real incomes (given the changes in inflation forecasts). On top of that, GDP expanded by 0.7% q-o-q in Q1 2026, which was stronger than we expected (0.5%). Adjusted for sporting events, GDP rose by 0.4% q-o-q versus 0.2% in the previous quarter. This stronger momentum was led by output in the manufacturing sector (1.5% q-o-q from 0.0% in the previous quarter), which could reflect anticipated orders due to fears of shortages or price increases caused by the conflict in the Middle East.

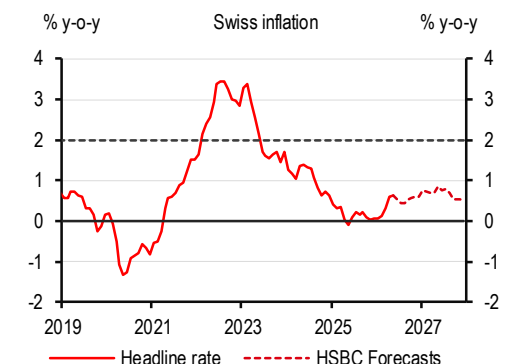
Leading indicators for the second quarter have been very mixed: the Swiss manufacturing PMI rose to 57.3 in May (its highest level since July 2022), but the KOF economic barometer (98.0 in May, from 97.8 in April) was still 2pts below its long-term average of 100 and the press release from the KOF mentioned that indicators on the manufacturing sector were particularly under pressure. In the end, the outlook for manufacturing activity remains largely dependent on the evolution of external demand. On this front, exports of goods have been weak in Q1 (-2.2% q-o-q in real terms), reflecting a large drop in pharmaceutical and chemical products, after a very strong year in 2025. Exports of machinery and equipment goods have been more resilient since the start of the year, which may be reassuring for the SNB. Indeed, exports in that category are typically more sensitive to exchange-rate variations and their resilience suggests that the strong CHF has not been a significant drag for the time being.

Recent leading indicators have sent mixed signals



Source: Bloomberg, HSBC

We now expect inflation to remain below 1% at the end of 2027



Source: LSEG Datastream, HSBC forecasts

Policy issues

Our views on SNB actions remain unchanged. We still see a prolonged status quo for 2026 and 2027, with the policy rate staying at the current level of 0%. On the one hand, rate hikes seem unlikely if our CPI forecasts prove correct, as we expect inflation to remain below 1% until the end of 2027. On the other hand, the SNB has continued to signal a reluctance to return to a negative rates policy and has long stressed that the bar for such a move was higher than for a conventional rate cut.

Against this backdrop, FX interventions should remain the first line of defence. At its June meeting (on 18 June), the SNB stressed again its higher willingness to intervene in FX markets if needed, confirming that the high valuation of the CHF was still a source of concern. At the same time, the recent evolution of FX reserves shows that actual interventions have been quite limited in the past few months. It confirms that the SNB is seeking to avoid an excessive appreciation of the CHF, but not necessarily to engineer a significant depreciation. This is not surprising given that Switzerland agreed with the US in September 2025 not to target exchange rates for competitive purposes.

Risks

Downside risks remain largely related to the developments in the Middle East and the evolution of energy prices. Under an adverse scenario of only a partial reopening of the Strait of Hormuz (leading oil prices to remain elevated for a more protracted period), we estimate inflation would pick up more markedly and exceed 2% in early 2027 before reverting below that threshold by the end of the year thanks to base effects. As a result, annual inflation would pick up to 0.9% in 2026 and 1.6% in 2027, on our calculations.

Such an inflation backdrop would justify rate hikes for the SNB, and we would pencil in two 25bp rate hikes in December 2026 and March 2027 under this scenario, which would lift the policy rate to 0.50%. Afterwards, we would expect the policy rate would be maintained at this level until the end of the year, as the SNB would be likely to remain prudent before resuming rate cuts.

Economic activity would be hit by higher inflation and a more restrictive monetary policy from the SNB. Under this scenario, we estimate annual growth would decelerate to 0.8% in 2026 and 0.6% in 2027.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.4	1.2	1.4	0.5	0.9	1.5	1.6	1.4	1.2
GDP (% quarter)	-	-	-	0.7	0.5	0.2	0.3	0.4	0.3
Consumer spending	1.5	1.1	1.5	1.2	1.1	1.0	1.0	1.4	1.5
Government consumption	0.4	1.3	0.8	1.2	1.1	1.5	1.5	0.8	0.8
Investment	-0.7	0.4	2.0	-1.2	0.7	1.0	0.8	1.6	1.9
Stockbuilding (% GDP)	8.6	10.0	10.0	10.1	10.1	10.1	10.1	10.1	10.1
Domestic demand	2.7	2.5	1.6	2.9	4.6	1.9	0.8	1.3	1.5
Exports	1.3	-1.9	2.1	-6.4	-3.2	0.6	1.1	1.7	1.9
Imports	4.0	0.5	2.5	-2.6	3.7	1.4	-0.5	1.7	2.5
Industrial production	0.5	0.4	2.0	-2.2	-1.1	2.3	2.8	1.8	1.9
Unemployment (%)	2.8	3.1	3.3	3.0	3.0	3.1	3.2	3.3	3.4
Wage growth	2.1	1.4	1.1	1.4	1.4	1.4	1.4	1.1	1.1
Consumer prices	0.2	0.5	0.7	0.2	0.6	0.5	0.6	0.7	0.8
Current account (USDbn)	71.9	76.9	69.1	17.4	20.9	19.7	19.0	18.2	17.2
Current account (% GDP)	7.1	6.8	6.1	6.4	7.4	6.9	6.6	6.4	6.1
Budget balance (% GDP)	0.0	-0.1	-0.1	-	-	-	-	-	-
Gross external debt (% GDP)	466.6	455.8	450.7	-	-	-	-	-	-
Gross government debt (% GDP)	26.0	26.3	26.5	-	-	-	-	-	-
USD-CHF*	0.79	0.81	-	0.80	0.80	0.81	0.81	0.82	0.83
EUR-CHF*	0.93	0.91	-	0.91	0.91	0.91	0.91	0.91	0.93
Policy rate (%)*	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Note: *Period end Source: Macrobond, HSBC estimates

Other Western Europe

Sweden

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On an even keel

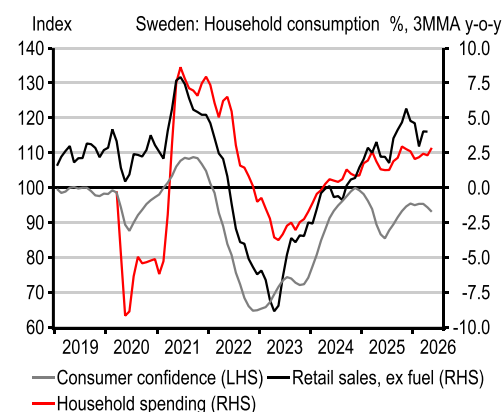
The Swedish economic recovery took off from 2024, and despite hitting a soft patch at the start of 2026, underlying economic conditions remain favourable. The level of GDP is now close to its long-term trend line. We expect Sweden to continue to outperform the eurozone, though we have lowered our GDP growth estimate for 2026 from 2.6% to 2.3% given the weaker Q1 print. In 2027, we expect growth of a similar magnitude.

We assess the 0.2% q-o-q dip in growth in Q1 – driven heavily by swings in government spending and investment – as temporary and expect a rebound in Q2 followed by solid momentum throughout H2. Monthly activity indicators for April already confirm a strong start into the new quarter. Domestic demand should shrug off the increased uncertainty this year even if the Riksbank were to hike (which is not our base case). Deleveraging over the past few years has reduced interest sensitivity. Moreover, a plethora of fiscal policy measures coupled with a multi-year appreciation of the SEK is keeping inflation well below target in 2026 and boosting household purchasing power. The labour market is also recovering, with the employment rate close to previous peak levels and SPES unemployment having reversed more than half of the 2023/24 increase. Consumer surveys point to caution, but private demand has now increased for 12 consecutive quarters and should remain a key growth driver in the quarters to come.

The investment outlook is also favourable, with public spending its most dynamic component given a ramp-up of defence spending and investment on power-sector infrastructure projects. Business investment excluding residential expanded in Q1, and should continue to grow at a healthy pace despite global uncertainty and tightening financial conditions. In the past four years, ICT investment has significantly outpaced growth in any other asset class and with firms globally racing to gain an AI advantage, this trend is likely to continue. Meanwhile, residential investment has bottomed out, but in the future we expect it to generate smaller growth impulses than in the 2010s given slower population growth.

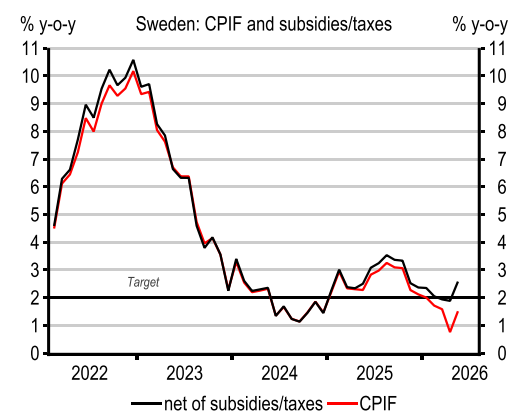
Exports should fare well this year and next, as Swedish firms are competitive at a global scale and the country is a leader in digital services. Moreover, manufacturers offer a sizable catalogue of defence products. Nevertheless, we see net exports as roughly growth neutral this year and next through a combination of weaker growth in European export partners and increased household purchasing power keeping appetite for travel and imported goods high.

Households are shrugging off the effects of the Middle East conflict



Source: Macrobond, HSBC

Fiscal measures are driving a wedge between “actual” and “felt” inflation



Source: Macrobond, HSBC

Policy issues

A mix of multi-year strengthening of the SEK coupled with various temporary tax measures around food and energy prices are pulling down the headline CPIF rate substantially, which together with stable inflation expectations allow the Riksbank to stay on the sidelines for now. Admittedly, the low level of CPIF and CPIF-XE is overstating the softness in underlying inflation – removing tax effects, CPIFXE-CT printed at 1.3% y-o-y in May compared to CPIFXE at 0.5% y-o-y – but these are still low values compared to elsewhere in Europe.

In June, the bank stayed on hold and tried to strike a more hawkish tone, but the new published rate path did not send a clear hike signal for 2026. We see the bank staying on hold for the remainder of the year. In 2027, as the price dampening effects of tax cuts and the SEK appreciation drop out of the equation, and some of the lagged effects of the Middle East conflict appear, the headline inflation rate is going to accelerate and could come in closer to 3% by summer. This should trigger a 25bps hike in the policy rate by 25bps in Q1, followed by a final hike in summer, when the monetary policy stance should become neutral at 2.25%.

Fiscal policy is expansionary in 2026. Government budgetary measures for defence, Ukraine support, and household cost of living support add up to nearly 2% of GDP in 2026 which should push the general government deficit from 1.3% of GDP in 2025 to -2.8% in 2026. The government balance is projected to remain in deficit in 2027 as a multi-year energy spending program kicks off, but to narrow to -2.3% of GDP. The trend of a falling debt ratio has ended, with Maastricht debt projected to reach 36.7% in 2026, and 37.8% in 2027 – still some 2.2ppts below the Swedish “debt anchor” rule.

Risks

The ECB and the SEK pose the main risk to our Riksbank policy rate forecast. More ECB hikes than are our base case would widen the interest rate differential, which could weigh on the SEK and increase inflationary pressures which the Riksbank would likely not feel comfortable to look through. This would have adverse consequences on growth and the labour market recovery. The government has sufficient fiscal space to react with additional stimulus if required, although this would likely fuel inflation. On the upside, households have consolidated their balance sheets over the past few years and may increase consumption more than projected despite the highly uncertain environment.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.7	2.3	2.3	2.2	2.1	2.6	2.4	3.0	2.3
GDP (% quarter)	-	-	-	-0.2	1.0	0.8	0.6	0.5	0.4
Consumer spending	2.0	2.8	2.4	2.4	3.0	2.8	2.9	2.8	2.5
Government consumption	1.4	1.9	1.7	1.3	2.4	3.0	0.8	3.3	1.8
Investment	2.0	3.6	3.1	5.7	4.1	4.2	0.7	3.9	3.2
Stockbuilding (% GDP)	1.8	2.4	2.4	0.6	0.6	0.6	0.6	0.6	0.6
Domestic demand	1.9	2.9	2.4	3.3	2.5	3.3	2.6	3.2	2.5
Exports	4.2	4.0	2.9	3.8	3.8	3.4	4.8	3.1	2.8
Imports	4.6	5.3	3.0	6.1	4.8	4.8	5.3	3.5	3.1
Industrial production	6.5	2.2	3.5	3.7	1.6	1.5	2.0	5.5	3.6
Unemployment (%)	8.8	8.4	7.9	8.4	8.5	8.4	8.3	8.2	8.0
Wage growth	3.5	3.4	3.3	3.1	3.5	3.5	3.4	3.5	3.3
Consumer prices	0.7	0.5	2.1	0.5	0.4	0.1	0.9	1.3	2.0
Consumer prices**	2.6	1.1	2.0	1.8	1.2	0.6	1.0	1.2	1.9
Current account (USDbn)	48.6	38.7	35.9	9.9	9.4	10.0	9.6	9.4	9.4
Current account (% GDP)	6.7	5.4	4.8	5.5	5.2	5.6	5.3	5.2	5.2
Budget balance (% GDP)	-1.3	-2.8	-2.3	-	-	-	-	-	-
Gross government debt (% GDP)	35.1	36.7	37.8	-	-	-	-	-	-
USD-SEK*	9.21	9.64	-	9.47	9.56	9.60	9.64	9.73	9.82
EUR-SEK*	10.82	10.80	-	10.94	10.9	10.85	10.8	10.8	10.8
Policy rate (%)*	1.75	1.75	2.25	1.75	1.75	1.75	1.75	2.00	2.00

Note: *Period end. **CPI with fixed interest rate. Source: Macrobond, HSBC estimates

Other Western Europe

Norway

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Inflation headache

The outlook for the Norwegian mainland economy is slightly weaker than our previous forecast because of a higher policy rate and more persistent inflation. Consequently, we reduce our GDP estimate from 1.7% to 1.4%, just below trend. We leave 2027 unchanged at 1.7%.

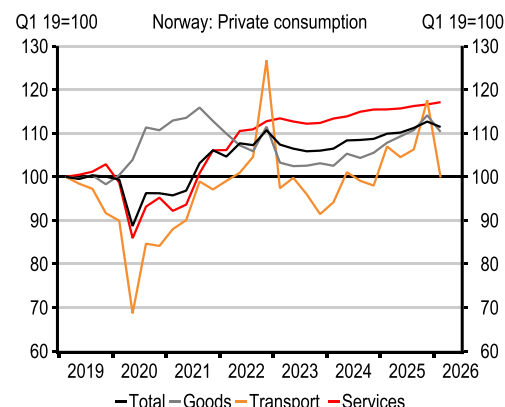
In the first quarter of 2026, sequential growth in Norway's mainland economy came in at 0.2% q-o-q. However, removing the effects of volatile power production and the one-off fluctuation in car sales due to the VAT change are removed, indicates a more normal 0.4% q-o-q.

The Regional Network Survey for Q2 pointed to slightly lower capacity utilisation. However, domestic demand will underpin the overall story of Norwegian resilience. Households and businesses are being shielded from the direct effects of higher oil price through a temporary reduction in fuel duty and a fixed electricity rate scheme introduced by the government in 2025. Meanwhile, purchasing power will continue to increase – the median wage has increased by 26% over 5 years, compared to price growth of c22% – though given inflation persistence, the real wage growth outlook is 1.3%, slightly lower than previously thought. Moreover, households' balance sheets have improved and amid a stable labour market, with registered unemployment hovering at 2.1% for around a year, could withstand one more policy rate hike following Norges Bank's May decision (though this is not our base case).

The non-oil investment outlook has become more muted because of higher import costs and higher rates. The latter, specifically, will weigh on residential construction where firms had been looking for lower rates that would stimulate existing home prices, narrowing the gap to the price of new homes built under much higher construction costs. However, the NHO and the Regional Network surveys still point towards moderate investment intentions, especially in the services sector. Moreover, energy, technology and defence investments are less rate sensitive and should act to keep overall business investment up.

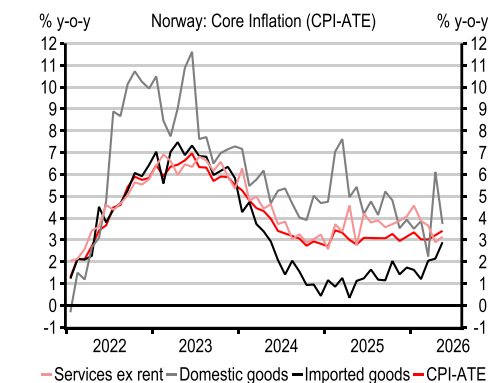
Exports are where the effect from the Middle East conflict might be most prominently felt, due to lower growth among key partners in Europe. However, Norwegian exports are heavily commodity based, which partners are less price sensitive to. Yet given strong domestic demand, we expect the external sector to drag on mainland growth.

Household demand has been a key reason for robust Norwegian growth



Source: Macrobond, HSBC.

Domestic inflation is slow to come down



Source: Macrobond, HSBC.

Policy issues

The Norges Bank delivered an early rate hike in May, but held rates steady at 4.25% at its June meeting in a “hawkish hold”. The bank is very keen to re-anchor inflation expectations, having failed to hit its 2% inflation target for over four years. As a result, its June rate path now has a peak at 4.55% by Q4 2026, with a near 100% likelihood of a hike in September. The model-implied rate path meanwhile has only a 68% likelihood of another rate rise by year-end. Inflation certainly is too high in Norway, and the higher wage expectations for 2027 in the latest Regional Network Survey point to sustained ULC pressures. However, capacity utilisation is slowing, and the May core inflation upside surprise was heavily driven by volatile airfares and imported ICT equipment. The trend in inflation is more or less sideways and we do not see a catalyst for it to pick up. With lower energy futures prices since the announcement of a potential US-Iran deal in mid-June having reduced the risk of commodity-related spillovers, we maintain our call that Norges Bank has hit the peak in policy rates. However, price and wage growth will need to decelerate substantially before the Norges Bank can cut rates again, and we pencil in just one cut in H2 2027 to 4.00%, keeping policy restrictive. An unexpected depreciation in the NOK poses the biggest risk to this forecast and would likely push Norges Bank into making good on that one more hike this year.

Fiscal policy this year will be neutral once the revised national budget 2026 is adjusted for parts that will not boost domestic activity (e.g. support for Ukraine) – 0.9ppts impulse otherwise. The government proposes a non-oil deficit of 12.6% of trend mainland GDP, equivalent to 2.7% spending of the capital in the GPFG. Still, some 26% of the government’s budget is now funded via transfers from the GPFG compared to 20.2% in 2023.

Risks

We are relatively sanguine about downside risks to Norwegian growth given the ability for the state to step in with support, should it be needed. That said, a sharp drop in international financial markets could reduce the value of the GPFG, limiting fiscal space. In contrast, if oil prices were to stay higher for longer than our base case, this could increase oil tax revenues and possibly lead to more fiscal stimulus. The outlook for inflation and policy rates hinges critically on the NOK – should it weaken significantly, inflation would not come down as quickly as expected in our central case and Norges Bank may need to tighten more.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.7	1.4	1.7	0.9	0.9	1.6	2.0	2.1	1.9
GDP (% quarter)*	-	-	-	0.2	0.5	0.7	0.6	0.3	0.3
Consumer spending	2.7	1.3	2.2	1.5	1.8	1.2	0.9	2.4	2.2
Government consumption	2.4	1.9	1.8	2.2	1.8	1.8	1.8	1.8	1.9
Investment*	-0.1	2.0	3.2	-1.2	2.9	5.9	0.4	7.1	3.3
Stockbuilding (% GDP)	-0.3	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2	-0.2
Domestic demand	0.6	1.8	2.3	1.1	2.0	2.4	1.0	3.2	2.4
Exports*	4.2	0.8	1.9	0.9	2.9	0.1	-0.7	2.4	1.7
Imports*	3.6	4.1	2.4	4.2	5.5	4.7	2.0	3.0	2.5
Industrial production	3.9	1.7	2.8	1.8	0.6	1.7	2.8	2.7	2.7
Unemployment (%)	4.5	4.5	4.4	4.8	4.3	4.5	4.5	4.5	4.4
Wage growth	5.2	4.5	4.2	4.5	4.5	4.5	4.5	4.2	4.2
Consumer prices	3.0	3.2	2.6	3.3	3.2	3.1	3.2	2.8	2.6
Current account (USDbn)	80.7	105.8	87.9	-	-	-	-	-	-
Current account (% GDP)	14.2	17.5	14.5	-	-	-	-	-	-
Budget balance (% GDP)	10.4	11.3	9.7	-	-	-	-	-	-
Gross government debt (% GDP)	42.7	42.9	42.0	-	-	-	-	-	-
EUR-NOK**	11.84	11.20	-	11.20	11.10	11.10	11.20	11.20	11.20
Policy rate (%)**	4.00	4.25	4.00	4.00	4.25	4.25	4.25	4.25	4.25

Note: **Mainland, **Period end Source: Macrobond, HSBC estimates

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Poland

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Racing with the deadlines

We continue to expect solid, broad-based economic growth this year, with the strongest momentum coming from investment activity. Our central scenario still assumes a slowdown in 2027, largely reflecting the expected tapering of the Recovery and Resilience-related funding.

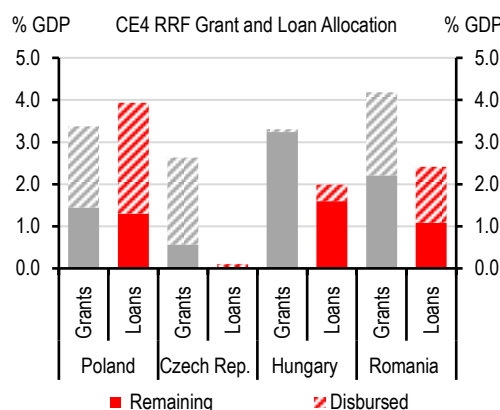
A key upside risk highlighted in our previous quarterly has materialised. Poland successfully signed the EU Security Action for Europe (SAFE) loan agreement in time to enable the distribution of two-thirds of the EUR 44bn envelope (around 4.5% of GDP) ahead of the end-May deadline for the so-called single-procurement stage. Looking ahead, the next major hurdle is the end-August deadline linked to Recovery and Resilience Facility (RRF) funding, which may be more difficult to meet. The government is targeting PLN100bn funding absorption this year and a PLN31bn tranche was disbursed in June. However, implementation bottlenecks in investment projects raise the risk that full absorption targets may not be achieved.

Indeed, Q1 2026 GDP figures were disappointing, with fixed investment rising only 0.3% quarter-on-quarter and slowing to 2.4% year-on-year. That said, more recent indicators offer some encouragement: construction activity has improved meaningfully, with a strong rebound in April and May. The manufacturing PMI remained in contraction for the 13th consecutive month in May, but the output sub-index moved above 50 – the second recent occurrence in the past 13 months (after March), suggesting pockets of stabilisation.

We maintain our view that consumption growth will moderate, primarily due to slowing wage dynamics. We expect real wage growth to ease from around 5% in 2025 to 3% in 2026, and to slow further in 2027. In fact, May real wage growth in the corporate sector fell to 2%, underscoring the downshift already well underway. Our long-standing expectation of wage moderation is supported by contained public-sector wage bill growth and minimum wage increases, both set at 3% in 2026. In June, the government proposed the same 3% levels for 2027.

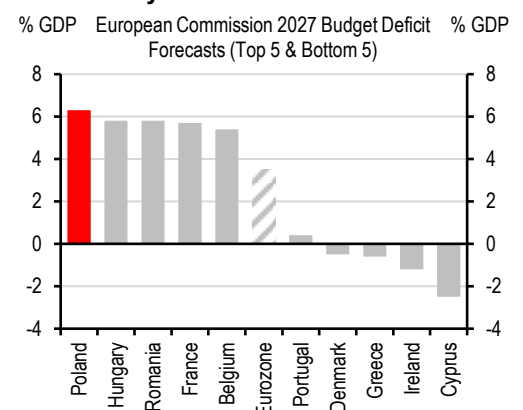
Overall, we leave our 2026 and 2027 growth forecasts unchanged. Investment remains the key upside risk, meanwhile downside risks relate to private consumption reflecting subdued consumer confidence. Exports continue to hold up well, despite ongoing headwinds from weak eurozone growth.

Full RRF funding absorption at risk



Source: European Commission

Weak fiscal position remains main vulnerability



Source: European Commission.

Policy issues

Compared with the heightened concerns in May, the recent decline in oil prices has shifted our focus back towards economic resilience, with policymakers more inclined to look through the inflationary impulse rather than respond aggressively to it. Indeed, the Polish central bank (NBP) appears broadly confident, based on June remarks from several Monetary Policy Council members, that it will not have to tighten policy. That stance is supported by two key considerations: moderating wage dynamics and expectations that the recent pickup in core inflation will prove temporary. After consistently undershooting through much of 2025, core inflation rose to 3.1% y-o-y in May, up from 2.5% y-o-y in February. This outcome exceeded the NBP's March forecast for Q2 2026 by 0.4–0.5 percentage points. However, the overshoot has been concentrated in oil-sensitive categories: transport services and packaged holidays, rather than led by a broad-based re-acceleration. That said, the risk that higher oil prices feed through more persistently into core inflation continues and remains a key watchpoint. We still expect headline inflation to test the upper end of the NBP's target range (3.5%) towards the end of 2026 and into early 2027. We are also still mindful of risks to the sustainability of recent optimism around the oil price outlook. Accordingly, the argument for a rate hike this year remains finely balanced. As a result, we pencil in one hike in Q4 2026, to be reversed towards the end of 2027.

Beyond the near-term inflationary risks, we retain a longer-term easing bias, but it is explicitly conditional on fiscal tightening. This is increasingly necessary given Poland's rising debt trajectory and persistently elevated budget deficits.

On our current forecasts, Poland should record the largest budget deficit in the EU in 2027, at over 6% of GDP. In parallel, we expect Poland to see the largest post-pandemic and post-energy-crisis debt accumulation, with public debt rising by around 19% of GDP over four years, through end-2027.

Risks

Fiscal policy risks remain unaddressed with policymakers' inaction ahead of what is shaping up to again be a tightly contested parliamentary election in autumn 2027. Positively, so far the public spending focus remains on investment.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	3.6	3.5	2.8	3.5	3.2	3.8	3.9	3.1	2.8
GDP (% quarter)	-	-	-	0.6	0.9	1.2	1.0	0.5	0.6
Consumer spending	3.7	3.2	2.9	3.3	2.7	3.7	3.0	3.2	2.8
Government consumption	5.3	3.8	2.6	6.0	2.0	3.0	4.4	4.4	-0.5
Investment	4.4	6.3	4.3	2.4	2.8	7.9	9.1	9.8	3.4
Domestic demand	4.2	4.4	3.0	3.7	2.9	5.2	5.4	4.3	2.2
Exports	5.5	4.7	3.8	5.6	5.8	4.7	2.9	3.1	3.9
Imports	6.8	6.4	4.3	6.1	5.4	7.6	6.2	5.5	2.7
Industrial production	2.3	2.8	4.1	1.7	3.0	2.8	3.9	4.3	4.3
Unemployment (%)	3.2	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
Wage growth	8.7	6.3	5.6	6.7	5.8	6.5	6.1	5.5	5.6
Consumer prices	3.6	3.1	3.2	2.5	3.1	3.0	3.8	3.9	3.5
Current account (USDbn)	-8.9	-18.4	-18.6	-0.3	-4.1	-9.4	-4.7	-5.5	-4.4
Current account (% GDP)	-0.9	-1.6	-1.4	-0.1	-1.5	-3.1	-1.4	-1.9	-1.4
Budget balance (% GDP)	-7.3	-6.8	-6.5	-	-	-	-	-	-
Gross external debt (% GDP)	50.0	50.6	52.0	-	-	-	-	-	-
Gross government debt (% GDP)	59.7	64.8	68.5	-	-	-	-	-	-
EUR-PLN*	4.22	4.20	-	4.29	4.25	4.25	4.20	4.15	4.10
Policy rate (%)	4.00	4.00	3.75	3.75	3.75	3.75	4.00	4.00	4.00

Note: *Period end Source: Macrobond, HSBC estimates

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Russia

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As the war grinds on, the economy grows more strained

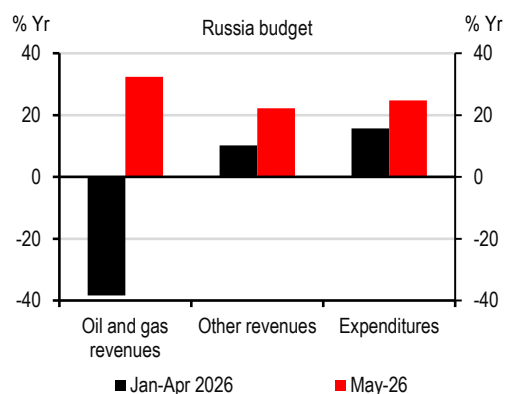
The ground war appears to have hit a stalemate, with Russian forces losing control of territory in net terms since the start of the year. Their rate of advance has also slowed sharply compared to 2025 (Institute for the Study of War, 1 June). The most recent estimate for Russia's casualties is more than 30,000 per month (NATO, 3 June), and 1.1-1.5 million since the start of the war (Economist, 17 May). Despite these trends, Ukraine's President Zelensky's recent proposal for an immediate ceasefire and a face-to-face meeting was rejected by President Putin (BBC, 5 June).

Growth has slowed sharply to close to zero in Q1. Q2 data is sparse, but retail sales fell by 2% m-o-m in April, while industrial output rose by a mere 0.4% m-o-m. Manufacturing and services PMIs in April-May were also weaker compared to Q1 25. We continue to see GDP growth capped at 1.0-1.5% per year for as long as labour and investment constraints persist. As an example of the former, the deputy prime minister recently estimated that Russia's labour shortage could exceed 3 million people by 2030. The economy ministry expects growth to slow to 0.4% y-o-y this year, while the central bank's estimate is similarly downbeat, in a range of 0.5-1.0%.

Inflation has moderated from a peak of 10% in Q1 25 to the 5% handle in May, reflecting the impact of monetary tightening and more than 10% RUB strengthening year-to-date. Inflation momentum measures (seasonally adjusted, m-o-m, annualised) for both headline and core inflation are also close to the CBR's 4% target. Manufacturing PPI has averaged close to zero in y-o-y terms since the start of the year, all of which is supportive of continued monetary easing. The real policy rate stands at 9% currently and has averaged close to 10% over the past year. We continue to expect further easing this year and next, but now expect this to be more gradual after the CBR opted for a smaller 25bp cut in June. The rate setters continue to see the fiscal stance as the main upside risk to the inflation outlook.

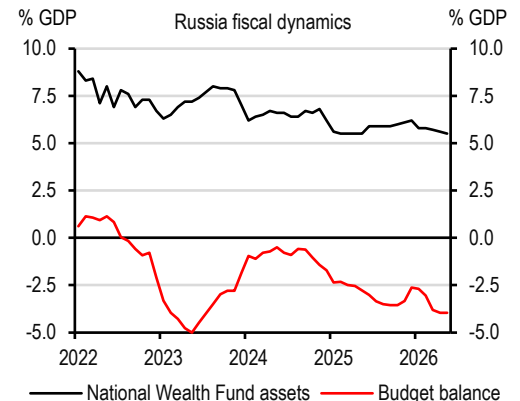
RUB strength weighs on export competitiveness and fiscal dynamics, but for now there is no sign that policymakers are considering measures to weaken the currency. This may be because inflation is still too high for comfort (in y-o-y terms if not in momentum terms), or because authorities associate a strong currency with broader macro resilience.

Energy earnings jumped sharply in May



Source: Macrobond

The budget shortfall appears set to narrow



Source: Macrobond

Policy issues

Authorities believe defence spending could overshoot the budgeted 7% of GDP by 0.8-1.6% of GDP this year, under optimistic and pessimistic scenarios, and by 1.6% of GDP on average in 2027-28 (FT, 29 May). The finance ministry is expected to publish a revised budget to reflect higher defence spending but also a higher oil price assumption. The existing budget, which envisions a shortfall of 1.6% of GDP in 2026 (from 2.6% in 2025), was built on an average oil price assumption of USD59/b.

The impact of higher oil prices only became clear in the May data, which showed oil and gas revenues rising by more than 30% y-o-y after falling by 38% y-o-y in January-April. Non-energy revenues rose by 10% y-o-y in January-April and by 22% in May, likely reflecting government efforts to grow non-energy revenue sources and to broaden the tax base. The pace of spending growth has been steady in y-o-y terms in Q1 and Q2. In 12-month cumulative terms, Russia ran a budget deficit of 4% of GDP in May, but this is likely to narrow in the remainder of this year, assuming that oil prices remain elevated. As demand has increased following the outbreak of the war, and following the temporary loosening of US sanctions, Russia has been able to sell its oil at a smaller discount. In early March, there were reports that Urals oil was selling at a premium to Brent at Indian ports (Reuters, 6 March).

We maintain our view that fiscal dynamics, while worse compared to pre-2022, are unlikely to constrain the regime's willingness or ability to wage war. Even assuming that the budget remains in a modest deficit this year, we note that National Wealth Fund assets still stand at some 5% of GDP (the liquid portion of these assets is likely smaller at around half).

Risks

There have been several media reports suggesting that both popular and elite opposition to the war may be growing (FT 4 May, Economist 6 May, Bloomberg 8 May). One poll found that 20% of participants believe protests due to falling living standards are possible, while 14% of respondents judged political protests to be likely (Levada Center, 14 May). Following the US-Iran peace deal, President Trump suggested sanctions on Russia's oil exports could be re-imposed (Politico, 16 June).

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.0	0.9	1.3	0.0	1.4	1.5	0.8	3.9	1.6
GDP (% quarter)	-	-	-	-0.2	0.1	0.3	0.3	0.4	0.4
Consumer spending	3.6	1.8	1.3	2.2	1.7	1.8	1.4	2.6	1.9
Government consumption	1.1	1.0	1.3	0.5	0.7	1.3	1.6	1.8	1.2
Investment	-0.4	-1.0	1.0	-3.5	-2.4	-1.0	1.2	4.8	1.5
Exports	1.8	1.9	2.2	0.7	1.8	1.2	3.7	4.8	2.4
Imports	2.5	2.4	2.3	0.7	3.0	0.1	4.9	0.4	2.8
Industrial production	1.3	1.6	1.2	4.2	2.9	0.1	-2.1	-2.8	0.1
Unemployment (%)	2.3	2.2	2.2	2.2	2.2	2.2	2.2	2.2	2.2
Wage growth	13.5	13.9	9.9	14.8	15.7	14.2	11.0	10.2	9.8
Consumer prices	8.7	5.4	3.9	5.9	5.5	5.2	4.9	3.9	4.0
Current account (USDbn)	40.8	81.0	49.0	38.1	55.3	59.3	81.0	89.0	76.3
Current account (% GDP)	1.5	2.9	1.8	1.4	2.0	2.1	2.9	3.2	2.8
Budget balance (% GDP)	-2.6	-2.3	-2.4	-	-	-	-	-	-
Gross external debt (% GDP)	11.8	10.9	10.9	-	-	-	-	-	-
Gross government debt (% GDP)	15.2	16.7	18.4	-	-	-	-	-	-
RUB/USD*	78.8	85.0	-	81.3	75.0	80.0	85.0	90.0	90.0
Policy rate	16.00	13.25	10.25	15.00	14.25	13.75	13.25	12.25	11.25

*Period end. Source: HSBC estimates

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Türkiye

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Facing domestic and external shocks

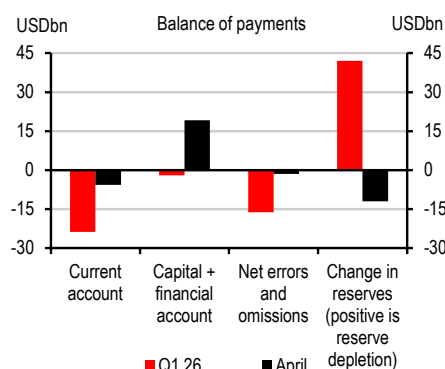
Türkiye's outlook has deteriorated first in the wake of the Iran war, then as domestic political noise started to grow again in May. Q1 GDP data showed that activity slowed sharply, even though the impact of higher oil prices was not yet visible in March and Türkiye suffered no supply shortages. Still, the economy barely grew in Q1 in sequential terms. Household spending was close to flat q-o-q, fixed investment fell, and at -7.5% q-o-q, exports registered their sharpest decline since the pandemic. We continue to expect a recovery, but as monetary easing looks unlikely in the near term, this is set to happen gradually. Following the very weak Q1 print, we revised down our full-year 2026 growth forecast from 3.0% to 2.2%. Our 2027 forecast is 3.7%.

Following negative surprises in the recent data, we have also made several upward revisions to inflation forecasts. And even after updating our oil price assumptions in the wake of the US-Iran peace agreement, we continue see headline CPI at 28% and 15% y-o-y by end 2026/27.

The direct impact of higher fuel costs on headline inflation was in part absorbed by a temporary automatic pricing mechanism, whereby the special consumption tax declines to offset up to 75% of the rise in fuel costs. Brent oil prices have increased by 30% in TRY terms over March-May, while the "fuels and lubricants for personal transport" category in the CPI basket has seen a cumulative price increase of 16% over the same time period, adding 0.5pp to headline CPI. Separately, the energy regulator increased residential electricity and gas tariffs by 25% effective 4 April, which added a further 0.6pp to headline CPI. But given the un-anchored nature of inflation expectations in Türkiye, the pass-through from rising energy prices to other prices has been high. Transportation service prices, for example, have risen by more than the increase in fuel costs. 12-month forward-looking inflation expectations of firms and households have also risen at a faster pace than we were expecting, despite currency strength.

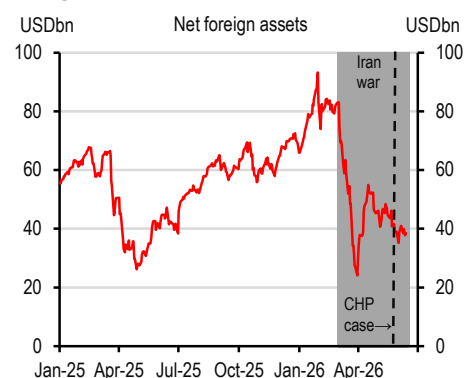
We continue to see the current account shortfall at around 3% of GDP this year. Net FDI and portfolio inflows year-to-date have been close to zero. Despite market turbulence, external borrowing by Turkish banks and firms has remained strong, with rollover ratios for long-term loans well over 100% in the first four months of this year. If there is a durable improvement in risk appetite, short-term funding flows could also see a pickup.

Balance of payments pressures...



Source: Macrobond

...and CBRT reserves are back in the spotlight



Source: Macrobond

Policy issues

We think a key reason why there has been no rate rise after the outbreak of the Iran war is the absence of FX demand from Turkish residents. CBRT data shows that firms' FX deposits have increased only modestly since February. If this picture were to change and dollarisation in Türkiye were to rise rapidly, or if non-resident outflows were to intensify, we would expect the CBRT to raise rates. But our base case is for the bank to remain on hold in the near term and for a cautious easing cycle to restart in September.

The 12-month running fiscal deficit has widened modestly, from 2.9% of GDP at the end of last year to 3.1% in May. Special consumption tax revenues on petroleum and natural gas, which corresponded to 4% of total revenues last year, fell 23% y-o-y January-May, due to the fuel price subsidies in place. A back-of-the-envelope calculation suggests the revenue loss year to date compared to what could have happened in the absence of subsidies is modest at around 0.2% of GDP.

Risks

Balance-of-payments pressures are likely to remain in the spotlight as oil prices remain elevated. This impact will become more visible in the Q2 data as the energy import bill grows – in April, this was up by 28% y-o-y. But balance of payments pressures were already evident at the start of the year. In Q1, the current account deficit of USD24bn, net errors and omissions outflows of USD16bn, and capital outflow of USD2bn were financed entirely by reserves, which fell by USD42bn. There is no reason to expect a sudden reversal in the unidentified FX outflows, while the evolution of short-term capital inflows will depend on how quickly global risk appetite recovers.

The domestic political outlook is uncertain. After a court decided to remove the leadership of the main opposition party in late May, investors quickly focused on the question of whether or not Türkiye might hold early elections in 2026. Neither President Erdogan nor any other AKP official has made comments to suggest that a vote is set to take place any time soon. This might, at least in part, be due to the challenging macro backdrop. Local media reports suggest that the government might also be considering changes to Türkiye's constitution to pave the way for President Erdogan to stand for another term as president (Nefes, 3 June).

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	3.6	2.2	3.7	2.5	3.0	1.7	1.6	3.2	4.5
GDP (% quarter)	-	-	-	0.1	0.5	0.6	0.9	1.0	1.0
Consumer spending	4.1	4.4	4.2	4.8	6.8	4.1	2.3	2.2	4.7
Government consumption	0.8	4.7	4.9	2.1	4.6	5.4	6.4	7.1	6.2
Investment	7.0	0.3	3.9	3.0	-0.6	-1.3	0.4	2.6	6.4
Exports	-0.3	-7.9	3.1	-12.7	-6.9	-8.5	-3.8	4.1	3.8
Imports	4.9	0.4	7.6	-2.0	-0.2	1.9	1.2	5.3	9.2
Industrial production	2.7	3.1	3.4	-0.2	3.7	4.4	4.7	5.3	2.4
Unemployment (%)	8.4	8.4	8.7	8.2	8.3	8.4	8.5	8.6	8.6
Wage growth	41.5	36.6	24.5	38.1	36.3	36.7	35.2	28.6	25.0
Consumer prices	35.2	30.6	18.3	31.0	32.5	30.6	28.1	23.7	17.5
Current account (USDbn)	-30.1	-51.5	-50.2	-39.7	-45.3	-55.4	-51.5	-56.5	-52.5
Current account (% GDP)	-1.9	-2.9	-2.8	-2.4	-2.7	-3.2	-2.9	-3.2	-3.0
Budget balance (% GDP)	-2.9	-3.1	-2.9	-	-	-	-	-	-
Gross external debt (% GDP)	32.8	32.4	34.8	-	-	-	-	-	-
Gross government debt (% GDP)	23.8	25.9	28.6	-	-	-	-	-	-
USD-TRY*	42.96	50.00	-	44.46	46.50	48.00	50.00	51.00	52.00
Policy rate*	38.0	34.0	20.0	37.0	37.0	36.0	34.0	30.0	26.0

Source: HSBC estimates, Refinitiv Datastream. Note: *Period end

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Saudi Arabia

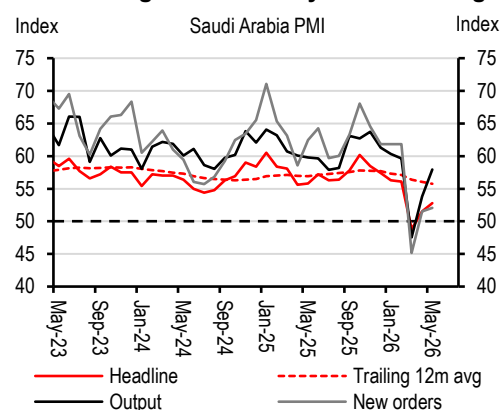
Growth to gain, policy challenges to build

We made sharp adjustments to our core macro forecasts for the Kingdom following the onset of the Middle East conflict, premised on a view that the conflict would ease into the second half of the year, allowing activity to steadily normalise. As a result, we for now make no material revisions to projections for the Saudi economy, while also recognising the high level of uncertainty that continues to surround them.

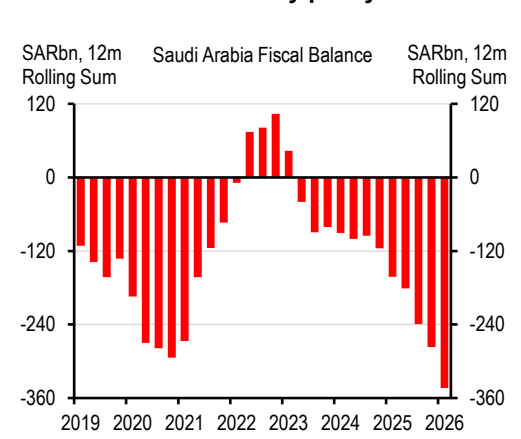
For 2026 as a whole, we see growth averaging around 2% – some 3ppt below the five-year average and well down on our pre-crisis projection. Nevertheless, the growth forecast is stronger than our expectations for the Middle East as a whole and masks a positive growth profile that sees the economy contracting in the first half of the year before returning to growth in H2 as the impact of the crisis fades. We expect this pick up in momentum to continue to build into next year when we see growth pushing above 5.5%. The forecast is premised on a sharp rise in oil exports as traffic through the Strait of Hormuz normalises and OPEC keeps production quotas loose amid global inventory restocking. But we also look for non-oil activity to firm as confidence recovers and supply-chain disruption fades. Here we are encouraged by the Q1 GDP print which showed non-oil output up 0.3% q-o-q even as the broader economy contracted, as well as high frequency data that suggest sentiment and activity picked-up in April and May after dipping in March as the crisis began. Pre-conflict data also show FDI inflows at a record high.

While renewed geopolitical volatility would set back the growth story, Saudi Arabia's balance sheet strength has allowed it to weather this year's conflict with no sign of market strain. Red Sea access also means the Kingdom's export receipts have been sheltered from the Strait of Hormuz disruption. We expect this to result in a budget deficit of a little under 5% of GDP this year – down 1ppt on 2025 despite the spending pressures of the crisis – falling to under 3% of GDP in 2027 as higher oil production offsets softer prices. After a run of sharp gains, we anticipate this outturn will see public debt settle at around 35% of GDP. We also look for the current account deficit to narrow this year and to return to surplus in 2027, with the overall balance of payments position likely to be strengthened by sizeable debt and equity capital inflows. We are comfortable, too, with prospects for price stability with inflation holding below 2% y-o-y in May despite the supply challenges brought by the crisis, and likely to remain contained as rents decelerate.

Having dipped at the start of the crisis, there are signs that activity is rebounding



Public finances are a key policy concern



Policy issues

While we are comfortable with the near-term outlook and confident of the Kingdom's capacity to weather any fresh external shocks, two sets of policy challenges complicate the view. Most immediately, 2026 was due to be a year of fiscal consolidation, with the budget targeting a 5.5% drop in spending on last year's outturn to cap gains in public debt. This adjustment always appeared challenging to deliver but now looks more testing still given the sustained increases in military and infrastructure outlays the war is likely to bring – concerns heightened by the 20% y-o-y rise in spending in Q1. Provided oil prices remain firm, the Kingdom has scope to absorb these additional outlays but only at the cost of delaying debt stabilisation to next year, while revenue declines would intensify pressure to accelerate broader fiscal adjustment.

Adding to the challenge, off-budget spending delivered through the Public Investment Fund (PIF) was also due to trend lower this year as the government scaled back more ambitious elements of Vision 2030. Here there has been some progress year-to-date with the Kingdom stepping back from plans to host the 2029 Asian Winter games and terminating some of its international sports sponsorships. But the task of containing outlays on ongoing projects such as the FIFA World Cup and World Expo remains testing, as does dealing with the legacy costs of cancelled works and ensuring ongoing projects are integrated and fully funded.

In addition to these cyclical challenges, Saudi Arabia must also look to frame the next phase of its structural reform programme. A raft of policy changes to the business environment and social system have encouraged a sharp increase in investment since Vision 2030 was launched in 2016. But productivity gains so far appear muted, female labour participation has plateaued, and non-oil exports have yet to rise meaningfully as a share of GDP. The task of driving these long-term gains is likely to be further complicated by the Middle East conflict, with the conflict bringing into sharp relief the challenge regional political tensions pose to supply chains and security, creating fresh headwinds to plans for manufacturing and tourism to emerge as long-term growth drivers.

Risks

Unresolved political tensions remain the key threat to the Kingdom's economic outlook – a fresh round (or even persistent fears of renewed insecurity) would weigh on confidence and recovery. Beyond this, we look closely to see what impact demand losses and a weaker supply discipline have on oil prices, particularly following the UAE's withdrawal from OPEC. While losses are unlikely to be immediate, a price that settled below USD70/b in 2027 would weigh heavily on nominal balances and start to constrain policy choices.

Key forecasts

% Year	2019	2020	2021	2022	2023	2024	2025	2026f	2027f
GDP	1.7	-3.8	6.5	12.0	0.5	2.6	4.5	2.0	5.6
Consumer spending	6.4	-4.9	6.3	5.8	7.6	3.8	3.5	1.9	3.5
Government consumption	-3.1	4.5	0.8	9.6	5.5	3.1	-3.5	4.1	3.0
Investment	4.1	-3.1	3.6	19.7	9.4	10.1	-1.7	0.1	2.0
Domestic demand	5.8	-6.0	8.7	9.5	6.4	4.0	3.1	1.5	2.9
Exports	-10.5	-9.5	-8.5	-7.5	-6.5	-5.5	-4.5	-3.0	12.0
Imports	9.8	-19.9	8.6	12.2	15.1	7.4	4.7	-6.0	3.0
Industrial production	-1.0	-5.4	4.7	16.2	-3.5	-4.0	3.0	4.0	3.5
Consumer prices	-2.0	3.2	3.2	2.5	2.5	1.5	2.0	1.9	2.1
Current account (USDbn)	32.4	-34.7	44.9	145.3	25.9	-16.3	-32.7	-23.7	2.7
Current account (% GDP)	3.6	-4.5	4.6	11.7	2.1	-1.3	-2.4	-1.7	0.2
Budget balance (% GDP)	-4.0	-10.2	-2.0	2.2	-1.8	-2.5	-5.4	-4.8	-2.8
Gross external debt (% GDP)	26.5	36.3	31.0	26.1	28.2	30.2	30.2	31.3	31.2
Gross government debt (% GDP)	20.3	29.6	25.5	21.3	23.0	26.2	29.5	33.5	34.5
USD/SAR (eop)	3.75	3.75	3.75	3.76	3.75	3.76	3.75	3.75	3.75
Policy rate (%)*	1.75	0.50	0.50	4.50	5.50	4.50	3.75	3.75	3.75

Source: CEIC, LSEG Datastream, Bloomberg, IMF, local sources, HSBC calculations and estimates. Note: *period end

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South Africa

Testing the buffers

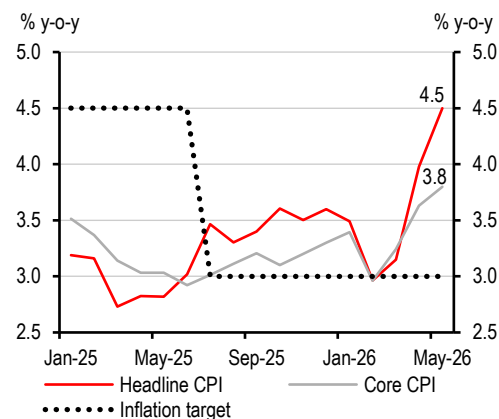
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The South African economy had a solid start to 2026, but the impact of the global energy shock is visible in the available Q2 data. Before the shock, GDP momentum accelerated in Q1, inflation was stable at the new 3% target, the fiscal balances outperformed budget expectations, and South Africa recorded a sizeable current account surplus. Despite the downside risks from the energy shock, credit rating agencies have also turned more positive on South Africa. In late May, Moody's raised the outlook on its BB-equivalent foreign currency rating from stable to positive, followed by an outright upgrade from Fitch to BB from BB-, with a stable outlook. S&P Global upgraded its rating by one notch to BB in November 2025, with a positive outlook.

These developments point to improving macro buffers before the energy shock, which may dampen the fallout. Low actual inflation, declining inflation expectations, and restrictive monetary policy going into the shock suggest that the SA Reserve Bank's (SARB) interest rate response could be modest relative to the previous energy price spike in 2022 when the policy rate was hiked by 400bps. Fiscal outperformance totalling 0.2% of GDP in FY25/26 meant the Treasury could provide ZAR17bn worth of fuel price subsidies between April and June 2026 without compromising fiscal consolidation. Despite these buffers, as a net importer of oil and refined products, the economy is taking strain from higher fuel prices. These were largely responsible for pushing headline CPI from 3% y-o-y in February 2026 to 4.5% in May, well outside the SARB's 1ppt tolerance range on either side of the new 3% target. To guard against second-round price effects, the SARB pre-emptively hiked the policy rate by 25bps in May.

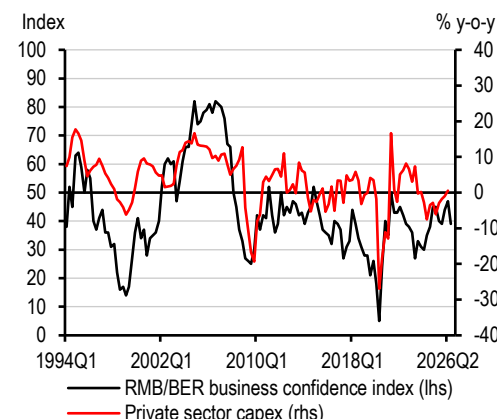
Surging fuel bills have had an impact on sentiment, with the RMB/BER business confidence index declining by 8 points to 39 in Q2 2026. This means that more than 60% of the respondents were unsatisfied with prevailing business conditions. This bodes ill for near-term private sector fixed investment, which already declined in Q1. Furthermore, the business activity indices of the manufacturing and whole economy PMIs were below the neutral 50 mark in May, indicating subdued activity. The PayInc index of economic transactions also declined in April and May. This suggests growth softened in Q2 after the better-than-expected 0.5% q-o-q rise in Q1. In March, we cut the growth forecast for 2026 to 1.5%, from 1.7% in January. This was followed by a further downward revision to 1.1% in May, a view that still holds. Our consumer inflation forecast for 2026 has been revised higher since March, from an average of 3.7% to 4.3%.

Inflation taking the hit from higher fuel costs



Source: Stats SA

Lower business confidence in Q2 2026 a risk to the private sector capex outlook



Source: Bureau for Economic Research, Stats SA

Policy issues

Given the inflationary impact of the energy price shock, monetary policy remains solely focused on bringing headline CPI back to the 3% target over a reasonable time horizon (within two years). Contingent on the Strait of Hormuz starting to open in the next month, our base view is that the May policy rate increase will be the only one in the cycle, but that the hike will only be reversed in late 2027 once there is greater comfort that inflation will sustainably settle at 3%. Until we receive an update on a formal rule/guidelines at the next budget statement in October 2026, fiscal policy will be guided by targeting primary budget surpluses that enable a downward trajectory in the debt ratio. In the near term, high precious metal prices should underpin corporate tax revenue, assisting debt stabilisation. Elevated precious metals are also shielding the current account against a higher import bill.

To achieve higher rates of GDP growth, it is important that the government stays the course on structural reforms in the network industries (electricity, logistics, water etc.) to make it easier for the private sector to compete with established state monopolies. On industrial policy, some government policy proposals that aim to reverse long-term deindustrialisation in South Africa risk harming the primary mining sector. These include possible constraints on chrome ore exports and mining licences being contingent on a beneficiation (mineral processing) pledge.

Risks

The major risk to the baseline forecast is if traffic through the Strait of Hormuz remains well below the levels before the Middle East conflict. The result would likely be a higher-for-longer oil price, with a greater risk that core inflation rises. This would result in more SARB rate hikes, with adverse growth implications. On the domestic political front, local government elections take place on 4 November 2026. Our baseline assumption is that the government of national unity (GNU) remains intact after the elections. However, a big swing in voter support for the major coalition partners (the ANC and the DA) may increase uncertainty about the GNU's future. Diplomatic relations with the US also remain tense, with additional tariffs on South African exports a lingering risk. However, the downside is likely contained because South Africa's exports to the US are predominantly platinum group metals, which have so far been exempted from the tariffs.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	1.1	1.1	1.7	2.0	1.0	0.8	0.8	0.7	1.5
GDP (% quarter)	-	-	-	0.5	-0.2	0.1	0.3	0.5	0.6
Consumer spending	3.6	1.5	1.6	3.5	1.8	0.9	0.0	0.4	1.2
Government consumption	-0.2	1.6	0.5	2.3	1.7	1.5	1.0	0.6	0.5
Investment	-2.2	0.1	2.8	0.0	1.1	0.1	-0.8	1.3	2.7
Domestic demand	2.0	1.4	1.5	2.8	1.7	0.9	0.1	0.6	1.3
Exports	-2.5	0.6	2.9	-3.1	0.9	1.6	3.2	3.2	3.2
Imports	1.1	0.4	3.2	-2.0	2.1	0.9	0.7	4.3	2.9
Industrial production	-1.0	-0.9	1.5	0.7	-2.1	-1.8	-0.5	0.4	2.0
Unemployment (%)	32.4	32.4	32.0	32.7	32.4	32.3	32.1	32.0	32.1
Wage growth	3.8	4.6	4.6	4.4	3.8	5.4	4.9	4.9	4.4
Consumer prices	3.2	4.3	3.9	3.2	4.4	4.5	4.9	5.2	3.7
Current account (USDbn)	-2.0	5.6	0.7	11.7	3.7	3.7	3.6	2.2	0.6
Current account (% GDP)	-0.5	1.1	0.1	2.4	0.8	0.7	0.7	0.4	0.1
Budget balance (% GDP)	-4.2	-3.8	-3.5	-	-	-	-	-	-
Gross external debt (% GDP)	46.9	45.0	43.2	-	-	-	-	-	-
Gross government debt (% GDP)	78.3	76.2	75.7	-	-	-	-	-	-
USD-ZAR*	16.56	17.30	-	16.94	16.80	17.20	17.30	16.80	16.50
Policy rate (%)	6.75	7.00	6.75	6.75	7.00	7.00	7.00	7.00	7.00

Source: LSEG Datastream, HSBC estimates. Note: *Period end.

Latin America

Brazil

Beyond the oil price trouble

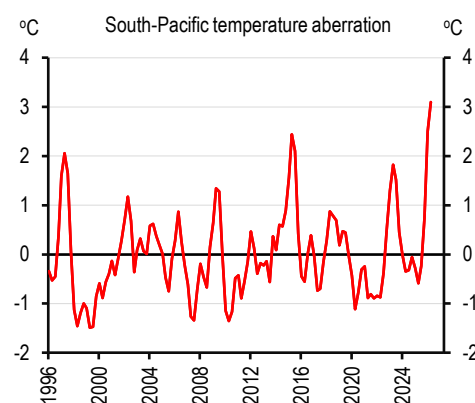
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The 1Q26 GDP figures released in late May (1.1% q-o-q sa) underlined a recovery of domestic demand components, after three consecutive quarters of sluggish performance. The acceleration in household and government consumption as well as investments are consistent with our above consensus forecast of 2.0% in 2026. Our projection embeds a 0.4% q-o-q sa growth in 2Q26 and a similar pace for the remaining quarters of the year. However, we have downgraded our GDP forecast for 2027 from 2.2% to 1.7% on the back of more adverse climate conditions, tighter monetary policy and increasing fiscal policy associated risks.

Moving into 3Q26, we see the El Niño weather phenomenon as the most important risk factor, potentially weighting on both agriculture GDP growth and inflation. Exhibit 1 shows the temperature anomalies in the South-Pacific Ocean versus long-run averages. Current forecasts suggest an unusually intense episode, possibly the strongest on record. Historically, events of this scale have coincided with sharp increases in food prices and electricity tariffs. The El Niño reduces rainfalls in the South-East, North and North-East regions, while increases rainfalls in the South. Consequently, impact varies. For example, the production of coffee, orange and sugar cane – concentrated in the SE - are negatively affected. The same can be said about meat. Meanwhile, the effect on the crops of cereals is a bit more ambiguous.

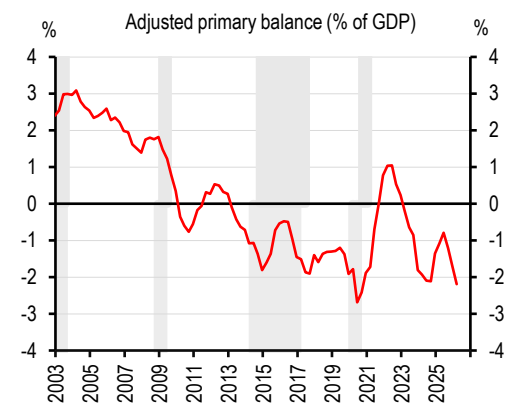
Hydropower generation – also concentrated in the SE region – is negatively affected and the power shortage is usually offset by the more intense use of thermal plants, which are also more costly to operate. Brazil has expanded and diversified its power-generation mix over the past decade and crop production is also less vulnerable to extreme events, but the El Niño shock will land on top of an already complicated inflation picture. Hence, we have updated our forecasts for YE IPCA inflation in both 2026 and 2027, respectively, from 5.1% y-o-y to 5.4% y-o-y and from 4.1% y-o-y to 4.4% y-o-y. Average inflation forecasts have been adjusted accordingly.

Climate models point to the strongest El Niño on record



Source: Australian Bureau of Meteorology, HSBC.

Structural primary balance to reach the lowest level since the Pandemic



Source: BCB, IBGE, National Treasury, HSBC.

Policy implications

Inflation pressures are also being shaped by a still-robust labour market, a more expansionary fiscal and para-fiscal stance (exhibit 2, above), legislative changes leading to a reduction in the working week, and, of course, the general elections. Considering past experiences, the election cycle could add to the volatility of local asset prices, especially under a stronger USD, globally.

Taken together, these factors point to the Central Bank of Brazil (BCB) pausing the easing cycle on 5 August, after cutting cumulative 75bp since March. We expect that growing complex inflation outlook to push the BCB towards a more conservative stance, before resuming cuts by March 2027. We now forecast the Selic staying at 14.25% through 1Q2027 (previously 13.25%) and 12.25% YE 2027.

Risks

The election build-up is likely to dominate the agenda into 3Q26. Historically, general elections have driven sizeable swings in local market pricing—most notably in 2002 and 2014. Given the electorate's strong left–right polarisation, the presidential race is likely to hinge on a narrow group of swing voters and be decided by a tight margin. In practical terms, that means the outcome may remain unclear until election night, as no candidate is likely to establish an unassailable lead in the polls.

The campaign is likely to gather momentum by mid-August, from which point we expect both domestic and international investors to track polling trends and policy platforms much more closely. Fiscal themes should sit front and centre, especially proposals on public spending reform. From a market perspective, the key transmission channel is the risk premia, given the very high starting point priced into the yield curve currently. Any shift towards populist measures — whether from left- or right-leaning candidates — would likely raise concerns around fiscal slippage, pushing up term premia, weakening the currency and weighing on local assets. By contrast, clear and credible commitments to fiscal responsibility could compress risk premia, support the BRL and improve sentiment across rates and equities.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	2.3	2.0	1.7	1.8	2.3	2.7	0.9	1.1	1.3
GDP (% quarter)	-	-	-	0.3	0.2	0.8	0.6	0.7	0.4
Consumer spending	1.3	1.8	1.5	1.8	1.9	2.5	0.9	0.5	0.8
Government consumption	2.1	1.8	1.7	2.8	2.2	1.4	0.9	1.8	1.6
Investment	2.9	1.8	1.9	-1.4	2.3	2.8	3.6	2.4	1.8
Domestic demand	2.1	1.9	1.7	1.4	2.3	2.3	1.7	1.3	1.3
Exports	6.2	4.5	3.3	7.4	5.7	4.3	1.0	2.5	3.2
Imports	4.5	2.8	2.6	1.2	4.1	2.4	3.7	2.6	2.0
Industrial production	1.4	1.7	1.3	1.3	1.8	1.4	2.3	1.4	1.7
Unemployment (%)	5.9	5.9	6.4	6.1	6.1	5.8	5.7	6.5	6.3
Wage growth	9.1	8.6	8.3	9.0	8.5	8.2	8.5	8.7	8.3
Consumer prices (avg)	5.1	4.8	4.7	4.9	4.7	4.6	4.8	5.1	5.0
Current account (USDbn)	-69.0	-46.1	-59.3	-20.2	-6.3	-12.9	-8.5	-23.6	-8.1
Current account (% GDP)	-3.0	-1.7	-2.0	-3.3	-1.0	-1.9	-1.2	-3.5	-1.1
Budget balance (% GDP)	-8.3	-9.5	-9.1	-	-	-	-	-	-
Gross external debt (% GDP)	16.9	15.4	14.6	-	-	-	-	-	-
Gross government debt (% GDP)	78.6	83.3	88.3	-	-	-	-	-	-
BRL/USD*	5.49	5.00	-	5.24	5.10	5.10	5.00	5.00	5.00
Policy rate (%)*	15.00	14.25	12.25	14.75	14.25	14.25	14.25	13.75	12.75

Note: *Period end. Source: LSEG Datastream, HSBC estimates

Latin America

Mexico

USMCA review, slow growth, and fiscal strains in the spotlight

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GDP growth disappointed in Q1 2026, as it contracted by 0.6% q-o-q and grew by 0.4% y-o-y, using seasonally adjusted figures. These results came notably below expectations, raising questions on the potential drivers that were supposed to lead the recovery in 2026. The most concerning part is that the weakness at the sector level was more broad-based than before, while on the demand side, the contribution from domestic sources was muted. In fact, investment continued to contract, even with notably low comparison bases related to the underperformance in 2025.

These results, combined with the evolution of some leading indicators in Q2, lead us to revise our 2026 GDP growth forecast down to 1.0% from 1.5%, previously. Our profile still implies a modest improvement in coming quarters, but it now suggests more contained growth rates ahead. Our 2027 GDP growth forecast of 2.0% stands. Our GDP growth forecasts incorporate that trade ties with the US remain well-anchored, potentially resulting in an extension of a free trade agreement framework, even if details and timeline remain blurry. While it is hard to anticipate when the potential review could finalise, current dynamics and some progress could provide a strong floor for exports, which have been the main outperformer of all growth sources. On the domestic front, the outlook is blurrier, as the extended underperformance of investment is suggesting that USMCA-related risks are not the only ones that matter. We perceive that recent reforms and policy changes related to the judiciary reform, for example, could be deteriorating the business sentiment. Private consumption has also been more contained than in previous years, when it led overall growth. Hence, the softening of these components is becoming more evident on headline metrics. We expect a stabilisation in consumption and some improvement into the last part of Q2 and Q3 to prove supportive for growth.

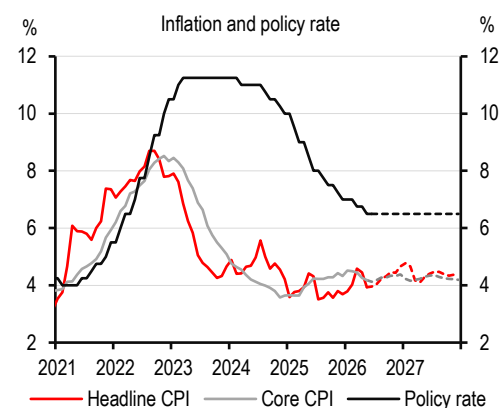
With respect to inflation, upside pressures continue to mount, in our view, even if recent prints show a more benign picture. We expect the relief seen in May (and potentially in June) to prove temporary, as it was driven by lower fresh food and energy prices. Yet, the former will likely reverse in H2 2026, while the latter could stay broadly unchanged, as they were supported with fiscal measures when international prices were higher. We anticipate CPI to bounce from July due to the atypically low comparison bases from H2 2025, when non-core inflation rates stood below 2%. This potential bounce, combined with core stickiness, will prompt inflation to resume an upward trend in July. We forecast inflation at 4.7% and 4.3% by end-2026 and 2027, respectively.

Economic activity started 2026 on the wrong foot; the recovery could be slow



Source: INEGI, HSBC forecasts

Inflation could remain sticky due to core persistence, limiting the room to cut more



Source: Banxico, INEGI, HSBC forecasts

Policy issues

At its latest decision, Banxico implied that the end to the easing cycle would be at 6.5%, stating: *'The Board estimates that it will be appropriate to maintain the reference rate at its current level.'* We think this will prompt the policy rate to remain steady at 6.5%, our end-2026 and end-2027 forecasts. This implies the real ex-ante rate will stay in the lower to mid part of the neutral range ahead (i.e. between 1.8% and 2.7%), a more comfortable territory for the majority of the Board, we think. And, while some Board members could be tempted to cut more once inflation eases further, we think the room will remain limited. Our inflation forecasts of 4.7% by end-2026 and 4.3% by end-2027 stem from the persistence of core inflation, higher non-core prices (i.e. fresh food) and further pressure related to the labour market as well as to mounting cost pressures for producers (see [Mexico Economics: Labour market becomes more relevant for inflation](#), 8 June 2026).

We expect Banxico to lift its inflation forecasts, as the current ones show an unrealistic scenario (i.e. inflation average at 3.5% in Q4 2026). This would delay the convergence to its 3% target, currently forecasted for Q2 2027, thus making difficult to cut more. However, if these revisions materialize and validate a more challenging outlook, we do not expect Banxico to discuss rate hikes any time soon, as market instruments price-in (i.e. we think markets instruments would need to erase the hikes that are incorporated in the curve). In fact, risks are biased to the downside, as we think Banxico would take advantage of any opportunity to cut more in 2027.

On the fiscal side, risks are deteriorating rapidly. We expect wider deficits which, combined with lower-than-expected GDP growth, could lead to a steep climb of debt-to-GDP in 2026 and 2027. The 2027 Economic Program that will be presented in September will prove key to assess the credibility and plans to prioritise fiscal consolidation. We think lower-than-expected revenues and limited room to the manoeuvre the already-stretched spending will dominate.

Risks

Key risks relate to the USMCA review process, scheduled to start on 1 July. Business sentiment will follow the progress of these conversations, which could weigh on investment. A deal before the end of 2026 would be ideal, but it is not clear this is the base-case scenario now. Instead, the scenario of annual reviews to extend discussions into 2027 is strengthening.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	0.6	1.0	2.0	0.2	1.0	1.5	1.2	2.0	2.3
GDP (% quarter)	-	-	-	-0.6	0.7	0.7	0.1	0.5	0.3
Consumer spending	1.1	1.4	2.0	0.6	1.9	1.6	1.5	1.9	2.0
Government consumption	1.3	1.0	1.0	0.9	1.4	0.9	0.6	1.2	0.9
Investment	-6.4	-0.5	1.5	-2.5	-1.0	0.5	1.0	2.0	1.5
Domestic demand	-0.8	0.9	1.8	-0.1	1.1	1.3	1.3	1.9	1.8
Exports	7.2	9.6	10.0	12.4	9.9	8.5	7.4	13.0	10.2
Imports	3.0	8.8	9.0	10.8	9.5	8.0	7.0	12.0	9.2
Industrial production	-1.3	0.7	2.0	0.8	1.0	0.6	0.5	1.6	2.0
Unemployment (%)	3.1	2.8	2.7	2.6	2.7	2.9	2.8	2.7	2.6
Wage growth	7.6	7.5	7.3	7.7	7.8	7.4	7.1	7.3	6.9
Consumer prices	3.8	4.2	4.2	4.1	4.1	4.1	4.3	4.3	4.0
Current account (USDbn)	-8.8	-9.4	-4.0	-15.9	2.5	2.7	1.3	-8.0	2.0
Current account (% GDP)	-0.5	-0.5	-0.2	-0.8	0.1	0.1	0.1	-0.4	0.1
Budget balance (% GDP)	-3.9	-3.9	-3.8	-1.6	-1.0	-0.7	-0.7	-1.5	-1.0
Gross external debt (% GDP)	53.0	54.5	56.5	-	-	-	-	-	-
Gross government debt (% GDP)	53.2	56.0	58.0	-	-	-	-	-	-
MXN/USD*	18.01	17.75	-	17.99	17.50	17.60	17.75	17.75	17.75
Policy rate (%)	7.00	6.50	6.50	6.75	6.50	6.50	6.50	6.50	6.50

Note: *Period end Source: HSBC estimates

Latin America

Argentina

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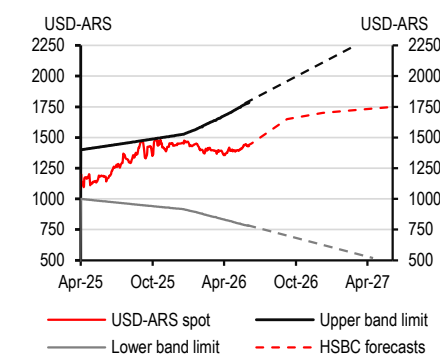
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Multi-speed economy

The Argentine economy continues to witness a multi-speed economy. On one hand, primary sectors have been doing well, especially the oil & gas and agricultural sectors, thanks to growing local production alongside high global prices. However, the manufacturing and services sectors have been struggling, with an overvalued currency partly to blame. This has also created a divergence in fortunes between urban and rural parts of the economy, and most importantly for markets, affected President Milei's approval rating, which hovers around 40%. As for growth, we see the economy decelerating to 3.5% this year given the aforementioned dynamics, although activity appears to be bottoming out in 1Q and we should see a modest recovery throughout the rest of the year. The government is focusing on accelerating growth, primarily through reform implementation and monetary policy settings. While Argentina has yet to establish a more conventional monetary policy framework, market interest rates have been driven lower lately, which should help boost activity at the margin, while also contributing to our expectation for modest FX depreciation for the remainder of 2027. We see growth rebounding to 3.7% next year, still driven by primary sectors, but more balanced than in 2026. Fortunately, the government has continued to improve Argentina's fiscal outlook by keeping expenditure firmly under control. The government appears on track to achieve a primary surplus of 1.5% of GDP this year, which is stabilising debt and, most importantly, improving inflationary dynamics. While inflation progress started to slow in 2H25 and into 2026, lately we have seen more encouraging signs as we go into Q3 2026. We believe progress in lowering inflation is unlikely to be linear, but fiscal management suggest the direction of travel will ultimately stay positive. We see inflation at 28.25% by end-2026 and 21.50% by end-2027.

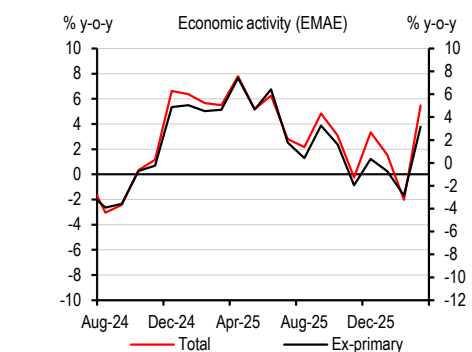
One of the more significant risks for inflation is in the FX realm. The exchange rate remains overvalued and is becoming stronger as inflation outpaces the rate of ARS weakness vs the USD. The FX bands now widen at the pace of inflation (2-months prior), but the USD-ARS rate is now comfortably inside the bands (left chart below). More important is that the stable currency relative to inflation is seeing the ARS real exchange rate appreciate to overvalued levels (right chart below). An overvalued peso is affecting the tourism and manufacturing sectors, impacting growth. Some adjustment in the exchange rate ultimately needs to be taken to encourage direct investment and rebalance key accounts, but this may only happen after 2027 elections. Even better, we believe, would be an abandonment of the FX bands altogether, allowing USD-ARS to float freely. This could result in a modest devaluation and a temporary spike in inflation, but we believe that over the longer term this would be net beneficial for the economy.

We expect the pace of ARS weakness to increase in 2H26



Source: Central bank of Argentina

Growth has started to see some rebound after a decline in 2H25



Source: Central bank of Argentina

Policy issues

Since obtaining more congressional support in last year's mid-term elections, President Milei has been able to move forward with his legislative structural reform agenda, moving beyond the decree-focused approach he pursued until that point. He managed to pass his first budget for 2026, institutionalising the fiscal consolidation effort, and passed a significant labour reform, arguably the most important pending structural reform. The reform makes the labour market more efficient and should help boost overall economic competitiveness. Important pending reforms are pension reform, a tax reform, and broad-based administrative reform.

While the passage of labour reform was a significant accomplishment, it also contributed to a decline in President Milei's approval rating at the start of the year (El Pais, 27 February), and while it has recovered somewhat, it remains below the average since the start of his government. This has resulted in some investors already thinking to general elections in October 2027 and President Milei's chances at securing re-election and thus continuing the reform trajectory. The government's focus remains fixed on boosting growth performance, but managing this, together with the ongoing effort to reduce inflation while maintaining a stable exchange rate will be difficult.

In terms of exchange rate policy, a strong harvest and growing oil and gas exports gave the central bank the ability to boost FX reserve purchases while even allowing for some pockets of ARS strength. We estimate total purchases of USD9.8bn ytd through May. Net reserves now stand at (negative) -USD5.2bn, from -USD11.7bn at end-25. We believe that going forward, as agricultural exports slow post-2Q, it will be difficult to achieve both reserve accumulation and maintain a stable FX rate. We see USD-ARS drifting higher at an average monthly pace of 2.9% for the rest of the year. We believe a more substantial FX liberalisation, including removal of remaining capital controls, is only likely post-elections.

Risks

Risks to the current economic plan have alleviated somewhat due to the surprising victory of Milei's party in the congressional elections in October. Now the risks are mostly concentrated in the FX sphere, which is a high-stakes balancing act. As detailed above, the FX band is likely not sustainable, and it's probable that the government will either need to make an adjustment to the rate that it widens at or, better yet, drop FX controls all together. This is because net reserves remain low, even though the government has managed to significantly ramp up USD purchases this year.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	4.4	3.5	3.7	2.2	2.3	3.8	5.9	3.3	3.3
GDP (% quarter)	-	-	-	1.0	0.7	1.0	1.5	2.0	1.0
Consumer spending	7.9	3.0	4.1	3.0	3.0	3.0	3.0	4.0	4.0
Government consumption	0.2	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1	-0.1
Investment	16.4	6.8	9.8	6.0	7.0	7.0	7.0	9.0	10.0
Domestic demand	8.6	3.2	4.6	3.7	2.8	2.8	3.5	4.2	4.3
Exports	16.4	10.1	11.5	16.8	17.5	8.0	2.6	14.5	14.7
Imports	25.9	12.5	13.3	3.5	6.5	13.4	28.1	13.3	13.3
Industrial production	5.1	1.6	0.7	1.2	1.6	1.7	1.8	2.7	3.2
Unemployment (%)	7.4	7.3	7.1	7.5	7.5	6.6	7.5	6.8	6.8
Wage growth	39.6	11.8	12.4	56.0	56.1	57.0	57.3	55.1	50.6
Consumer prices (avg)	30.6	31.1	22.3	31.0	31.3	31.8	30.4	25.7	22.0
Current account (USDbn)	-7.6	0.6	3.7	-3.2	2.1	0.5	1.2	-4.2	1.6
Current account (% GDP)	-1.1	0.1	0.5	-0.5	0.3	0.1	0.2	-5.9	2.2
Gross external debt (% GDP)	55.7	55.3	54.9	-	-	-	-	-	-
Gross government debt (% GDP)	83.0	83.0	83.0	-	-	-	-	-	-
ARS/USD*	1451	1700	-	1368	1450	1650	1700	1725	1750
Policy rate (%)*	27.06	21.50	21.50	25.37	21.50	21.50	21.50	21.50	21.50

Note: *Period end. Source: LSEG Datastream, HSBC estimates. Note: Policy rate refers to TAMAR rate

Latin America

Colombia

A new chapter begins

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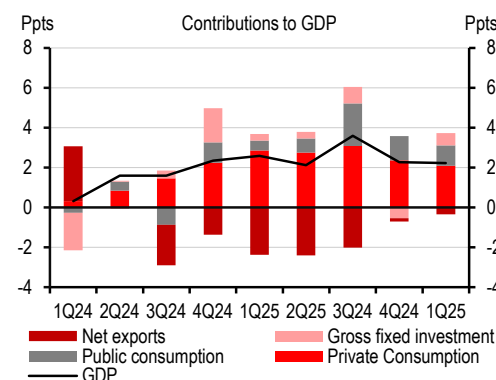
2026 has been an extremely eventful year for the Colombian economy filled with immense policy uncertainty leading up to the recent presidential election. While growth has been resilient thanks in part to a loose fiscal policy, the economy is weathering multiple simultaneous inflation shocks, an unanchored fiscal policy, and monetary policy uncertainty.

Growth has been holding up well this year, boosted by loose fiscal policy, election-related spending, and a term of trade boost that has indirectly boosted consumption. That said, the composition of growth remains subpar, with subdued investment growth weighing on future potential. We see growth of 2.4% this year, but only 1.7% next year due to a likely tighter fiscal stance and the delayed impact of ongoing monetary tightening cycle. However, we believe the growth outlook has improved for the medium term, and expect a likely resurgence in oil & gas related FDI, alongside higher domestic private investment, following the election.

The main issues faced by Colombia this year are the ongoing fiscal deterioration and the worsening inflation outlook. Headline and primary deficits have remained high in recent years, and the lack of fiscal anchor has imbedded substantial risk premia in local assets. Meanwhile, inflation has continued to trend higher, well above the 3% target, and inflation expectations have de-anchored. We have not likely seen the full effect of the 23% minimum wage hike from January, and we expect to see a lingering impact on services inflation. We see year-end inflation at 6.1%, modestly less than the central bank estimates. We also see growing inflation risks from El Nino, which in Colombia result in higher electricity costs as lower rainfall impacts hydroelectric power, along with disruptions to crops, an effect that would likely be felt starting in 4Q26 into 2027. We see inflation remaining well above target even in 2027.

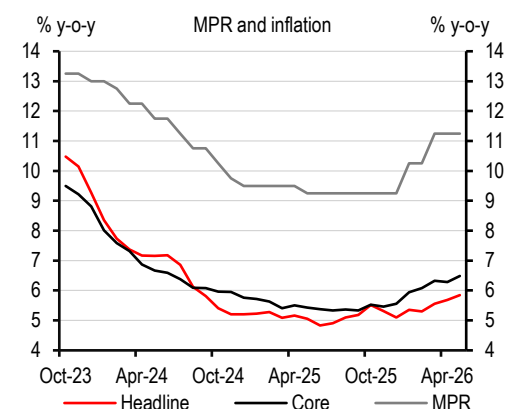
The central bank embarked on a tightening cycle in 1Q26 with two consecutive 100bp hikes before pausing in April, a decision driven by a desire to compromise with the government (Semana, 31 April). We see an additional 75bp of hikes, which would take the policy rate to 12.00% by end-2Q, after which we expect a long pause. The central bank will likely continue to sound cautious given numerous lingering inflation risks, but election-induced FX strength should allow ultimately allow the central bank to hike by less than what the market is currently pricing in.

GDP growth continues to remain strong, mostly driven by consumption



Source: BanRep

Renewed inflation pressures have lead to a monetary tightening



Source: BanRep

Policy issues

The recent presidential election is a watershed moment for Colombia. Abelardo de la Espriella is due to assume the presidency on 7 August, thus ending the first left-wing administration in Colombia's history. President Gustavo Petro had pursued an ambitious reform agenda, but most importantly from a macro-economic perspective, his government oversaw a significant deterioration in the country's fiscal health and rise in debt-to-GDP levels. He also instituted a ban on oil & gas exploration, which has kept overall investment subdued, and clashed with the central bank, threatening its independence (Semana, 10 April). There were fears that a continuation of his party's rule under Senator Ivan Cepeda would have led to further fiscal and institutional deterioration (Infobae, 2 June).

President-elect Abelardo de la Espriella and his government will be able to quickly achieve some low hanging fruit, such as allowing fresh oil and gas permits and reducing pressure on the central bank. We are unlikely to see further significant minimum wage hikes, reducing one key driver of inflation. However, fiscal adjustment will likely prove more challenging given the current c6% deficit levels and elevated primary deficits. The first test of the government will be a fiscal reform, likely to be delivered in 4Q. A smaller-than-expected reduction in expenditure could disappoint market expectations and present headwinds for local assets. The President will also have to negotiate with centrist parties to achieve his legislative agenda, which seems doable, but will require political capital.

Risks

The passing of elections reduces the most significant risk facing Colombia's economy. Now the main risk will be President De La Espriella's administration failing to significantly reduce fiscal expenditure and re-anchor fiscal deficits. Failure to deliver on market expectations could lead to disappointment in the FX and rates markets. The other significant risk is El Niño. Colombia tends to see an inflation shock in strong El Nino years given how the reduction in rainfall impacts hydroelectric power generation, resulting in increased use of more expensive alternatives such as coal and gas. It also leads to crop disruption which can push food prices higher, while also impacting the coffee crop, a key export.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	2.6	2.4	1.7	2.2	2.5	2.4	2.3	2.2	1.2
GDP (% quarter)	0.0	0.0	0.0	0.6	0.8	0.6	0.6	0.7	0.8
Consumer spending	3.5	3.1	2.2	2.7	2.7	4.0	3.0	3.0	2.0
Government consumption	8.4	3.5	1.0	7.8	3.0	3.0	2.0	2.0	1.0
Investment	1.4	1.9	3.4	3.7	1.0	1.0	2.0	3.0	3.5
Domestic demand	4.2	3.0	2.4	2.3	2.4	3.2	3.0	2.7	2.0
Exports	1.1	5.2	3.3	3.5	3.5	3.0	3.0	3.0	3.0
Imports	14.5	2.8	1.9	3.5	3.8	5.6	5.0	4.3	4.3
Industrial production	1.0	-1.1	3.4	3.6	-0.3	0.2	-0.2	0.5	-0.2
Unemployment (%)	8.0	8.8	8.1	8.8	8.9	8.8	8.5	8.4	8.7
Wage growth	6.5	7.4	6.4	3.7	1.0	1.0	2.0	3.0	3.5
Consumer prices	5.1	5.7	5.7	5.3	5.7	5.9	6.0	6.0	5.8
Current account (USDbn)	-10.9	-9.4	-10.6	-1.6	-2.6	-3.5	-1.6	-1.0	-3.3
Current account (% GDP)	-2.5	-2.1	-2.1	-3.2	-3.1	-2.9	-2.1	-2.0	-2.0
Budget balance (% GDP)	-6.4	-6.4	-6.1	-	-	-	-	-	-
Gross external debt (% GDP)	47.2	48.3	47.6	-	-	-	-	-	-
Gross government debt (% GDP)	66.2	87.1	87.1	-	-	-	-	-	-
COP/USD*	3774	3350	-	3683	3400	3400	3350	3350	3350
Policy rate (%)*	9.25	12.00	11.25	11.25	11.25	12.00	12.00	12.00	11.50

Note: *Period end. Source: LSEG Datastream, HSBC estimates

Latin America

Chile

On a solid footing, despite oil prices

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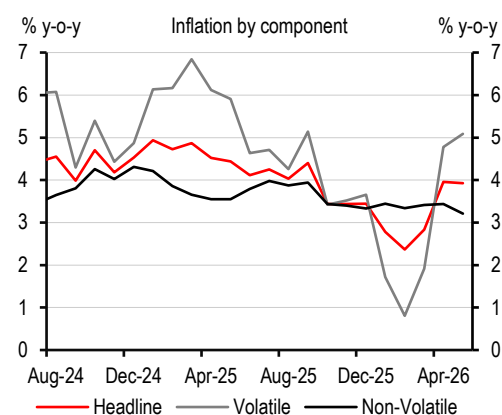
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The Chilean economy started 2026 on a weak footing. Growth was already subdued going into the start of the Middle East conflict and corresponding oil price shock, which had a large impact on Chile's economy given its position as a significant oil and gas importer. Moreover, in an effort to demonstrate fiscal responsibility, the government passed through nearly the entirety of higher energy prices onto consumers and businesses, resulting in dual growth and inflation shocks.

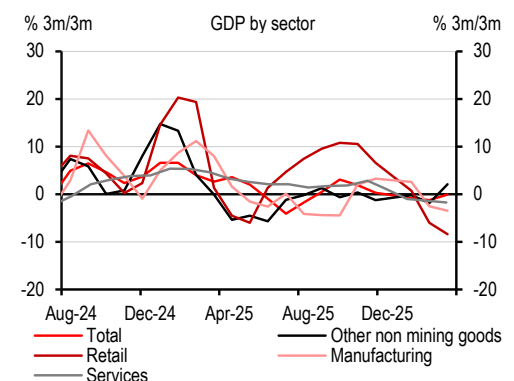
In terms of growth, activity was already trending lower at the start of the year when oil prices spiked. The government allowed consumer gasoline prices to rise between 30-45%, while diesel prices rose 55-60%. While this had a clear first-round impact on inflation, it also resulted in reduced disposable household income and sparked some demand destruction as well. We see growth falling to 1.4% this year, before rebounding sharply to 2.9% next year. We are optimistic on growth in Chile over the coming years as the newly inaugurated Kast Administration has been squarely focused on boosting activity. The government used considerable political capital to pass an economic reform which lowers corporate taxes and pursues deregulation, with a goal to drive investment growth. With a large pipeline of FDI projects, a large part in mining, we believe this reform can have a tangible impact. The government is also focused on fiscal consolidation, which all else equal will take a toll on growth in the coming years, but should be offset by gains in investment.

In terms of the inflation impact, following a significant first-round effect which derailed the previous inflation trajectory, we have yet to see second-round effects and in fact the latest inflation print surprised on the downside. Meanwhile, 2-year inflation expectations have remained anchored at the target, suggesting reduced risks. With global prices now falling, local inflation risks will also fade into the background. We see inflation returning very close to the 3% target by the end of 2027, thus obviating the need for monetary tightening. We see the monetary policy rate unchanged at 4.50% over the foreseeable future.

Inflation dipped below 3% y-o-y in Q1 due to tame monthly prints



Non-mining GDP disappointed in 2025, dragged down by manufacturing



Policy issues

Encouragingly, the government kicked off its legislative agenda with a substantial 40-measure economic reform package designed to spur domestic and foreign investment and boost productivity. Most notably, corporate taxes will be cut from 27% to 23% over time, and the government will provide tax and investment incentives, alongside a deregulation push. We believe this reform should tangibly drive growth higher in the coming years.

In terms of fiscal policy, during his campaign trail, Mr Kast pledged to cut the federal budget by up to USD6bn (1.6% of GDP) within the first 18 months of his presidency (Bloomberg, October 19). Due to the structural nature of spending increases, we always thought such a pace of consolidation was unlikely. Making matters worse, the government revealed a sharper-than-expected deterioration in fiscal accounts in 2025, with a structural deficit of 3.7%, a contravention of the fiscal rule. This has resulted in a slower-than-expected pace of fiscal consolidation this year, but the direction of travel is nonetheless positive.

Risks

We believe the overall balance of risks for the Chilean economy are skewed to the upside now that the oil price shock appears to be fading. That said, any additional disruptions in the Strait of Hormuz will impact the Chilean economy given its sensitivity to oil and gas imports. Fiscal risks have become more significant following the upward revisions to 2025 fiscal performance, and it will be important for the government to deliver ongoing fiscal consolidation through limiting expenditure growth, as pro-growth measures will not be enough.

Key forecasts

% Year	2025	2026f	2027f	Q1 26	Q2 26f	Q3 26f	Q4 26f	Q1 27f	Q2 27f
GDP	2.5	1.4	2.9	-0.5	0.5	2.0	3.2	4.5	2.9
GDP (% quarter)	-	-	-	-0.4	-0.4	0.8	0.9	0.9	0.9
Consumer spending	2.7	2.6	4.0	2.5	2.5	2.5	3.0	4.0	4.0
Government consumption	3.1	2.2	2.4	3.0	2.0	2.0	2.0	2.0	2.5
Investment	7.0	3.7	6.8	3.2	3.5	3.5	4.5	6.5	6.5
Stockbuilding (% GDP)	-0.1	-0.5	-1.9	-0.3	-0.5	-0.7	-0.5	-0.3	-0.7
Domestic demand	4.2	2.5	3.1	2.1	1.8	2.2	3.9	5.1	3.0
Exports	7.7	6.0	9.4	1.8	5.0	8.5	8.5	9.0	9.5
Imports	11.2	11.0	8.1	5.4	14.8	13.2	10.4	6.8	7.3
Industrial production	0.7	0.5	1.7	0.0	-0.7	-0.5	0.5	2.6	3.9
Unemployment (%)	8.7	8.5	8.2	8.3	8.4	8.8	8.3	7.6	7.8
Wage growth	6.1	5.2	4.0	4.1	5.5	5.1	5.2	4.7	5.0
Consumer prices	4.2	3.4	3.6	2.7	3.3	3.7	3.9	3.9	3.8
Current account (USDbn)	-4.3	-5.6	-7.7	1.9	-2.2	-2.9	-2.4	-2.3	-1.7
Current account (% GDP)	-1.2	-1.5	-2.0	-0.6	-0.6	-0.5	-1.5	-2.6	-2.5
Budget balance (% GDP)	-2.9	-2.4	-2.0	-	-	-	-	-	-
Gross external debt (% GDP)	87.3	85.5	81.8	-	-	-	-	-	-
Gross government debt (% GDP)	43.2	43.2	43.2	-	-	-	-	-	-
CLP/USD*	901	870	-	929	895	880	870	860	850
Policy rate (%)	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50	4.50

Source: LSEG Datastream, HSBC estimates. Note: *Period end.

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